PRINCIPLES OF ACCOUNTING

Units: 1-9 B.A/B.Com Code: AIOU-438

ALLAMA IQBAL OPEN UNIVERSITY
ISLAMABAD

PRINCIPLES OF ACCOUNTING

(Revised Edition)

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UNITS: 1-9 **Code: 438/5401**

DEPARTMENT OF COMMERCE
FACULTY OF SOCIAL SCIENCES & HUMANITIES

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CONTENTS

		Page No.
Preface		V
Course Introduction		vi
Course Objectives		vii
Unit 1	The Basic Accounting Model	1
Unit 2	Completion of the Accounting Cycle	27
Unit 3	Accounting for Merchandising Operations	51
Unit 4	Fixed Assets and Depreciation	63
Unit 5	Capital & Revenue etc. Correction of Error and Accounting From Incomplete Records	85
Unit 6	Cash & Bank Transactions	111
Unit 7	Accounts for Non-Profit Making Organizations	145
Unit 8	Partnership – I	161
Unit 9	Partnership – II	197

PREFACE

Commerce is one of the most significant fields that made its own pathways during the twentieth century and now it is being modified as per the needs of the new millennium. A course in the field of accounting is not only important for the students of accounting but it is also one of the basic requirements to understand multiple perspectives, theories, and models of commerce. The courses at AIOU are regularly revised and updated to fulfill the current needs of learners. It is a matter of immense pleasure that the Department of Commerce of AIOU is offering the revised and improved "Principles of Accounting (438/5401)" for B.Com/Bachelors students.

AIOU books are developed in the mode of self-learning. A learner at the level of B.Com/Bachelors can easily understand the language used in this book. The course developers put their best efforts into making the materials self-explanatory. The text speaks to the learner. This book is especially written for non-formal and distance learners but is equally helpful for the students of the formal education system. The book is recommended as a book for Principles of Accounting for B. Com/bachelor's students at AIOU.

Learning in the twenty-first century, which is the era of the knowledge economy, must not be restricted to one book or specified learning materials. All teachers and learners of this course are advised to go beyond the limits of one-course book. The sky is the limit when you go in search of knowledge. I wish all the readers of this book an enlightening journey of education ahead.

(Prof. Dr. Shahid Siddiqui)
Vice-Chancellor

INTRODUCTION

Accounting and Finance are highly demanded professions globally, as every organization requires budgeting and accounting services. Recognizing this importance, the Department of Commerce introduced Accounting in the early 1980s.

Accounting, often called the "language of business," has two main branches: financial accounting and management accounting. Financial accounting focuses on financial statements such as the balance sheet, income statement, and cash flow statement, while management accounting provides internal information for decision-making and performance evaluation.

The department continuously updates the accounting curriculum with rapid technological advancements to meet market demands. The revised course for B. Com students simplifies and enhances understanding of accounting principles. It covers nine key units, including accounting concepts, the accounting cycle, fixed assets and depreciation, capital and revenue, error correction, incomplete records, cash and banking transactions, non-profit organizations, and partnership accounting.

Designed for both distance learners and formal students, the course includes practical exercises, self-assessment questions, and structured exercises to reinforce learning. Each unit concludes with a summary to aid revision.
The course aims to provide a comprehensive, student-friendly learning experience. Special thanks are extended to Mr. Muhammad Munir Ahmad for his contributions. This book is expected to serve as an essential resource for accounting students, helping them build a strong foundation in accounting principles.

Finally, I am grateful to Prof. Dr. Syed Muhammad Amir Shah, Chairman of the Department of Commerce, whose supervision, support, and guidance made the revision of this book possible.

Comments from users are welcome.

Asia Batool
Course Development Coordinator

OBJECTIVES

Principles of Accounting is a comprehensive first course in accounting for students who have no previous training in accounting or business.

The objectives of this course can be enumerated as follows:

1. It is designed for the student's first exposure to accounting. We have carefully planned the timing of new concepts and techniques to facilitate learning. The pace enables the student to grasp and retain the material.

2. This book present accounting as it is practiced, but, the concepts underlying each accounting practice are also carefully explained. So we have tried to present an authoritative and practical basis of accounting.

3. The topic coverage is up-to-date and responsive to current trends in business and accounting. The contemporary topics have been emphasized.

4. Another objective has been to present the updated accounting material in a clear, concise and easy to understand manner. Accounting is treated as an information system that helps management; investors and creditors to make economic decisions. Every effort has been made to adopt a systematic step-by-step approach in presenting the material.

5. It provides a complete and flexible learning system. The organization of the book in two parts, each comprised of 9 units, is designed for students taking this course with another Half Credit course in a semester. Action oriented objectives at the beginning of each unit indicate in precise terms what the student should be able to do when they complete the unit. A unique feature of each unit is a special review section called "the Summary" which summarizes the main theme of each unit. Moreover, self-assessment questions illustrated examples and discussion questions in each unit focus for the most part, on major concepts and terms.

   I do hope that the student and reader of this book will find it easy to comprehend along-with the application of its contents in real life situation.

UNIT – 1

THE BASIC ACCOUNTING MODEL

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CONTENTS

	Introduction	3
	Objectives	3
1.	**THE AREA OF ACCOUNTING**	**4**
	1.1 Evolution of Accounting	4
	1.2 Quran and Accounting	4
	1.3 Why Accounting is Necessary	4
	1.4 Definition of Accounting	4
	1.5 User of Accounting	5
	1.6 Difference between Book-Keeping & Accounting	5
	1.7 Glossary of Common Terms	5
	1.8 Abbreviations	7
2.	**DOUBLE ENTRY SYSTEM**	**7**
	2.1 Quranic Concept of Two Sides of an Account	7
	2.2 Double Effect of Business Transactions	7
	2.3 Debits and Credits	8
	2.4 Rules for Debit and Credit	8
	2.5 Journalizing	10
	2.6 Special Journals	13
	2.7 Advantages of Using Journals	17
3.	**THE LEDGER**	**17**
	3.1 Concept of Ledger in the Holy Quran	17
	3.2 Process of Posting	18
	3.3 Subsidiary Ledger and Control Accounts	18
	4.1 Trial Balance Illustrated	23
	4.2 Steps in Preparing Trial Balance	24
	4.3 Errors and Their Correction	24
5.	**SUMMARY**	**26**

INTRODUCTION

In this unit, you are introduced to the subject of accounting. For this purpose, the general terms used in the area of accounting have been defined. Thereafter various steps in the accounting process; viz, journalizing based on a double entry system, accounting books usually maintained by business organizations viz. ledger, 'cash books, and subsidiary ledgers have been described and illustrated. The discussion finally leads to the preparation of the trial balance.

OBJECTIVES

The main objective of this unit is to introduce and acquaint you, for the first time, to the subject of accountancy and its basic (fundamental) principles. The study of this unit will therefore enable you to understand:

- Definition of accounting and its objectives and double entry system of accounting.
- Basic rules of journalizing, maintenance of accounting records in the form of subsidiary books (journals, cash books, etc.) and ledgers.
- Day-to-day accounting routine for business transactions and the preparation of trial balance.

1. THE AREA OF ACCOUNTING

1.1 Evolution of Accounting

Accounting emerged to meet society's economic needs, evolving with business complexity. Ancient civilizations like Babylon and Egypt recorded financial transactions, but systematic accounting began with Luca Pacioli's double-entry system in 1494. The Industrial and commercial revolutions further advanced accounting practices.

In Pakistan, accounting plays a crucial role in economic growth, particularly in industries like textile, banking, and manufacturing. Companies follow International Financial Reporting Standards (IFRS) to maintain transparency, aiding decision-making for businesses and investors.

1.2 Quran and Accounting

As a Muslim, it is our faith that the Holy Quran is a comprehensive code of life and is a source of guidance to us in conduct of all our worldly affairs. It meets the challenge of changing times.

The Holy Quran lays great stress on "Kitabat" (recording in black and white), particularly writing down of financial and business transactions. The contents of Verses 282 and 283 of Sura Al-Baqarah, inter-alia stipulates that: -

The Quran emphasizes the importance of maintaining accurate financial records for all transactions, regardless of size. Ethical guidelines require bookkeepers to record transactions truthfully, without omissions or alterations, and external influence. The responsibility of recording financial dealings is seen as a duty given by Allah, reinforcing accountability and integrity. These principles form the foundation of bookkeeping and accounting, stressing periodicity, transparency, and professional ethics in financial transactions.

1.3 Why is accounting Necessary?

Accounting helps businesses track performance and maximize profits by systematically recording transactions. It enables owners to assess expenses, income, assets, and liabilities in real time. Instead of waiting until business ends to determine financial success, accounting organizes data for informed decision-making. Ultimately, it provides essential information for optimizing resource allocation and improving profitability.

1.4 Definition of Accounting

Accounting is essential for individuals, businesses, and organizations to make informed economic decisions. Investors assess financial stability before investing, managers analyze profitability to optimize products, and governments rely on financial data for taxation. Non-profits also need accounting for planning and resource allocation.

As an information system, accounting processes business transactions into reports and analyses, helping stakeholders make sound financial choices. It is broadly defined as identifying, measuring, and communicating economic data to support informed decision-making.

Accounting is the process of identifying, recording, classifying, summarizing, and interpreting financial transactions to

provide meaningful financial information. According to the International Financial Reporting Standards (IFRS) and Generally Accepted Accounting Principles (GAAP), accounting ensures transparency, accuracy, and compliance in financial reporting for informed decision-making.

1.5 Users of Accounting

Accounting emerged to meet society's economic needs, evolving with business complexity. Ancient civilizations like Babylon and Egypt recorded financial transactions, but systematic accounting began with Luca Pacioli's double-entry system in 1494. The Industrial and commercial revolutions further advanced accounting practices.

In Pakistan, accounting plays a crucial role in economic growth, particularly in industries like textile, banking, and manufacturing. Companies follow International Financial Reporting Standards (IFRS) to maintain transparency, aiding decision-making for businesses and investors.

1.6 Difference between Book-Keeping & Accounting

Bookkeeping involves recording business transactions systematically, while accounting encompasses a broader scope, including financial analysis, reporting, and decision-making. Bookkeepers handle routine clerical tasks, often assisted by automation, whereas accountants design financial systems, interpret data, and support management decisions. Accounting includes budgeting, auditing, cost analysis, and tax planning, forming the foundation of commerce and industry. While bookkeepers record data, accountants review, analyze, and control financial information, requiring deeper knowledge and analytical skills.

1.7 Glossary of Common Terms

Before introducing you to the subject of accountancy, it will be advisable to define some of the elementary terms used again and again in accounting. These terms may be referred to while studying this as well as other units of this book.

Account

It is a date-wise summarized record of business transactions relating either to a person or a thing or any item of income or expenditure. For example accounts of Ahmad and Co., of machines, of wages and salaries, or of sales income.

Accounting Equation

The equation of financial position, i.e.,
Assets = Liabilities plus owner's equity

Assets: These are things having value, which are in possession of a trader or business, e.g., cash, stock, machines, vehicles, buildings etc. These items are owned by the business.

Business

It is an activity, which is undertaken for earning profit. Examples are export business, banking, insurance, cloth merchandise, etc.

Capital
It is an amount of cash or other property that a man or group of persons invests in business in the form of cash and other assets like buildings, machinery, vehicles etc. It is also called Equity.

Credit
It denotes a transaction where cash or other payment is not made immediately in a business transaction. The amount in such a case is payable at some future date. An example is the purchase of goods on credit.

Creditor
He is a person or a party to whom payment is to be made at some future date. It is the opposite of 'Debtor. Briefly creditor is written as 'Cr'.

Debtor
He is a person or a party who has to pay for goods or services or some benefit received on credit. It is opposite of 'Creditor'. Briefly 'Debtor' is written as 'Dr'.

Discount
It is a rebate or allowance given in either price or a bill. It may be cash discount (where payment is made immediately) or a 'trade discount' (granted by a Seller to a bulk-buyer).

Drawings
If cash or goods are taken away by the businessman or the owner for his personal use, the amount or value of goods is called drawings.

Expenditure or Expenses
It means spending of money or incurring expenditure to secure some benefit:

Folio
It is a page of an accounting record such as a ledger or register. For Example ledger folio 15 means page 15 of the ledger.

Income
The earnings of a business resulting in a gross increase in capital or equity.

Journalizing
It is the act of debiting one account and crediting the other account simultaneously.

Ledger
The ledger is a register in which classified record of all the transaction of the business is posted from the journal.

Liabilities
These are balances, which a business has to pay either to various parties for loans or supply of goods and services on credit. For example bank loan, bank overdraft, salaries and wages payable and other creditors.

Transaction
Transaction is an economic event that can be objectively measured in terms of money and effect the assets and/or equities of the enterprise.

Trial Balance
It is a list of all debit and credit balances of the ledger accounts and cashbook at a particular date.

Voucher I: It is a document serving as written evidence in support of a business, transaction to be recorded in the journal, cashbook or the ledger. For example; cash memo, bills, salary sheets, cash receipts, cheques, etc. serve as vouchers.

1.8 Abbreviations
In account books as well as in various units of this book certain abbreviations (or brief words) are used again and again. For the convenience of the student these are clarified as under: -

i) Carry Forward (c.f. or c/f)
Where the totals of one page are transferred to next or any other page of the ledger or other document, at the end of the former page (C/F) is written to denote that the total amount has been transferred to the specified page. For example C/F page 15 means that the total has been carried forward to page 15.

ii) Carried Down (c/d)
It is written where the total or balance of one section of an account is transferred or taken to the next section of the same account. For example gross profit in the Trading Account is carried down (C/D) to the Profit and Loss Section.

iii) Brought Forward & Brought Down
It is the opposite of the above processes, at (ii) above. Briefly these are written as B/F or B/D.

2. DOUBLE ENTRY SYSTEM

2.1 Quranic Concept of Two Sides of an Account
According to the Holy Quran the account of each person has two sides viz. left-hand side (اَلـمَشـمُةً) and right-hand side (اَلـمَيـمَـنةُ). Various verses of the Quran tell us that Allah will balance the accounts on the day of Final Accounting (يـوم الـحسـاب). Those persons whose left-hand side is heavier will be termed as (اَصـحاب الشمال) on the other hand accounts whose right-hand side is heavier, those persons will be termed as (اصَـحـابُ الـميمة). This concept that each account has two side, has also been adopted in modern accountancy and each ledger account has two sides viz. right-hand side and left-hand side to record transactions according to their nature.

2.2 Double Effect of Business Transactions
The double effect of each transaction when recorded in the books of accounts is known as the double entry system. As every business transaction affects two or more account; one must be debited and the other must be credited for a like amount. This means that when

one account (or accounts) is debited for Rs. 100/-, another account (or accounts) must be credited for a total of Rs. 100/-. The requirement that each transaction results in simultaneous debit and credit is called the double-entry procedure. This double-entry procedure keeps the accounting equation in balance.

Example-1: Let us take an example. Suppose Mr. Shahid purchased a car for cash value of Rs. 75000/-. In the books of Shahid, this transaction would be recorded as:

	Dr.	Cr.
Car Account (Debit)	75000/-	
Cash Account (Credit)		75000/-

The double-entry system records transactions with equal debits and credits, ensuring balance in accounts. Originating during the European Renaissance, it was introduced by Italian mathematician Pacioli, influenced by Islamic knowledge. This system revolutionized accounting by maintaining equilibrium in financial records. Goethe praised it as a remarkable human invention essential for business.

2.3 Debits and Credits

Debit (Dr.) simply means making entry on left side of an account. Credit (Cr.) means recording the entry on right side of an account. Thus, for any account, the left side is debit side and the right side is the credit side as shown below:

Any Account

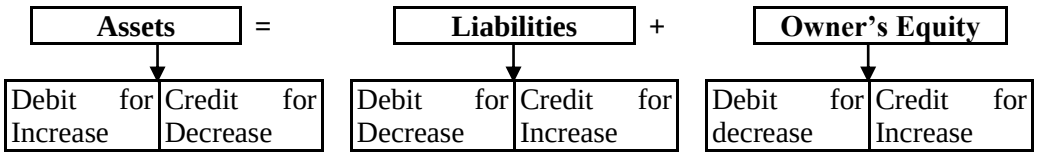
Left or debit side	Right or credit side

2.4 Rules for Debit and Credit

The basis of double-entry bookkeeping is that every transaction affects at least two accounts. In other words, there must be one or more accounts debited and one or more accounts credited, and the total debits must equal the total credits. In equation form:

Assets = liabilities + owner's equity

We can see that if a debit increases assets, then a credit must be used to increase liabilities or owner's equity. On the other hand, if a credit decreases assets, then a debit must be used to show a decrease in liabilities or owner's equity. These are the rules because assets are on the opposite side of the equation from liabilities and owner's equity. These rules can be expressed as follows:



To summaries:

a. Assets are increased by debits on the left side of the account and decreased by credits on the right side of the account.

b. Liabilities and owner's equity are decreased by debits on the left side of the account and increased by credits on the right side of the account.

The application of these two rules keeps the accounting equation in balance. Now, we will apply these debit and credit rules for assets, liabilities, and owner's equity to actual business transactions.

Example-2: Let us suppose that Mr. Shahid went to the bank and borrows Rs.5000/- on a promissory note.

Let us apply the correct double-entry rule. Increase in assets (cash) is recorded by debits. Increases in liabilities (Note payable-bank) are recorded by credits.

Cash Account	(Dr)	Rs. 5000/_
Notes payable	(Cr)	Rs. 5000/-

Using account form, this entry would be as follows:

Cash	
5000	

	Notes payable
	5000

The transaction involves an increase in the asset, cash, which is recorded on the left side of the Cash Account, and an increase in the liabilities in the form of Note Payable, which is recorded on the right side of the Notes Payable Account. (or bank account if an overdraft is drawn from the bank). As the liabilities are a sort of equities, changes in them are also recorded in the same manner.

In applying these rules, one should carefully consider the point that profits or revenues always increase the owner's equity or capital whereas expenses or losses decrease the owner's equity. Since owner's equity accounts decrease on the debit side, expense accounts increase on the debit side, and since owner's equity accounts increase on the credit side, revenue or profits increase on the credit side.

Debit and credit rules for expense and revenue therefore are:

a. Decreases in revenue or profit accounts are debit; increases are credits;

b. Increases in expense accounts are debits; decreases are credits.

One important point that should be carefully noted here is that assets, which seem to be very good and useful for business, and expenses or losses which seem to be rather bad things, both increase on the debit side, and liability and revenue accounts both increase on the credit side. This highlights the fact that in accounting "debit" and "Credit" are only denoting terms and should not be taken as basis for value judgments.

In another form rules of debit and credit may be stated as under: -

Nature of item or account	Debit and credit rule Assets
Assets	Assets, that come in or are purchased, are debited Assets, which go out are credited
Liabilities	Liabilities when increased are credited Liabilities when decreased are debited
Capital	Increases in capital are credited

	Decreases in capital are debited
Expenses	When expenses incurred, are debited
	When expenses decrease or are transferred, are credited
Income/ Sales	This account is credited
Sales Returns	This account is debited
Losses	This account is debited
Purchases Returns	This account is credited

2.5 Journalizing

The act of debiting one account and crediting the other account is called Journalizing. Each transaction is firstly recorded in a journal, which is an original entry book or starting process in accounts. The journal contains chronological or date-wise records of business transactions, the accounts debited and credited their respective amounts. Each entry is recorded so that the duality or equilibrium or recording is maintained in equation form:

Assets = Liabilities + Owner's equity

and

Debits = Credits

Following are the steps involved in the process of journalizing a transaction:

a. Determine the titles of the accounts involved.
b. Understand the nature of the accounts.
c. Apply the rule of Debit & Credit described above.
d. And make the necessary journal entry.

Let's take an example:

Example-3: Bilal Ahmed invests Rs. 5000/- cash in the business. Let us analyze this transaction.

a. Title of relevant accounts : Cash and Capital.
b. Nature of account : Assets and equity
c. Apply the rule : Cash Dr. and Capital Cr.
d. Journal entry : Cash Dr. and Capital Cr. 5000

Example-4: Let us record some other transactions in a general journal of Bilal Ahmed

i. He paid Rs. 500/- as rent.
ii. He purchased stationery worth Rs. 50/-
iii. Rs. 10/- is paid as conveyance expenses.
iv. Goods are purchased for Rs. 600/- from Shahid Majeed.

These transactions are journalized on the basis of rules described earlier:

Date	**GENERAL JOURNAL**			
	Particulars	**L.F**	**Amount**	
			Dr. Rs.	Cr. Rs.
	Cash…….		500	
	Capital……			500
	(Cash in vested by Bilal Ahmed)			

	Rent Expense……..		50	
	Cash……...			50
	(Payment of rent)			
	Stationery…….		50	
	Cash……			50
	(Cash purchase of stationery)			
	Conveyance expense……...		10	
	Cash……			10
	(Conveyance expenses-petrol)			
	Purchases…….		600	
	Shahid Majeed……			600
	(Good Purchased on Credit)			

Notes- 1: Clarification within brackets is called `Narration'.

2: The aim of the Journal is to determine which account is to be debited and which account is to be credited. On the basis of journal entries, therefore, relevant accounts in the ledger are posted. The column "L.F" (Ledger Folio) is used to record or enter page number of the ledger in which the entry of debit or credit has been made from the journal.

Compound Journal Entries: Many business transactions may affect more than two accounts. The journal entries for these transactions will involve more than one debit or credit. Such entries are called compound or composite journal entries. You have got the option of either debiting every account separately with corresponding credit or debiting several accounts with their corresponding credits.

Example-5: Let us assume that on 15th March Bilal Ahmad spent a total amount of Rs.560/- for the following expenses.

(a) Stationary Rs.60/-.
(b) Telephone Expenses Rs.300/-.
(c) Car Repair Rs.200/-.

Required: - Journalize these transactions.

Solution:

Date	**GENERAL JOURNAL**			
	Particulars	**L.F**	**Amount**	
			Dr. Rs.	Cr. Rs.
15-3-20-A	Stationary		60	
	Telephone Expenses		300	
	Car Repair		200	
	Cash			560
	(Expenses paid in cash)			

Example 6: The following transactions relate to the first month's operation of Mr. Khalil.

Jan.1.He invested a total amount of Rs.70000/- in the form of cash Rs.45000/- land valued at Rs.5000/- and building valued at Rs.20000/

2. Deposited Rs.15000/-cash into the bank.
3. Purchased merchandise for cash Rs.3000/-.
4. Merchandise purchased on account from Minhaj and Company Rs.10000/-.
6. Purchase a Delivery Truck from Iqbal Autos Rs.20000/- and issued a Promissory note.
7. Cash sales Rs. 5,500/-
9. Sold merchandise to M/S Tariq & Co.Rs.7500/- on account.
12. Purchased two plots of land for cash Rs.15000/-
14. Purchased merchandise from M/S Faiz & Co. for Rs.15000/-.
15. Cash sales Rs.7500/-
16. Khalil withdrew merchandise-costing Rs.500/- for personal use
18. Made full payment to Minhaj & Co. by cheque for merchandise purchased on credit.
20. Paid through cheque Rs.1800/- for a television advertisement.
25. Khalil made an additional investment of Rs. 25000/-, which is deposited into Bank.
26. Received cheque of Rs.5000/- from M/S Tariq & Co. and deposited the same into the bank.
27. Withdrew cash from the bank for office use Rs.5000/-.
28. Paid electricity bills for the month Rs.500/-
29. Issued a cheque of Rs.6000/- to M/S Faiz & Co.
30. Paid salaries to staff Rs. 3000/_
31. The owner withdrew from the bank Rs. 2500/- for personal use.

Required: Journalize the above transaction.

Solution: **General Journal**

Date	Particulars	LF	Debit	Credit
Jan. 1	Cash	11	45000	
1985	Land	18	5000	
	Building	19	20000	
	Capital – Khalil	61		
	(To record investment)			70000
Jan. 2	Bank	12	15000	
	Cash	11		15000
	(To record cash deposited into Bank)			
Jan. 3	Purchases	51	3000	
	Cash	11		3000
	(To record cash purchases)			
Jan. 4	Purchases	50	10000	
	Minhaj & Co.	22		10000
	(To record purchases on account)			
Jan. 6	Delivery Truck	20	20000	
	Notes payable	20		20000
	(to record purchase of delivery truck)			
Jan. 7	Cash	11	5500	
	Sales	41		5500
	(To record cash sales)			
Jan. 9	Tariq & Co.	13	7500	
	Sales	41		7500

	(To record purchase of land)			
Jan. 12	Land Cash (To record purchase of land)	18 11	15000	 15000
Jan. 14	Purchases M/S Faiz & Co. (To record cash sales)	11 41	15000	 15000
Jan. 15	Cash Sales (To record cash sales)	11 14	7500	 7500
Jan. 16	Drawing Purchases (To record drawing in from of goods)	51 62	500	 500
Jan. 18	Minhaj & Co. Bank (To record payment to Minhaj & Co.	22 12	10000	 10000
Jan. 20	Advertisement Expense Bank (To record payment of advertisement)	14 61	1800	 1800
Jan. 25	Bank Capital – Khalil (To record additional investment)	12 61	25000	 25000
Jan. 26	Bank Tariq & Co. (To record collection)	12 13	5000	 5000
Jan. 27	Cash Bank (To record withdrawal for office use)	11 12	5000	 5000
Jan. 28	Electricity Charges Cash (To record payment of electricity bills)	31 11	500	 500
Jan. 29	M/S Faiz & Co. Bank (To record payment of liability)	23 12	6000	 6000
Jan. 30	Salaries expense Cash (To record of payment of salaries)	32 11	3000	 3000
Jan. 31	Drawings Bank (To record payment of Rs. 2500/- for personal use)		2500	 2500

2.6 Special Journals

Large businesses handle numerous daily transactions, so separate journals for cash, credit purchases, and credit sales streamline recording and save time. Duties are assigned to different staff for efficiency. The names of these journals commonly used in business firms and companies are given below: -

Name of journal	Object of this journal
Cash book	To record receipt and payment of cash.
Purchases book	To record transactions relating to credit purchases.
Sales book	To record transactions relating to credit sales.

When goods are returned after purchase or sale, separate books—Purchases Return Book and Sales Return Book—are maintained if such transactions are frequent. Students with prior accounting knowledge will be familiar with these, while others should carefully study their formats and usage. The use of these books is described as follows:

i. **Cash book: The** left side of the cashbook records receipts from various sources, while the right side records payments under different heads. Receipts are based on bank withdrawals and cash sales summaries, while payments are recorded from vouchers, bills, and invoices. Entries are then posted to the ledger, with ledger page numbers noted in the Ledger Folio column.

ii. **Purchases journal**

This journal is used to record credit purchases. From this journal postings are made to relevant accounts. Individual amounts are posted to relevant creditor's account in the creditor ledger. The total periodical amount is posted to the creditor's control account in the main ledger. The corresponding debit entries are made to the following accounts:

a. Purchases account
b. Office supplies account in case of payments for items of office use.

Thus for every period credit entries must always be equal to the debit entries in accordance with double entry bookkeeping.

iii. **Sales journal:** The journal may be closed weekly or monthly, with individual entries posted to debtor accounts in the Debtors Ledger. The total amount is credited to the sales income account and debited to the Debtors Account in the main ledger.

ANNEXURE-I **ZARYAB TRADERS LIMITED**

CASH BOOK

RECEIPTS						PAYMENTS					
Date		**Voucher No.**	**Particulars**	**Ledger Folio**	**Amount Rs.**	**Date**		**Voucher No.**	**Particulars**	**Ledger Folio**	**Amount Rs.**
December	1		Balance Brought Forward	15	2,000	December	1	120	Salaries	18	4,000
=	1		Cash drawn from Bank Cheque No. 150705	21	3,000	=	1	121	Stationery	20	500
=	1	12	Cash sales	50	1,200	=	2	122	Traveling Expenditure	25	212
=	2	13	Cash Sales	50	800	=	4	123	Newspapers & Periodicals	16	108
=	3	14	Cash sales	50	1,500	=	5	24	Telephone Expenditure	24	300
=	4	15	Cash sales	50	1,000	=	5	25	Entertainment	12	80
=	5	16	Cash sales	50	1,200	=	5	26	Office Exp.	14	100
									Balance Amount C/d		5,400
				Rs.	10,700						
December	7		Amount Balance B/d		5.400					Rs.	10,700

ANNEXURE-II **PURCHASE JOURNAL (Used for purchases on credit)**

Date		Accounts credited	Creditor ledger folio	Credited		Debited		
				Creditors	Purchases	Office Supplies	Miscellaneous	
							Account	Amount
				Rs.	Rs.	Rs.		Rs.
May	1	Walid sons	Individual	5000	5000			
=	2	Butt Stationers	amount posted in	800		800		
=	3	Hay Brothers	the creditors	2000	2000			
=	4	Kalia and Co.	ledger	3000	3000			
=	4	Standard Type-writer Eqpt.		8000			Office equipment	8000
=	5	Walid Sons		1000	1000			
=	6	Kalia and Co.		2000	2000			
				21,8000	13,000	800		8000
				Total posted to creditors A/C in the main Ledger	Total posted to Purchases A/C in the main Ledger	Debited office Supplies A/C in the Ledger.	Posted to office Equipment A/C in the main Ledger	

ANNEXURE-III
SALES JOURNAL
(used for credit sales)

Date		Invoice No.	Account	Debitors Ledger Folio	Amount Rs.
					Rs.
May	I	115	A B C Company	65	800
"	1	116	Karim Sons	66	200
"	3	117	Haji Sons	67	1000
"	3	118	Modern Traders	84	900
"	5	119	Iqbal Sons	69	1100
"	5	120	A B C Company	65	2000
					Rs. 6000
					Weekly posting in the General Ledger as under Debtors A/c Dr 6000 Sales A/c Cr 6000

General Journal: The above-described three journals cover the bulk of business transactions pertaining to cash, credit purchases and sales. For other miscellaneous items not covered by these special journals, the general journal will be used. Its form and use has already been described in detail in earlier paragraph 2.5.

2.7 Advantages of Using Journal

The functions and advantages of using a journal are summarized below:

The Journal

a. Records each transaction in chronological order.
b. Shows the classification of each transaction in terms of debit and credit.
c. Supply an explanation of each transaction whenever necessary.
d. Serves as a source for future reference to accounting transactions.
e. Removes lengthy explanations from the accounts.
f. Makes possible to post to the ledger at convenient intervals.
g. Assist in maintaining the ledger in balance and finally

Aids in tracing out errors.

3. THE LEDGER

3.1 Concept of Ledger in the Holy Quran

There appears to be no concept of a ledger in Ancient Times. It was for the first time that this concept appeared in the Holy Quran The Holy Book mentions three ledgers maintained by Almighty Allah:

i. Al-Aliyyeen (اَلعِلّيّين) The Ledger or Register containing account on record of creditors or pious persons.

ii. As-suggeen (اَسّجّين) the ledger or register containing accounts or records of the sinners just like that of Debtors Ledger being maintained at present in business organisations.

iii. Loh-e-Mahfooz (لوح محفوظ) or the General Ledger which is an overall record (Master file) of everything, every book and every event in the universe (or universes as per Holy Quran).

3.2 Process of Posting

After recording transactions in the journal, they are posted to the ledger, a complete collection of accounts. Posting transfers journal entries to ledger accounts, typically done periodically. Accounts are classified into **balance sheet accounts** (assets, liabilities, and equity) and **income statement accounts** (revenues and expenses). Balance sheet accounts are real accounts, while income statement accounts are nominal. Posting involves transferring debits and credits from the journal to the respective ledger accounts, which may be in physical or digital form. The conventional **"T-account"** format is commonly used for ledger representation. *(IFRS Reference: Conceptual Framework for Financial Reporting)*

(Dr.) Form of Ledger account (Cr.)

Date	Particulars	Ref.	Amount	Date	Particular	Ref.	Amount

OR shortly, it can be drawn as:

(Dr.)	(Cr.)
Left-hand side	**Right-hand side**

(It is generally known as 'T' account)

3.3 Subsidiary Ledgers and Control Accounts

Subsidiary ledgers provide details supporting control accounts in the general ledger. For example, an Accounts Receivable Control account summarizes all customer balances, while a subsidiary ledger records individual customer transactions. Posting is done daily for individual accounts and periodically for the control account. Subsidiary ledgers are also used for cash, payables, fixed assets, revenues, and expenses. *(IFRS: Financial Reporting, Presentation & Disclosures)*

Example 7

Bilal Traders completed the following transactions during October.

October I. Invested Cash Rs.20000 & Equipment Rs.3000 in the business.
October 3. Purchased supplies for cash Rs.700.
October 8. Purchased a Truck for Rs.34000 paying cash Rs. 10000 and a note payable for the balance.
October 15. Purchased office equipment on account Rs.1500
Octobcr 18. Paid rent for October Rs.750
October 19. Received cash for job completed Rs.1200
October 22, Purchased supplies on account Rs.2600

October 23. Wages paid to employees Rs.4100
October 25. Paid premium on property insurance Rs.2960
October 26. Paid cash to the creditors Rs.2400
October 28. Received cash Rs.1400 for job completed.
October 29. Received an invoice for truck expenses, to be paid in November, Rs.410.
October 29. Paid miscellaneous expenses Rs.330
October 30. Paid wages to employees Rs.4300
October 3 I. Withdraw cash for personal use Rs.3000

Record the above transactions in a general journal, and also prepare relevant ledger accounts. **Journal**

Date	Particulars	LF	Debit	Credit
Oct. 1	Cash		40000	
	Equipment		3000	
	Bilal Capital			43000
	(Being initial investment)			
Oct. 3	Supplies		700	
	Cash			700
	(Being cash purchase)			
Oct. 8	Truck		34000	
	Cash			10000
	Note Payable			24000
	(Being purchase of truck)			
Oct. 15	Office equipment		1500	
	A/C Payable			1500
	(Being purchase of equipment)			
Oct. 18	Rent expense		750	
	Cash			750
	(Being rent paid)			
Oct. 19	Cash		1200	
	Service revenue			1200
	(Being cash sales)			
Oct. 22	Supplies		2600	
	A/C Payable			2600
	(Being purchase of supplies)			
Oct. 23	Wages expense		4100	
	Cash			4100
	(Being wages paid)			
Oct. 25	Prepaid Insurance		2960	
	Cash			2960
	(Being Premium paid)			
Oct. 26	A/C Payable		2400	
	Cash			2400
	(Being creditors paid)			
Oct. 28	Cash		1400	
	Service revenue			1400
	(Being cash sales)			
Oct. 29	Truck expenses		410	
	A/C Payable			410
	(Being truck expenses)			

Oct. 29	Miscellaneous expenses Cash (Being expenses paid)		330	 330
Oct. 30	Wages expense Cash (Being wages paid)		4300	 4300
Oct. 31	Bilal – Drawings Cash (Being cash withdrawn)		3000	 3000

Ledger Accounts

Dr. Cash Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct. 1	To Capital-Bilal		40000	Oct.3	By Supplies		700
-- 19	To Service revenue		1200	-- 8	By Truck		10000
-- 28	To Service revenue		1400	--18	By Rent Exp.		750
				-- 23	By Wage Exp.		4100
				-- 25	By Prepaid Insur		2960
				-- 26	By A/Payable		2400
				-- 29	By Misc. Exp.		330
				-- 30	By Wage Exp.		4300
				-- 31	By Drawing		3000
					Balance		14060
	Total		42600		Total		42600

Dr. Equipment Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct. 1	To Capital-Bilal		3000		By balance		4500
-- 15	To A/C Payable		1500				
			4500				4500

Dr. Bilal Capital Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.31	To Balance		43000	Oct.1	By Cash		40000
				--	By Equipment		3000
			43000				43000

Dr. Supplies Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct. 3	To cash		700	Oct.31	By Balance		3300
-- 22	To A/C Payable		2600				
			3300				3300

Dr. Truck Amount Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct. 8	To Cash		10000	Oct.31	By Balance		34000
-- 8	To A/C Payable		24000				
			34000				34000

Dr. A/C Payable Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.26	To Cash		2400	Oct.15	By Equipment		1500
Oct.31	To Balance		2110	-- 22	By Supplies		2600
				-- 29	By Truck Exp.		410
			4510				4510

Dr. Notes Payable Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.31	To Balance		24000	Oct.8	By Truck		24000
			24000				24000

Dr. Rent Expense Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.18	To Cash		750	Oct.31	By balance		750
			750				750

Dr. Service Revenue Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.31	To Balance		2600	Oct.19	By Cash		1200
				-- 28	By Cash		1400
			2600				2600

Dr. Wages Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.23	To Cash		4100	Oct.31	By Balance		8400
Oct.30	To cash		4300				
			8400				8400

Dr. Prepaid Insurance Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.25	To Cash		2960	Oct.31	By Balance		2960
			2960				2960

Dr. Truck Expenses Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.29	To A/c Payable		410	Oct.31	By Balance		410
	Total		410		Total		410

Dr. Misc. Expense Account Cr.

Date		Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.29		To Cash		330	Oct.31	By Balance		330
				330				330

Dr. Bilal Drawing Account Cr.

Date	Particulars	PR	Amount	Date	Particular	PR	Amount
Oct.31	To Cash		3000	Oct.31	By balance		3000
			3000				3000

Running Balance Ledgers: The modern ledger format includes three columns for debits, credits, and balances. This design allows the balance to be updated after each transaction, providing a clear and immediate view of account status.

Cash Account

Date	Particulars	PR	Debit	Credit	Balance
	Beginning Balance		-	-	-
Oct. 1	To Capital		40000	-	40000 Dr.
Oct. 3	By Supplies		-	700	39300 Dr.
Oct. 8	By Truck		-	10000	29300 Dr.
Oct. 18	By rent		-	750	28550 Dr.
Oct.19	By service revenue		1200		29750 Dr.
Oct. 23	By Wages		-	4100	25650 Dr.
Oct. 25	By Prepaid Insurance		-	2960	22690 Dr.
Oct. 26	By A.C Payable		-	2400	20290 Dr.
Oct. 28	To Service revenue		1400	-	21690 Dr.
Oct. 29	By Misc. Expenses		-	330	21360 Dr.
Oct. 30	By Wages Expenses		-	4300	17060 Dr.
Oct. 31	By Drawings			3000	14060 Dr.

Equipment Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 1	To Capital – Bilal		3000		3000 Dr.
Oct. 15	To A/C Payable		1500		4500 Dr.

Bilal Capital Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 1	By Cash			20000	20000 Cr.
Oct. 1	By Equipment			3000	23000 Cr.

Supplies Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 3	To Cash		700		70 Dr.
Oct. 15	To A/C Payable		2600		3300 Dr.

Truck Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 8	To Cash		10000		10000 Dr.
Oct. 15	To A/C Payable		24000		34000 Dr.

Rent Expense Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 18	To Cash		750		750 Dr.

Service revenue Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 19	By Cash			1200	1200 Cr.
Oct. 28	By Cash			1400	2600Cr.

Wages Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 23	To Cash		4100		4100 Dr.
Oct. 30	To Cash		4300		8400 Dr.

Prepaid Insurance Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 25	To Cash		2960		2960 Dr.

Truck Expense Account

Date	Particulars	PR	Debit	Credit	Balance
Oct.29	A/c Payable		410		410 Dr.

Misc. Expenses Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 29	To Cash		330		330 Dr.

Bilal – Drawing Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 31	To Cash		3000		3000 Dr.

Notes Payable Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 8	To Truck			24000	24000 Cr.

A/C Payable Account

Date	Particulars	PR	Debit	Credit	Balance
Oct. 15	To Equipment			1500	1500 Cr.
Oct. 22	To Supplies			2600	4100 Cr.
Oct. 26	To Cash		2400	-	1700 Cr.
Oct. 29	To Truck			410	2110 Cr.

4. THE TRIAL BALANCE

4.1 Trail Balance Illustrated

The equality of debits and credits posted in the ledger should be verified at the end of each accounting period, if not more often. Such a verification which is called a Trial Balance, maybe in the form given below:- **Bilal limited**

S. No.	Trial balance 31st October 2004		
		Debit	Credit
1.	Cash	14060	
2.	Equipment	4500	
3.	Capital – (Bilal)		43000

4.	Supplies	3300	
5.	Truck	34000	
6.	A/C Payable		2110
7.	Notes Payable		24000
8.	Rent Expenses	750	
9.	Service revenue		2600
10.	Wages	8400	
11.	Prepaid Insurance	2960	
12.	Truck expenses	410	
13.	Misc. Expenses	330	
14.	Drawing – Bilal	3000	
	TOTAL:	71710	71710

4.2 Steps in Preparing Trial Balance

The steps to follow in preparing a trial balance at a particular date are as follows: -

a. Determine the closing balance of each account in the ledger.
b. Put the debit balance of the ledger account in the debit column of the trial balance and the credit balance of the ledger in the credit column of the trial balance.
c. Add each column.
d. Compare the totals of each column.

The usual balance for an account is known as the normal balance. Consequently, if increases are recorded by debits the normal balance is a debit balance if increases are recorded by credits, the normal balance is a credits balance. The table below indicates the normal balance of the major account categories.

Accounts Category	Way of Recording Increases	Normal balance
Assets	Debits	Debits
Liability	Credits	Credits
Owner's Equity	Credits	Credits
Capital	Credits	Credits
Drawings	Debits	Debit
Income or Revenues	Credits	Credit
Expenses	Debits	Debit

According to the above table, the ledger account for accounts payable will normally have a credit balance and can be copied into the trial balance Column as a credit balance. Once in a while, a transaction will cause an account to have a balance opposite from its normal balance.

For example, when a customer overpays a bill or when a company overdraws its account at the bank by writing a cheque for more money than it has in its balance. If this happens, the abnormal balance should be copied into the trial balance Columns.

4.3 Errors and Their Correction

The significance of the trial balance is that it proves whether or not the ledger is in balance. "In Balance" means that equal debits and credits have been recorded for all transactions.

If the debit and credit columns of the trial balance do not equal each it may be the result of one or more of the following errors.

1. A debit was entered into an account as a credit or vice versa.
2. The balance of an account was incorrectly computed.
3. An error was made in carrying the account balance to the trial balance.
4. The trial balance was incorrectly totaled.

The trial balance proof does not mean that transactions were analyzed correctly or recorded in the proper accounts. For example, there would be no way of determining from the trial balance that a debit should have been made in the equipment account rather than the office equipment account. Further, if a transaction that should have been recorded is omitted, it will not be detected by a trial balance proof because equal credits and debits will have been omitted. Also if an error of the same amount is made both as a credit and as a debit, it will not be discovered through trial balance. The trial balance proves only the arithmetical equality of the debit and credit in the accounts. Other than simply totaling the columns wrongly, **the two most common mistakes in preparing a trial balance are:**

l. Recording an account with a debit balance as a credit, or vice versa, and
2. Transposing two numbers in an amount when transferring it to the trial balance (for example, transferring Rs.23459 as 23549). The first of these mistakes will cause the trial balance to be out of balance by an amount divisible by 2. The second will cause the trial balance to be out of balance by a number divisible by 9. Thus if a trial balance is out of balance and the total has been verified, determine the amount by which the trial balance is out of balance and divide it first by 2 and then by 9. If the amount is divisible by 2, look in the trial balance for an equal amount to the quotient. If such a number exists, this amount is likely in the wrong column. If the amount is divisible by 9, trace each amount to the ledger amount balance, checking carefully for a transposition error. If neither of these techniques identifies the error, it is necessary to calculate again the balance of each account in the ledger and retrace each posting from the journal to the ledger.

5. SUMMARY

Accounting has evolved to meet societal needs, similar to other sciences. While record-keeping dates back to 4000 BC, the introduction of double-entry bookkeeping was a major milestone. Accounting is defined as identifying, measuring, and communicating economic information for informed decision-making. It is broader than bookkeeping, which focuses on recording transactions, while accounting involves analysis and financial reporting.

The accounting process is based on the double-entry system, where debits equal credits. Assets and expenses usually have debit balances, while liabilities, owner's equity, and revenues typically have credit balances. Transactions are first recorded in a journal before being posted to the ledger. A trial balance is prepared to ensure the accuracy of debits and credits. This foundational knowledge is essential for understanding accounting principle

UNIT – 2

COMPLETION OF THE ACCOUNTING CYCLE

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CONTENTS

Sr. No.	Subject		Page No.
	Introduction		**29**
	Objectives		**29**
1.	**ADJUSTING THE ACCOUNTS**		**30**
	1.1	Necessity for Adjusting Entries	30
	1.2	Cash vs. Accrual Basis Accounting	31
	1.3	Types of Adjustments	31
	1.4	Identifying the Basis for Adjustments	35
2.	**THE WORKSHEET**		**38**
	2.1	Definition	38
	2.2	Specimen Format of Work Sheet	39
	2.3	Step in Preparing the Work Sheet	39
3.	**THE FINANCIAL STATEMENTS**		**44**
	3.1	The Income Statement	44
	3.2	Trading Account	45
	3.3	Trading Account	45
	3.4	Profit & Loss Account	45
	3.5	Statement of Retained Earnings	48
	3.6	Balance Sheet	48
	3.7	Difference between Trial Balance & Balance Sheet	49
4.	**SUMMARY**		**50**

INTRODUCTION

First unit introduced the preliminary accounting process or cycle of analyzing; classifying and summarizing business transactions and their posting into the ledger accounts. This enabled you to learn how these transactions are entered into journal and ledgers. The trial balance was shown as a way to test the arithmetical accuracy and equality of debits and credits in the journalizing and posting process. The ultimate purpose of the entire accounting process is to produce accurate financial statements for information of different users.

In this unit, you will learn about the adjusting process, various adjusting entries and their method of recording. The purpose of adjusting entries is to bring the accounts to their proper balance before financial statements are prepared. You will also be introduced with the topic of work sheet, which is used frequently as a useful step in the preparation of financial statements. Using a work sheet lessen the possibility of ignoring an adjustment.

After completion of the work sheet, the preparations of financial statements have been discussed. The income statement, (trading and profit and loss account) the retained earnings statement and the balance sheet are illustrated showing how they are prepared from the account titles and the data in the statement sections of the work-sheet.

OBJECTIVES

After studying this unit, you should be able to:

1. Identify the reasons why adjusting entries must be made, and sources of these entries.
2. Identify the classes and types of adjusting entries.
3. Prepare a work sheet and explain its uses.
4. Prepare an income statement, statement of retained earnings and balance sheet, on the basis of information contained in a work sheet.
5. Recapitulation of the steps, in the accounting cycle and its completion.

l. ADJUSTING THE ACCOUNTS

1.1 The Necessity for Adjusting Entries

Accounting provides accurate and up-to-date financial information for decision-making. The process includes recording transactions in journals and ledgers, followed by preparing a trial balance to ensure debit-credit equality.

Need for Adjusting Entries:

Some transactions remain unrecorded or incomplete by the period-end, requiring adjustments to reflect the correct financial position. These are called adjusting entries, not just corrections, as they are a planned part of the accounting cycle.

Key Functions of Adjusting Entries:

- **Ensuring Accuracy**: Adjustments update accounts before financial statements, preventing misstatements.
- **Matching Principle (IFRS & GAAP):** Expenses and revenues must be recognized in the period they occur, not when cash is received or paid.
- **Compliance with Accrual Accounting:** Adjustments ensure adherence to standards like IFRS 15 (Revenue Recognition) and IAS 1 (Financial Statement Presentation).
- **Reliable Financial Reporting:** Adjustments help companies present true financial health, aiding management, investors, and regulators.

For example, suppose accounts have to be prepared up-to 31st December of the year. The salaries of the staff amounting to Rs.150,000/- are payable by 5th of the next month i.e. by the 5th January. Thus at the last day of December, the recorded expenditure of salaries will not be inclusive of salaries for the month because these have not yet been paid but the amount of Rs.150, 000/-actually relates to December. If accounts are prepared only based on amounts recorded up to 31st December without taking unpaid December salaries into account, the profits would naturally be overstated, and the financial statements would not reveal the true position of the business.

Importance of Adjusting Entries in Financial Reporting (Aligned with IFRS & GAAP)

Ensuring Comparability & Accuracy:

Adjusting entries ensures financial statements are comparable across periods by properly recording accrued and prepaid expenses. Without adjustments, revenues and expenses may be misstated, affecting profitability analysis and decision-making.

Key Adjustments Required:

Accrued Expenses (e.g., Salaries, Wages, Utility Bills) – Prevent overstatement of income.

Prepaid Expenses (e.g., Rent, Insurance) – Allocate costs systematically over time.

Depreciation of Assets – Adjust based on asset usage (as per IAS 16 - Property, Plant & Equipment).

Unearned Revenue – Recognized as income only when earned (IFRS 15 - Revenue Recognition).

Matching Principle & Continuous Adjustments:

- Adjustments follow the matching principle, ensuring expenses are recorded in the same period as the revenue they generate.
- Many expenses (e.g., prepaid insurance, depreciation) occur continuously, requiring adjustments at month-end or year-end.

Legal & Reporting Requirements:

- Businesses must prepare to adjust entries at least annually for shareholder reports and regulatory compliance.
- Entries should only transfer expired asset values to expenses, avoiding misstatements.

1.2 Cash versus Accrual Basis Accounting

Accrual Accounting (Standard - IFRS & GAAP)

- Records revenues when earned and expenses when incurred, regardless of cash flow.
- Uses adjusting entries to reflect the true financial position.
- Ensures accurate financial statements by aligning revenue and expenses to the correct period.

Cash Basis Accounting (Limited Use)

- Recognizes revenues only when cash is received and expenses when cash is paid.
- Can misstate financial performance due to timing mismatches.
- Generally unacceptable for financial reporting but used by small businesses for simplicity.

Accrual accounting provides a true financial picture, ensuring compliance with IFRS & GAAP, while cash basis accounting is less accurate and not suitable for large enterprises.

1.3 Types of Adjustments

I. Accruals

At the end of the accounting period, accrued but unrecorded revenues and expenses are recognized by means of adjusting entries. Accrual is simply the process of occurring, arising or coming into existence. Some revenues and expenses accrue constantly with the passage of time. Interest, for example, accumulates over the time that loaned (or borrowed) funds are used. Rent, wages, insurance premiums and property taxes also accrue over time.

In accounting, the terms accrual is often interpreted broadly to include sales made or services rendered but remained unbilled and purchased goods or services for which invoices have not yet been received. Thus accrual adjustments involve increases in either receivables or payables.

Example-1 Adjusting Journal Entries

Date	Particulars	L.F	Debit Rs.	Credit Rs.
Dec. 31	A/c Receivable		780	
	Services revenue.			780
	(to recognize revenue earned during the last December but which could not be billed to customers until January)			

Dec. 31	Interest receivable Interest revenue (to record interest earned during December on savings account kept with the Bank)		60	60

Revenue Accruals

To illustrate the accrual of revenues, let us consider the adjustments shown in the above illustration. The first entry was needed to record December revenues for which bills were not prepared and mailed until January, because of normal delays in billing procedures. The second entry is to register savings account interest that accrued during December. You should carefully note this point that revenue accruals involve the simultaneous recognition of receivables and revenues and take the following form.

Asset (Receivable) Account Debited xxx
Revenue or income Account Credited xxx

Expense Accruals

The adjusting entries in the following illustration show the accrual of expenses at the end of an accounting period. Study the entries carefully, particularly the explanations, to see why the expense accruals were needed.

Expense Account Debited xxx
Liability (payable) Account Credited xxx

Example 2 Adjusting Journal Entries

Date	Particulars	L.F	Debit Rs.	Credit Rs.
20-A Dec. 31	Wages expense Wages payable (To recognize December wages to be paid in January)		520	520
Dec. 31	Interest expense Interest payable (To recognize accrued interest due on bank loan)		110	110
Dec. 31	Repair parts expense Accounts payable (To recognize repair parts purchased and used during December, to be paid in January)		75	75

i. Deferrals

*Deferred items involve adjusting previously recorded **assets and liabilities** into **expenses and revenues** to reflect the correct accounting period.*

Common Examples:

- **Prepaid Expenses:** Rent, insurance premiums, magazine subscriptions (recorded as assets, later expensed).
- **Unearned Revenue:** Advance payments from customers (recorded as liabilities, later recognized as revenue).

Accounting Treatment:

- Cash payments are often treated as immediate expenses for simplicity.

- If a portion of revenue or expense belongs to a future period, an **adjusting entry** is made to defer the correct amount.

Adjusting entries ensures financial accuracy by properly allocating prepayments and unearned revenues, aligning with **accrual accounting principles** (IFRS & GAAP).

ii. Deferred Revenue

Revenue received before they are earned are liabilities because they represent obligations to customers. When a magazine company collects money in advance for subscriptions, it has a liability to deliver magazine issues in the future; as magazines are delivered, portions of the liability are earned as revenue. The adjusting entries in the following illustration demonstrate the deferral of revenues that are as yet unearned at the end of the period.

Example 3 Adjusting journal entries

Date	Particulars	L.F	Debit Rs.	Credit Rs.
20-A Dec. 31	Rent revenue or rent income Unearned rent income (to defer January rent, which was received in December & recorded at that time as revenue)		800	 800
Dec. 31	Subscription revenue Unearned subscription revenue (to defer subscriptions revenue to magazines et to be published)		1600	 1600

Revenue deferral adjustments take the following form:
Revenue account debited xxx
Unearned revenue (liability) account credited xxx

Deferred expenses

Adjustment entries that defer expenses to a future period are shown in the following illustration:

Example 4

Date	Particulars	L.F	Debit Rs.	Credit Rs.
20-A Dec. 31	Un-expired insurance Insurance expense (to defer insurance premiums that apply to future periods)		 480	 480
Dec. 31	Prepaid rent Rent expense (to defer rent prepaid for the first quarter of the coming year) Office supplies		1350	 1350

Dec. 31	Office supplies Supplies expense (to recognize unused office supplies at year end		140	140

Adjustments to defer expenses take the following form.
Prepaid Expense (Asset) Account Debited xxx
Expense Account Credited xxx

iii. Expirations

In a sense, all assets are deferred charges (debits) and all liabilities are deferred credits. Assets and liabilities represent carryovers of cost and obligation into future accounting periods. As assets are used up or depreciated in the process of earning revenues, portions of their costs are written off (expired) to expenses; and liabilities in the form of deferred revenues are shifted to revenue accounts as the revenues are earned.

Liability Expirations Revenue: As we saw earlier, some revenues may be collected in advance before they are earned, in that case they should be treated as deferred liabilities. The adjusting entries in the illustration given below recognize the portions of previously deferred revenues that were earned during the month of January.
Liability expirations to revenue take the following form.
Unearned Revenue (liability) Account Dr.... xxx
Revenue Account Cr.. xxx

Example 5 Existing journal entries

Date	Particulars	L.F	Debit Rs.	Credit Rs.
20-A Dec. 31	Unearned rent revenue Rent revenue (to recognize rent revenue for January)		800	
Jail. 31	Unearned subscriptions revenue Subscriptions revenue (to recognize revenue for magazines delivered during the month)		730	730

Asset expirations to expense: As asset costs expire, they become expenses. Adjusting entries are commonly made to recognize depreciation of productive or fixed assets such as equipment, vehicles, or buildings. Assume, for example, that a motorcycle is purchased for Rs. 19800/- and its expected life is 48 months, and at the end of its life its, expected salvage or replacement value is Rs.600 and the motorcycle is expected to be equally useful (productive) during each month of its life. Depreciation per month can be determined as follows: -

$$\frac{\text{Cost - Salvage value}}{\text{Expected life of motorcycle in months}} = \text{Depreciation per month,}$$

or

$$\frac{\text{Rs. 19800 -600}}{48} = \text{Rs.400 per month.}$$

Remember that depreciation of a long-lived productive asset is accumulated in an asset contra account called Accumulated Depreciation. The adjusting entry to record the

motorcycle depreciation is shown in the following illustration along with several other adjustments for asset expirations.

Asset expiration adjustments take the following form.

Expense Account Debited xxx
Asset (Contra Asset) Account Credited xxx

Example-6: Adjusting journal entries

Date	Particulars	L.F.	Debit Rs.	Credit Rs.
20-A Jan. 31	Depreciation expense (Motorcycle) , Accumulated depreciation (Motorcycle) (To record motorcycle depreciation for January)		400	400
Jan. 31	Insurance expense Unexpired insurance (To record insurance premiums for January)		200	200
Jan. 31	Rent expense Prepaid rent (To recognize rent expense for Jan.)		450	450
Jan. 31	Supplies expense Office Supplies (To record office supplies used during January)		300	300

1.4 Identifying the Basis for Adjustments

You should know what adjustments are necessary at the end of the period.

i. Some readily determinable cases requiring adjustment are outstanding bills for electricity, telephone, and invoices related to the accounting period, but are received so late that payment could not be made during the period. In such cases, relevant expense accounts are debited and accrued accounts are credited. Difficulty however arises in cases where no bills, invoices, and other documents are outstanding such cases are dealt with as under.

ii. Different accountants follow different approaches to determine the required adjustments. One avenue is simply to review the adjustments that were made at the end of previous accounting period. In some cases the same or similar adjustments are needed at the end of each accounting period. One flaw in this method is that new cases may escape proper accounting.

iii. Another approach is to scan the accounts in an unadjusted trial balance, looking for clues those suggest to the need for adjustments. Certain receivable and payables involve interest, which must be accrued with the passage of time; depreciable assets must be depreciated for the period; supplies can be checked to determine what is still on hand; and so on.

iv. A more orderly approach is to examine or audit each account starting at the beginning of the ledger, to determine if any adjustments are needed. Bank accounts are reconciled with bank statements to prove the cash account. Files of unpaid invoices, orders, and other documents are examined in an attempt to discover unrecorded payables or receivables. Receivables and payables are reviewed for any accrued interest receivable or payable. In fact, all available evidence is considered in an effort to locate any misstatements as each account is examined.

Your ability to identify the need for adjustments will improve, as you become more skilled in accounting. However it is important to note that failure to prepare proper adjusting entries will upset the correctness of net income and the balance sheet. The following diagram shows the effect on net income and balance sheet items failing to record each of the major types of adjusting entries:

No.	Failure to recognize	Effect on Net income	Effect on Balance sheet items
1.	Consumption of the benefits of an asset (Prepaid expense).	Overstate net income.	Overstate assets and retained earnings
2.	Earning of previously unearned revenue.	Understate net income.	Overstate liabilities and understate retained earnings.
3.	Accrual of expenses.	Overstate net income.	Understate Liabilities and Overstate retained earnings.
4.	Accrual of revenue.	Understate net income	Understate assets and retained earnings.

Example 7: Suppose that the trial balance of BMW Ltd. Company for December 31 of the current year includes, among other items, the following accounts balances:

	Debits Rs.	Credits Rs.
Office supplies on hand	6000	
Prepaid rent	25200	
Buildings	200000	
Accumulated Depreciation - Building		33250
Salaries expenses	124000	
Unearned delivery fees		4000

Additional Data

l. Part of supplies represented by Rs.6000 balance of the office supplies on hand accounts have been consumed. An inventory count of the supplies actually on hand on December 31 totaled to Rs.2400/-.

2. On May 1 of the current year, a rental payment of Rs.25, 200 was made for 12 months and it was debited to prepaid rent.
3. The annual depreciation of the building is based on the cost shown in the building account less an estimated salvage value of Rs.10,000. The estimated useful lives of the buildings are 40 year each.
4. The salary expense of Rs. 124000/- does not include Rs.6000 of unpaid salaries earned since the last payday.
5. One fourth of the unearned delivery fees have been earned by December 31.
6. Delivery services of Rs.600 were performed for a customer, but the bill has not yet been sent.

Required: Prepare the adjusting journal entries for December 31, assuming adjusting entries are prepared only at year-end.

Solution: BMW Ltd. Company … General Journal

Date	Particulars	L.F	Debit Rs.	Credit Rs.
20-A				
Dec. 31	Office supplies expense		3600	
	Office supplies on hand			3600
	(to record office supplies expense {6000-2400} =Rs. 3600			
Dec. 31	Rent expense		16800	
	Prepaid rent			16800
	(to record rent expense for 8 months {25200 x 8/12}			
Dec. 31	Depreciation expense - Buildings		4750	
	Accumulated depreciation-buildings			4750
	(to record depreciation-buildings) {200000 - 10000} (40 years)			
Dec. 31	Salaries expense		6000	
	Salaries payable			6000
	(to record accured salaries)			
Dec. 31	Unearned delivery fees		1000	
	Delivery service revenue			1000
	(to record delivery fees earned) 4000 / 4 = 1 000			
Dec. 31	Accounts receivable		600	
	Delivery service revenue			600
	(to record delivery fees earned but remaining unbilled and un-received)			

It is clear from the above that each case must be examined thoroughly to determine that expenses and incomes relating to a period is properly and accurately accounted for in that period.

2. THE WORKSHEET

2.1 Definition and Purpose of a Worksheet

Under IFRS, as with other accounting frameworks, the preparation of financial statements requires that all relevant financial data be adjusted, summarized, and verified to ensure compliance with the accrual basis of accounting. Although IFRS does not mandate a specific format for working papers, accountants typically use a worksheet as an internal tool to facilitate this process.

A worksheet is essentially a columnar document that:

- **Collects and Organizes Data:** It gathers trial balance information and subsequent adjustments (such as depreciation, expired prepaid insurance, supplies used, and accrued expenses) into a single format. This ensures that every necessary adjustment required by IFRS—such as the recognition of expenses in the period they occur—is properly recorded.
- **Ensures Arithmetical Accuracy: B**y summarizing data in a structured manner, the worksheet helps accountants verify the accuracy of their computations. This step is crucial for ensuring that the figures reported in the financial statements are mathematically correct.
- **Facilitates the Preparation of Financial Statements:** The worksheet typically includes columns for the unadjusted trial balance, adjustments, the adjusted trial balance, and, in many cases, preliminary drafts of the income statement (or statement of comprehensive income) and balance sheet. This structured approach makes it easier to prepare IFRS-compliant financial statements, which now often include a statement of comprehensive income. This statement goes beyond net income to include items such as revaluation surpluses, foreign currency translation adjustments, and other components of other comprehensive income.
- **Serves as Evidence:** While the worksheet itself is not published or part of the formal accounting records, it provides a detailed audit trail. This documentation is invaluable during internal reviews or external audits, as it demonstrates how figures were derived and ensures that the adjustments comply with IFRS disclosure requirements.

Key Points in the IFRS Context

- **Accrual Basis and Matching Principle:** IFRS emphasizes the accrual basis of accounting, meaning that revenues and expenses must be recognized in the period in which they are earned or incurred, not necessarily when cash transactions occur. The worksheet assists in making the necessary adjustments so that the financial statements reflect the true financial performance and position of the business**.**
- **Disclosure Requirements:** IFRS requires comprehensive disclosures, including details on estimation methods (e.g., for depreciation or provisions). While the worksheet is an internal document, it underpins the reliability of these disclosures by ensuring that all adjustments are carefully calculated and documented.
- **Flexibility in Format:** Unlike published financial reports, worksheets can vary in format. They are often prepared in pencil or electronically to allow for corrections, reflecting their role as a working paper rather than a final report.

2.2 Specimen Format of the Worksheet

Shahid & Umar Limited

Twelve-column worksheet for the year ended December 31 st 20-A

S. No.	Accounts	Trial balance		Adjustments		Adjusted trial balance		Trading A/c		PLSA/c		Balance sheet	
		Dr. 1.	Cr 2.	Dr. 3.	Cr. 4.	Dr. 5.	Cr. 6.	Dr. 7.	Cr. 8.	Dr. 9.	Cr. 10.	Dr. 11.	Cr. 12.

Note: The trading and PLS account columns are together called income Statement columns in American terminology.

2.3 Steps in Preparing the Work Sheet

For smaller companies, adjusting entries are directly entered into the journal and posted to the ledger, with financial statements prepared from the adjusted trial balance. For larger companies, adjusting entries may be numerous and require a worksheet. The worksheet includes the company name, title 'Work Sheet', and the period. Under IFRS, it's important to ensure compliance with structured presentation and transparency, which is why the formal steps in the worksheet preparation are necessary. IFRS-compliant summary of the five steps in preparing a worksheet:

1. **Enter Account Balances**: Copy the account titles and balances from the ledger (or trial balance) into the worksheet's trial balance columns.
2. **Record Adjustments**: Enter the necessary adjustments (e.g., depreciation, accrued expenses, expired prepaid items) in the adjustment columns. Use reference letters to link each debit and credit adjustment to its supporting documentation. This step ensures that adjustments comply with IFRS's accrual basis of accounting.
3. **Prepare the Adjusted Trial Balance**: Combine the trial balance amounts with the adjustments to produce the adjusted trial balance. This verifies that the debits equal the credits and that the numbers are arithmetically correct.
4. **Allocate Balances to Financial Statement Columns**
   Transfer each adjusted account balance to its appropriate section:
   - **Income Statement Columns:** For revenue and expense accounts.
   - **Balance Sheet Columns:** For assets, liabilities, and equity accounts. This classification supports IFRS financial statements, including the statement of comprehensive income.
5. **Total the Columns and Balance** : Sum the income statement and balance sheet columns. Calculate the net income or net loss as the difference between the debit and credit totals in the income statement columns.
   - If there is a net profit, record it as a debit in the profit and loss columns and as a credit in the balance sheet columns (reflecting an increase in equity).
   - For a net loss, apply the opposite entry.
     This final step confirms the overall arithmetic accuracy of the worksheet and supports the preparation of accurate IFRS-compliant financial statements.

This streamlined process not only ensures that all necessary adjustments are captured but also that the financial statements are prepared in line with IFRS requirements.

Example-8. The Trial Balance of Shahid & Umar Co. as of 30th June is given below:

	Rs.	Rs.
Cash in hand	680	-
Sundry debtors	46000	-
Discount	300	-
Drawings	11000	-
Opening stock	30000	-
Purchases	75000	-
Sales returns	2700	-
Miscellaneous trade expenses	755	-
Labor wages	3500	-
Salaries	5600	-
Traveling expenses	850	-
Advertising	500	-
Rent and insurance	2800	-
Interest and bank charges	215	-
Bad debts	400	-
Buildings	6000	-
Plant and machinery	10000	-
Furniture	5000	
Capital		35000
Purchases returns		1300
Sales (gross)		125000
Creditors		30000
Bank Overdraft		10000
Total	Rs.201300	Rs.201300

Following additional information is also available

i: Closing stock on 30th June is Rs.45,000.00

ii: Charge depreciation at 10% on
   a. Plant and machinery
   b. Furniture.

iii: Make provision for bad and doubtful debts at 5% of sundry debtors.

iv. Rs. 150 on account of insurance is prepaid.

Required: (a) Trading and P & L Account (b) Balance sheet as of 30th June

Solution:

Shahid & Umar Company
Trading, Profit & Loss Account
For the year ended 30th June.

Opening stock		30000	Sales	125000
Purchases	75000		Less returns	2700
Less returns	1300		Net sales	122300
Net Purchase		73700	Closing stock	45000
Labour charges		3500		

Gross profit (carried down)	60100		
Total	167300	Total	167300
Expenses:		Gross profit B/d	60100
Discount	300		
Salaries	5600		
Advertising	500		
Rent insurance (2800-150)	2650		
Interest & bank charges	215		
Bad debts	400		
Depreciation (machinery)	1000		
Depreciation (furniture)	500		
Provision for bad debts	2300		
Miscellaneous trade expenses	755		
Travelling expenses	850		
Net profit carried to balance Sheet	45030		
	60,100		60,100

SHAHID AND UMAR COMPANY

Balance Sheet as on 30th June

Capital & Liabilities			**Assets**		
Capital	35000		Cash in hand		680
Add: Profit	45030		Prepaid Insurance		150
	80030		Sundry Debtors	46000	
Less: Drawings	11000		Less: Provision	2300	43700
		69030	Stocks		45000
Creditors		30000	Plant & Machinery	10000	
Bank Overdraft		10000	Less: Depreciation	1000	9000
			Furniture	5000	
			Less: Depreciation	500	4500
			Building		6000
		109030			109030

Example-9: This solved problem illustrates the use of a worksheet where the columns of trading and profit & loss account has been substituted by the Income Statement column. The trial balance for the B & M Delivery Company as on December 31 was as follows:

B & M Delivery Company

	Debit Rs.	Credit Rs.
Cash	10650	
Accounts receivable	6400	
Supplies on hand	1400	
Prepaid insurance	2400	
Prepaid rent	40000	
Accounts payable		3130
Service Fee received in advance		4500
Capital stock		50000
Dividends (drawings)	3000	
Service revenue		10700
Advertising expenses	50	

Gas & oil expenses	680	
Salaries expenses	3600	
Utilities expenses	150	
Total	68330	68330

Additional data:

a. Insurance expense for the month of December Rs. 200/-
b. Rent expense for the month of December Rs. 400/-
c. Supplies used during the month Rs. 500/-
d. Depreciation for December Rs. 50/-
e. One-third of the fees received in advance account has been earned by 31st December.
f. Interest earned but not yet received Rs. 600/-
g. Unbilled service Rs. 1000/-
h. Accrued salaries Rs. 180/-

B & M delivery Company worksheet as of 31st December

Solution:

The worksheet is given below. The student should prepare the following financial statements using the data developed in this worksheet:

i. Trading and profit and loss account for the year ending 31st December.
ii. Retained earning statement for the period, and
iii. Balance sheet of the company as of 31st December.

Account Title	Trail Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	10650				10650				10650	
Account receivable	6400				6400				6400	
Supplies on hand	1400			500	900				900	
Prepaid insurance	2400			200	2200				2200	
Prepaid Rent	40000			400	39600				39600	
Account Payable		3130				3130				3130
Service fee received in advance		4500	1500			3000				3000
Capital Stock		50000				50000				50000
Dividends (drawings)	3000				3000				3000	
Service revenue		10700		2500		13200		13200		
Advertising expenses	50				50		50			
Gas and oil expenses	680				680		680			
Salaries expenses	3600		180		3780		3780			
Utilities expenses	150				150		150			
Insurance expense			200		200		200			
Rent expense			400		400		400			
Supplies expense			500		500		500			
Depreciation			750		750		750			
Accumulated Depreciation				750		750				750
Interest receivable			600		600				600	
Interest revenue				600		600		600		
Salaries payable				180		180				180
Service Revenue Receivable			1000		1000				1000	
Net Profit							7290			7290
Total	**68330**	**68330**	**5130**	**5130**	**70860**	**70860**	**13800**	**13800**	**64350**	**64350**

3. THE FINANCIAL STATEMENTS (As per IFRS Standards)

Financial statements are essential for assessing a company's financial performance and position, prepared using data from the worksheet. As per IFRS (International Financial Reporting Standards), these statements provide transparency, consistency, and comparability for stakeholders.

3.1. The Income Statement (Profit or Loss Statement - IAS 1): The income statement reports a company's financial performance over a specific period, including revenues, expenses, gains, and losses. It follows the accrual principle, ensuring that income and expenses are recognized when incurred, not when cash is received or paid. Unlike strictly standardized formats, IFRS allows flexibility in presentation while ensuring key elements like:

- ***Revenue (IFRS 15 - Revenue Recognition)***
- ***Cost of Goods Sold & Operating Expenses***
- ***Other Gains/Losses & Net Profit***

The statement is dated as "**For the year ended [Date]",** providing clarity on the reporting period.

The Balance Sheet (Statement of Financial Position - IAS 1): The balance sheet presents a company's financial position at a specific date, categorizing:

- *Assets (IAS 16 - Property, Plant & Equipment)*
- *Liabilities (IFRS 9 - Financial Instruments)*
- *Equity (Shareholders' Funds)*

This statement follows the going concern principle, ensuring an accurate representation of a company's stability and financial health.

Compliance with IFRS: IFRS ensures global standardization, improving investor confidence and regulatory compliance. The financial statements must:

- *Provide a true & fair view of financial performance and position.*
- *Follow the matching principle for income and expenses.*
- *Maintain comparability across periods for better decision-making.*

B & M Company
Income Statement
For the month ended 31st December

	Rs.	**Rs.**
Revenues:		
Delivery services revenue	13200	
Interest revenue	600	
Total revenue		13800
Expenses:		
Advertising	50	
Gas & Oil	680	
Salaries	3780	
Utilities	150	
Insurance	200	
Rent	400	
Supplies	500	
Depreciation (delivery truck)	750	
Total expenses		6510
Net income		7290

3.2 Trading and Profit & Loss Account Under IFRS
In large businesses, financial transactions such as purchases, sales, discounts, bad debts, commissions, and extraordinary losses occur frequently. To ensure accurate financial reporting, businesses prepare the Trading Account and Profit & Loss Account, which together determine the net profit or loss for a given period.

3.3 Trading Account (Part of Profit & Loss Statement - IFRS Standard)
The Trading Account records all direct income and expenses related to a company's core business operations, ultimately determining gross profit or loss.

A. Debit Side (Direct Expenses - Cost of Sales)
- Opening Stock: Value of inventory at the start of the period.
- Purchases (Net): Total purchases minus purchase returns.
- Direct Expenses: Costs related to production or sales (e.g., wages, freight, and transportation).

B. Credit Side (Direct Revenues - Sales & Closing Stock)
- Total Sales (Net): Sales revenue after deducting sales returns.
- Closing Stock: Value of inventory at the end of the period.

C. Determining Gross Profit/Loss
- If total credit (revenues) > total debit (expenses) → Gross Profit
- If total debit (expenses) > total credit (revenues) → Gross Loss

The resulting gross profit/loss is then transferred to the Profit & Loss Account for further processing.

3.4 Profit & Loss Account (Statement of Financial Performance - IAS 1) Once **gross** profit/loss is calculated, it is included in the Profit & Loss Account, where indirect expenses and incomes are recorded to determine net profit or loss.

3. Compliance with IFRS Standards: The **Profit & Loss Account** is a fundamental component of the **Income Statement**, ensuring compliance with:
- **IFRS 15 (Revenue Recognition)** – Sales and revenue are recorded when earned, not when received.
- **IAS 2 (Inventory Valuation)** – Proper valuation of **opening and closing stock** in the Trading Account.
- **IAS 1 (Financial Statements Presentation)** – Ensures clarity and consistency in reporting **business profitability**.

Performa / Specimen of the trading account ABC Limited Trading Account for the year ended.

Debit	Amount Rs.	Credit	Amount Rs.
To opening stock		By sales	
To purchases		Less sales returns.	
Less returns		By closing stock	
To carriage inward		By gross loss	
To wages		(Transferred to the debit side of the profit and loss accounts)	
To coal, gas, electricity			
To freight			

To cartage, excise, etc. To gross profit (if any Transferred to the credit side of the profit and loss account)			

Comprehensive Overview of Trading & Profit and Loss Account Under IFRS

Financial statements are prepared by IFRS to provide a transparent and accurate view of a company's financial performance. The Trading Account and Profit & Loss Account are critical components of the Statement of Financial Performance (Income Statement), which helps determine gross and net profit or loss.

1. Trading Account (Gross Profit Calculation - IFRS Compliant)

The Trading Account records direct revenues and expenses related to production or sales, ultimately determining gross profit or loss.

A. Key Components of the Trading Account

◆ **Opening Stock** (IAS 2 - Inventories): Manufacturing businesses have **three types of stock**:

1. **Raw Material** – Materials used for production.
2. **Work-in-Process** – Partially completed goods.
3. **Finished Goods** – Ready-for-sale products.

- Trading businesses hold only **finished goods stock**.

◆ **Purchases (Net of Returns & Discounts)**

- Includes cash and credit purchases used for production or resale.
- Purchase returns & trade discounts are deducted to get the net purchases.

◆ **Direct Expenses (Factory Overheads - IAS 2 & IAS 16)**

- Expenses directly linked to production:
  - Wages, carriage inward, freight, factory rent, power, excise duty, lubricants.
- These costs form part of inventory valuation under IAS 2 - Inventories.

◆ **Sales (Net of Returns & Discounts -** IFRS 15 Revenue Recognition)

- Total sales = Cash sales + Credit sales.
- Any sales returns or discounts are deducted to reflect net sales.

◆ **Closing Stock (Valuation - IAS 2)**

- Unsold inventory at year-end is valued at a lower of cost or market value.
- This ensures compliance with IAS 2 - Inventory Valuation principles.

◆ **Gross Profit Calculation**

- If **net sales > total cost**, the company earns **gross profit**.
- If **total cost > net sales**, the company incurs **gross loss**.
- **Gross profit/**loss is transferred to the Profit & Loss Account.

2. Profit & Loss Account (Net Profit Calculation - IFRS Compliant): The Profit & Loss Account determines net profit or loss by including indirect incomes and expenses incurred during the period.

A. Key Components of the Profit & Loss Account

◆ **Credit Side (Incomes & Gains)**

- Gross Profit (Transferred from the Trading Account).

- Other Incomes & Gains (e.g., commission received, interest received, discount received).

◆ **Debit Side (Indirect Expenses - IAS 1 & IAS 16)**

- Administrative Expenses: Office rent, salaries, utilities.
- Selling & Distribution Expenses: Advertising, sales commission, transportation.
- Financial Expenses: Interest on loans, bank charges.

◆ **Net Profit or Loss Calculation**

- If total income (credit side) > total expenses (debit side) → Net Profit.
- If total expenses > total income → Net Loss.
- Net profit is added to capital, while net loss reduces capital in the Balance Sheet.

3. IFRS Compliance in Financial Reporting

- **IFRS 15 - Revenue Recognition**: Ensures sales are recorded when earned, not when received.
- **IAS 2 - Inventory Valuation**: Governs opening & closing stock valuation.
- **IAS 1 - Financial Statement Presentation**: Requires proper classification of direct & indirect expenses.

Performa/Specimen of profit & loss account.
Profit and loss account for the year ended 20-A

Dr.	**Cr.**
Gross loss (if any)	Gross profit
Salaries	
Rent	Interest received
Rates & taxes	
Discount allowed	Commission received
Insurance	
Repairs & maintenance	Discount received
Advertising expenses	
Bad and doubtful debts	Miscellaneous receipt
Entertainment	
Printing & stationary	Net loss
Depreciation	(transferred to the
Interest paid	capital account in the
General expenses	balance sheet)
Bank charges	
Trade charges	
Legal expenses	
Net profit (if any)	
(Transferred to the capital account in	balance sheet)

For illustrative purposes, the same data already mentioned in the worksheet example are illustrated in this format of Profit and Loss Account.

B & M Delivery Company
Profit and Loss Account
For the month ended December 31, 20-A

Debit	Amount	Credit	Amount
Advertising	50	Delivery service revenue	13200
Gas & oil	680	Interest revenue	600
Salaries	3780		
Utilities	150		
Insurance	200		
Rent	400		
Supplies	500		
Depreciation delivery truck	750		
Net profit	7290		
	13800		13800

3.5 Statement of Retained Earnings (Profit & Loss Appropriation) Under IFRS
The Statement of Retained Earnings, also known as the Profit & Loss Appropriation Account, summarizes changes in a company's retained earnings over a financial period. It applies only to limited companies, where net profit is not transferred to the capital account but recorded in retained earnings. **Key Components of Retained Earnings Statement (IAS 1 & IAS 10)**

1. **Opening Retained Earnings –** The balance carried forward from the previous period.
2. **Net Profit for the Period –** Transferred from the Profit & Loss Account.
3. **Dividends (IAS 10 -** Events After Reporting Period) – Earnings distributed to shareholders, deducted from retained earnings.
4. **Ending Retained Earnings –** The final balance carried forward to the Balance Sheet (Statement of Financial Position).

Comparison to Sole Proprietorship

- In limited companies, profits are retained for reinvestment or distributed as dividends.
- The dividend account is like the drawings account in a sole proprietorship but applies only to corporate structures.

The Statement of Retained Earnings ensures accurate financial reporting, aligning with IFRS (IAS 1 & IAS 10). It reflects how net income is allocated, whether retained for future growth or distributed to shareholders, providing transparency in financial statements.

B & M Delivery Company Limited
Statement of Retained Earnings
For the Month of December 31, 20-A

Retained earnings, 1st December 20-A	**-0-**
Net income for December	7290
Total	7290
Less: dividends	3000
Retained earnings 31st December 20-A shown in the balance sheet	4290

3.6 Balance Sheet (Statement of Financial Position) Under IFRS: The Balance Sheet, also known as the Statement of Financial Position, provides a snapshot of a business's financial health at a specific date. It presents economic resources (assets), claims against those resources (liabilities), and owners' equity, helping investors and creditors assess the financial strength, flexibility, and liquidity of an entity.

Key Components of a Balance Sheet (As per IAS 1 - Financial Statement Presentation)

1. **Assets (Right Side) –** Represents what the business owns, categorized into:
   - Current Assets (Cash, Accounts Receivable, Inventory)
   - Non-Current Assets (Property, Equipment, Long-Term Investments)

2. **Liabilities (Left Side)** – Represents what the business owes, categorized into:
   - Current Liabilities (Accounts Payable, Short-term Loans)
   - Non-Current Liabilities (Long-term Loans, Bonds Payable)

3. **Owner's Equity (Shareholder's Equity)** The owner's interest in the business, calculated as: ***Assets=Liabilities Owner's Equity***

Presentation and Classification Under IFRS

- **Sundry Creditors** (Payables), All creditor accounts are grouped under Accounts Payable.
- **Sundry Debtors** (Receivables) – All debtor accounts are grouped under Accounts Receivable.
- **The Balance Sheet must balance –** any difference indicates an accounting error.

The Balance Sheet, prepared under IFRS (IAS 1), provides a clear and structured view of a company's financial position. It ensures transparency, accuracy, and comparability, assisting stakeholders in making informed decisions. The specimen of the balance sheet is given below:

ABC Company, Balance Sheet, As on 31st December

Capital & Liabilities			**Assets**		
Capital Rs.		Rs.	Fixed Assets:	Rs.	Rs.
Balance	90000		Buildings	40000	
Net Profit:	59159		Less accumulated Dep.	4000	36000
	149159				
Less drawings	20009		Machinery	20000	
		129150	Less accumulated Dep.	2000	18000
Long term liabilities					
Mortgaged loan		20000	Current Assets		
			Stock		60000
Current liabilities			Prepaid rent & rates		300
Bank overdraft	10000		Debtors/ receivables	40000	
Sundry creditor/Accounts			Less reserve for		
Payables	15000		doubtful		
Accrued expenses	5200		Debts	2000	
				38000	
Total current liabilities		30200	Less reserve for	950	37050
			Discount		
			Cash at bank		27000
			Cash in hand		1000
Total capital & Liabilities		179350	Total assets		179350

Now we would like to study various items shown in the balance sheet. A short description of each item is given below.

3.7 Difference between Trial Balance & Balance Sheet: After studying both the statements, the following points of distinction should be carefully noted by the students:

4. SUMMARY

Adjusting entries are made at the end of an accounting period to update and correct account balances before preparing financial statements. These adjustments are classified into **deferred items** (previously recorded data requiring revision) and **accrued items** (transactions not yet recorded). A **worksheet** helps organize adjustments, ensuring accuracy in financial reporting. The **Income Statement** measures business profitability, while the **Statement of Retained Earnings** tracks profit distribution and transfers balances to the **Balance Sheet**. The **Balance Sheet** presents the financial position by showing **assets, liabilities, and owner's equity**. It follows the fundamental accounting equation: **Assets = Liabilities + Owner's Equity**. These statements provide transparency, aiding investors, creditors, and other stakeholders in assessing business performance. Financial reports ensure compliance with accounting standards and enhance decision-making. Ultimately, they reflect whether a business has achieved its objective of generating income.

UNIT – 3

ACCOUNTING FOR MERCHANDISING OPERATIONS

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CONTENTS

	Introduction		**53**
	Objectives		**53**
1.	**OVERALL, VIEW**		**54**
	1.1	Income Statements for a Merchandising Concer	54
2.	**REVENUES FROM SALES**		**55**
	2.1	Gross Sales	55
	2.2	Sales Returns and Allowances	55
	2.3	Sales Discounts	56
	2.4	Cost of Goods Sold	57
3.	**MERCHANDISE INVENTORY**		**57**
	3.1	Measuring Merchandise Inventory	57
4.	**PURCHASES**		**58**
	4.1	Purchases Returns and Allowances	58
	4.2	Purchase Discounts	58
	4.3	Freight-In	59
	4.4	Control of Purchase Discounts	59
	4.5	Inventory or Stock Losses	60
	4.6	Handling Merchandise Inventory at the End of the Accounting Period	61
7.	**SUMMARY**		**62**

INTRODUCTION

A merchandising enterprise is a business that purchases finished goods at low prices and sells them at higher prices to earn profit. This unit is concerned with the accounting for a merchandising enterprise that does not make or process the products itself.

As you are well aware many shops and companies attempt to earn profit by buying and selling merchandise. Merchandising firms or Companies either wholesale or retail, do use the same basic accounting methods as service companies, but the process of buying and selling merchandise requires some additional accounts and concepts. Their activities also result in a more complicated income statement than for a service business.

Accounting systems for merchandising companies normally provide for accumulating various kinds of data relative to buying and selling transactions.

OBJECTIVES

After studying this unit, you shall be able to:

- Identify the components of the income statement for a merchandising concern.
- Journalize transactions involving sales and purchases of goods for merchandising concerns.
- Calculate the cost of goods sold and differentiate between perpetual and periodic inventory systems.
- Prepare a worksheet for a merchandising concern.
- Prepare adjusting and closing entries for a merchandising concern.
- Prepare an income statement for merchandising concerns.

1. OVERALL, VIEW

The accounting process for merchandising firms involves recording transactions related to buying and selling goods, without significant changes in their form. When inventory is purchased, it increases both the inventory and accounts payable. Upon selling, revenue is recognized, and the cost of goods sold (COGS) is recorded. Inventory is valued using methods like FIFO or weighted average cost. These transactions are reflected in financial statements: the income statement shows profit, the balance sheet provides a snapshot of the financial position, and the cash flow statement tracks cash movements. Adhering to IFRS ensures accuracy and consistency in financial reporting.

1.1 Income Statement for a Merchandising Concern

Following is a summarized income statement of Mahmood Trading Company for the year ended December 31, 20-A. **Mahmood Trading Company,** Income statement
For the year ended 31" December 20-A

	Rs.
Income (revenue) from sales	*239325*
Less cost of goods sold	*131360*
Gross profit from sales	***107965***
Less operating expenses	*89284*
Net profit (income)	*18681*

The above income statement highlights three major parts: (1) revenue or income from sales, (2) cost of goods sold, and (3) operating expenses. Such an income statement differs from the income statement for a service firm where net income is measured as the difference between revenues and expenses whereas in case of merchandising business you have to calculate gross profit from sale before operating expenses are deducted to arrive at net income or net profit. Revenue from sales arise from sales of goods by the merchandising company and the cost of goods sold tells how much the merchant paid for the goods that were sold.

The difference between revenues from sales and cost of goods sold is known as gross profit from sales, or simply gross profit. To be successful, the merchant must sell the goods more than cost and resulting gross profit from sales must be greater enough to pay operating expenses and have an adequate profit or income left over. Operating expenses are those expenses, other than cost of goods sold that are incurred in running the business. Net income for merchandising companies is what is left after deducting operating expenses from gross profit. Mahmood Trading Company had a gross profit from sales of Rs.107965/- (Rs. 239325- Rs.131360) and net income of Rs.18681 (Rs.107965 - Rs. 89284).

All three parts of the merchandising income statement are important for a company's management. Management is interested both in the percentage of gross profit on sales and in the amount of gross profit (45 percent and Rs. 107965/- respectively, for the Mahmood Trading Company. This information is helpful in planning business operations. For instance, if management wants to increase total sales by reducing the selling price, this strategy will result in reduction in the percentage of gross profit.

In this Unit, we discuss three parts of the merchandising income statement and transactions that give rise to the amounts in each part. Then we present two alternative methods for preparing worksheets for a merchandising company. The unit ends with a comprehensive illustration of the merchandising income statement.

MAHMOOD TRADING CO. Partial Income Statement

Revenue from sales		246350
Less: Sales returns and allowances	2750	
Sales discounts	4275	7025
Net Sales		239325

2. REVENUE FROM SALES

The first part of a merchandising income statement is revenue from sales, which is computed as net sales. Net sales are derived from the gross proceeds of merchandise sales, minus sales returns, allowances, and discounts. For a business to succeed, net sales must be sufficient to cover the cost of goods sold (COGS), and operating expenses, and generate an adequate net income. Sales trends, such as increasing or decreasing sales, are key indicators of a firm's financial health. To detect these trends, comparisons of net sales across periods are often made, helping management, investors, and stakeholders assess growth and potential financial challenges.

2.1 Gross sales

Under accrual accounting, revenues from the sale of merchandise are considered to be earned in the accounting period. Because the customer may not pay immediately, the cash for the sale may be collected in a following period, but this does not affect the recording of sales. For this reason, there is likely to be quite a difference between revenue from sales and cash collected from those sales in a given period.
The journal entry to record a sale of merchandise for cash is as follows:

Date	***Particulars***	***Dr.***	***Cr.***
Sept. 16	*Cash*	1286	
	Sales		1286
	(To record the sale of merchandise for cash).		

The Sales account is used only for recording sales of merchandise, whether the sale is made for cash or for credit. If the sale of merchandise is made on credit, the entry will be as shown below:

Date	***Particulars***	***Dr.***	***Cr.***
Sept. 16	*Account Receivable*	1286	
	Sales		1286
	(To record the sale of merchandise on credit).		

2.2 Sales Returns and Allowances; Under IFRS, when a customer returns a defective or unsatisfactory product, the business may issue a refund, credit, or allowance. These transactions are recorded as a debit to the "Sales Returns and Allowances" account. This provides management with insights into customer dissatisfaction. For example, if a product is returned, the journal entry would

Date	***Particulars***	***Dr.***	***Cr.***
Sept. 17	Sales returns & allowances	76	
	Accounts receivable (or cash)		76
	(To record return or allowance on unsatisfactory merchandise)		

Sales returns and allowances are a contra account and are accordingly deducted from gross sales in the income statement.

2.3 Sales Discounts

Under IFRS, sales discounts are offered to encourage early payment and improve liquidity by reducing accounts receivable. Common discount terms like **2/10, n/30** mean the customer can take a 2% discount if payment is made within 10 days; otherwise, the full amount is due in 30 days. Since it's not always known upfront whether the customer will take the discount, the discount is recorded when payment is received.

For example, if Mahmood Trading Company sells merchandise worth $300 on September 20 with terms of **2/10, n/60**, and the customer pays within the discount period, the journal entry upon payment (assuming the discount is taken) would be:

At the time of sale the entry would be:

		Dr.	Cr.
Sept. 20	Accounts receivable Sales (To record the sale of merchandise on credit, terms 2/10, n/60)	300	300

The customer may take advantage of the sales discount at any time on or before September 30. This is 10 days after the date of the invoice. If he or she pays on September 29, the entry in Mahmood Trading Company's record will be:

Date	Particulars	Dr.	Cr.
Sept. 29	Cash Sales discount Account Receivable (To record payment for Sept. 20 sale discount taken)	294 6	 300

This reflects the sale and the reduction in accounts receivable based on the discount, in line with IFRS 15 **Revenue from Contracts with Customers**.

2.4 Cost of Goods Sold

Under modern accounting and IFRS, the Cost of Goods Sold (COGS) represents the expense incurred for the goods that have been sold during an accounting period. It is calculated by subtracting the ending merchandise inventory from the total goods available for sale.

Formula:

- **Goods Available for Sale** = Beginning Inventory + Net Purchases
- **COGS** = Goods Available for Sale - Ending Inventory

This approach aligns with **IFRS 2 - Inventories**, which requires businesses to account for the inventory that remains unsold at the end of the period. The remaining inventory is shown on the balance sheet, and the COGS is recorded on the income statement to reflect the cost of the goods sold.

In modern accounting practices, this method ensures that the **matching principle** is adhered to, recognizing the expense of the goods sold in the same period as the revenue they generated.

The partial income statement in the following example shows the cost of goods sold section for Mahmood Trading Company. **Mahmood Trading Company**

Partial income statement (Only Cost of Goods Sold Statement)

For the year ended 31 S` December 20-A

	Rs.	Rs.
Merchandise inventory January 1st		52800
Purchases	126400	
Less: Purchases return & allowance	(5640)	
Purchases discounts	(2136)	
Add:	118624	
Freight-in	8236	
Net purchases		126860
Cost of goods available for sale		179660

Less merchandise inventory Dec. 31		48300
Cost of goods sold		131360

To understand fully the concept of the cost of goods sold, it is necessary to examine the value of merchandise inventory at the start of the period, as well as at the end of the period.

3. MERCHANDISE INVENTORY OR STOCK

Under modern accounting and **IFRS**, **inventory** includes the goods available for sale, such as meats and canned goods for a grocery store or gasoline and parts for a service station. Inventory is purchased from suppliers like wholesalers or manufacturers.

- **Beginning Inventory** (Opening Stock) is the inventory on hand at the start of the accounting period.
- **Ending Inventory** (Closing Stock) is the inventory on hand at the end of the period.

These inventories are essential in calculating Cost of Goods Sold (COGS) for the income statement and are also shown as a current asset on the balance sheet as per IFRS 2 - Inventories. The inventory valuation impacts the business's financial health by reflecting unsold goods in the balance sheet and the cost of sold goods in the income statement.

3.1 Measuring Merchandise Inventory: Under IFRS, merchandise inventory is crucial for determining **Cost of Goods Sold (COGS)**. To accurately account for inventory, businesses use either the perpetual inventory method or the periodic inventory method, depending on the nature of the goods sold.

a. Perpetual Inventory Method:

- Used by businesses with high-value items like appliances or automobiles.
- Under this method, inventory records are updated in real-time as items are bought and sold.
- Each sale reduces the inventory and updates the COGS account, providing an ongoing record of inventory levels.
- The **IFRS 15** revenue recognition standard guides this real-time updating, ensuring The IFRS 15 revenue recognition standard ensures proper cost matching with sales in real-time inventory updates.

b. Periodic Inventory Method:

- Used by businesses with low-value, high-volume goods, such as grocery stores.
- This method does not track inventory continuously but instead relies on a physical count of goods at the end of the period.
- The ending inventory is determined by multiplying the quantity of goods by their unit cost, and the COGS is calculated by subtracting the ending inventory from the total goods available for sale.
- The periodic system is simpler but requires more work at the period-end to compute accurate inventory and COGS.

c. Taking Physical Inventory:

- The physical inventory count should include all saleable goods owned by the company, whether on shelves, in warehouses or in transit (if ownership has passed to the business).
- Goods that are damaged, obsolete, or unsellable should not be included unless sold at a reduced price.
- The process involves counting items at the end of the fiscal year, usually after business hours, and recording the information on numbered tickets or sheets.
- This process must be carefully checked and recorded to ensure accuracy in the final financial statements, in line with **IFRS 2 - Inventories**.

In modern accounting, both methods aim to provide accurate financial reporting, with the periodic method offering simplicity and the perpetual method offering real-time insights into inventory levels and COGS.

4. PURCHASES

Under the periodic inventory method, the net purchases consist of gross purchases less purchase discounts, purchase returns, and allowances plus any freight charges on the purchases and other expenses incurred thereon. When the periodic inventory method is used, all purchases of merchandise for resale are debited to the purchases account at the gross purchase price, as shown below:

Date	Particulars	Dr.	Cr.
Nov. l2	Purchases Accounts payable (To record purchases of merchandise, term 2/10, n/30	1500	 1500

The purchases account, a nominal or temporary account, is used only for merchandise purchased for resale. Its sole purpose is to accumulate the total cost of merchandise purchased during an accounting period. Inspection of the purchase's account alone does not indicate whether the merchandise has been sold or is still on hand. Purchases of other assets such as equipment should be recorded in the appropriate fixed asset account.

4.1 Purchases Returns and Allowances: Under **IFRS**, when a company returns merchandise or receives an allowance for defective goods, the transaction is recorded in a **Purchases Returns and Allowances** account. This is a contra account, meaning it reduces the total purchases on the income statement.
The process is as follows:

- The company debits **Accounts Payable** or **Cash** and credits **Purchases Returns and Allowances**.
- This ensures that returns and allowances are separately tracked for management to assess the impact on inventory and purchasing practices.

The cost of returns includes non-recoverable expenses like ordering, accounting, freight, and interest on the invested funds. Excessive returns can highlight issues with supplier quality, ordering practices, or product suitability, prompting the company to reassess its procurement processes or find new suppliers.

This approach follows **IFRS 15 - Revenue from Contracts with Customers**, ensuring returns and allowances are accurately reflected in the financial records, allowing for better decision-making and cost control.

Date	Particulars	Dr.	Cr.
Nov. 14	Accounts payable Purchases returns & allowances Returns of damaged merchandise Purchased on November 12.	200	 200

4.2 Purchase Discounts

Merchandise purchases are usually made on credit and commonly involve purchase discounts for early payment. It is almost always worthwhile for the company to take a discount if offered. For example, the terms 2/10, n/30 offer a 2 percent discount for paying only twenty days early (the period including the eleventh and the thirtieth days). This is an effective interest rate of 36 percent (there are 18/twenty days/periods in a year) on a yearly basis. Most companies can borrow money for less than this rate. For this reason; management wants to know the amount of discounts, which is a separate account and is recorded as follows when the payment is made:

Date	Particulars		Dr.	Cr.
Nov. 22	Accounts payable		1300	
	Purchase discounts			26
	Cash.			1274
	(Paid the invoice of November 12)			
	Note:			
	Purchases November 12	1500		
	Less return 200			
	Net purchases 1300			
	Discount 2% 26			
	Cash paid 1274			

Like purchase returns and allowances, purchase discounts are a contra account that is deducted from purchases on the income statement. If a company can make only a partial payment on an invoice, most creditors will allow the company to take the discount applicable to the partial payment. The discount usually does not apply to freight, postage, or other charges that might appear on the invoice.

4.3 Freight In

In some industries, it is customary for the supplier (seller) to pay transportation costs, charging a higher price to include them. In other industries, it is customary for the purchaser to pay transportation charges on merchandise.

These charges, called freight-in or transportation-in, should logically be included as an addition to purchases, but as in the case of purchase discounts, they should be accumulated in the freight-in account so that management can monitor this cost. The entry for the purchaser is as follows:

Dare	Particulars	Dr.	Cr.
Nov. 12	Freight in	134	
	Cash (or Accounts payable)		134
	Freight charges incurred on merchandise purchased)		

In some cases, the supplier pays the freight charges but bills the buyer by including freight charges as separate items on the sale invoice. When this occurs the buyer should still record the purchases and the freight-in in separate accounts. For example, assume an invoice for the purchase of merchandise inventory totaling Rs.1890/- including the cost of merchandise of Rs.1600/_freight charges of Rs.290/- and terms of 2/10. n/30. The entry to record this transaction would be:

Date	Particulars	Dr.	Cr.
Nov. 12	Purchases	1600	
	Freight in	290	
	Accounts payable		1890
	Purchased merchandise for Rs. 1600/- included in the invoice were freight charges of Rs. 290/- and terms of 2/10, n/30		

If this invoice is paid within ten days, the purchase discount will be Rs.32/- (1600 x 2%) because the discount will not apply to the freight charges. It is important not to confuse freight-in costs with freight-out or delivery costs. If you, as seller agree to pay transportation charges on goods you have sold, this expense is a cost of selling merchandise; not a cost of purchasing merchandise.

4.4 Control of Purchase Discounts: Under **IFRS** and modern accounting practices, it's important for companies to capture the full financial impact of **purchase discounts** to aid decision-making and cash flow management. To properly account for missed discounts,

purchases should initially be recorded at the **net price** (after discount), not the gross price. This allows businesses to track both the discounts taken and those lost.

For example, if a company purchases goods on **November 12** for Rs. 1500 with terms **2/10, n/30** and returns Rs. 200 worth of goods on **November 14**, the amount owed would be adjusted. However, if payment is delayed until **December 12**, missing the discount period, the company needs to record the lost discount.
In this case:

- **Initial Purchase (Gross)**: Rs. 1500
- **Return**: Rs. 200
- **Adjusted Purchase Amount**: Rs. 1300
- **Lost Discount**: Rs. 1300 x 2% = Rs. 26 (debited to a **Lost Discount** account)

If the company pays by November 22 and uses the net method for recording purchases, it will make a payment of Rs. 1,274. Since purchases are recorded at net prices, there is no need for a purchase discount account. However, if the company makes the payment after the discount period, management will become aware of the missed discount by reviewing the discounts lost account. The amount of discounts lost will be reported as an operating expense on the income statement.
This process helps businesses understand and avoid **missed discount opportunities**, enhancing cash flow and financial control, in line with **IFRS 15 - Revenue from Contracts with Customers**. The entries to record these three transactions are as follows:

Date	Particulars	Dr.	Cr.
Nov. 12	Purchases	1470	
	Accounts payable		1470
	(To record purchases of merchandise at net Price term 2/10, n/30)		
Nov. 14	Accounts payable	196	
	Purchases returns and allowances		196
	(Return of damaged merchandise purchased on November 12)		
	Recorded at net price:		
	Rs.200-(0.2xRs.200)=Rs.196/-		
Dec. 22	Accounts payable	1274	
	Discounts lost (or discount expenditure)	26	
	Cash		1300

4.5 Inventory or Stock Losses: Under the periodic inventory method and IFRS, losses from spoilage, theft, or employee pilferage are automatically reflected in Cost of Goods Sold (COGS). This is because the physical count of inventory will not include the missing items, and the ending inventory is therefore understated. As a result, the COGS is overstated by the value of the lost inventory.

For instance, if a company lost Rs. 1250 due to theft or spoilage, the inventory count will exclude these items. When the physical inventory is subtracted from the goods available for sale, it results in a higher COGS than would be the case if all items were accounted for. The journal entry to record this loss would be:

Journal Entry:

	Dr.	Cr.
Inventory loss	1250	
Trading account		1250

This entry reflects the loss in inventory, ensuring that the **COGS** is correctly inflated to reflect the merchandise that is no longer available for sale. This aligns with the **IFRS** guidelines, which require the recognition of such losses in financial statements for transparency and accurate profit.

4.6 Handling Merchandise Inventory at the End of the Accounting Period

Under the periodic inventory system and IFRS, at the end of the accounting period, the balance of Merchandise Inventory reflects only the beginning inventory until adjusted. The steps for proper accounting include:

1. Removing the beginning balance from the Merchandise Inventory account.
2. Entering the ending inventory in the Merchandise Inventory account.
3. Calculating net income by adjusting the Profit & Loss (Income) statement, considering the changes in inventory and purchases. **For example**, Mahmood Trading Company would adjust its accounts to ensure the Cost of Goods Sold (COGS) is accurately reported by adding beginning inventory to net purchases and subtracting ending inventory, thus reflecting the correct net income in compliance with IFRS standards.

Merchandise Inventory Account

Date	Particulars	Dr. Rs.	Date	Particulars	Cr. Rs.
Jan. 1,20A	Opening inventory	52800	Dec. 31	Trading account	52800
Dec.31,20A	Trading account	48300	20-A		
			Dec. 31	Balance C/d	48300
		101100			101100
Jan.1, 20-B	Balance b/d	48300			

Trading account

for the year ending 31st December 20-A

		Rs.		Rs.
Opening inventory		52800	Sales 778000	
Purchases	532000		Less return 38000	
Less returns	32000		Net sales	740000
Net purchase		500000	Closing Inventory	48300
Gross Profit		235500		
Total		788300	Total	788300
			Gross Profit B/d	235500

Using the adjusting entry method, the following two journal entries arc prepared at the time the other adjusting entries are made. **Adjusting entries**

		Dr.	Cr.
Dec. 31	Trading account	52800	
	Merchandise inventory (opening) to remove beginning balance of merchandise inventory and transfer it to income summary.		52800
Dec. 3I	Merchandise inventory	48300	
	Trading account (Closing) to establish ending balance of merchandise inventory and deduct it from goods available for sale in income summary		48300

It would be clear from the above that closing stock is adjusted by debiting merchandise inventory account and crediting trading account. The effect of this entry would be that closing merchandise inventory balance would appear in the balance sheet as an asset whereas the credit balance would appear in the Trading account credit side below the amount of net sales for the year.

5. SUMMARY

A merchandising company earns profit by buying and selling merchandise, with its income statement consisting of three major parts: revenues from sales, cost of goods sold, and operating expenses. Revenues are calculated by subtracting sales returns, allowances, and discounts from gross sales. The cost of goods sold is determined by adding beginning inventory to net purchases and subtracting ending inventory. The inventory can be tracked using the perpetual or periodic method, with adjustments or closing entries made to reflect the beginning and ending inventory balances. The income statement is divided into sales, cost of goods sold, and operating expenses, including administrative, selling, and financial expenses. The net income is transferred to the capital account and shown on the balance sheet.

UNIT – 4

FIXED ASSETS AND DEPRECIATION

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CONTENTS

Sr. No.	Subject	Page No.
	Introduction	65
	Objectives	65
1.	**LONG LIFE ASSETS**	66
	1.1 Characteristics of Fixed Assets	66
	1.2 Determining the Cost of Fixed Assets	66
	1.3 Subsequent Costs Incurred on Fixed Assets	67
2.	**DEPRECIATION**	67
	2.1 Accounting for Depreciation	67
	2.2 Depreciation on Interim Statements	68
	2.3 Depreciation on Assets Purchased During Period	69
	2.4 Procedure in Pakistan	69
3.	**COMPUTING RATE OF DEPRECIATION**	69
	3.1 Estimating the Life of the Assets	69
	3.2 Methods of Computing Depreciation	70
	3.3 Accelerated Depreciation Methods	73
	3.4 Depletion Method	76
	3.5 Consistency in Use of Depreciation Method	76
4.	**SALE OF FIXED ASSETS**	77
	4.1 Gain or Loss on Sale of Plant Assets	77
	4.2 Plant Assets Sold during the Year	80
	4.3 Depreciation for the Year of Sale in Pakistan	81
	4.4 Gains and Losses on the Income Statements	81
5.	**RETIRING FIXED ASSETS**	81
	5.1 Retiring Fully Depreciated Assets	81
	5.2 Retiring Plant Assets at a Loss	81
6.	**EXCHANGING PLANT ASSETS**	82
	6.1 Gain on Exchange of Plant Assets	82
	6.2 Loss on Exchange of Plant Assets	83
	6.3 Plant Assets on the Balance Sheet	84

INTRODUCTION

You have already been acquainted with two categories of assets, VIZ fixed assets and current assets. Fixed assets or plant assets are long-life assets. Their useful life is expected to last for more than one year. These long-life assets consist of both tangible assets, having physical existence as well as intangible assets, having no physical existence that we can see or touch. Instead, they represent exclusive privileges and rights to the owners. When a company purchases a long-life asset, the asset is usually recorded at cost. As the company receives benefits from the asset, the cost is transferred from an asset account to an expense account called depreciation.

OBJECTIVES

After studying this unit, you should be able to:

1. Recognize the characteristics of fixed assets and the methods of working at initial costs of their acquisition.
2. Understand various methods of calculating depreciation.
3. Apply the concept of capital and revenue expenditures for fixed asset.

1. LONG-LIFE ASSETS

Long-life assets are grouped under various headings in balance sheet presentations. The term fixed assets or plant assets are frequently used for tangible productive assets that are used over a number of years in the operations of an entity. Tangible assets are properties that have physical substance, in other words, assets that can be seen and touched. On the other hand, intangible assets are property rights, which have value but no physical substance. Patents, copyrights, goodwill, etc., are examples of intangible assets.

Furniture, equipment, machinery, buildings, and the land they are located are usually included under the main heading "Fixed Assets."

1.1 Characteristics of Fixed Assets

Fixed assets, also known as plant assets, refer to tangible productive assets used in the operations of a business over multiple years. The key characteristics required for an asset to be classified as fixed are:

i. **Tangible Nature**: The asset must have a physical form, meaning it can be seen and touched.
ii. **Long Life**: The asset is expected to last for more than one year.
iii. **Operational Use**: The asset is used in the business's daily operations.
iv. **Not Held for Resale**: The asset is not intended for normal resale in the ordinary course of business.

A significant factor in determining whether an asset qualifies as a fixed asset is its intended use in operations. For example, a truck used by a distributor is a fixed asset, whereas the same truck held by an automobile dealer for resale is classified as inventory. Similarly, a typewriter used by a law firm is a fixed asset (office equipment), but it is inventory for an office supply company.

1.2 Determining the Cost of Fixed Assets: Under IFRS, fixed assets should be recorded at cost, which includes all expenditures incurred to acquire the asset and make it ready for use. The cost of a plant asset comprises:

i. **Purchase Price**: The net purchase price, excluding any cash discounts.
ii. **Direct Costs**: This includes delivery charges, installation fees, and sales taxes.
iii. **Insurance and Taxes**: Insurance costs incurred during transit and any import duties or non-refundable taxes.
iv. **Site Preparation and Installation**: Any costs necessary to bring the asset into operational condition, such as assembling machinery or preparing land.
v. **Construction Costs (if applicable)**: When an asset is constructed, the cost includes:
    - Construction expenses,
    - Architect’s fees,
    - Insurance during construction,
    - Interest on borrowed funds used for construction,
    - Any additional costs required to prepare the asset for use.

1.3 Subsequent Costs Incurred on Fixed Assets: Subsequent expenditures on fixed assets should be classified based on their impact:

i. **Capital Expenditures**: If a cost increases the asset's efficiency, extends its useful life, or enhances its value for multiple accounting periods, it should be capitalized. For example, installing a new engine in a delivery truck should be recorded as an addition to the asset's cost.

ii. **Revenue Expenditures**: If a cost only benefits the current accounting period, it should be recorded as an expense. For example, a routine tune-up of the truck's engine should be debited to repair and maintenance expenses.

2. DEPRECIATION (IFRS)

Under IFRS, depreciation is the systematic allocation of the depreciable amount of an asset over its useful life. The depreciable amount is the cost of an asset, or other amount substituted for cost, less its residual value. Depreciation methods should reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

2.1 Accounting for Depreciation

When a plant asset is acquired, the asset account is debited and the cash account payable is credited. For example, assume that a microcomputer (office equipment) was purchased at a cost of Rs.38000/-. The following entry in general journal form, is required:

General Journal

Date	Particulars	Dr.	Cr.
Jan. 2	Office equipment Cash (To record purchase of office equipment)	38000	38000

Depreciation of this computer is recorded by the use of an adjusting entry at the end of the period debiting, "Depreciation, Office Equipment" and crediting "Accumulated Depreciation - Office Equipment". If it was estimated that the depreciation charge for the computer is Rs.6000 per year, the adjusting entry would be as under.

Date	Particulars	Dr.	Cr.
Dec. 31	Dep. Exp. Office equipment Accum. Dep. Office equipment (To record depreciation for the ear)	6000	6000

"Depreciation Expense---Office Equipment" is shown in the income statement as an operating expense. However, the other accounting; "Accumulated Depreciation-Office Equipment" is shown on the balance sheet as a contra account, subtracted from office equipment in the fixed asset section. Fixed assets are shown as a major caption on the balance sheet below current assets. The office equipment and accumulated depreciation would appear as follows:

Assets side

Total current assets		86000
Plant assets:		
Office equipment	38000	

Less accumulated depreciation	6000	32000

The original cost of the asset less accumulated deprecation represents the un-expired cost of the asset and is called the book value or written down value of the relevant asset. The book value of the office equipment above is Rs.32000/-.

2.2 Depreciation on Interim Statements

In the preceding example, the adjustment for depreciation was made at the end of the year. If the business prepares interim statements, it is necessary to record depreciation for the period covered by the statement. Assume that the company prepares interim financial statements on a quarterly basis. The adjusting entry at the end of March will be for three months, (one-fourth of a year) i.e. Rs. 1500/- of Rs. 6000/-. The adjustment is recorded in the general as follows:

March	Depreciation exp. - Office equipment.	1500	
31	Accum. Depreciation-office equipment		1500
	(To record depreciation for the January to		
	March quarter)		

In the quarterly financial statements, the Office equipment is shown on the balance sheet at March 31, as follows:

Plant assets:		
Office equipment	38000	
Less accumulated depreciation	1500	36500

Since the interim statements are prepared quarterly, the Rs. 1500 adjustment for the depreciation will also be made at the quarter end, viz on June 30, September 30, and December 31. After the adjusting entries and the closing entry have been made for the year, the office equipment, accumulated depreciation---office equipment, and depreciation expense---office equipment accounts will appear as follows:

Account office equipment account No.24

					Balance	
Date	Item	PR	Debit	Credit	Debit	Credit
Jun.2		J-6	38000		38000	

Account Accumulated Depreciation - Office Equipment Account No. 24

Balance asd						
Date	Item	PR	Debit	Credit	Debit	Credit
Mar.31	Adjusting	J-11	-	1500	-	1500
Jun.30	Adjusting	J-16	-	1500	-	3000
Sep.30	Adjusting	J-22	-	1500	-	4500
Dec.31	Adjusting	J-29	-	1500	-	6000
Dec.31	Closing	J-30	-	-	6000	-

Many businesses make adjusting entries for interim statements only on the worksheet. If that were the case in the preceding example, there would be only one adjusting entry for Rs.6000/- recorded in the ledger accounts.

2.3 Depreciation on Asset Purchased during Period: When a plant asset is purchased during the period, depreciation at the end of the first year will be computed for the fraction of the year the asset is used. For example, if the office equipment in the preceding example had been purchased on 1st November the adjusting entry on 31st December of the first year would be for Rs.1000 (2/12x6000) as follows:

Date	Particulars	Debit	Credit
Dec. 31	Depreciation Exp. Office equipment	1000	
	Accumulated dep. Office equipment		1000
	(To record depreciation for 2 months)		

The book value of the equipment at the end of the first year would then be Rs.37000 (38000-1000).

2.4 Procedure in Pakistan: Depreciation Procedure in Pakistan Under IFRS, depreciation is charged based on the asset's useful life and expected consumption of economic benefits. However, in Pakistan, full depreciation is charged for the year in which an asset is purchased, regardless of the purchase date. Conversely, no depreciation is charged in the year an asset is sold or disposed of, which differs from IFRS guidelines requiring depreciation to be recorded up to the disposal date.

Example 01: The accounts of XYZ Co. are closed on 31st December annually. A truck was purchased for Rs.500000 on 13th October. The annual depreciation is Rs. 40000. Record journal entry for the depreciation.

Solution: The Journal entry would be:

Particulars	Debit	Credit
Depreciation (truck Account)	40,000	
Accumulated depreciation-truck		40,000
(To record truck depreciation at full rate during the year of purchase)		

3. COMPUTING RATE OF DEPRECIATION

Depreciation expense is calculated by allocating the depreciable amount of an asset over its estimated useful life. The depreciable amount is the original cost of the asset minus its salvage value. The salvage value, also known as residual value, scrap value, or trade-in value, represents the expected amount realizable when the asset is disposed of. For example, if a fixed asset is purchased for Rs.38,000 and has an estimated salvage value of Rs.8,000, the depreciable cost is Rs.30,000 (Rs.38,000 – Rs.8,000).

3.1 Estimating the Life of the Asset: A key factor in determining depreciation is estimating the useful life of the asset, which may be expressed in years or units of service. For example, a delivery vehicle with an estimated useful life of 60,000 miles can have depreciation allocated per mile. Similarly, if the asset has an expected life of five years and provides similar service each year, the depreciable cost should be equally allocated over the five years. The estimation of useful life is based on past company experience, government or industry statistics, or professional appraisals. Other factors, such as technological obsolescence or business growth, may also affect the asset's lifespan.

3.2 Methods of Computing Depreciation (IFRS)

IFRS allows multiple depreciation methods to reflect how the asset's economic benefits are consumed. The three most commonly used methods are:

1. **Straight-Line Method**: The asset's depreciable cost is allocated evenly over its useful life. It is commonly used for assets that provide equal service throughout their life, such as buildings.
2. **Units-of-Production Method**: Depreciation is based on actual usage or production output, making it suitable for assets where wear and tear depend on usage, like machinery.
3. **Declining-Balance Method**: A higher depreciation expense is charged in the earlier years, which is useful for assets that lose value more quickly, such as computers or vehicles.

To illustrate the straight-line method, assume that an item of equipment is purchased for Rs.6500. The equipment has an estimated salvage value of Rs.500 and an estimated useful life of 5 years. The depreciable cost of the asset is Rs.6000 (Rs.6500 - Rs.500). The annual depreciation would be R.s.1200, computed as follows:

$$\frac{\text{Rs.6500 - Rs.500}}{\text{5 years}} = \frac{\text{Rs.6000}}{\text{5 years}} = \text{Rs.1200 per year}$$

Based on the five-year life, the depreciation rate would be 1/5 per year or 20% of the depreciable cost. You should carefully study the schedule showing the cost of the asset, depreciable cost, depreciation expense, accumulated depreciation, and book value which is given below. The entries in the table presume that the straight-line rate of 20% was applied each year to the depreciable cost of Rs.6000.

If the equipment is used for five years, the book value at the end of the fifth year will be Rs.500 which is the estimated salvage value because this is the amount that is expected to be received when the asset is disposed off.

Year	Cost Rs.	Dep. Cost Rs.	Dep. Exp. Rs.	Accum. Dep. End of year	Book value end of year
I.	6500	6000	1200	1200	5300
2.	6500	6000	1200	2400	4100
3.	6500	6000	1200	3600	2900
4.	6500	6000	1200	4800	1700
5.	6500	6000	1200	6000	500

The principal advantage of the straight-line method of depreciation is its simplicity. When assets are equally useful from period to period, this method provides a reasonable allocation of costs for each period.

Example 02

Machinery cost	Rs. 1000,000
Estimated life of machinery	5 years
Residual value	Rs. 100,000

Depreciable cost of assets (Rs.1000, 000 - Rs.100, 000) Rs. 900,000

You are required to prepare the schedule for depreciation expense using the Straight-line method:

Solution:

Year	Cost Rs.	Dep. Cost Rs.	Depreciation Rate Per year (w-1)	Dep. Exp. Rs. (w-2)	Accum. Dep. End of year (w-3)	Book value End of year (w-4)
1.	1000,000	900,000	20%	180,000	180,000	820,000
2.	1000,000	900,000	20%	180,000	360,000	640000
3.	1000,000	900,000	20%	180,000	540,000	460,000
4.	1000,000	900,000	20%	180,000	720,000	280,000
5.	1000,000	900,000	20%	180,000	900,000	100,000

Working -1 For depreciation rate

1/5 × 100 = 20%

Working -2 m For Depreciation Exp (1st to 5th year) fixed depreciation method

= Cost – Residual value ÷ no. of years

= Rs. 1000,000 - 100,000 ÷ 5 = 180,000 per year

Depreciable cost × rate of depreciation = Depreciation Exp

900,000 × 20% = 180,000

Working -3 Accumulated Dep. End of year (1st to 5th year)

Current year Dep. + Pervious Year Dep. = Accumulated Dep. End of year

180,000 + 0 = 180,000

180,000 + 180,000 = 360,000

180,000 + 360,000 = 540,000

180,000 + 540,000 = 720,000

180,000 + 720,000 = 900,000

Working -4 Book value End of year: (1st to 5th year)

Cost of machinery - Dep. Exp. = Book Value

1000,000 - 180,000= 820,000

820,000 - 180,000= 640,000

640,000 - 180,000 = 460,000

460,000 - 180,000= 280,000

280,000 - 180,000= 100,000

3.2.2 Units-of-Production Method: The units-of-production method of depreciation allocates the depreciable cost to the estimated number of units to be produced by the asset. For example, assume that the equipment previously mentioned will produce 120000 units during its useful life. The depreciable cost of Rs.6000 (Rs.6500 - Rs.500) is divided by the estimated number of units to be produced, 120,000 to yield depreciation cost per unit of Rs.05:

Rs.6000 /120000 units = Rs.05 per unit

If the machine produced 30000 units during the first year of operation, the adjustment for depreciation expense at the end of the year would be Rs.1500 (30000 x Rs.05).

Assuming that the units produced during the second through the fifth year are 26000, 23000, 21000, and 20000 respectively, the schedule for depreciation expense, accumulated depreciation, and book value using the units-of-production method, is shown in the following table:

Year	Cost Rs.	Dep. Cost Rs.	Unit Prods. Rs.	Dep. Rate Per Unit	Dep. Exp. Rs.	Accum. Dep. End of year	Book value end of year
I.	6500	6000	30000	.05	1500	1500	5000
2.	6500	6000	26000	.05	1300	2800	3700
3.	6500	6000	23000	.05	1150	3950	2550
4.	6500	6000	21000	.05	1050	5000	1500
5.	6500	6000	20000	.05	1000	6000	500

The units-of-production method is advantageous when the use of a plant asset varies widely from period to period. This method is frequently used for recording depreciation on vehicles and is based on the number of miles driven.

Example 03: On 1st January, 2011 Mr. Noman purchased Machinery for Rs. 39,000. The machine has an estimated salvage value of Rs. 3,000 and an estimated useful life of 5 years. The depreciable cost of the asset is Rs. 36,000 (39,000-3,000). The machine will produce 720,000 units during its useful life. The units produced first through fifth year are 180,000 units, 156,000 units, 138,000 units, 126,000 units and 120,000 respectively.

You are required to prepare the Depreciation schedule using the units of production method: Solution:

Year	Cost Rs.	Dep. Cost Rs.	Units Prods.	Dep. Rate per Unit (w-1)	Dep. Exp. Rs. (w-2)	Accum. Dep. End of year (w-3)	Book value End of year (w-4)
31st Dec. 2011.	39, 000	36,000	180,000	0.05	9,000	9,000	30,000
2012.	39, 000	36,000	156,000	0.05	7,800	16,800	22,200
2013.	39, 000	36,000	138,000	0.05	6,900	23,700	15,300
2014.	39, 000	36,000	126,000	0.05	6,300	30,000	9,000
2015.	39, 000	36,000	120,000	0.05	6,000	36,000	3,000

Working: 1 : Dep. Rate per unit = Depreciable cost ÷ No. of production units

0.0 5 = 36,000 ÷ 720,000

Depreciable cost = Cost of Equipment – Residual Value

36,000 = 39,000 - 3,000

Working: 2

Depreciation Exp. 31st Dec, 2011 to 2015

Units Prods. × Dep. Rate per = Depreciation Exp

180,000 × 0.05 = 9,000

156,000 × 0.05 = 7,800

138,000 × 0.05 = 6,900

126,000× 0.05 = 6,300

120,000× 0.05 = 6,000

Working: 3Accumulated Dep. End of year: 31st Dec, 2011 to 2015					
Current year Dep.	**+**	**Pervious Year Dep.**	**=**	**Accumulated Dep. End of year**	
9,000	+	0	=	9,000	
7,800	+	9,000	=	16,800	
6,900	+	16,800	=	23,700	
6,300	+	23,700	=	30,000	
6,000	+	30,000	=	36,000	
Working: 4 Book value End of year: 31st Dec 2011 to 2015					
Cost of machinery	-	Dep. Exp.	=	Book Value	
39,000	-	9,000	=	30,000	
30,000	-	7,800	=	22,200	
22200	-	6,900	=	15,300	
15,300	-	6,300	=	9,000	
9,000	-	6,000	=	3,000	

3.3 Accelerated Depreciation Method addresses the following concepts:

1. **Larger Depreciation in Early Years:** The method charges higher depreciation expenses during the asset's early years, which then decreases progressively in later years.
2. **Reason for Use:** This method is used for assets that require increasing maintenance and repair costs as they age, balancing depreciation and maintenance costs over time.
3. **Tax Advantage:** By accelerating depreciation, businesses can report lower taxable income in the early years, resulting in reduced taxes. Later, depreciation expenses decrease, increasing taxable income**.**
4. **Declining Balance Method:** The most common application is the declining-balance method, where the depreciation rate is typically double the straight-line rate, applied to the asset's remaining book value each year.
5. **Ignoring Salvage Value:** The declining-balance method does not account for salvage value when calculating depreciation**.**
6. **Depreciation Applied to Book Value:** The depreciation rate is applied to the asset's remaining book value, not its original cost, which reduces the depreciation expense each year.
7. **IFRS Compliance:** This method complies with IFRS (International Financial Reporting Standards), which governs the reporting of depreciation for tax and financial accounting purposes.

There are several different ways to apply this method, but the most commonly used one is to double the straight-line rate and multiply that rate by the declining book value of the asset. **For example**, if the estimated life of an item of equipment was 5 years, the straight-line rate of depreciation would be 1/5 year or 20%. The declining balance rate of depreciation would, therefore, be 2/5, or 40% per year, or twice the straight-line rate.

There are two important points to be noted about the declining balance method: (1) this is the only method of depreciation that does not consider the salvage value when computing depreciation, and (2) the rate of depreciation determined (40% in the example) is applied to the asset's remaining book value or written down value at the end of the earlier year.

Using the same Rs.6,500 asset from the preceding illustration, the schedule of depreciation for the declining-balance method is shown below:

Year	Cost	Dep. Cost	Dep. Exp.	Accum. Dep. End of year	Book value end of year
I.	6500	40%	2600.00	2600.00	3900.00
2.	6500	40%	1560.00	4160.00	2340.00
3.	6500	40%	936.00	5096.00	1404.00
4.	6500	40%	561.60	5657.60	842.40
5.	6500	40%	336.96	5994.56	505.44

The depreciation rate, 40% is applied to the cost, Rs.6500, in the first year to determine the depreciation expense of Rs.2600. Note that the cost of Rs.6500 is also the first year's book value until depreciation is recorded at the end of the year. In the second and all following years the 40% rate is applied to the book value as of the end of the preceding year. For example, in the second year, the 40% rate was applied to the book value at the end of the first year, Rs.3900; therefore, the depreciation computed was Rs.1560 (Rs.3900 x 40%).

Although the salvage value of the asset is not considered in computing the annual depreciation for the declining-balance method, the asset should not be depreciated below the estimated salvage value.

Example 04: A firm purchased machinery for Rs. 250,000 on January 1st 2012. It purchased additional machinery for Rs. 222,500 and spent Rs. 22,500 on 1st Jan 2014. The firm financial year closed on 31st December every year. Depreciation is charged @ 10% p.a on Reducing Balance Method.

Required: Prepare machinery account for 5 year

Solution: **Machinery Account**

Dr. **Cr.**

Date	Reference	Rs.	Date	Reference	Rs.
2012 Jan.1	Cash account	250,000	2012 Dec.31	Depreciation account	25,000
			Dec.31	Balance c/d	225,000
		250,000			250,000
2013 Jan.1	Balance b/d	225,000	2013 Dec.31	Depreciation a/c	22,500
			Dec.31	Balance c/d	202,500
		470,000			470,000
2014 Jan.1	Balance b/d	202,500	2014 Dec.31	Depreciation a/c	44,750
Jan.1	Cash account (222,500+22500)	245,000	Dec.31	Balance c/d	402,750
		447,500			447,500
2015 Jan.1	Balance b/d	402,750	2015 Dec.31		40,275

			Dec.31	Depreciation a/c	364,475
		402,750		Balance c/d	402,750
2015 Jan.1	Balance b/d	364,475			

Working:

1. Depreciation for 31st December 2012.
   Rate 10%
   Machinery cost Rs. 250,000 *10/100 = 25,000
2. Depreciation for 31st December 2013.
   Rate 10%
   Machinery cost Rs. 225,000 *10/100 = 22,500
3. Depreciation for 31st December 2014.
   Rate 10%
   1st Machinery cost Rs. 202,500*10/100 = 20,250
   2nd Machinery cost Rs. 245,000*10/100 = 24,500
   Total machinery = 44,750
4. Depreciation for 31st December 2015.
   Rate 10%
   Machinery cost Rs. 402750*10/100 = 40,275
   Total machinery – Total depreciation = **Balance**
   495000 - 132,525 = **364,475**

Example 05: Mr. Ali purchased A Truck for Rs.500, 000 and the depreciation rate is 10% p.a. ***You are required to prepare the Depreciation schedule using Diminishing Balance Method***

Solution:

Year	Cost Rs.	Dep. Rate p. a	Dep. Exp. Rs. (W-1)	Accumulated Dep. End of year (W-2)	Book value End of year (W-3)
1.	500, 000	10%	50,000	50,000	450,000
2.	500, 000	10%	45,000	95,000	405,000
3.	500, 000	10%	40,500	135,500	364,500
4.	500, 000	10%	36,450	171,950	328,050
5.	500, 000	10%	32,805	204,755	295,245

Working: 1: For Depreciation Exp (1st to 5th year) under reducing balance method

1st-year Depreciation Exp=

Truck cost	×	rate of depreciation	=	Depreciation Exp
500,000	×	10%	=	50,000

2nd year Depreciation Exp =

Book value **or** Balance b/d of 2nd year	× rate of depreciation	=	Depreciation Exp.	
450,000	× 10%	=	45,000	
3rd year Depreciation Exp =				
Book value **or** Balance b/d of 3rd year	× rate of depreciation	=	Depreciation Exp.	
405,000	× 10%	=	40,500	
4th year Depreciation Exp =				
Book value **or** Balance b/d of 4th year	× rate of depreciation	=	Depreciation Exp.	
364,500	× 10%	=	36,450	
5th year Depreciation Exp =				
Book value **or** Balance b/d of 5th year	× rate of depreciation	=	Depreciation Exp.	
328,050	× 10%	=	32,805	

Working: 2: Accumulated Dep. End of year: (1st to 5th year)

Current year Dep.	+	**Pervious Year Dep.**	=	**Accumulated Dep. End**
50,000	+	0	=	50,000
45,000	+	50,000	=	95,000
40,500	+	95,000	=	135,500
36,450	+	135,500	=	171,950
32,*805*	+	*171,950*	=	*204,755*

Working: 3 (1st to 5th year): Book value End of year:

Truck cost	–	Accumulated Dep. Exp	=	Book Value		
500,000	–	50,000	=	450,000		
Balance b/d 2nd year	450,000	–	45,000	=	405,000	
Balance b/d 3rd year	405,000	–	40,500	=	364,500	
Balance b/d 4th year	364,500	–	36,450	=	328,050	
Balance b/d 5th year	328,050	–	32,805	=	295,245	

3.4 Depletion method: This method is used for natural resources and wasting assets like mines, quarries. These wasting assets do not depreciate, but "deplete" gradually as a result of their periodical consumption.

Example 06: A mine is acquired for Rs.1000000 it is estimated that 250000 tons of coal will be extracted over its life. Therefore, the rate of depletion would be Rs.1000000 / 250000 = Rs.4 per ton. Suppose in 20-A, 20000 tons of coal were extracted from the mine.

The journal entry would be:

Particulars	Debit	Credit
Depletion expenses	80000	
Accumulated depletion		80000

3.5 Consistency in Use of Depreciation Method: The standard accounting methods require that when a company or firm uses a particular method of depreciation it must be used consistently. The company or firm should not change that method frequently. For example, if XYZ Company is using a straight-line method of depreciation in 20-A, it should not start using a declining balance method in 20-B or subsequent years. If in

exceptional cases a company wants to change its existing method, it should change it for previous years also. It must however be noted that it would upset the profit or losses of earlier years, which is not desirable and may put the company in a very awkward position.

4 SALE OF FIXED ASSETS

When an asset is disposed of, the first step is to update the depreciation. When a plant asset is sold, this procedure is necessary in order to determine the book value of the asset at the date of sale. The next step is to record the cash received and write the asset off the books. This entry requires debits to cash and accumulated depreciation and a credit to the asset account for its original cost.

Any difference between the amount received for the asset and its book value is recognized as a gain or loss from the sale. For example, assume that store equipment purchased January 2, 20-A for Rs. 2400 is being depreciated at the rate of Rs. 300 per year. The equipment is sold for Rs. 900 on January 2, 20-F, the beginning of the sixth year. The store equipment and accumulated depreciation accounts at the end of the fifth year immediately prior to the sale would appear as follows: **Account store equipment Account No.23**

					Balance	
Date	**Item**	**PR**	**Debit**	**Credit**	**Debit**	**Credit**
Jan 2 20-A	Store equipment	P-6	2400	-	2400	-

Account accumulated depreciation store equipment Account No.23.1

				Balance	
Date Item	**PR**	**Debit**	**Credit**	**Debit**	**Credit**
Dec. 31,20-A Adjusting	J-14	-	300	-	300
Dec. 31,20-B Adjusting	J-26	-	300	-	600
Dec. 31,20-C Adjusting	J-33	-	300	-	900
Dec. 31,20-D Adjusting	J-39	-	300	-	1200
Dec. 31,20-E Adjusting	J-43	-	300	-	1500

The book value or written-down value of the store equipment at the date of sale is Rs.900 (Rs.2400 cost –Rs.1500 accumulated depreciation). Since the equipment is sold for Rs.900, an amount equal to its book value, there is no gain or loss on the sale. The entry, in general journal form, to record the sale is:

Jan. 2	Cash Accumulated depreciation (Store equipment)	900 1500	 2400

4.1 Gain or Loss on Sale of Plant Assets: When any fixed or plant asset is sold, the amount realized from the sale is seldom equal to the book value of the asset. If the cash received is greater than the book value, a profit is realized on the sale. This profit is called gain on the sale of plant assets. If the cash received is less than the book value of the asset, a loss is realized on the sale. This loss is called loss on the sale of plant assets. The gain or

loss must be properly identified in the accounts, for example, a "Gain on sale of Machinery" or "Loss on Sale of Store Equipment".
If the equipment in the preceding example had been sold for 700, there would be a loss of Rs.200 on the sale (900 book value-700 selling price). This transaction would be recorded as follows:

Date	Particulars	Debit	Credit
Jan. 2	Cash	700	
	Accumulated depreciation	1500	
	Loss on sale of store equipment	200	
	Store equipment		2400

If the equipment had been sold for Rs.1150, there would be a gain of Rs.250 on the sale (Rs.1150 selling price-Rs.900 book value). This transaction would be recorded as follows:

Jan. 2	Cash	1150	
	Accumulated dep. Store equipment	1500	
	Store equipment		2400
	Gain on sale of store equipment		250

Example 07: A firm whose Accounting year is calendar year, purchased on 1st April 2013 machinery costing Rs. 150,000. It purchased further machinery on 1st Oct 2013 costing Rs. 100,000, and on 1st July 2014, costing Rs. 50,000. On 1st January 2015, machinery installed on 1st April 2013 became obsolete and was sold for Rs. 45,000.

Show how the machinery Account would appear in the books of the company, if the machinery was depreciated by fixed installment method @ 10% p.a. What would be the balance of the machinery Account on 1st January 2016?

Solution:

Dr. Machinery Account Cr

Date	Reference	Rs.	Date	Reference	Rs.
2013			2013		
Apri1	Bank A/c	150,000	Dec.31	Dep. A/c (w-1)	13,750
Oct. 1	Bank A/c	100,000	Dec.31	Balance c/d	236,250
		250,000			250,000
2014			2014		
Jan.1	Balance b/d	236,250	Dec.31	Dep. A/c (w-2)	27,500
July	Bank A/c	50,000	Dec.31	Balance c/d	258,750
		286,250			286,250
2015			2015		
Jan.1	Balance b/d	258,750	Jan.1	Bank A/c	45,000
			Jan.1	Pr. and Los. A/c	78,750
			Dec.31	Depreciation A/c	15,000
			Dec.31	Balance c/d	120,000
		258,750			**258,750**

2016 Jan.1		120,000			

Working

1. Depreciation for 31st December 2013.
   Rate 10%
   Depreciation on 150,000 for 9 months: 150,000*10/100*9/12 = Rs.11,250
   Depreciation on 100, 000 for 3 months: 100,000* 10/100*3/12 = Rs. 2,500
   Total depreciation for 2013 Rs. 13,750
2. Depreciation for 31st December, 2014.
   Rate 10%
   Depreciation in 250,000 for full year: 250,000*10/100 = 25,000
   Depreciation on 50,000 for 6 months: 50,000*10/100*6/12 = 2,500
   Total depreciation for 2014 Rs. 27,500
3. Cost of Machinery sold:

		Rs.
Machinery installed on 1st April 2013		150,000
Book value of machine on 1st January 2015:		
Less Depreciation for 9 months	Rs.11,250	
Less Depreciation for full-year	Rs.15,000	-26,250
		Rs.123,750
Sales proceed		45,000
Loss on sale of machinery:		**Rs. 78,750**

Depreciation for 31st December, 2015:
Depreciation on 150,000 for full year: 150,000*10/100 = 15,000

Example 08: On 1st July 2011, Mr. Naeem purchased a second–hand Truck for Rs. 200,000. On 30th 2014, the machinery was disposed off for a sum of Rs. 68,000. Assuming the books are closed on 31st December each year and taking the rate of depreciation @ 10% on reducing balance method. **Required:**

Prepare Truck account

Truck Account

Dr. **Cr.**

Date	Reference	Rs.	Date	Reference	Rs.
2011			2011		
July 1	Cash a/c	200,000	Dec31	Dep. A/c(w-1)	10,000
				Balance c/d	190,000
		200,000			200,000
2012			2012		
Jan.1	Balance b/d	190,000	Dec31	Dep. A/c (w-2)	19,000
				Balance c/d	171,000
		190,000			190,000
2013			2013		

Jan.1	Balance b/d	171,000	Dec31	Dep. A/c (w-3)	17,100
				Balance c/d	153,900
		171,000			171,000
2014			2014		
Jan.1	Balance b/d	153,900	Dec.31	Dep. A/c (w-4)	7,695
				Bank a/c	136,000
				Profit and loss A/c	10,205
		153,900		(loss written off)	153,900
2015					
Jan.1	Balance b/d				

Working:

1. Depreciation for 31st December 2011.
   Rate 10%
   Depreciation on 200,000 for 6 months: 200,000*10/100*6/12 = 10,000
2. Depreciation for 31st December, 2012.
   Rate 10%
   Depreciation on190, 000 for 12 months: 190,000*10/100= 19,000
3. Depreciation for 31st December 2013.
   Rate 10%
   Depreciation on 171,000 for 12 months: 200,000×10÷100= 17,100
4. Depreciation for 31st December 2014.
   Rate 10%
   Depreciation on 153,900 for 6 months: 153,900×10 ÷ 100 ÷ 6×12 = 7,695
   (153,900-7695 =
   Book value of Truck 1st July 2014 Rs. 146,205
   The truck was Disposed off Rs. 136,000
   Rs. 10,205

4.2 Plant Assets Sold during the Year: Because the equipment was sold at the beginning of the period and the depreciation had been recorded at the end of the previous year, there was no entry required to update the accumulated depreciation. Assume, however, that the store equipment is sold on 1st July 20-F for Rs. 900. An adjusting entry is required to record the depreciation of the asset from 1st January 20-F to 1st July 20-F. The depreciation to be recorded for the six-month period at an annual rate of Rs. 300 is Rs. 150.

Date	Particulars	Debit	Credit
July 1,20-F	Depreciation exp. Store equipment	150	
	Accum. Dep. Store equipment		150
	(to record depreciation for 6 months)		

Accumulated depreciation-store equipment now has a balance of. 1650. The book value of the equipment is 750 (2400-1650); therefore, there is a gain on the sale of 150.

Account - Accumulated Depreciation - Store Equipment

					Balance	
Date	Item	PR	Debit	Credit	Debit	Credit

Dec. 31,20-A	Adjusting	J-14	-	300	-	300
Dec. 31,20-B	Adjusting	J-26	-	300	-	600
Dec. 3.1,20-C	Adjusting	J-33	-	300	-	900
Dec. 31,20-D	Adjusting	J-39	-	300	-	1200
Dec. 31,20-E	Adjusting	J-43	-	300	-	1500
July 1,20-F	Adjusting	J-46	-	150	-	1650

An entry to record the sale would be:

Date	Particulars	Debit	Credit
	Cash	900	
	Accumulated depreciation – store equip	1650	
	Store equipment		2400
	Gain on sale of store equipment		150

4.3 Depreciation for the Year of Sale in Pakistan; The procedure described above is prevalent in America. In Pakistan, the procedure is simple. We have already stated in the paragraphs above that full depreciation -is charged for the year of purchase irrespective of the date of purchase. On the sale of any item of fixed asset, no depreciation is charged for the year of sale. This makes depreciation accounting very simple.

4.4 Gains and Losses on the Income Statement: Gain and losses on the disposal of plant assets are not considered part of' the normal operations of the business. They are therefore shown on the income statement as separate items below "Income from operation".

Income from operations		12500
Other income and expense:		
Gain on sale of machinery	430	
Loss on sale of equipment	180	20
Net income		12750

5. RETIRING FIXED ASSETS

If a plant asset is no longer useful, it should be disposed off even though the asset has not been depreciated fully. If the asset cannot be sold, it should be retired.

5.1 Retiring Fully Depreciated Asset: If a plant asset that has been fully depreciated is retired, there will be no gain or loss on its disposal. For example, if a machine that costs Rs.2200 with no estimated salvage value is retired after it has been fully depreciated, the following journal entry will be required:

		Debit	Credit
Jan. 4	Accumulated Depreciation-machine	2200	
	Machinery		2200
	(To write off machinery retired)		

5.2 Retiring Plant Assets at a Loss: If a plant asset is retired before it is fully depreciated and no salvage is realized the asset is retired at a loss, for example, a typewriter that cost Rs.500 on January 2 is being depreciated at Rs.50 per year. If the typewriter is

retired on June 30 of the eight-year of its life, the accumulated depreciation total for the first seven-year would be Rs.350 (7 years X Rs.50). The office equipment and accumulated depreciation-office equipment accounts at the end of seven years will appear as follows:

Office Equipment Account

					Balance	
Date	Item	PR	Debit	Credit	Debit	Credit
Jan. 2,20,-A	-	-	500	-	500	

Accumulated Depreciation Account – office equipment

					Balance	
Date	Item	PR	Debit	Credit	Debit	Credit
Dec.31,20-A	Adjusting	-	-	50		50

The book value of the typewriter at June 30 is 125 (500 cost - 375 accumulated depreciation). If the machine is retired on this date, a loss of 125 is recognized. The entry to record the retirement of the asset is:

		Debit	Credit
June 30	Acc. Dep. office equipment	375	
	Loss on retirement of office equipment	125	
	Office equipment		500
	(To write off equipment retired)		

Plant assets that have been fully depreciated but are still being used should not be written off. As long as the assets are being used, the cost and depreciation should continue to be shown in the ledger.

6. EXCHANGING PLANT ASSETS

When equipment or machinery becomes worn, it is often traded in for new equipment or machinery of a similar nature. The buyer will normally be given a trade-in allowance on the old asset, which is deducted from the price of the new asset. The difference between the price of the new asset and the trade-in allowance is payable at the time of the transaction or as specified in the purchase agreement. When the trade-in allowance is more than the book value of the asset, there is a gain on the exchange when the trade-in allowance is less than the book value; there is a loss on the exchange.

6.1 Gain on Exchange of Plant Assets: Recent accounting pronouncements require that the gain or loss on the exchange of plant assets be determined by the difference in the book value and fair market value of the asset being exchanged. All examples in this unit will assume that the trade-in allowance for the asset is equal to its fair market value.

Assume that the delivery truck, which costs Rs.38000 and accumulated depreciation to date of Rs.31000, is traded in on a new truck costing 41000. The book value of the old truck is 7000 (38000 - 31000). If a trade-in allowance, representing the fair market value of the old truck, of Rs. 9000 is allowed, there is Rs. 2000 gain on the exchange (9000 trade-in allowance-7000 book value). For financial reporting purposes, the gain on the exchange

of plant assets cannot be recognized. The tile balance he paid (32000) is determined by subtracting the trade-in allowance from the cost of the new truck (41000-9000). The cost of the new asset (39000) is determined by adding the balance and the book value of the old asset (32000 + 7000). The entry to record the transaction is as follows, assuming the balance is paid in cash

	Particular	Debit	Credit
Jan. 4.	Delivery Truck (new)	41000	
	Accumulated dep. On Old Delivery Truck	31000	
	Delivery Truck (Old)		38000
	Gain on sale of Truck		2000
	Cash		32000

6.2 Loss on Exchange of Plant Assets: If the trade-in allowance is less than the book value of the asset, there is a loss on the exchange. For example, if a trade-in value of only Rs.4000 had been allowed on the delivery truck in the preceding example, a loss of Rs.3000 (Rs.7000 hooks value- Rs.4000 trade-in allowance) would result. Unlike the non-recognition of gain on the exchange of a plant asset, the loss is recognized immediately. The balance to be paid, Rs.37000 is determined by subtracting the trade-in allowance from the cost of the new truck (Rs.41000-Rs.4000). The entry to record this transaction, assuming that cash is paid, is as follows:

	Particular	Debit	Credit
Jan. 4.	Delivery equipment	41000	
	Accumulated dep. Old deliver equips	31000	
	Loss exchange of delivery equips	3000	
	Delivery equipment		38000
	Cash		37000

In the above example, the trade-in was recorded at the beginning of the year, therefore the accumulated depreciation was up to date and no adjusting entry was required. If the trade-in had taken place during the year, the first step in recording the transaction would have been to update the depreciation. This adjustment must be made to determine the book value of the asset.

To illustrate, assume that a truck is traded for a new truck costing Rs.41000 on 1st April. The cost of the old truck was Rs.38000 and the accumulated depreciation as of December 31 of last year was Rs.31000. The old truck has been depreciated at 6000 per year. The entry to record depreciation for the 3-month period January 1 to March 31 is:

		Debit	Credit
April. l,	Depreciation-delivery equipment	1500	
	Accumulated dep - Delivery equips.		1500
	(To record depreciation for 3 months)		

Accumulated Depreciation-Delivery Equipment now has a 32500 balance (31000 + 1500). The book value of the truck is now 5500 (38000 cost - 32500 accumulated depreciation). If a trade-in allowance of 4000 is granted, the entry to record the exchange is:

		Debit	Credit
Jan. 4, 98	Delivery equipment	41000	

	Accumulated dep. Old delivery equips. Loss on exchange of delivery equips. Delivery equipment Cash	31000 3000	 38000 37000

6.3 Plant Assets on the Balance Sheet: Plant assets on the balance sheet are typically presented by showing cost, accumulated depreciation, and book value (written-down value) in a single line. This format provides a clear and concise view of asset valuation. *(IFRS: IAS 16 – Property, Plant, and Equipment)*

Plant Assets	**Cost**	**Acc. Depreciation**	**Book Value**	**Total Assets**
Store equipment	60630	20150	40480	Current Assets 260260
Office equipment	20480	1990	18490	
Building	260000	140000	120000	
Land	116000		116000	
Total plant assets		162140		
	457110		294970	

Another way of presentation usually adopted by companies is as under:

Fixed Assets	**Rs.**	**Rs.**
Land		116000
Building at cost	260000	
Less accumulated depreciation	140000	120000
Office equipment	20480	
Less accumulated depreciation	1990	18490
Store equipment at cost	60630	
Less accumulated depreciation	20150	40480
		294970

The first method is better.

UNIT – 5

CAPITAL AND REVENUE, CORRECTION OF ERRORS, AND ACCOUNTING FROM INCOMPLETE RECORDS

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CONTENTS

	Introduction	87
	Objectives	87
1.	**CAPITAL AND REVENUE**	88
	1.1 Terms and their Definitions	88
	1.2 Necessity for Differentiation between Capital & Revenue	88
	1.3Nature of Capital and Revenue Items	88
2.	**RECTIFICATION/CORRECTION OF ERRORS**	91
	2.1 Definition of Errors	91
	2.2 Kinds of Errors	91
	2.3 Book-Keeping Errors	91
	2.4 Trial Balance Errors	92
	2.5 Errors and Final Accounts	92
	2.6 Location of Errors	91
	2.7 Corrections of Errors	93
	2.8 Suspense Account	94
	2.9 Effect of Errors on Financial Statements	96
3.	**ACCOUNTING FROM INCOMPLETE RECORD**	97
	3.1 Introduction to Single Entry System	97
	3.2 Determination of Profit or Loss	99

INTRODUCTION

This unit covers key accounting concepts, including capital and revenue expenditure, essential for preparing final accounts. It explains how errors occur in journals, ledgers, trial balances, and final accounts, along with techniques for their correction. The unit also introduces accounting from incomplete records, focusing on the single-entry system used by small businesses. Methods for determining profit or loss from incomplete records are discussed with theoretical explanations and practical illustrations. Self-assessment questions and problems are provided for better understanding.

OBJECTIVES

The aim of this unit is to enable you to carry out the following very important activities while dealing with accounts:

- To distinguish between capital and revenue items.
- Classify expenditure into these two important categories.
- Learn the nature of errors and the ways, which have to be followed for their correction.
- Understand the concept of Single Entry System of Accounting
- Know the features of single entry system
- Be familiar with the methods of calculating the profit or loss of an entity
- Differentiate between a statement of affairs and a balance sheet
- Convert the single-entry system into double entry system of accounting

1. CAPITAL AND REVENUE (IFRS ACCOUNTING STANDARDS)

Capital expenditure refers to the amounts spent to acquire, improve, or extend the useful life of fixed assets (such as property, plant, and equipment) and is capitalized on the balance sheet under IFRS. It is intended to provide long-term benefits to the business. In contrast, revenue expenditure involves the costs incurred for day-to-day operations (like rent, utilities, and maintenance) that are expensed in the period they occur, as they do not provide long-term benefits. Capital expenditure results in the creation or enhancement of assets, while revenue expenditure is related to maintaining current operations and is directly reflected in the profit and loss account.

1.1 Terms and their Definitions

i. **Fixed Assets:** Tangible assets used in business operations with a useful life exceeding one year (e.g., land, buildings, machinery, vehicles, and furniture). They are recorded at historical cost and subject to depreciation (except land).
ii. **Current Assets:** Assets expected to be converted into cash or used up within one accounting period (e.g., cash, bank balances, receivables, inventory, and prepayments). They are vital for liquidity management and are classified under short-term assets.
iii. **Capital Expenditure:** Expenditure for purchasing or improving fixed assets. This expenditure is capitalized and added to the asset's value, reflecting long-term investments in the business.
iv. **Capital Receipts:** Proceeds from the sale of fixed assets, such as property or machinery. These receipts are not part of regular business income and are considered non-operating inflows**.**
v. **Revenue Expenditure:** Costs incurred for day-to-day business operations, such as rent, utilities, and salaries. These are expensed in the period incurred and are necessary for maintaining operational efficiency**.**

1.2 Necessity for Differentiation between Capital and Revenue

The distinction between capital and revenue is essential for accurately determining accounting profit and recognizing business assets. Capital refers to assets that are utilized for the production of goods and services, providing long-term value.

Following International Financial Reporting Standards (IFRS), capital is recognized for its potential to create long-term value, while revenue represents the periodic income generated from operations.

1.3 Nature of Capital & Revenue Items

Capital Expenditure refers to funds spent on acquiring assets or improving fixed assets that provide benefits over more than one accounting period. These assets are not meant for resale in the normal course of business and are capitalized on the balance sheet. **Examples** include the purchase of land, buildings, machinery, and furniture, goodwill, preliminary expenses, additions to existing assets, overhauling second-hand machines, and costs incurred to enhance business earning capacity.

Revenue Expenditure involves funds spent on day-to-day operational costs that benefit the current accounting period only. It is expensed in the period incurred. **Examples** include salaries, rent, depreciation, consumable stores, raw material inventory, insurance premiums, taxes, and miscellaneous expenses.

1.4 Distinction between Capital and Revenue

	Capital Expenditure		Revenue Expenditure
1.	Its effect is long-term i.e. it is not exhausted within the current accounting year; its benefit is enjoyed in future years or years also.	1.	Its effect is temporary, i.e. it is exhausted, within the current accounting year.
2.	An asset is acquired or the value of an asset increases due to this expenditure.	2.	Neither an asset is acquired nor the value of an asset is increased.
3.	Generally, it has a physical existence and it is visible.	3.	It has no physical existence i.e., it is invisible.
4.	It does not occur again and again it is non-recurring and irregular.	4.	It occurs repeatedly, it is recurring and regular.
5.	This expenditure improves the position of the concern.	5.	This expenditure helps to maintain the concern.
6.	A portion of this expenditure is shown in the trading and profit & loss account or income and expenditure account as depreciation.	6.	The whole amount of this expenditure is shown in the trading and PLS account or income and expenditure account. However, deferred revenue expenditure and prepaid expenses are shown as assets in the balance sheet.
7.	It appears in the balance sheet until its benefit is fully exhausted.	7.	It does not appear in the balance sheet. Deferred revenue expenditure, outstanding expenses, and prepaid expenses are, however, temporarily shown in the balance sheet.
8.	It does not reduce the revenue of the concern. The purchase of fixed assets does not affect revenue.	8.	It reduces revenue. Payment of salaries to employees decreases revenue.

1.5 Capitalized or Deferred Revenue Expenditure

Deferred Revenue Expenditure refers to costs that provide benefits over multiple accounting periods but are not fully consumed in the current year. Under **IFRS**, such expenditures are capitalized and written off over time. Examples include substantial repairs to buildings, where the expense is initially treated as **revenue expenditure** but later capitalized to reflect the long-term benefit. Similarly, **prepaid insurance premiums** are a typical case: if paid for multiple years, only the portion relating to the current period is treated as revenue expenditure, while the remaining amount is recorded as an asset and expensed over future periods. This ensures that the expense matches the period of benefit.

1.6 Capital and Revenue Receipts: We have discussed capital and revenue expenditure or payment in the above paragraphs. Now we would consider capital and revenue receipts.

The income resulting from goods and services of a business are termed revenue receipts. For example, sales of shoes made by Bata Shoes Company are its revenue receipts.

On the other hand, if any items of fixed assets are sold, they result in capital receipts. Examples of capital receipts are:

a. Sale of old furniture by firm
b. Disposal of an old truck
c. Sale of a building by a company and so on

1.7 Capital & Revenue Profits and Losses: Examples

a. Suppose there is a surplus machine in your factory. The cost of the machine is Rs.5000. You sell it at Rs.7000 thus earning a capital profit of Rs.2000. Capital profit results from the sale of fixed assets at a profit.
   On the other hand, if you sell goods costing Rs.7000 for Rs.10000. The profit of Rs.3000 is a revenue profit. Similarly, income from investments, rent, etc. is revenue income.
b. Capital profit or income should either be transferred to the capital account of the proprietor of a business or credited to the capital reserve account.
   These would thus appear on the liability and capital side in the balance sheet.
c. Revenue profits on the other hand should be transferred to a profit and loss account because they arise out of regular and normal business activities.

Capital and Revenue Losses: The distinction is the same as given above. Capital loss means a loss made on the sale of a fixed asset or a loss resulting from the rising of money for the business. For example, discount on the issue of shares or debentures. Revenue loss on the other hand is one incurred in trading operations such as loss on the sale of goods. Such losses appear in the Profit and Loss Account of the year in which they occur.

Example 1: Ahmad is carrying on building business. Weather is poor and his men cannot proceed outside to different sites of work. He decides to alter and extend his own premises, enlarging the shop front, altering storage facilities, shelves, etc. This involves the following expenses on the extension of his own premises.

a. Materials Rs.45, 000
b. Labor Rs.82, 000
c. Other overheads Rs.23, 000

The value of his premises is thus increased by Rs.150000/-, giving journal entries for capitalizing these apparent revenue expenses. **Solution:**

Account	Dr.	Cr.
Building account	150000	
Material Account		45000
Wages Account		82000
Miscellaneous expenses		23000
	150000	150000

The result would be to increase in the capital value of the building and a decrease in the above revenue expenses. **Example 2**: While checking the accounts of Nasim and Company, you come across the following expenses in the books.

a.	Telephone expenses	530
b.	Office salaries	2540
c.	New weighing machine	85600
d.	New counters for the shop building	60000
e.	Wages incurred on the counters	12000

You are required to classify the above expenses into capital or revenue expenses. State how these expenses would appear in the final accounts of Nasim and Company. **Solution**

a. Telephone expenses Rs.530 are revenue expenses and these would appear in the profit and loss account.
b. Office salaries are also revenue expenses and would appear in the profit and loss account of the firm.
c. Expenditure on the purchase of a new weighing machine is capital expenditure. It would be shown on the asset side of the balance sheet.
d. The cost of new counters (Rs.60000) and wages (Rsl2000) would be capitalized, as they would enhance the value of the premises. The building account at enhanced cost would appear in the balance sheet. Depreciation under normal rules would however be charged to the building account.

2. RECTIFICATION/CORRECTION OF ERRORS

2.1 Definition of Errors: Rectification or correction of errors under IFRS involves adjusting financial statements to fix any mistakes or inaccuracies from prior periods. These errors can result from mathematical errors, the incorrect application of accounting policies, or oversights in recording transactions. When these errors are discovered, the corrected amounts are retrospectively adjusted in the financial statements, and the financials from previous periods are restated to reflect the correct figures. This process ensures that the financial statements present a fair and accurate representation of the company's financial performance and position. Corrections are made based on the nature and materiality of the error, in compliance with **IAS 8** (Accounting Policies, Changes in Accounting Estimates, and Errors).

The examples are as under:

a. The amount of a voucher is Rs.785 but it is written in the journal as Rs.875.
b. The total of an invoice is written as Rs.15620 instead of the correct total of Rs.20620.
c. Advance of Rs.700 paid to Mr. Ahmad is debited to salary expense.

2.2 Kinds of Errors: The errors which we may find place in the books of accounts may be broadly classified as follows:

a. Bookkeeping errors
b. Trial Balance errors

2.3 Book-Keeping Errors: Bookkeeping errors are those errors, that may be made in the original documents, in the original entry books, and then posting from the books of original entry into the ledger, taking balances of the ledger accounts, etc. Bookkeeping errors are of four categories:

i. **Errors of Omission:** An error of omission is one where the transaction has been absolutely omitted from the records. Suppose goods are bought from Abdul Rehman but no entry is made in the Purchases Book. Such errors do not affect the agreement of trial balance and can only be detected by careful checking or linking of vouchers with posting into the journals.

ii. **Errors of Commission:** These errors are the most common. An error of commission occurs when a transaction is wholly or partly incorrectly recorded in the journal or ledger. It is committed through carelessness or oversight and may be in the form of wrong entries, wrong postings incorrect additions or calculations, etc. Errors of commission may or may not affect the agreement of a trial balance.

Examples of such errors are:

a. Posting a wrong amount to the ledger.
b. Posting an amount on the wrong side of an account.
c. Posting an amount to the wrong account.
d. Making a wrong entry in a book of original record, etc.

iii. **Errors of Principle:** An error of principle is one where a transaction is entered without due regard to the fundamental principles of double entry or proper head of account. It is an error that violates some principles of accountancy. It may consist of:

a. Wrong allocation of expenditure between Capital and Revenue.
b. Inadequate provision for bad and doubtful debts
c. Insufficient depreciation

iv. **Compensation Errors:** The errors cancel themselves and do not result in any difference between the debit and credit side of the trial balance. Thus, an error of Rs.200 on the debit side of an account may be compensated by an error of the same amount on the credit side of another account. These errors are very difficult to discover and require a 100% check of accounts to locate them.

2.4 Trial Balance Errors : Errors that are made in the preparation of the trial balance are called trial balance errors. These are:

a. Omission of balance from the trial balance.
b. Transfer of balance to the wrong column or wrong head of account in the trial balance.
c. The amount of the balance wrongly entered in the trial balance.
d. Wrong additions of the trial balance columns.

2.5 Errors and Final Accounts: An error may affect the profit and loss account by wrongly increasing or decreasing the net profit and it may affect the balance sheet by making the amount of an asset or a liability too much or too little. It is, therefore, necessary that the errors should be carefully traced out and suitably rectified in order to get the correct results of the business.

2.6 Location of Errors: When the trial balance does not agree, the accountant must try to locate the errors and correct them. There is no set procedure, which can be followed for locating errors in every case. The following steps, however, can be suggested for speedy location of errors:

a. Re-checking the totals of the trial balance.
b. Re-checking that the items appearing in the trial balances are on their correct side.

c. See that the balance of all accounts have been written in the trial balance correctly.
d. See that there is no mistake in the balance of the various accounts.
e. Find out the exact difference in the trial balance. Look for such accounts as show the same amount.
f. Posting of all amounts corresponding to the difference or half the difference should be checked.
g. Error due to transposition of figures, i.e. Rs.36 taken as Rs.63 are also easily made. In this case the trial balance is always divisible by 9. If that is so, bear this fact in mind and recheck your work.
h. If the difference is not located, in spite of the fact that all the above tests have been applied then all the account's balances in the ledger have to be checked thoroughly.

2.7 Correction of Errors: There are three ways of correcting the errors, which have been committed.
a. By striking off the wrong figure and replacing it by the correct one.
b. By passing a correcting journal entry which neutralizes the wrong entry and at the same time, results in making the correct entry.
c. By making a further debit or credit entry in the account in which the mistake has been committed as may be necessary.

2.7.1 Correction of Errors Before Balancing of Books: In accounting work, correction of errors should not be done by erasing or tempering the existing entries. In such a case books will not be considered reliable in the court of Law. There should be no overwriting of figures. .Students sometimes try to convert figure '3' into '5' and figure '6' into '8' this is bad. Whenever any correction is made, it should be done by drawing a straight line through the wrong figure and writing the correct figure above it. Every correction must be initialed by the person making the correction. This method of correcting errors may be resorted to only in cases when the books have not been added up and the ledger accounts have not been balanced.

Golden Rule: If accounts staff works properly and carefully, chances of errors will be minimized to a great extent. The accounts manager or supervisor must check the work done by the assistants regularly on a daily basis so that mistakes are located in time and no difficulty is faced at the time of preparation of the Trial Balance.

2.7.2 Correction of Double-Sided Errors: The second method is passing a correcting journal entry to rectify an error is more frequently used because it avoids the necessity of canceling figures and the mistakes that are discovered after a long time can be rectified without correcting several other wrong entries. This method of rectification of errors can be applied only to mistakes, which are double-sided. Double-sided errors are one, which exists simultaneously in two accounts. If the errors are double-sided, the following three points may be kept in mind while correcting it.
i. What should have been the correct entry?
ii. Compare it with the entry actually made.
iii. How the correct position can be restored?

Example-1: A sum of Rs.670 spent on repairs of machinery has been charged to the Wages Account. It is double-sided error. The mistake has affected both the machinery a/c and

wages a/c. The wages a/c is debited with Rs.670 too much. Repair's a/c is debited with Rs.670 too short. There is an excess debit in the wages a/c and a short debit in the repair a/c to rectify this error the following correcting entry should be passed:

Account	Dr. Rs.	Cr. Rs.
Repair account	670	
To wages account		670
(Being the amount spent on repairs of the machinery wrongly debited to wages a/c)		

2.7.3 Third Method: One-Sided Errors: The third method of making a further debit or credit entry in the account in which the mistake has been committed is applicable only to one-sided errors. A one-sided error is one that affects only one aspect of the transaction or that exists only in one ledger account. If an error is one-sided, it can be rectified by making a journal entry debiting or crediting the ledger account which is wrong with the suspense account which may be opened for the purpose if it does not already appear in the books. For example, suppose the sale of Rs.100 has been recorded as the sale of Rs. 50 in the sales book. This is a one-sided error. It affects only the sales account in the ledger. It means that the entries in the sales book are correct and therefore, correct amounts have been posted to the debit of individual customers in the ledger. The sales account has been credited with Rs.50 too short. Therefore, to rectify this mistake the following entry should be made. Debit the suspense account and credit the sales account with Rs.50 it may also be corrected by making an adjusted credit entry in the sales account.

2.8 Suspense Account: A suspense account is opened in two cases

i) To balance a disagreed trial balance.

ii) To post doubtful items.

i. To balance a Disagreed Trial Balance: Sometimes, a trial balance does not tally despite all efforts; but one cannot wait indefinitely, as accounts must be closed at the end of a financial year. In such a case the amount of difference is entered in the lighter column against the suspense account. A suspense account is opened in the ledger and is given the debit or credit, as the case may be. Later, when the mistakes are detected, the rectifying entries are passed.

ii. To Post Doubtful Items : Sometimes, an item cannot be posted to the correct account for one reason or another. For instance, you may receive a remittance of Rs.1500 but you may not know who has sent it. Then you should pass the following entry:

Example-5 Journal

Date	Particulars	LF	Dr. Rs	Cr. Rs
	Cash A/c		1500	
	To suspense A/c			1500
	(Being remittance, received from unknown sender)			

Later, you get the information that Rahim, Shamim & Co, had sent this amount. Then you should pass the following entry:

Date	Particulars	LF	Dr .Rs	Cr. Rs

	Suspense a/c Rahim, Shamim & Co. a/c (Being credit given to the sender for a remittance that had been credited previously to suspense a/c)		1500	1500

Now, the following examples show the way for rectification of one-sided errors:

Example 6: Goods worth Rs. 1000 were sold to Mr. Rahim Sharif on credit. This was entered in the sales daybook but was not posted into Sharif's account. Here only the Sales Account has been credited by Rs. 1000 without a corresponding debit. The trial balance will show a short debit of Rs.1000. Now if the difference in trial balance has been transferred to the suspense account, it implies that Rs.1000 has been debited by Rs.1000. For rectification, Sharif's account is to be debited, and suspense account is to be credited to cancel the wrong entry. So, the effective entry will be:

Sharifs A/c Dr. 1000
To Suspense A/c Cr. 1000

Example 7: An account Assistant failed to balance his trial balance, the credit side exceeding the debit side by Rs.175. This amount was entered into a suspense account. Later the following errors were discovered:

a. The total of the credit side of Rahim's account was overcast by Rs.100.
b. The sales book was undercast by Rs. 100.
c. Goods worth Rs.100 purchased from Chand were wrongly entered in the sales books. The account of Chand was correctly credited.
d. The total of returns outward book amounting to Rs.200 was not posted to the ledger.
e. Rs.1500 paid for furniture purchased has been charged to the ordinary purchases account.
f. A credit balance of Rs.755 of the rent receivable account was shown as Rs.570.
g. Goods worth Rs.620 sold to Rahman were correctly entered in the sales book but posted to Rahim's account as Rs. 260/-.

Give the journal entries to rectify the errors and prepare the suspense account

Solutions: Journal

Date	Particulars	LF	Dr. Rs.	Cr. Rs
(a)	*Rahim's account* To suspense account (Being credit side of Rahim's account was overcast, now corrected)		100	100
(b)	*Suspense account* To sales account (Being the sales book was under-cast, now corrected)		100	100
(c)	*Purchases account* Sales account To suspense account (Being correction of wrong entry in sales book of a purchase of goods from chand)		100 100	200

(d)	*Suspense account* To returns outward account (Being the total of returns outward book was not posted to ledger, now posted)		200	200
(e)	*Furniture account* To purchase account (Being the rectification of furniture wrongly debited to purchase account		1500	1500
(f)	*Suspense account* To rent receivable account (Being, a credit balance of Rs. 755/- of rent receivable account was shown as Rs. 570/- now corrected		185	185
(g)	*Rehman' account* To suspense account (Being goods for Rs.620/- sold to Rahman were wrongly posted to his account as Rs. 260/- now corrected.)		360	360

Suspense Account

	Dr. Rs.		Cr. Rs
Difference in T/B	175	Rahim	100
Sales account	100	Purchase account	100
Return outward a/c	200	Sales account	100
Rent receivable a/c	185	Rehman	360
	660		660

2.9 Effect of Errors on Financial Statements: In order to calculate the effect of errors on net profit it is essential to understand that only those accounts, which are taken to trading or profit and loss, account affect profits. For example, purchases account, sales account, salaries account, wages account, rent commission, depreciation, stock account, etc., affect the net profit because they are shown either in the trading account or profit and loss account. If any of these accounts are debited in the rectification entry, it reduces the profit and if any of these accounts are credited then it increases the profit. Accounts, which are shown in the balance sheet, do not affect net profit.

Example-8: The books of a firm were balanced on 31st December. On checking the books and accounts the following mistakes were discovered:

a. Goods to the value of Rs.68 had been returned by Siraj on 30th December, and were taken into stock but the entries recording the return were not passed through the books until January of the following year.
b. Iron bars to the value of Rs.218/-purchased for enlarging the factory had been debited to the purchases account.
c. Dishonored cheques for Rs.20 had been posted to the allowances account instead of the account of Niamat, from whom it had been received.
d. Several creditor's balances, amounting to Rs.270/- stood in the bought ledger, representing cash paid for goods but for which no invoices had been passed through the books.

You are required to make journal entries to correct these errors. What was the effect of these errors on the profit of the firm?

Solution: **Journal Entries**

	Particulars	Dr. Rs.	Cr. Rs.
(a)	*Returns inward account* To Siraj's A/c (Being goods returned by Smith now recorded)	68	68
(b)	*Factory building account* To purchases account (Being rectification of iron bars wrongly debited to purchases)	218	218
(c)	*Niamat's A/c* To allowance account (Being the rectification of the dishonored bill of Niamat wrongly debited to allowances account)	270	270
(d)	*Purchases account* To sundry creditors (Being the purchases not entered now recorded)	270	270

Effect of the errors on the profit of the firm:

Items	Profit Overstated	Profit Understated
(a)	68	
(b)		218
(c)		20
(d)	270	
	338	238

Profit will remain overstated by a net amount of Rs.100 (338-238)

3. Accounting from Incomplete Record

3.1 Introduction to Single Entry System: The Single-Entry System is a simplified bookkeeping method used primarily by small businesses, such as sole traders, to record financial transactions. Unlike the Double Entry System, which is the standard and formal accounting method, the single-entry system only records one aspect of each transaction, typically focusing on cash receipts and payments, and may sometimes include records of customers and suppliers. It does not maintain a complete record of assets, liabilities, revenues, or expenses, as cash received is treated as revenue, and cash paid is treated as expenses.

In this system, the concept of recording dual aspects of a transaction is not followed, leading to incomplete records. As a result, the operating results must be derived from these partial records, making it commonly referred to as "**Accounting from Incomplete Records**." Under **IFRS** standards, while the single-entry system may be acceptable for very small businesses, it is generally not recommended for larger enterprises due to its limitations in providing a comprehensive and accurate financial picture.

3.1.1 Features of Single-Entry System

i. Application of Accounting Rules

No accounting rule is followed in this system of accounting, and transactions are recorded by ignoring the principles of debit and credit.

ii. Real and Nominal Accounts

Real and nominal accounts i.e. assets, liabilities; expenses revenues, etc. are not prepared and maintained.

iii. Personal Accounts

Under this system, only the personal accounts are maintained, to know the amount due from customers and the amount owing to suppliers.

iv. Suitability: This system of bookkeeping is suitable for small businessmen, who are operating his/her business as sole traders or on a partnership basis.

v. Economy

It is economical for the businessman because no proper accountant or bookkeeper is hired to record the business transactions. A businessman himself may keep a record of business transactions.

vi. Simple and Easy

It is very simple and easy because there is no rule or accounting principle followed. Any person may record business transactions without getting any special education or training in this regard.

vii. Variation in Recording Business Transactions

As we know no accounting policy is observed while recording the business transactions. So every businessman records the transaction as per their own style and convenience. So it varies from one businessman to another businessman.

3.1.2 Demerits or Drawbacks of Single-Entry System: Apart from the advantages of single entry system, it has a number of drawbacks, which are described below:

i. Inaccurate operating results

Under the single-entry system, nominal accounts like revenue, expense, gain or losses are not prepared. In the absence of these accounts, this is not possible to find out accurate reporting results in terms of profit and loss.

ii. Financial Position of Business: The record of real accounts, i.e. assets and liabilities is not kept properly, so the financial position of the business can't be determined. In case of liquidation, a businessman is not able to find out the book value of their assets and liabilities.

iii. Unable to prepare the trial balance: Trial balance can be prepared only under the double entry system and can't be prepared under the single entry system. So it is not possible to ensure the arithmetical accuracy of the described amounts.

iv. Risks of Fraud: Anyone can commit fraud easily because no proper accounts are maintained under this system. So there are higher chances of fraud to be incurred.

v. Risks of Errors: Errors may occur in recording the transactions and can't be found easily because no trial balance is prepared and accounts are also not maintained properly.

vi. Incomplete system: Some transactions are not recorded and some are recorded partially, so there is an incomplete system of accounting or we may say that there is no system of bookkeeping or accounting.

vii. Unacceptable for tax: For the purpose of assessment of tax, this system is not acceptable by the tax authorities. Because twofold aspects of each transaction are not recorded, and the proper financial statements are not prepared.

3.2 Determination of Profit or Loss: It is not an easy task to estimate profit or loss from the incomplete records of bookkeeping. However, the following two methods are used to determine the profit or loss account and to know the financial position of the business:

A. By preparing the statement of affairs
B. By conversion into double entry

3.2.1 Profit/Loss Ascertainment by Preparing Statements of Affairs: The **Net Worth Method**, also known as the **Capital Method**, calculates the operating results by comparing the opening and closing capital of a business, based on two statements of affairs prepared at different times. This method is used when detailed information about assets, liabilities, revenues, and expenses is unavailable. **Profit** is determined if the closing capital is greater than the opening capital, while a **loss** occurs if the closing capital is lower, assuming no additional investments or withdrawals. Any investments or drawings during the period are also considered in calculating profit or loss. While this method may be practical under limited information, it is less precise than other accounting methods and generally not preferred under **IFRS** for more detailed financial reporting.

i. Statement of Profit & Loss: That statement, which is prepared under the net worth method to determine the profit and loss, is known as the statement of profit and loss. The format of the statement of Profit and Loss is as follows:

ABC Company, Statement of Profit & Loss, For the period ended on …….

	Rs.
Capital at the end of the period	
Add: Withdrawals during the period	xxxxx
Less: Additional capital invested during the period	xxxxx
Adjusted Capital at the end of the period	xxxxx
Less: Capital at the beginning of period	xxxxx
Net Profit/Loss during the period	xxxxx
	xxxxx
	xxxxx

Example 09: Mr. Khan owned a tuck shop and used a single entry system to record the business transactions. You are required to calculate the profit/loss of Mr. Khan's Business for the year ended on 31st December 2013 from the given data:

Capital at the beginning Rs. 150,000; Withdrawals during 2013. 25,000 and capital at the end is reported at Rs. 225,000.

Solution: **Mr. Khan**

Statement of Profit & Loss

For the period ended on 31st December, 2013

	Rs.
Capital at the end of the period	225,000
Add: Withdrawals during the period	25,000
	250,000
Less: Additional capital invested during the period	Nil
Adjusted Capital at the end of the period	250,000
Less: Capital at the beginning of period	150,000
Net Profit during the period	**100,000**

Example 10: Chaudhry Sons established a business on July 01, 2013 with a capital of Rs. 300,000. He introduced Rs. 125,000 as an additional investment and withdraws Rs. 50,000 during the year. On 30th June, 2014 he has assets of Rs. 400,000 and liabilities Rs. 40,000. You are required to calculate the profit or loss of Chaudhry's business for the year ended on 30th June, 2014. ***Solution:***

Capital At the end = Ending Assets – Ending Liabilities

= 400,000 – 40,000

= Rs. **360,000**

Chaudhry Sons

Statement of Profit & Loss

For the period ended on 30th June, 2014

	Rs.
Capital at the end of period	360,000
Add: Withdrawals during the period	50,000
	410,000
Less: Additional capital invested during the period	125,000
Adjusted Capital at the end of the period	285,000
Less: Capital at the beginning of period	300,000
Net Loss during the period	**(15,000)**

ii. Statement of Affairs

It is clear now that under the single entry system, the profit or loss of the business can only be ascertained if the amounts of opening and closing capital are given. In case if the amounts of opening or closing capitals or both are not given then the accountant will gather the details of assets and liabilities at the beginning and ending period. After getting the details of assets and liabilities, these will be enlisted in a statement to know the values of capital. That statement in which assets and liabilities are recorded to know the amount of capital is known as statement of affairs.

The statement of affairs is prepared like a balance sheet, in which amounts of assets are listed on one side and liabilities are recorded at another side, the balancing amount is considered the value of capital. Anyone who prepares the statement of affairs may get the details of assets and liabilities from the following sources: **A**. Personal accounts of debtors and creditors **B**. Bank Statement of the Business **C.** Cash book of the entity

a. A list of assets and liabilities may be prepared with the help of the owner of the business and Actual stocktaking.

After collecting the necessary information from various sources, statements of affairs are prepared at two different points of time i.e. at the beginning and at the closing period. The format of the statement of affairs is as follows:

XYZ Company
Statement of affairs
As on _____

Assets	**Amount**	**Liabilities**	**Amount**
Cash in hand	xxxxx	Account Payable	xxxxx
Cash at bank	xxxxx	Note/Bill Payable	xxxxx
Sundry Debtors	xxxxx	Unearned Revenue	xxxxx
Note / Bill Receivable	xxxxx	Expenses Payable	xxxxx
Supplies	xxxxx	Bank Loan	xxxxx
Stock	xxxxx	Debentures	xxxxx
Prepaid expenses	xxxxx		
		Capital *(Bal. Fig.)*	xxxxx
Office Equipment	xxxxx		
Furniture & Fixture	xxxxx		
Plant & Machinery	xxxxx		
Building	xxxxx		
Total	xxxxx	**Total**	xxxxx

iii. Difference between Statement of Affairs and Balance Sheet

A statement of Affairs is prepared like a balance sheet of the business but there is difference between a Statement of Affairs and a Balance Sheet, which may be understood from the following points:

Sr. No.	**Basis**	**Balance Sheet**	**Statement of Affairs**
i.	**Bookkeeping System**	It is prepared under the double entry system bookkeeping.	It is prepared under the single entry system of bookkeeping.
ii.	**Purpose**	It is prepared to know the financial position of the business	It is prepared to ascertain the amount of capital.
iii.	**Application of Rules**	It prepared on the basis of accounting rules, known as accountant standards and principles.	It doesn't follow any rule or standard of accounting.
iv.	**Valuations of accounts**	All the accounts shown in the balance sheet, i.e. assets and liabilities are valued on the basis of some rules or principles of accounting, which may be cost basis or market basis, or replacement cost basis.	Valuation of assets and liabilities are made on arbitrary or memory basis of the owner.

v.	**Reliability**	It is most reliable statement because it follows proper system of accounting.	It is not reliable statement because it is based on incomplete records of bookkeeping.
vi.	**Source of Data**	It is prepared by taking data from adjusted trial balance.	It is prepared by gathering the data from different sources i.e. cash & pass book, memory of owner etc.
vii.	**Essential Element**	It is essential part of Financial Statements which must be prepared and published by a company.	It is not the part of financial statements, it is just prepared for his/her convenience.

Example 11: Mr. Kamal started his business on October 15, 2013 by investing Rs. 400,000 and recorded his business transactions under the single entry system of bookkeeping. He further invested Rs. 200,000 and withdrew Rs. 100,000 during financial year. On September 30, 2014 he wants to know the operating result of his business, for which he provided the following data as on September 30, 2014:

Cash Rs. 15,000, Bank Balance Rs. 30,000, Debtors Rs. 55,000, Land & Building Rs. 270,000, Machinery Rs. 230,000, Office Equipment Rs. 120,000, Bank Loan Rs. 60,000 and sundry creditors Rs. 35,000

Depreciation @ 10% is charged annually on Machinery and Office Equipment on a straight-line basis. **Required: i.** Prepare the statement of affairs as of 30-09-2014

ii.Prepare a statement of Profit & Loss account for the period ended on 30-09-2014

Solution:

Mr. Kamal
Statement of affairs
As of September 30, 2014

Assets	Amount	Liabilities	Amount
Cash in hand	15,000	Sundry Creditors	35,000
Cash at bank	30,000	Bank Loan	60,000
Sundry Debtors	55,000		
Land & Building	270,000	**Capital *(Bal. Fig.)***	590,000
Machinery (Net)	207,000		
Office Equipment (Net)	108,000		
Total	685,000	**Total**	685,000

Mr. Kamal
Statement of Profit & Loss
For the period ended on 30th September, 2014

	Rs.
Capital at the end of the period	590,000
Add: Withdrawals during the period	100,000
	690,000
Less: Additional capital invested during the period	200,000
Adjusted Capital at the end of the period	490,000
Less: Capital at the beginning of period	400,000
Net Profit made during the period	**90,000**

Example 12: Ruhi Trader keeps his record of business under single entry system and wants to know the operating result of his business. He provides the following data as on 31st December 2013 and 31st December 2014 of his business:

As of 31st December, 2013: Cash in hand Rs. 25,000; Cash at bank Rs. 40,000; Account Receivables Rs. 70,000; Stock Rs. 65,000; Land & Building Rs. 300,000, Office Furniture Rs. 150,000, Office Equipments Rs. 80,000; Account Payables Rs. 95,000; Bills Payables Rs. 30,000

As on 31st December 2014: Cash in hand Rs. 40,000; Cash at bank Rs. 60,000; Account Receivables Rs. 110,000; Stock Rs. 85,000; Account Payables Rs. 75,000; Bills Payable Rs. 45,000

Depreciation @ 5% on Land & Building; @ 15% on Office Furniture; @ 10% on Office Equipment is charged annually on original cost.

During the year Ruhi trader withdrew Rs. 158,000 and invested Rs. 112,000 into the business.

Required: i. Prepare the statement of affairs as on 31-12-2013 and as on 31-12-2014 to calculate the amounts of capital.

ii. Prepare a statement of Profit & Loss account for the period ended on 31-12-2014

Solution:

Ruhi Trader
Statement of Affairs
As on 31-12-2013

Assets	Amount	Liabilities	Amount
Cash in hand	25,000	Account Payables	95,000
Cash at bank	40,000	Bills Payables	30,000
Account Receivable	70,000		
Stock	65,000	**Capital *(Bal. Fig.)***	605,000
Land & Building	300,000		
Office Furniture	150,000		
Office Equipment	80,000		
Total	730,000	**Total**	730,000

Ruhi Trader
Statement of Affairs
As on 31-12-2013

Assets	Amount	Liabilities	Amount
Cash in hand	40,000	Account Payables	75,000
Cash at bank	60,000	Bills Payables	45,000
Account Receivable	110,000		
Stock	85,000	**Capital *(Bal. Fig.)***	659,500
Land & Building	285,000		
Office Furniture	127,500		
Office Equipment	72,000		
Total	779,500	**Total**	779,500

Ruhi Trader
Statement of Profit & Loss
For the period ended on 31-12-2013

	Rs.
Capital at the end of period	659,500
Add: Withdrawals during the period	158,000
	817,500
Less: Additional capital invested during the period	112,000
Adjusted Capital at the end of the period	705,500
Less: Capital at the beginning of period	605,000
Net Profit made during the period	**100,500**

Example 13 : Mr. Rayyan keeps his books on single entry system and provides the following information:

	January 1, 2014	**December 31, 2014**
Cash in hand	*Rs.* 74,375	*Rs.* 122,500
Cash at bank	1,750	2,625
Sundry debtors	26,250	17,500
Merchandise inventory	175,000	166,250
Office equipments	15,750	-
Motor Vehicles	122,500	-
Furniture and Fixtures	140,000	-
Sundry Creditors	192,500	253,750
Advance from Customers	61,250	-

He invested further capital amounting to Rs. 157,500 on 1st April 2014 and withdrew Rs. 122,500 for personal use.

From the above-mentioned information, you are required to prepare the necessary statements to ascertain the operating results of the business for the year that ended on December 31, 2014, after considering the following necessary adjustments:

a) Charge 10% depreciation on all fixed assets.
b) Allow 10% interest on capital.
c) Create 5% provision for doubtful debts.

Solution:

Mr. Rayyan
Statement of Affairs
As of January 1, 2014

Assets	**Amount**	**Liabilities**	**Amount**
Cash in hand	74,375	Sundry Creditors	192,500
Cash at bank	1,750	Advance from Customers	61,250
Sundry Debtors	26,250		
Merchandise inventory	175,000		
Office equipment	15,750	**Capital *(Bal. Fig.)***	301,875
Motor Vehicles	122,500		
Furniture and Fixture	140,000		
Total	555,625	**Total**	555,625

Mr. Rayyan
Statement of Affairs
As of December 31, 2014

Assets		Amount	Liabilities	Amount
Cash in hand		122,500	Sundry Creditors	253,750
Cash at bank		2,625		
Sundry Debtors	17,500			
(-) Provision for B.D	*875*	16,625	**Capital *(Bal. Fig.)***	304,675
Merchandise inventory		166,250		
Office equipment	15,750			
Motor Vehicles	122,500			
Furniture and Fixture	140,000			
	278,250			
(-) Depreciation @10%	*27,825*	250,425		
Total		558,425	**Total**	558,425

Mr. Rayyan
Statement of Profit & Loss
For the period ended on December 31, 2014

	Rs.
Capital at the end of period	304,675
Add: Withdrawals during the period	122,500
	427,175
Less: Additional capital invested during the period	157,500
Adjusted Capital at the end of the period	269,675
Less: Capital at the beginning of period	301,875
	(32,200)
Less: Interest on Capital @ 10% p.a	
301,875 x 10/100 = 30,187.5	
157,500 x 10/100 x 9/12 = 11,812.5	42,000
Loss made during the period	**74,200**

3.2.2 Profit/Loss Ascertainment by Conversion Method: The single-entry system is often used by small businesses; however, as a business grows, it becomes impractical for larger operations. To address this issue, businesses may switch to the double-entry system, either with prospective or retrospective effects.

- **Prospective Effect**: The conversion is applied from the decision date onwards, and future records are maintained according to double entry principles, without changing prior records.
- **Retrospective Effect**: The conversion applies from the start of the accounting period, and previous records are adjusted to align with the double-entry system.

For example, if a firm decides to convert on August 1, 2014, the records from January 1, 2014, to July 31, 2014, will also be adjusted. This method, especially with retrospective effect, aligns with IFRS by ensuring accuracy and consistency in financial reporting across periods.

i. Procedure of conversion into double entry system: If the businessman keeps their record on a single entry system and maintains a cash book and personal accounts then the following procedure may be followed for conversion:

a. Find out the opening capital by preparing the statement of affairs at the beginning of the period.
b. Calculate the credit purchases and post them into the purchases account.
c. Calculate the credit sales and post them into the sales account.
d. Post all items appearing in the cash book into their relevant accounts.
e. Examine all available information from the single-entry system, if any item found not treated in the double-entry system should be picked up and incorporated into the double-entry system.
f. Pass the opening journal entries by debiting the entire asset and crediting the respective liabilities.

ii. Calculation of missing items: There is another method to obtain final results from the single-entry system. This shortcut method may be used when the information on opening and closing assets is given. According to this method, the trading, profit, and loss account and the balance sheet may be prepared after finding the following missing items:

a.	**Credit Purchases**	b.	Sundry Debtors
c.	**Credit Sales**	d.	Cash in hand
e.	**Cash at bank**	f.	Cash purchases
g.	**Cash Sales**	h.	Opening Stock
i.	**Bills Receivables**	j.	Bills Payables

a. Opening Capital: The value of opening capital may be ascertained by preparing the statement of affairs.

b. Find out the Sundry Creditors and Credit Purchases

The missing values of creditors and credit purchases may be found by preparing the sundry creditors' accounts as follows:

SUNDRY CREDITORS ACCOUNT

Particulars	Amount	Particulars	Amount
Cash paid to Creditors	xxxx	Balance b/d (Opening)	xxxx
Purchases Return & Allowances		Credit Purchases	xxxx
Discount Received	xxxx	Bills Payable Dishonored	xxxx
Bill Payable (Acceptance given)	xxxx		
Balance c/d (Closing)			
	xxxx		
	xxxx		
	xxxx		xxxx

c. Ascertainment of Sundry Debtors and Creditor Sales: The missing values of debtors and credit Sales may be found by preparing the sundry debtors account as follows

SUNDRY DEBTORS ACCOUNT

Particulars	Amount	Particulars	Amount
Balance b/d (Opening)	xxxx	Cash Received from debtors	xxxx
Credit Sales	xxxx	Bill Receivable (Received)	xxxx
Bills Receivable (Dishonored)		Sales Returns & Allowances	xxxx
	xxxx	Discount Allowed	xxxx
		Bad Debts	xxxx
		Balance c/d (Closing)	xxxx
	xxxx		xxxx

d. Ascertainment of cash in hand, cash purchases, and cash sales: By preparing the cash account, any one of the above-mentioned items may be found.

e. Ascertainment opening Stock: If opening stock is not given, it may be found with the help of gross profit percentage to sales. A memorandum trading account is prepared by filling in the given information; calculating the gross profit based on a given percentage and finding the value of closing stock by taking the balancing figure.

f. Ascertainment Bills Receivable: By preparing the bills receivable account, the value of bills receivable may be found. The structure of the bills receivable account is given as follows:

BILLS RECEIVABLE ACCOUNT

Particulars	Amount	Particulars	Amount
Balance b/d (Opening)	xxxx	Cash (B/R honored)	xxxx
Sundry Debtors (Acceptance Received)	xxxx	Creditors A/c (B/R Endorsed)	xxxx
		Debtors A/c (B/R Dishonored)	
		Balance c/d (Closing)	xxxx
			xxxx
	xxxx		xxxx

g. Ascertainment Bills Payable: Amount of Bills Payable may be found out by preparing the bills payable account, described as follows:

BILLS PAYABLE ACCOUNT

Particulars	Amount	Particulars	Amount
Cash A/c (B/P honored)	xxxx	Balance b/d (Opening)	xxxx
Creditors A/c (B/P Dishonored)		Creditors A/c (Acceptance given)	
Balance c/d (Closing)	xxxx		xxxx
	xxxx		
	xxxx		xxxx

Example 14: Mr. Talal keeps his books on single entry system and provides the following information and requires from you to calculate credit sales and total sales for the year ended on 30th September, 2014 *(All Amounts are in Rupees)*:

Cash Sales	420,000	Return inwards	33,600
Debtors (Opening)	234,000	Debtors (Closing)	300,000
Bad Debts	30,000	B/R	690,000
Cash collection from Debtors	720,000	B/R Dishonored	150,000

Solution:

Credit sales may be obtained by preparing the following debtors account:

DEBTORS ACCOUNT

Particulars	Amount	Particulars	Amount
Balance b/d (Opening)	234,000	Cash A/c	720,000
Credit Sales *(Bal. Fig.)*	***1,389,600***	Bill Receivable	690,000
Bills Receivable (Dishonored)		Returns inwards	33,600
	150,000	Bad Debts	30,000
		Balance c/d (Closing)	300,000
	1,773,600		1,773,600

Total Sales = Credit Sales + Cash Sales
Rs. 1,809,600 = Rs. 1,389,600 + Rs. 420,000

Example 15: Mr. Yaawar is operating a garments shop and doesn't maintain the record of his business transactions properly. He wants to calculate the value of total purchases that he made in the last three months. You are required to help him in calculating the value of total purchases from the following information provided by him: *(All Amounts are in Rupees)*:

Cash Purchases	300,000	Return outwards	55,700
Accounts Payables (Beginning)	275,300	Accounts Payables (Ending)	422,800
Cash Paid to Creditors	187,650	Discount Received	27,000

Solution: To calculate the value of total purchases, credit purchases should be calculated first, which may be calculated from the following account:

CREDITORS ACCOUNT

Particulars	Amount	Particulars	Amount
Cash A/c	187,650	Balance b/d (Opening)	275,300
Purchases Returns	55,700	Credit Purchases *(Bal. Fig.)*	***417,850***
Discount Received	27,000		
Balance c/d (Closing)	422,800		
	693,150		693,150

Total Purchases = Credit Purchases + Cash Purchases
Rs. 717,850 = Rs. 417,850 + Rs. 300,000

Example 16: From the following particulars, provided by Mr. Haashim, you are required to calculate the amount of Acceptance given during the last month of operation:

Opening balance of Bills Payable	*Rs.* 15,600
Closing balance of Bills Payable	23,800
Bills Payable honored during last month	150,500
Bills Payable dishonored during last month	25,900

Solution: **BILLS PAYABLE ACCOUNT**

Particulars	Amount	Particulars	Amount
Cash A/c (B/P honored)	150,500	Balance b/d (Opening)	15,600
Creditors A/c (B/P Dishonored)		Creditors A/c (Acceptance given)	
Balance c/d (Closing)	25,900		***184,600***
	23,800		
	200,200		200,200

Example 16: Haji Waqar owns a bookshop and keeps his business record based on a single-entry system. The following Balances are taken from his books of accounts:

	June 30, 2014	June 30, 2015
Cash in hand	*Rs.* 44,625	*Rs.* 73,500
Cash at bank	1,050	1,575
Accounts Receivables	15,750	10,500
Stock	105,000	136,500
Office equipment	9,450	9,450
Furniture and Fixtures	84,000	84,000
Accounts Payables	115,500	152,250

Haji Waqar provides the following further information related to his business:

i. Collected Rs. 22,300 from the debtors and allowed a discount amounting Rs. 750.
ii. Paid Rs. 87,600 to sundry creditors and received Rs. 1,900 as a discount.
iii. Paid Rs. 15,500 as salaries; and Rs. 4,100 as utilities bills.
iv. Withdrew cash Rs. 1,250 for personal use.

Required: Prepare trading, Profit, and loss account for the year ended on June 30, 2015, and balance sheet as on June 30, 2015.

Solution: Note*:* Before preparing the trading, profit, and loss account and balance sheet, it is necessary to prepare the debtors and creditors account to find the value of sales and purchases, the cash account to ascertain the value of cash sales, and the statement of affairs to know the opening capital of the entity.

DEBTORS ACCOUNT

Particulars	Amount	Particulars	Amount
Balance b/d (Opening)	15,750	Cash A/c	22,300
Credit Sales *(Bal. Fig.)*	***17,800***	Discount	750
		Balance c/d (Closing)	10,500
	33,550		33,550

CREDITORS ACCOUNT

Particulars	Amount	Particulars	Amount
Cash A/c	87,600	Balance b/d (Opening)	115,500
Discount Received	1,900	Credit Purchases *(Bal. Fig.)*	***126,250***
Balance c/d (Closing)	152,250		
	241,750		241,750

CASH ACCOUNT

Particulars	Amount	Particulars	Amount
Opening Balance	44,625	Creditors (Cash paid)	87,600
Debtors (Cash received)	22,300	Salaries expenses	15,500
Cash Sales (Bal. Fig.)	**115,025**	Utilities expenses	4,100
		Drawings	1,250
		Closing Balance	73,500
	181,950		181,950

HAJI WAQAR
STATEMENT OF AFFAIRS
AS ON JUNE 30, 2014

Assets	Amount	Liabilities	Amount
Cash in hand	44,625	Sundry Creditors	115,500
Sundry Debtors	15,750		
Merchandise inventory	105,000		
Office equipments	9,450	**Capital *(Bal. Fig.)***	143,325
Furniture and Fixture	84,000		
Total	258,825	**Total**	258,825

Total Sales = Cash Sales + Credit Sales
Rs. 132,825 = Rs. 115,025 + Rs. 17,800

HAJI WAQAR
TRADING, PROFIT & LOSS ACCOUNT
FOR THE PERIOD ENDED ON JUNE 30, 2015

Particulars	Amount	Particulars	Amount
Opening Stock	105,000	Sales	132,825
Purchases	126,250	Closing Stock	136,500
Gross Profit c/d	*38,075*		
	269,325		269,325
Salaries Expenses	15,500	*Gross Profit b/d*	38,075
Utilities Expenses	4,100	Discount Received	1,900
Discount Allowed	750		
Net Profit	***19,625***		
Total	39,975	Total	39,975

HAJI WAQAR
BALANCE SHEET
AS ON JUNE 30, 2015

Assets	Amount	Liabilities	Amount
Cash in hand	73,500	Sundry Creditors	152250
Sundry Debtors	10,500	Capital Rs. 143,325	
Merchandise inventory	136,500	(-)Drawings 1,250	
Office equipment	9,450	142,075	
Furniture and Fixture	84,000	(+) Net Profit 19,625	
			161,700
Total	313,950	**Total**	313,950

UNIT – 6

CASH & BANK TRANSACTIONS

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CONTENTS

Sr.	*Subject*		*Page No.*
	Introduction		**113**
	Objectives		**113**
1.	**CASH BOOK**		**114**
	1.1	Importance of Cashbook	114
	1.2	Advantage of Cashbook	114
	1.3	Features of Cashbook	114
	1.4	Vouchers	114
2.	**POSTING OF CASHBOOK**		**114**
	2.1	Kinds of Cashbook	114
	2.2	Single Column Cashbook	114
	2.3	Double or Two Column Cashbook	117
	2.4	Three Column Cashbook	123
3.	**BANKING TRANSACTIONS**		**127**
	3.1	Double Record of Bank Transactions	127
	3.2	Causes of Disagreement	127
	3.3	Bank Reconciliation Statement	127
	3.4	First Method	128
	3.5	Second Method	128
4.	**PETTY CASHBOOK**		**141**
	4.1	Definition	141
	4.3	Imprest System	141
	4.4	Advantages of Impress System	142
5.	**Cash Verification, Cash Short and Over Account**		143
6.	**SUMMARY**		144

INTRODUCTION

Cash is one of the most important assets in a business organization. No work, no production, no purchase, and no sale can be done without cash. A cashbook is maintained to record receipts and payments of cash. In accounting work, cashbook operations are very important. The student must learn and carefully see how cash books are written and balanced periodically.

The bank sends a bank statement weekly or monthly. The Accountant must learn how to check the bank statements with the corresponding record kept by him. He must learn how to reconcile any differences between the entries made by him in his ledger Bank Account and those recorded and shown by the bank in the weekly or monthly bank .statement. All these things will be dealt with in detail in this Unit, and the student is advised to carefully follow the examples given in each case.

OBJECTIVES

The study of this unit will enable you to understand and learn about the following matters regarding the cash operations of a firm or company.

- Necessity of writing the cash book
- Different kinds of cash book
- Posting of cash vouchers in the cash book
- Posting to ledger accounts from the cash book

1. CASHBOOK

1.1 Importance of Cashbook: The cashbook is a critical book of original entries in any business, used to record all cash receipts and payments. Due to the high volume of cash transactions and the risk of theft, it is essential to maintain an accurate, up-to-date record that is monitored by a responsible person. Cashbooks vary in format based on business needs but serve the vital purpose of tracking all cash dealings, ensuring accuracy and accountability.

1.2 Advantage of Cashbook: The primary advantage of a cashbook is its role as both a book of original entries and part of the ledger. It simplifies recording by listing cash receipts on the debit side and payments on the credit side. As cash transactions are the most frequent in any business, having a separate book for these entries improves organization and control. The balances from the cashbook are included in the trial balance and balance sheet, just like other ledger accounts, ensuring comprehensive financial reporting.

1.3 Features of Cashbook

1. Only cash transactions are recorded in the cashbook.
2. It performs the functions of both the journal and the ledger at the same time.
3. All cash receipts are recorded on the debit side and all cash payments are recorded on the credit side.
4. It records only one aspect of a transaction i.e. cash.
5. All cash transactions are recorded chronologically, date-wise, in the cashbook.
6. The cashbook, recording only cash transactions, can never show a credit balance.

1.4 Vouchers: For every entry made in the cashbook, there must be a proper voucher. Vouchers are documents containing evidence of payments and receipts. When money is received generally a printed receipt is issued to the payer but the counterfoil of the carbon copy of it is preserved by the cashier. These copy receipts are called debit vouchers, and they support the entries appearing on the debit side of the cashbook. Similarly, when payment is made a receipt is obtained from the payee. These receipts are known as credit vouchers. All the debit credit vouchers are consecutively numbered. For ready reference, the number of the vouchers is noted against the respective entries. A column is provided on either side of the cashbook for this purpose.

2. POSTING OF CASH BOOK

2.1 Kinds of Cashbook: The following are the three forms of cashbook met with in practice:

i. Single-column cashbook or simple cashbook
ii. Double-column cashbook
iii. Triple-column cashbook (or three-column cashbook).

2.2 Single-column cashbook: It records only cash receipts and payments. It has only one amount column on each of the debit and credit sides of this book. All the cash receipts are entered on the debit side and the cash payments are on the credit side.

How to make entries?: While writing a Single Column Cashbook the following points should be kept in mind:

1. The pages of the cashbook are vertically divided into two equal parts. The left-hand side is for recording receipts and the right-hand side is for recording payments.
2. Begin the cashbook with the balance brought forward from the preceding period or with what we start. It appears at the top of the left side as To Balance" or "To Capital" in case of a new business.
3. Record the transactions in order of date.
4. If any amount of cash is received on the account, the name of that account is entered in the particular column by the word "By" on the left-hand side of the cashbook.
5. If any amount is paid on an account, the name of the account is written in the particular column by the word "By" on the right-hand side of the cashbook.
6. It should be balanced at the end of a given period.

Posting: The balance at the beginning of the period is not posted but other entries appearing on the debit side of the cash book are posted to the credit side of the respective accounts in the ledger, and the entries appearing on the credit side of the cash book are posted to the debit side of the proper accounts in the ledger.

Example-1: Write the following transactions in the Simple cashbook and post them into the ledger:

Date	Accounts	Rs.
Jan. 1	Cash in hand	15000
Jan. 6	Purchased goods for cash	2000
Jan. 16	Received from Akbar	3000
Jan. 18	Paid to Babar	1000
Jan. 20	Cash sales	4000
Jan.25	Paid for stationery	60
Jan.30	Paid for salaries	1000
Jan. 31	Purchased office furniture	2000

Solution:

Debit Side — Credit Side

Date	Particulars	VN	LF	Amount	Date	Particulars	VN	LF	Amount
Jan. 1	Balance b/d			15000	Jan. 6	By Purchase			2000
" 16	To Akbar			3000	" 18	By Babar			1000
" 20	To Sales a/c			4000	" 25	By Stationery			60
					" 30	By Salaries a/c			1000
					" 31	By Furniture a/c			2000
						By Balance b/d			15940
				22000					22000
Feb.1	To balance b/c			15940					

Akbar Account

January 16,	By Cash	3000 Cr.

Sales Account

January 2,	By Cash	4000 Cr.

Purchase Account

January 6,	To Cash	2000 Dr.

Babar

January 18,	To Cash	1000 Dr.

Stationery Account

January 25,	To Cash	60 Dr.

Salaries Account

January 30,	To Cash	1000 Dr.

Furniture Account

January 31,	To Cash	2000 Dr.

The student should note that when postings to the ledger accounts from the cashbook are made, the following points should be carefully noted:

A: Cashbook receipt side: (Cash receipts): Cash receipt side denotes debits to cash. Hence relevant accounts in the ledger would be credited. For example, cash received from Akbar would be shown in the cashbook on the debit side, while in the ledger, Akbar's account would be credited.

B: Cashbook payment side (cash payment): In this case cash account has been credited to the cashbook. Hence corresponding accounts would be debited in the ledger, for example, payments on account of salaries; stationery, and purchases would be debited in the following accounts respectively:

- Salaries Account
- Stationery Account
- Purchases Account

Example 2: Mr. Ali is running a sole proprietorship business. Major operations of business include manufacturing and sale of sports items. The business has limited clients in the city, but the business is in the phase of expanding its clients by offering discounts and competitively better prices. The business recently hired a new accountant to look at its accounting activities. First assignment of the new accountant was to prepare the cash book of the business for the month of January, 2016.

During the month of January 2016, **following transactions were recorded; the accountant is required to enter the transaction in single-column cash Book**.

Date	Accounts	Amount
2016Jan.1st	Mr. Ali started the business with cash	700,000
…..7	Purchased goods for cash	200,000
….13	Paid for stationery	12,000
….18	Sold goods for cash	150,000
….21	Paid for salaries	120,000
….23	Received Cash from Mr. Ahmer	100,000
….24	Paid cash to Mr. Noman	50,000
….26	Drew cash from business for personal use	10,000
….27	Paid for electricity bill	15,000
….29	Paid rent	25,000

Required: Prepare Single Column Cash Book **Solution:**

MR. Ali
Single-column cash Book
For the month of January, 2016

Dr. **Cr.**

Date	Particular	V.N	L.F	Cash Rs.	Date	Particular	L.N	L.F	Cash Rs.
2016					2016				
Jan.1	Capital a/c		5	700,000	Jan.7	Purchases A/c		6	200,000
...18	Sales A/c		8	150,000	…13	Stationery a/c		3	12,000
…23	Mr. Ahmer		7	100,000	…21	Salaries		4	120,000
					…24	Mr. Noman		9	50,000
					…26	Drawing		1	10,000
					…27	Electricity bill		2	15,000
					…29	Rent		13	25,000
					Jan.31	Balance c/d			**518,000**
2015				950,000					950,000
Feb.1	Bal. b/d			518,000					

2.3 Double or Two-Column Cashbook: A double-column cashbook is one, which consists of two separate columns on the debit side as well as the credit side for recording cash and discount. In many concerns, it is customary for traders to allow or to receive a small allowance against the dues. These allowances are made for prompt settlement of accounts. In certain businesses, almost all receipts or payments are accompanied by such discounts, and in order to avoid unnecessary postings separate columns in the cashbook are introduced to record the discounts received or allowed. These discount columns are memorandum columns only. They do not form the 'Discount Account'. The discount column on the debit side of the cashbook will record discounts allowed and that on the credit side discounts received.

Posting: The cash columns will be posted in the same way as the simple cashbook. But as regards discount column. Each item of discount allowed (Dr. side of cashbook) would be posted to the credit of the respective personal account. Similarly, each item of discount received will be posted to the debit side of the respective personal account. The total of the discount column on the debit side of the cash book will be posted to the debit side of the discount account in the Ledger and the total of the discount column on the credit side of the cash book on the credit side of the discount account. The discount columns are not balanced like the cash column of the cashbook.

Example 3: Form the following transactions and write up a two-column cashbook and posting ledger:

Jan. 1,	Cash in hand Rs. 2000/-
Jan. 7,	Received from Riaz & Co. Rs. 200/- Discount allowed Rs. 10/-
Jan. 12,	Cash sales Rs. 1000/-
Jan. 15,	Paid Zahoor Sons Rs. 500/-. Discount received Rs. 15/-
Jan. 20,	Purchased goods for cash Rs. 300/-
Jan. 25,	Received from Salam Rs.500/-, Discount received Rs.15/-

Jan. 27, Jan. 28, Jan. 31	Paid Hassan & sons Rs.300/- Bought furniture for cash Rs.100/- Paid rent Rs. 100/

Solution:

Date	Particular	VN	Lf	Disc.	Cash	Date	Particular	VN	LF	Disc.	Cash
Jan. 1	To balance b/d			.	2000	Jan. 15	By Zahoor sons			15	500
Jan. 7	T Riaz & Co.			10	200	Jan. 20	By Purchases a/c				300
Jan. 12	To sale a/c				1000	Jan. 27	By Hasan & Sons				300
Jan. 25	To Salman			15	500	Jan. 28	By furniture a/c				100
						Jan. 31	By rent a/c				100
						Jan.31	By balance c/d				2400
	Total			25	3700		Total			15	3700
Feb. 1	To balance b/d				2400						

Riaz & Company Account

			Jan. 7	By cash By discount	200 10

Sales Account

			Jan. 12	By cash	1000

Salman Account

			Jan. 25	By cash By discount	500 15

Zahoor & Sons Account

Jan. 15,	Cash Discount	500 15			

Purchase Account

Jan. 20,	Cash	300			

Hassan & Sons Account

Jan. 27,	Cash	300			

Furniture Account

Jan. 28,	Cash	100			

Rent Account

Jan. 31,	Cash	100			

Discount Account

Jan. 31,	To sundries as per cash book	25	Jan. 31	By sundries as per cash book	15

Example-4: Mr. Fiazan and his sons are running a Partnership business.. Suppose you are the accountant of the business; you are required to prepare a double-column cash book for the months of March 2025. During the month of March 2025, the following transactions were recorded you are required to enter the transactions in a double-column cash Book and post them into the ledger.

2025	Cash in hand.	Rs. 900,000
Mar1	Received Cash from Mr. Akber and allowed discount Rs.500.	155,000
…9	Paid for salaries.	18,500
...16	Purchased goods for cash invoice no.21.	150,000
…19	Paid for stationary.	18,000
...22	Goods sold for cash invoice no.25.	165,000
...24	Paid cash to Mr. Noman and received discount Rs.500.	75,000
...26	Goods taken by proprietor for personal use.	15,000
..28	Paid for electricity bill.	22,000
..30	Purchased Machinery.	225,000
..31	Received a cheque from Mr. Waqar	125,000
..31		

Required: Prepare Double double-column cash Book and post into the ledger.

Solution:

Mr. Fiazan & Sons

Double-column cash Book

For the month of March, 2025

Dr **(Page # 3)** **Cr**

Date	Particular	V.N	L.F	Disc. Rs.	Cash	Date	Particular	V.N	L.F	Disc. Rs.	Cash Rs.
2025						2025					
Mar.1	Balance b/d				900,000	Mar.					
09	Mr. Akbar		2	500	155,000	16	Salaries a/c		05		18,500
24	Sales a/c	25	7		165,000	19	Purchases a/c	21	04		150,000
31	Mr. Waqar		18		125,000	22	Stationery a/c		11		18,000
						26	Mr. Noman		08	500	75,000
						28	Drawing a/c		09		15,000
						30	Electricity bill		13		22,000
						31	Machinery a/c		15		225,000
						Mar.31	Balance c/d				**821,500**
2025											
Apr.1	Balance b/d										
				500	1,345,000					500	1,345,000
					821,500						

Ledger

Mr. Akbar Account (Folio 2)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr Rs.
2016 Mar.09	Cash a/c	3	23		55,000	155,000

Salaries Account (Folio 5)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.16	Cash a/c	3		18,500		18,500

Purchases Account (Folio 4)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.19	Cash a/c	3	21	150,000		150,000

Stationery Account (Folio 11)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.22	Cash a/c	**3**		18,000		18,000

Sales Account (Folio 7)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr Rs.
2016 Mar.24	Cash a/c	**3**	25		165,000	165,000

Mr. Noman Account (Folio 08)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.26	Cash a/c	3		75,000		75,000

Drawing Account (Folio 09)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.28	Cash a/c	3		15,000		15,000

Electricity bill Account (Folio 13)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.30	Cash a/c	3		22,000		22,000

Machinery Account (Folio 15)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.31	Cash a/c	**3**		225,000		225,000

Mr. Waqar Account (Folio 18)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr. Rs.
2016 Mar.31	Cash a/c	**3**			125,000	125,000

Example-5: Mr. Khazir deals with the purchase and sale of furniture items. Business has been operating its activities since a decade and has a good reputation in the market. Recently the accountant of the business left the job. Mr. Khazir is now looking for an accountant who can look after the recording of transactions and maintenance of cash book on regular basis. New accountant is required to help Mr. Khizar in preparation of Double column cash book and the further posting of the transactions into the general ledgers. During the month of May 2016, following transactions were recorded.

2016	
May1	Cash in hand Rs. 250,000.
03	Paid for salaries Rs. 25,000.
09	Paid for stationary Rs. 14,000.
12	Goods sold for cash Rs. 50,000 @1% cash discount invoice No. 52.
15	Paid cash to Mr. Ali Rs.25, 000 and received discount Rs.500, which were goods purchased on credited from him.
17	Drew cash from business for personal use of owner Rs. 10,500.
17	Goods sold for cash Rs.10, 000.
23	Paid for Rent Rs.18, 500.
26	Purchased Furniture Rs. 28,500.
28	Received a cheque from Mr. Amir and deposited into bank Rs. 20,000.
28	Received Cash from Mr. Manan Rs. 29,700 and allowed discount Rs.300
29	Paid for trade expense Rs. 5,000.
31	Cheque Received Rs. 24,500 from Mr. Azeem in full settlement of his account Rs.25, 000.

Required: Prepare Double Column Cash Book and post into ledger.

Solution:

Mr. khazir

Double column cash Book

For the month of May, 2016

Dr. **(Page. 108)** **Cr.**

Date	Particular	V.N	L.F	Dis. Rs.	Cash Rs.	Date	Particular	V.N	L. F	Disc. Rs.	Cash Rs.
2016	Balance b/d				250,000	2016					
May 1	Sales a/c (w-1)		5	500	49,500	May.					
12	Sales a/c	52	5		10,000	03	Salaries a/c		2		25,000
17	Mr. Manan		23	300	29,700	09	Stationery a/c		1		14,000
28	Mr. Azeem		28	500	24,500	15	Mr. Ali		5	500	25, 000
31						17	Drawing a/c		0		10,500
						23	Rent a/c		9		18,500
						26	Furniture a/c		0		28,500
						29	Trade expense		8 1		5,000
						May. 31	Balance c/d		2 1 6		237,200
				1,300	363,700				2 4	500	363,700
2016 Jun.1	Balance b/d				237,200						

Working -1 Goods Sold for cash Rs. 50, 000 discount 5% invoice No. 52.

Goods price= Rs.50, 000

Discount rate = 1%

= Rs. 50,000 × 1 ÷ 100 = Rs.500

Discount price = Rs.500

Net goods price after discounts = Rs.50, 000 – Rs.500 = Rs.49, 500

Note:

L.F = Ledger Folio

J. R = Journal References

V.N = Voucher No

C/D = Carried down / Ending balance
B/d = brow down / opening balance

Ledger

Salaries Account (Folio 2)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 May.03	Cash a/c	108		25,000		25,000

Stationery a/c (Folio 15)

Date	Particular	J.R	V N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 May.09	Cash a/c	108		14,000		14,000

Sales a/c (Folio 5)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr. Rs.
2016						
May.12	Cash a/c	108	52		49,500	49,500
May.17	Cash a/c	108			10,000	59,000

Mr. Ali (Folio 09)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 May.15	Cash a/c	108		25,000		25,000

Drawing a/c (Folio 08)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 May.17	Cash a/c	108		10,500		10,500

Rent a/c (Folio 12)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 Mar.23	Cash a/c	108		18,500		18,500

Furniture a/c (Folio 16)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016 May.26	Cash a/c	108		28,500		28,500

Mr. Manan A/c (Folio 23)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr. Rs.
2016 May.28	Cash a/c	108			29,700	29,700

Trade expense A/c (Folio 24)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Dr. Rs.
2016						
May.29	Cash a/c	108		5,000		5,000

Mr. Azeem A/c (Folio 28)

Date	Particular	J.R	V.N	Dr. Rs.	Cr. Rs.	Balance Cr. Rs.
2016						
May.31	Cash a/c	108			24,500	24,500

2.4 Three-Column Cashbook: A three-column cashbook is one in which there are three columns on each side, i.e. debit & credit side, one is used to record cash transactions; the second is utilized for bank transactions, while in the third column, discount is recorded. When a trader keeps a bank account it becomes necessary to record the amounts deposited into the bank and withdrawals from it. For this purpose, one additional column is added on each side of the cashbook. Such a cashbook is very helpful to businessmen since it reveals the cash and bank account at a glance.

Procedure

1. Put the opening balance (if any) of cash in hand and cash at the bank on the debit side in the cash and bank column. If the opening bank balance is a credit balance (overdraft) then it will be put in the credit side of the cashbook in the bank column.
2. Cheques or cash received. If a cheque is received from any person and is paid into the bank on the same date it will appear on the debit side of the cashbook as "To a person". The amount will be shown in the bank column. If the cheques received are not deposited into the bank on the same date, then the amount will appear in the cash column. Cash received will be recorded in the usual manner in the cash column.
3. Payment by cheques or cash. When we make a payment by cheque, this will appear on the credit side "by a person or other account" and the amount will be shown in the bank column. If the payment is made in cash, it will be recorded in the usual manner in the cash column.
4. Contra Entries. Contra entries are those entries that affect both sides of the cashbook simultaneously. For instance, when the cash in hand is deposited into the bank account bank account is debited and the cash account is credited with the same amount or when the cash is withdrawn from the bank for office use the cash account is debited and the bank account is credited for this single transaction. These types of entries are called contra entries.

Further explanation of the contra entries:

a. Cash is deposited into the Bank by office. It is payment from cash and receipt in the bank. Therefore, enter the "To Cash" column. The reason for making two entries is to comply with the principle of double entry, which in such transactions is completed, and therefore, no posting of these items is necessary. Such entries are marked in the cashbook with the letter "C" in the folio column.

b. Cheques are drawn for office cash. It is payment by bank and receipt in cash. Therefore, enter on the debit side, the cash column "To bank" and on the credit side, the bank column "By Cash".

Bank charges and bank interest are allowed. Bank charges appear on the credit side, bank column "By Bank Charges". Bank interest allowed appears on the debit side, bank column "To Interest".

Posting: The method of posting of a three-column cashbook into the ledger is as follows:

1. The opening balances of cash in hand and cash at the bank are not posted.
2. Contra entries (marked with C) are not posted.
3. All other items on the debit side will be posted to the credit of all other items on the credit side will be posted to the debit of the respective accounts.
4. As regards discounts, the total of the discount allowed would be posted to the debit of the discount allowed account in the ledger and the total of the discount received to the credit side of the discount received account hence these are two separate accounts one is expense and the other is income.

Example-6: Hussain & Co. is a partnership business dealing with the supply of surgical items. During January 2025, the following transactions were recorded:

Date	Particular
2025	
Jan.1	Cash balance 500,000 from which deposited into Bank Rs. 300,000.
3.	Cash purchases Rs. 35000 less 2.5% trade discount.
5.	Received cheque Rs.85, 000 for sale of old Furniture and deposited into bank same day.
8.	
10.	Cash drew from bank Rs. 17,500 and paid to salaries Rs. 7,500 and rent Rs. 10,000.
12.	Bank charges Rs. 1,800
13.	Purchased furniture paid by cheque. Rs. 25,300.
15.	Paid salary Rs. 14,000.
19.	Cash deposited into Bank Rs. 21,000.
23.	Goods sold to Mr. Ali on credit Rs. 28,000.
26.	Paid telephone charges Rs. 2000.
27.	Received a cheque from Mr. Ali Rs. 27,500 but full settlement of his account Rs.
28.	28,000.
29.	Mr. Ali's cheque deposited into Bank.
30.	Withdrew from the bank for business use Rs. 45,000.
31.	Cash drew from business for his personal use. Rs. 5,000.
	Stationery purchased for cash Rs. 1,500.
	Received cash from Mr. Faqi-ul-Hasan Rs. 19,500 and discount allowed Rs. 500.

Required: Prepare a Column Cash Book

Solution:

Husain & Co.

Three-Column Cash Book

For the month of January, 2025

Dr. **(Page. 108)** **Cr.**

Date	Particular	J.R	V.N	Dis.	Cash	Bank	Date	Particular	J.R	V.N	Dis.	Cash	Bank

2025							202						
Jan.	**Balance**				200,000	300,00	5	Purchases **(w-**				34,125	
1	**b/d**					0	Jan.	**1)**	C				17,500
5.	Old	C			17,500	85, 000	3	Cash a/c				7,500	
8.	Furniture	C					8.	Salaries a/c				10,000	
15.	Bank a/c			500	27,500	21,000	8.	Rent a/c					1,800
26.	Cash a/c	C					8.	Bank charges					25,300
27.	Mr. Ali	C			45,000	27,500	10.	Furniture a/c				14,000	
28.	Cash a/c			500	19,500		12.	Salary a/c	C			21,000	
31.	Bank a/c						13.	Bank a/c				2,000	
	Faqi-ul-						15.	Telephone a/c	C			27,500	
	Hassan						23.	Bank a/c	C				45,000
							27.	Cash a/c				5,000	
							28.	Drawing a/c				1,500	
							29.	Stationery a/c					
							30.					**186,87**	**267,400**
								Balance c/d				**5**	
					309,500	**357,00**	Jan					**309,50**	**357,000**
Feb						**0**	31					**0**	
1.					**186,875**	**267,40**							
	Balance b/d					**0**							

Note: C for Contra entry: A transaction in which cash a/c and Bank a/c are involved is recorded on both sides of the column cash Book; it is called "contra entry".

Working -1 : Cash purchases Rs. 35000 less 2.5% **trade discount**.

Purchases =Rs. 35000

Discount rate @ 2.5%

Discount price = Rs.35, 000 × 2.5 ÷ 100 = Rs**. 875**

Net purchases after less trade discount = Rs.35, 000 - Rs.875 = Rs. 34,125

- The net price of the purchases is Rs. 34,125 is recorded but rs.875 is not recorded due to a trade discount.

Working -2: 19 January 2017 Goods sold to Mr. Ali on credit Rs. 28,500.

Entry is not passed because it will be treated on a credited basis.

Example-7: Mr. Shaid Sadqi is running a sole proprietorship business. During the month of April 2017, the following transactions were recorded you are required to enter the transactions in the column cash Book.

Date	Particular
Apr1st	Cash in hand Rs. 300,000 overdraft bank Rs. 100,000.
5	Stationery purchased for cash Rs. 2,500.
	Received cash from Mr. Naeem Rs. 29,500 and allowed discount Rs.500.
7	Banked cash Rs. 80,000.
9	Bank collected bill receivable from debtor and deposited into business account Rs. 127,500.
13	Paid for salaries Rs. 26,000.
18	Bank paid for notes payable Rs. 25,000 on due date.
23	Mr. Aslam who owed Rs. 70,000 on an invoice subject @ 5% cash discount. A cheque
25	received from him which was lodged into a bank.
28	Paid cash into bank Rs. 15,000.
29	Purchased equipment for business use Rs. 35,000 paid by cheque.

30	Purchased furniture for personal use Rs. 16,000 paid by cheque through business account.

Required: Prepare three Column Cash Book

Solution:

Mr. Shaid Sadqi.

Three Column Cash Book

For the month of April, 20-

Dr. **(Page. 108)** **Cr.**

Date	Particular	J.R	V.N	Dis.	Cash	Bank	Date	Particular	J.R	V.N	Dis.	Cash	Bank
Ap.1	**Balance**						Ap.1	**Balance**					
7.	**b/d**				300,000		5.	**b/d**					100,000
9.	Mr. Naeem			500	29,500		9.	Stationery				2,500	
13.	Cash A/c	C				80,000	18.	a/c	C			80,000	
25.	Bill					127,500	23.	Bank A/c					26,000
28	receivable			3,500		66, 500	28.	Salaries a/c				25,000	
	Mr. Aslam	C				15,000	29.	Notes	C			15,000	
	a/c						30	payable					35,000
	Cash a/c							Bank A/c					16,000
								Equipment					
							2017	a/c					
								Drawing a/c				**207,000**	**112,000**
				4,000	329,500	289,000						**329,500**	**289,000**
					207,000	**112,000**		**Balance c/d**					
	Balance b/d												

Working -1 For 25 April 2017: Mr. Aslam owed Rs. 70,000 on an invoice subject @5% cash discount. A cheque was received from him which was lodged in a bank.

Total amount = Rs.70, 000

Discount rate @ 5%

Discount price = Rs.70, 000 × 5 ÷ 100 = Rs.**35, 00**

Total amount received from Mr. Aslam after discount deduction

= Rs.70, 000 – Rs.35, 00= **Rs.66, 500**

MR. Aslam‘s cheque is treated as a bank because deposited into the bank on the same date.

3. BANKING TRANSACTIONS

3.1 Double Record of Bank Transactions

From time to time the balance shown by the bank and cash column of the cashbook required to be checked. The balance shown by the cash column of the cashbook must agree with the amount of cash in hand on that date. Thus reconciliation of cash balance is a simple matter. If it does not agree it mean that either some cash transactions have been omitted from the cashbook or an amount of cash has been stolen or lost. The reason for the difference is ascertained and cashbook can he corrected. So far as bank balance is concerned its reconciliation is not so simple. The balance shown by the bank column of the cashbook should always agree with the balance shown by the passbook because the "Bank Pass Book" is a copy of the customer's account in the bank's ledger. But the bank balance as per cash book and bank balance as shown by the bank passbook (bank statement) seldom agree. Periodically, therefore, a statement is prepared called "Bank Reconciliation Statement" to find out the reasons for disagreement between the bank passbook balance and the cash book balance, and to test whether the apparently conflicting balance really agrees.

3.2 Causes of Disagreement: Usually, the reasons for the disagreement are:

1. That our banker might have allowed interest, which has not yet been entered in our cashbook.
2. That our banker might have debited our account for any such item. As interest on overdraft, commission for collecting cheques, incidental charges etc., which we have not entered in the cash book.
3. That some of the cheques which we drew and for which we credited out bank account prior to the date of closing, were not presented at the bank and therefore, not debited in the passbook (Bank statement).
4. That some cheques or drafts which we deposited into bank for collection and for which we debited our bank account were not realized within the date of closing and therefore, not credited by the bank.
5. That the banker might have credited our account with amount of a "Bill of Exchange" or any other direct payment into bank and the same may not have been entered in the cash book.
6. That cheques dishonored might have been debited in the passbook but have not been given effect to in our books.

3.3 Bank Reconciliation Statement

To prepare the bank reconciliation statement, the following rules may be useful for the student:

1. Check the cashbook receipts and payments against the bank pass book.
2. Items not ticked on either side of the cashbook will represent those, which have not yet passed through the passbook. Make a list of these items.
3. Items not ticked on either side of the passbook will represent those, which have not yet passed through the cashbook. Make a list of these items.
4. Adjust the cashbook by recording therein those items which do not appear in it but which are found in the passbook, thus computing the correct balance of the cash book. There are two methods of preparing a reconciliation statement.

3.4 First Method (starting with the cashbook balance)

a. If the cash book balance is a debit balance, deduct from it all cheques, etc., paid into the bank but not collected and credited by the bank and add all cheques drawn on the bank but not yet presented for payment. The balance will agree passbook balance.
b. If the bank balance of the cash book is a credit balance (overdraft), add to it all cheques, drafts, etc., paid into the bank but not collected by the bank and deduct from it all cheques drawn on the bank but not yet presented for payment. The new balance will then agree with the balance of the passbook.

3.5 Second Method (starting with the pass book balance)

a. If the pass book balance is a debit balance, (an overdraft) deduct from it all cheques, drafts, etc., paid into the bank but not collected and credited by the bank and add to it all cheques drawn on the bank but not yet presented for payment. The new balance will agree with the balance of cashbook.
b. If the pass book balance is a credit balance (in favor of the depositor) add to it all cheques, drafts, etc., paid into the bank but not collected and credited by the bank

and deduct from it all cheques drawn on the bank but not yet presented for payment. The new balance will agree with the balance of the cashbook.

The rule for recording transaction in the cash book and in the pass book (bank statement) is as follows:

Particular	**Cash book**	**Pass book**	
Favorable balance /surplus balance	Dr.	Cr.	
Un-favorable balance / Deficit /overdraft balance	Cr.	Dr.	
	Double book (adjusted balance)		Single book (pass book /cashbook)
	Cash book (depositor's book)	**Pass book (bank' s book)**	
Un-presented cheque		Dr.	Dr.
Un-credited cheque		Cr.	Cr.
Cheque directly deposited into bank by customer	Dr.		Dr.
• Bank charges • Interest debited by bank/ overdraft • Commission charged • Misc. expenses directly paid by bank	Cr Cr Cr Cr		Cr Cr Cr Cr
Dishonored cheque	Cr		Cr
• Interest credited by bank • Dividend collected by bank • Notes receivable collected by bank	Dr Dr Dr		Dr Dr Dr
When we deposited cash into bank Dr. Bank A/c Cr. Cash A/c			

In order to prepare the Bank Reconciliation statement the following methods are used: First method (starting with the cash book balance)
Second method (starting with pass book balance)
Adjusted balance method (double book/ cash book and pass book)

Example-12: Mr. Asfer is running a sole proprietorship business. The business is newly established and Mr. Asfer hired an accountant for keeping the cash book updated. During the month of March 2017, he opened a current account with Habib Bank Ltd. Suppose you are the accountant of Mr. Asfer's business, prepare the cash book for the month of March, 2016. You are also required to suggest the entries into the passbook. Detail of the transactions during March, 2016 are given as follows:

March 1. Mr. Asfer opened the account with Habib Bank Ltd. for Rs. 2,000,000.

March 5. A cheque received from Furqan Rs.40,000 and deposited into the bank the same day.
March 11. Purchased furniture Rs. 50,000 paid by cheque.
March 16. Cash drew from bank for office use Rs. 15,000.
March 19. Paid rent by cheque Rs. 25,000.
March 23. Misc. expense debited by bank Rs. 30,000
March 25. Purchased goods from Mr. Ali amounting to Rs. 85,000 and the payment was made through a cheque.
March 29. Interest received from bank Rs. 25,000.

Required: Prepare cash book (only bank column) and passbook.

Solution :

Mr. Asfer

Cash Book (only bank column)

For the month of March, 2016

Dr. **Cr.**

Date	Particular	V.N	L.F	Bank Rs.	Date	Particular	V.N	L.F	Bank Rs.
2016									
Mar 1	Cash a/c		C	2,000,000	11.	Furniture a/c	15	6	50,000
5.	Furqan a/c	25	9	40, 000	16.	Cash a/c	18	C	15,000
29.	Interest a/c		5	25,000	19.	Rent a/c	56	3	25,000
					23.	Misc. expense	85	4	30,000
					25.	Mr. Ali	90	1	85,000
					2016				
					Mar.31	Balance c/d			**1,860,000**
				2,065,000					2,065,000
2016									
Apr1	Balance b/d			**1,860,000**					

Note: Cash Book is showing the bank column and the entries related to the bank only.

Pass book (record of Mr. Asfer A/c in bank's ledger)

Date	Particular	Dr (Withdrawal) Rs.	Cr (Deposits) Rs.	Dr / Cr Rs.	Balance Rs.
2016					
Mar 1.	Cash		2,000,000	Cr	2,000,000
5.	Furqan a/c		40, 000	Cr	2,040,000
11.	Furniture a/c	50,000		Cr	1,990,000
16.	Cash a/c	15,000		Cr	1,975,000
19.	Rent a/c	25,000		Cr	1,950,000
23.	Misc. expense	30,000		Cr	1,920,000
25.	Mr. Ali	85,000		Cr	1,835,000
29.	Interest a/c		25,000	Cr	**1,860,000**
	Balance as Per Pass Book	Cr. Rs.**1,860,000**			

Note: It is observed that the Cash Book and the Pass Book are showing similar balances. However, usually, both balances do not equate due to the timing differences and the errors.

Bank reconciliation statement: When there is a discrepancy between the balance of the cash book and the passbook, the depositor prepares a statement to clarify the reasons for the differences and to reconcile the balances. This explanatory statement is known as a "bank reconciliation statement."

Example 13: Mr. Noman is a renowned book dealer. He has a great business history, and he enjoys a very good reputation in the market. Given as follows is the extract of Mr. Noman's cash book and passbook. You being an accountancy student Mr. Noman need your expertise to prepare a bank reconciliation statement for the month of December 2016 from the available information.

Mr. Noman
Cash Book (only bank column)
For the month of December, 2016

Dr. **Cr.**

Date	Particular	Bank Rs.	Date	Particular	Bank Rs.
2016			2016		
Dec.1	Balance b/d	7,00,000	Dec.		
5.	Mr. Naeem	55,000	7.	Akber a/c	75,000
8.	Mr. Anwar	85,000	18.	Mr. Amir sh	1,20,000
25.	Nazakat a/c	2,00,000	23.	Mr. Jahangir	44,000
			30.	Mr. Asad	62,500
			2016		
			Dec.31	**Balance c/d**	**7,38,500**
		10,40,000			10,40,000

Passbook (record of Mr. Noman **A/c in bank's ledger)**
For the month of December**, 2016**

Dr. **Cr.**

Date	Particular	Amount Rs.	Date	Particular	Amount Rs.
2016			2016		
Dec.			Dec.1	Balance b/d	7,00,000
7.	Akber a/c	75,000	5.	Mr. Naeem	55,000
8.	Insure. paid	50,000	19.	Interest in deposit	12,000
15.	(directly)	5,000	25.	Nazakat a/c	2,00,000
23.	Bank charges a/c	44,000	30.	Divd.collected	13,000
26	Mr. Jahangir a/c	52,000		directly	
	Misc.exp (directly)				
		754,000			
	Balance c/d	980,000			980,000

Required: Prepare Bank Reconciliation Statement

How to prepare bank reconciliation?

- Compare both books and note all the transactions of disagreement.
- Modify all the items in the cash book in the standard method, which is not recorded in it due to lack of information about bank a/c's record. However, if there is a mistake at the bank's end there is no need to rectify it. It will only be identified in the reconciliation statement and will send to the bank for correction.

- Reconcile the other transactions in a logical statement, starting with on balance and finishing with the other.

The Bank Reconciliation Statement will be arranged in the following way.

1st step: **A revised cash book is prepared.**

Solution Mr. Noman

Cash Book (Revised cash book)

For the month of December, 2016

Dr. **Cr.**

Date	Particular	Bank Rs.	Date	Particular	Bank Rs.
2016			2016		
Dec1.	Balance b/d	7,00,000	Dec.7	Akber a/c	75,000
5.	Mr. Naeem	55,000	**8.**	**Insurance paid (directly)**	**50,000**
8.	Mr. Anwar	85,000	**15.**	**Bank charges a/c**	5,000
19.	**Interest in deposit**	**12,000**	18.	Mr. Amir sh.	1,20,000
25.	Nazakat a/c	2,00,000	23.	Mr. Jahangir	44,000
30.	**Dividend collected**		**26.**	Misc.exp (directly)	**52,000**
	directly	**13,000**	30.	Mr. Asad	62,500
			2016		
			Dec.31	**Balance c/d**	**656,500**
		10,65,000			10,65,000
2017		**656,500**			
Jan.1	**Balance b/d**				

Mr. Noman

Bank Reconciliation Statement

As on 31st December 2016

Sr. No	Particular	Cash Book	
		Dr / Cr Rs.	Balance Rs.
	Balance as cash book (Dr)		656,500 (Dr.)
	Add:		
	Un – presented cheque. (Mr. Amir's cheque-w-2)	1, 20,000 (dr)	
	Mr. Asad's cheque was not presented for payment.(w-3)	62, 500	+1,82,500
	Less :		
	Un-credited cheque (Mr. Anwar's cheque -w-1)		839,000 (Dr.)
	Balance as pass book (Cr.) favorable	85,000 (Cr)	-85,000
			754,000

(Note: W for working) Working -1: A cheque received from Mr. Anwar Rs. 85,000 on 08 December and deposited into bank a/c but credited by the bank in January 2017. As it is a timing difference, it will only be stated in the bank reconciliation statement and no adjustment is required.

Working -2: A cheque was issued to Mr. Amir for Rs. 1, 20,000 on 18 December 2016 but not presented to the bank for payment in December 2016. It was not recorded in the cash book due to this reason showing the discrepancy in the balance of the pass book and cash book. **Working -3:** Purchased goods from Mr. Asad for Rs.62, 500 on 30 December 2016 paid by cheque but it cheque were not presented to the bank for payment in December

2016. It was not recorded into the cash book due to this reason show the discrepancy in the balance of the book and cash book

Example-14:

On 31st December the balance of cash at the bank as shown by the cashbook of a trader was Rs.1401/- and the balance as shown by the pass book was Rs.2253/. On checking the passbook with the cash book it was found that cheques for Rs.116/- paid in on the 31st of December was not credited until the 1st January and the following cheques drawn prior to 31st of December were not presented at the bank for payment until the 5th January; Rashid & Sons Rs.29/-Bashir & Co., Rs.801/-. M. A. Jaleel Rs.6/-; Khalid Bros., Rs.132/-.
Prepare a statement reconciling the two balances.

Solution: Bank reconciliation statement on 31st December

First Method

Balance as per cashbook (Dr.)		1401
Less: cheque paid in but not collected		116
Add: cheque drawn but not presented:		1285
Rashid & Sons.	29	
Bashir & Company	801	
M.A. Jalil	6	
Khalid Brothers	132	968
Balance as per pass books Cr.		2253

Second Method

Balance as per passbooks (Cr.)		2253
Less: cheque drawn but not presented		968
		1285
Add: cheques paid in but not collected		116
Balance as per cash books		1401

Example-15: Mr. Naeem is running a motor car showroom. He is the only owner of the business. Recently the accountant working at Mr. Naeem's office has left the job and Mr. Naeem himself lacks the expertise to reconcile the cash book and the pass book. You being an accounting student, Mr. Naeem asked you to prepare a Bank reconciliation statement of Mr. Naeem as on 31st March 2017 from the following given information:

1. Balance as per Cash Book (favorable) Rs. 500,000.
2. Cheque deposited but not credited by bank until 31st March 2017 Rs. 120,000.
3. Cheque issued to the creditor but was not presented to the bank for payment until 31st March 2017 Rs. 110,000
4. Bank charges debited by bank Rs. 1,500.
5. Credited by the bank as dividend of Rs. 20,000 but not entered into the cash book.
6. Insurances premium was directly paid by the bank for Rs. 50,000 which is not recorded in the cash book.
7. A cheque for Rs. 56,000 deposited into the bank has been dishonored, but no entry is made in the cash book.

Required: Prepare the bank reconciliation statement as of 31st March 2017 in the following two methods. **1.** Starting with the cash book balance **2**. Starting with pass book balance

Solution: **1.** starting with the cash book balance

Mr. Naeem
Bank Reconciliation Statement
As on 31st March 2017

Sr. No	Particular	Cash Book	
		Dr. Rs.	Cr. Rs.
1.	Balance as cash book (favorable)	500,000	
2.	Un-credited cheque		120,000
3.	Un -presented cheque	110,000	
4.	Bank charges debited by the bank		1,500
5.	Dividend credited by the bank.	20,000	
6.	Insurance premiums paid by a bank but not entered into a cash book.		50,000
7.	Dishonored cheque		56,000
	Balance as pass book (Cr.) favorable		**402,500**
		630,000	630,000

Important tips for balance: The procedure for balancing this statement is as under:-

- First all the entries related to Dr Items are entered into Dr Column/side and those related to Cr Items are put into the Cr side.
- Add up both the Dr. Side and Cr side.
- Find out the difference.
- The difference so placed is "Balance". If the Dr Side is greater as compared to the Cr side then the balance will be written on the credit side or if Cr items are greater as compared to the Dr Side then the balance will be written on the Dr Side.

For example: Like this question cash book shows the favorable balance (Dr) and after some transactions add up on both sides, the Dr Side is greater as compared to the Cr side then placing the figure of Rs.630, 000 on both sides of the difference Rs. 402,500 put on the Cr side or smallest side.

Note: a cheque received, deposited, and returned dishonored is adjusted in the same way uncollected / un-credited cheque.

(2) Starting with passbook balance. **Mr. Naeem**

Bank Reconciliation Statement
As on 31st March 2017

Sr. No	Particular	Cash Book	
		Dr. Rs.	Cr. Rs.
1.	Balance as pass book (Cr.) Favorable		402,500
2.	Un-credited cheque		120,000
3.	Un -presented cheque	110,000	
4.	Bank charges debited by the bank		1,500
5.	Dividend credited by the bank		
6.	Insurance premium paid by bank	20,000	50,000
7.	Dishonored cheque		56,000
	Balance as cash book (Dr.) Favorable	500,000	
		630,000	630,000

Solution (example-15 - with another method)

Mr. Naeem
Bank Reconciliation Statement
As on 31st March 2017

Sr. No	Particular	Cash Book			
		Dr. Rs.	Cr. Rs.	Running .Rs.	Balance
1.	Balance as cash book (Dr)	500,000			500,000
2.	-Un-credited cheque				380,000
3.	-Un -presented cheque	110,000	120,000		490,000
4.	-Bank charges debited by the bank				488,500
	-Dividend credited by the bank.	20,000	1,500		508,500
5.	-Insurances premium paid by bank but not				
6.	entered into cash book.		50,000		458,500
	-Dishonored cheque		56,000		**402,500**
	Balance as pass book (Cr.) favorable				
7.					**402,500**

OR

Mr. Naeem

Bank Reconciliation Statement
As on 31st March 2017

Sr. No	Particular	Cash Book	
		Dr / Cr. Rs.	Balance. Rs.
			Dr.
	Balance as cash book (Dr)		500,000
		Dr.	
	Add:	110,000	
	-Un -presented cheque	20,000	
	-Dividend credited by the bank.		+130,000
			630,000
	Less :	Cr.	
	-Un-credited cheque	120,000	
	-Insurance premium paid by bank but not entered into cash book.	50,000	
	-Dishonored cheque	56,000	
	-Bank charges debited by the bank	1,500	
			-227,500
	Balance as pass book (Cr.) favorable		402,500

Example-16: Mr. Ali Run is a trader of household items. In recent years, as his business grew, he is faced problems in managing the accounts of his business. Due to the large number of transactions now and the complicated nature of them, he is finding it difficult to identify the difference in the cash book and the passbook. The paragraph given below shows the transactions in the month of August pertaining to the business of Mr. Ali. On 31st August 2016 the bank statement of Mr. Ali showed the credit balance of Rs. 515,500. Cheques for Rs. 123,000 were deposited into the bank in August 2016 out of which a cheque of Rs. 53,000 was not credited in August, 2016. Cheques amounting to Rs. 75,000

were issued, but only one cheque for Rs. 50,000 was presented for payment into the bank in August 2016. Electricity bill Rs.5, 600 was directly paid by the Bank but was not recorded in the cash book. A cheque of Rs. 15,000 for stationary but was recorded as Rs. 14,000 in cash book. Bank collected notes receivable from Miss. Hareem Rs. 50,000 and collection charges Rs.700 debited by bank.

Required: You being an accounting professional, Mr. Ali asked to prepare bank reconciliation statement as on August 31, 2016

Solution **Mr. Ali**

Bank Reconciliation Statement

As on August 31, 2016

Sr. No	Particular	Cash Book	
		Detail (Dr / Cr) Rs.	Balance Rs.
	Balance as pass book (Cr.) favorable	Cr.	515,500 (Cr)
	Add:		
	Un-credited cheque	53,000	
	Electricity bill paid by bank	5, 600	
	Under cost (15,000-14,000) **(w-2)**	1,000	
	Collection charges	700	+ 60,300
			575,800
	Less :		
	Un-presented cheque **(w-1)**	25,000	
	Notes receivable	50,000	-75,000
	Balance as cash book (Dr)		500,800

Working -1: As on 31st cheques issued for Rs. 75,000 for payment out of which cheque was presented for Rs. 50,000 in August 2016.

Total cheques amount =Rs. 75,000
Less: Presented cheque into bank =Rs. 50,000
Un-presented cheque = Rs. 25,000

Working -2: Cheque issued for stationary expense for Rs. 15,000 but recorded into cash book Rs. 14,000.

Total cheque amount = Rs. 15,000
Recorded into cash book = Rs. 14,000
Under cost amount = Rs. 1,000

Like this general journal entry:

Particular	Dr . Rs.	Cr . Rs.
Stationary expenses	15,000	
Bank a/c		14,000
Balance	15,000	14,000

Note: Cr side balance for Rs. 1,000 is under cost so added into Cr balance Rs. 1,000.

Example-17: On- 31st March the passbook showed the credit balance of Rs.10500/- cheques amounting to Rs.2750/- were deposited in the bank but only cheques of Rs.750/- had not been cleared up to 31st March. Cheques amounting to Rs.3500/- were issued, but cheques for Rs.l200/-had not been presented for payment in the bank up to 31st March.

Bank had given the debit ofRs.35/- for sundry charges and also bank had received directly from customers Rs.800/-and dividend of Rs.130/- up to 31st March. Find out the balance as per the cashbook.

Solution: Bank reconciliation statement as on 31st March.

Account	Rs.
Balance as per pass book (Cr.)	10500
Add cheques deposited but not credited	750
	11250
Less cheques issued but not presented	1200
	10050
Add bank charges made by the bank	35
	10085
Less omission in cash book (Rs.800 + 130)	930
Balance as per cash book	9155

Note:1. Charges made by the bank of Rs.35 have not been recorded in the cashbook; therefore, the balance in the cashbook is more. Add to passbook balance also.

2. Dividends and amounts from clients received by the bank have not been recorded in the cashbook. Therefore, in the cash book, there is no entry of Rs.930 (800 + 130). Deduct from the passbook balance to adjust it according to the cashbook balance.

Example-18: From the following particulars prepare a Bank Reconciliation Statement as of 31st December.

Balance as per cash book	5877
Cheques issued but not presented for payment	2013
Cheques deposited but not cleared up to 31st December	1419
Bankers had wrongly debited the firm's account with Rs.225/- which was not rectified until 31st December	

Solution: Bank reconciliation statement as on 31st December.

Balance as per cash book (Dr.)	5877
Less: Cheques deposited but not cleared.	1419
	4458
Add: all cheques issued but not presented for payment.	2013
	6471
Less amount wrongly debited by the Bank	225
Balance as per pass book (Cr.)	6246

Note: A wrong debit of Rs.225 has reduced the balance as per the passbook. Deduct it from the cash balance because there is less amount as per the passbook.

Example-19: On 25th June 1 had an overdraft of Rs.7915/- as shown by my cash book columns. Cheques amounting to Rs.1000/- had been paid in by me on 24th June, but of this only Rs.750/- were credited in the passbook. 1 had also issued cheques amounting to Rs.2500/- of which Rs.2000/- worth only seems to have been presented. There is a debit in my passbook of Rs.75 - for interest. I also find that cheques for Rs.60/-, which I had debited to my Bank Account in my books, have been omitted to be banked. An entry of Rs.300/- of a payment by a customer direct into the bank appears in the passbook. Prepare a reconciliation statement.

Solution **Cashbook**

June 25	To customers a/c To balance a/d	300 7690 7990	June, 25	By balance b/c By interest a/c	7915 **75** 7990

Bank reconciliation statement as on 25th June.

Balance as per cash book (overdraw)		7690
Add cheques paid in but not credited	250	
Ad cheques omitted to be banked	60	
		310
Less cheques issued but not presented		8000
Balance as per pass (Dr.) book		500
		7500

Example-20: Mr. Naeem has a trading business of computer accessories. The business has been successfully run from last 10 years and is considered as one of the leading trading store of the city. Recently, due to the increase in volume of the transactions, Mr. Naeem is unable to identify the difference in the balances of Cash book and the pass book. Details of the transactions are given in the preceding paragraph.

On 31st March, 2017 the pass book showed a credited balance of Rs. 500,000 and as per cash book is Rs. 408,750 of Mr. Naeem Trader. These are following discrepancy items between pass book and cash book:-

1. Cheque for Rs. 100,000 was paid in 5 October, 2017, but out of which Rs. 80,000 credited by the bank on 25 March, 2017 and remaining balance on 5 April 2017.
2. Interest on investments collected by bank Rs. 1,750.
3. Bank charges for the above period also debited in the passbook of Rs. 500
4. Cheque for Rs.85, 000 was issued to the creditor but not presented to bank for payment till 31st March 2017.
5. On 29 March 2017 a cheque of Rs. 25,000 was deposited into the bank but was omitted to the entered into cash book.

Required: Prepare bank reconciliation statement under double balance method

Solution:

Mr. Naeem

Bank Reconciliation Statement

As on 31st March 2017

Sr. No	Particular	Cash Book		Pass Book	
		Dr/ Cr	Rs	Dr/ Cr	Rs.
	Balance	Dr	408,750	Cr	500,000
	-Un-credited cheque (w-1)			Cr	20,000
	-Interest on investments collected by bank	Dr	1,750		
	-Bank charges	Cr	500		
	-Un- presented cheque			Dr	85,000
	-Cheque omitted from recording	Dr	25,000		
			435,000		435,000

Working -1: Total cheque Rs. 100,000 deposited into bank in 5 March.
Credited cheque Rs. 80,000 by the bank on 25 March 2017
Credited cheque remaining balance Rs. Rs.20, 000 (Rs.100, 000- Rs. 80,000 = Rs.20, 000) on 5 April 2017.
Its cheque was credited by the bank to next month not in March 2017 so this cheque is an un-credited cheque of Rs. 20,000.

Example-21: Mr. Nadeem had an overdraft facility in one of the leading banks. An overdraft facility is used to meet the operational requirement of the business and the same is settled on the receipt of the payments from the debtors.
On 31st October 2016, the passbook showed a balance of Rs. 480,000 (unfavorable/Dr) and as per cash book is Rs. 592,000 (unfavorable/Cr). These are the following discrepancy items between the book and the cash book:-

a. Cheque deposited into the bank but not yet credited by bank Rs.155, 200.
b. Cheque paid to the creditor but not yet presented to the bank for payment Rs. 256,000.
c. Insurance premium directly paid by bank Rs. 4,800
d. Bank collected notes receivable from Miss. Hira Rs. 16,000 but not entered into cash book.

Required: Prepare bank reconciliation statement under the double balance method.

Solution : Mr. Nadeem

Bank Reconciliation Statement

As on 31st October, 2017

Sr. No	Particular	Cash Book		Pass Book	
		Dr Rs.	Cr Rs.	Dr Rs.	Cr Rs.
	Balance		592,000	480,000	
	-Un – credited Cheque				155, 200
	-Un- presented Cheque			256,000	
	-Insurance premium directly paid by bank		4,800		
	-Bank collected notes receivable	16,000			
	Adjusted Balance	**580,800**			**580,800**
		596800	596800	736000	736000

Example-22: The following facts relate to the business of X, a client of yours who requires you to reconcile his bank passbook balance with his cash book balance:

Balance as per passbook (in favor) Cr.	600
Balance as per cash book (overdrawn) Cr.	800
Un-presented cheques	1440
Un-credited cheques	260

In addition you ascertain the following:

1. A cheque for Rs.200/- paid to M. Jamil has been entered in error in the cash column.
2. Bank commission of Rs.80/- has not been entered in the cashbook.
3. The debit side of the cashbook (Book Column) has been under-cast by Rs.500/-

Solution: Cashbook

	Rs.		Rs.
To adjustment of under casting	500	By balance B/F	800
To balance c/d	580	By cheques issued entered wrongly in cash column	200
		By commission	80
	1080		1080

Bank reconciliation statement as on:

Balance as per cash book (Cr.)	280
Add un-credited cheques	260
	840
Less un-presented cheques	1440
Balance as per pass book (Cr.)	600

Example-23: From the following particulars, ascertain the bank balance as would appear in the passbook of the trader as at 31st December 1996:

1. The bank overdraft as per the cash book on 31 ' December was Rs.6000/-.
2. Interest on overdraft for six months ending 31st December Rs.200 is debited in the passbook.
3. Bank charges for the above period were also debited in the passbook amounting to Rs.50/-.
4. Cheques issued but not chased, prior to 31st December amounting to Rs.1500/-
5. Cheques paid into bank, but not cleared and credited before 31st December for Rs.2500/-
6. Interest on investments collected by the bankers and credited in the passbook amounting to Rs.1800/-.

Solution: Cashbook

		Rs.			Rs.
Dec. 31	To interest a/c	1800	Dec. 31	By balance b/d	6000
	To balance c/d	4450		By interest a/c	200
				By bank charges a/c	50
		6250			6250

Bank reconciliation statement as on 31st December 1996

Balance as per cashbook (Cr.)	4450
Add cheques paid in but not credited	2500
	6950
Less: cheques issued but not presented	1500
Balance as per passbook (overdraft)	5450

Example-24: From the following extracts of the cashbook and bank passbook, prepare a bank reconciliation statement as of 31st December:

Cash Book

Date	Particular	Amount	Date	Particular	Amount
Mar. 1	To balance b/d	13743	Mar. 1	By rent	120
Mar. 4	To Ismail	1545	Mar. 6	By Wali & Co.	500
Mar. 8	To Jalil & Co.	3562	Mar. 9	By cash	3000
Mar. 12	To fair deal store	2630	Mar. 12	By drawings	2500
Mar. 16	To Rustam	4496	Mar. 19	By Smith & Co.	4200
Mar.26	To Zelin & Co.	1960	Mar.24	By Masood	1250
Mar.30	To Adam Jee	1200	Mar.30	By Zaheer	2400
			Mar. 30	By M. Iqbal	2560
				By balance c/d	12606
		29136			29136

Pass Book

Date	Particular	Amount	Date	Particular	Amount
April 2	To salaries	400	April 1	By balance b/d	12314
April 5	To salaries	1200	April 6	By cash	1500
April 7	To self	250	April 7	By Jalil & Co.	3562
April 11	To smith & Co	4200	April 10	By wages	118
April 12	To wages	170	April 14	By cash	1500
April 17	To Wali & Co.	500	April 18	By fair deal stores	2630
April 21	To Zaheer	2500	April 24	By Ibrahim & Co.	1570
April 21	To rent	100	April 28	By Adam Jee	1200
			April 30	By cash	950

Solution: Bank Reconciliation Statement as on 31st March

Balance as per cashbook (Dr.)		12606
Add cheques issued but not presented for payment:		
Wali & Company	500	
Smith & Company	4200	
Zaheer	2400	7100
		19706
Less cheques sent to bank for collection but not cleared:		
Jalil & Company		
Fair deal store	3562	
Adam Jee	2630	
	1200	
Balance as per pass book		7392
		12314

4. PETTY CASHBOOK

4.1 Definition: The **Petty Cashbook** is a subsidiary book used to record minor cash expenses like postage, telegrams, stationery, and travel expenses.

Necessity: Reduces the workload of the main cashier, allowing efficient handling of routine payments.

- Facilitates cash transactions in businesses where most payments are made via bank.
- Ensures proper tracking of small expenditures while maintaining internal control.

Structure & Posting:

- **Debit Side:** Records cash received from the main cashier.
- **Credit Side:** Contains multiple columns for different expense categories.
- **Balance Calculation:** The difference between total receipts and payments represents petty cash in hand.
- **Ledger Posting:** At the end of each period (monthly or as required), total expenses are transferred to the respective accounts in the ledger.

4.2 Imprest system: Definition:

"The Imprest System is a controlled method of managing petty cash where a fixed sum is provided to the petty cashier for minor expenses."

Process:

1. **Fixed Fund:** A predetermined amount is allocated at the beginning of the period (e.g., a month).
2. **Expense Recording:** The petty cashier maintains a record of all petty expenses.
3. **Reimbursement:** At the end of the period, the chief cashier reimburses the exact amount spent, restoring the imprest balance.

Accounting Treatment:

- **Part of Cash Balance:** The petty cash in hand is included in the total cash balance in the **Trial Balance** and **Balance Sheet** under IFRS.
- **Control & Accountability:** Ensures accurate financial reporting and prevents unauthorized use of petty cash.
- **Not a Cashbook:** The petty cash book is a **subsidiary record**, not a primary cashbook but a part of it.

4.3 Advantages of Imprest System: The main advantages of an imprest system of petty cash are as follows:

a. As the Petty Cashier has to produce to the Chief Cashier the Petty Cash Book for inspection, it acts as a healthy check on the petty cashier.

b. As the Petty Cashier has to account for his expenses before he can draw further sums, the petty cash book remains up to date.

c. As the Petty Cashier cannot draw as and when he likes, it prevents unnecessary accumulation of cash in his hand thus the chances of defalcation of cash are minimized.

Example-25*:* Enter the following transactions in the columnar petty cash book of cashier who was given Rs.100/- on 1st March on the Imprest System.

Date	Account	Rs.
March 2.	Paid for posting stamps	8
March 2.	Paid for stationery	10
March 3.	Paid for cartage	4
March 3.	Paid for postage stamps	6
March 8.	Paid for paper	1
March 12.	Paid for cartage	6
March 18	Paid for tips to office peons	2
March 23.	Paid for ink and nibs	4
March 25.	Paid for tiffen to office peons	6
March 26.	Paid for train fare	5

March 28.	Paid for bus fare	4
March 29.	Envelops and letter heads	6
March 30.	Printing address on above	4
March 31.	Taxi fare to Manager	10

Solution : Petty Cashbook

Amount Received	Date	Particulars	VN	Total Rs.	Postage	Printing & Stationery	Cartage	Traveling expend	Misc.
Rs. 100	Mar. 1	To cash							
	Mar. 2	By Postage		8	8				
	Mar. 2	By stationery		10		10			
	Mar. 3	By cartage		4			4		
	Mar. 3	By postage		6	6				
	Mar. 8	By paper		1		1			
	Mar. 12	By cartage		6			6		
	Mar. 18	By tip to peons		2					2
	Mar. 23	By ink & nips		4		4			
	Mar. 25	By tiffen to peons		6					6
	Mar. 26	By train fare		5				5	
	Mar. 28	By bus fare		4				4	
	Mar. 29	By envelopes etc.		6		6			
	Mar. 30	By printing		4		4			
	Mar. 31	By Taxi fare		10				10	
	Mar. 31	By balance c/d		24					
				100	14	25	10	19	8
	April 1	To balance b/d							
	April 1	To cash							

5. CASH VERIFICATION, CASH SHORT AND OVER ACCOUNT

5.1 Cash Checking: The cashbook shows the position of cash receipts, cash payments, and the balance. The balance must be checked by the cashier daily and verified. The Accounts Manager may also occasionally verify the cash balance with the actual cash available with the cashier. If the actual cash is more or less than the balance shown by cashbook, the difference must be located. There may be some differences due to non availability of change if payments or receipts involve Paisas. Such short differences are adjusted to a special account column "Cash Short and Over".

Example-26: On verifying and reconciling cash book balance with the actual cash balance following shortages and excesses came to light.

31st January Rs. 6.50 short
29th February Rs. 5.45 excess
31st March Rs. 2.95 excess

Shown journal entries and relevant adjustment account in the ledger.

Solution: (a) Journal entries

Date	Account	Dr.	Cr.
31st January	Cash short and over	6.50	
	Cash account		6.50
29th February	Cash account	5.45	
	Cash short & over		5.45

31st March	Cash account Cash short & over	2.95	 2.95

Ledger cash short and over

Date	Account	Dr.	Date	Account	Cr.
Jan, 31, 96	Cash Shortage	6.50	Feb. 29, Mar. 31	Excess cash Excess cash	5.45 2.95

5.2 Closing Cash Short & Over Account: At the year-end the net balance of cash short and over will be adjusted to the profit and loss account.

5.3 Cash Defalcations: The above procedure applies only for small periodical shortages and excesses of cash. However when a large shortage come to light, it must be investigated. If the cashier is held responsible for the shortage, his personal account will be debited and cash credited. If however, he is not held responsible and loss cannot be recovered from any specific person, loss will be debited to profit and loss account and cash account will be credited.

6. Summary

1. Cashbook

The cashbook is a book of original entry used to record all cash receipts and payments. It serves as both a ledger and a record of financial transactions.

2. Types of Cashbook

- Single Column Cashbook: Records only cash transactions, with receipts on the debit side and payments on the credit side.
- Double Column Cashbook: Records both cash and bank transactions, allowing businesses to track cash and bank balances simultaneously.
- Triple Column Cashbook: Includes cash, bank, and discount columns for businesses that frequently deal with discounts, cash, and cheques.
- Petty Cashbook: Used for small, regular expenses, managed by a petty cashier for minor cash transactions.

3. Bank Account

Businesses open bank accounts to manage funds. Transactions such as deposits, withdrawals, and charges are reflected in the Bank Statement, which provides a summary of all transactions over a period.

4. Bank Reconciliation Statement (BRS)

BRS helps reconcile differences between the Bank Column of the Cashbook and the Bank Statement. Differences arise due to timing, unrecorded transactions, or errors. Regular reconciliation ensures accurate financial records and internal control.

5. Causes of Differences in Bank Balances

- Timing Differences: Delays in cheque clearance and deposits.
- Bank Transactions: Charges, interest, or dishonoured cheques not yet recorded in the cashbook.
- Errors: Mistakes in the bank's records or the cashbook.

6. Preparing a Bank Reconciliation Statement

Two methods are used:

- Starting with the Cashbook Balance and adjusting for bank transactions.
- Starting with the Bank Statement Balance and adjusting for unrecorded cashbook entries.

7. Cash Verification & Cash Short and Over Account

Cash balances must be verified regularly by the cashier and periodically by the accounts manager. Differences, if any, are adjusted in the Cash Short and Over Account, ensuring accuracy in financial records.

UNIT – 7

ACCOUNTS FOR NON-PROFIT MAKING ORGANIZATION

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CONTENTS

Introduction 147

Objectives 147

1 DISTINCTION BETWEEN PROFIT & NON-PROFIT ORGANIZATIONS 148

1.1 Trading Concerns 148

1.2 Non-Trading Concerns 148

1.3 Difference Between Trading and Non-Trading Concerns 148

1.4 Accounting Treatment for Non-Profit Organization Activities 148

2 RECEIPT AND PAYMENT ACCOUNTS 149

2.1 Over of Books of Accounts 149

2.2 Main Features of Receipt and Payment Accounts 150

2.3 Preparation of Receipt & Payment Accounts 150

3 INCOME AND EXPENDITURE ACCOUNTS 151

3.1 Difference Between Receipt & Payment Account and Income and Expenditure Account 151

3.2 Preparation of Income & Expenditure Account 151

4 ANCILLARY SERVICES 154

4.1 Trading Activities 154

4.2 Non-Trading Activities 154

5 BALANCE SHEET 159

5.1 Preparation of Balance Sheet 159

5.2 Illustration 159

INTRODUCTION

There is a football club in your town. The management is receiving the subscriptions from the members and donations etc from elites of the town and the expenses is being made from this receipt for the last many years. Once the management of the club thought that there should be a proper record of the accounts. So that the members and donors can know the financial state of affairs of the club at any time and they can satisfy themselves that the funds are being utilized for specific purposes and no misappropriation is going on. They know that you are a student of accounting, and they assigned you the task of preparing accounts for the football club. You have not yet studied this unit "Accounting of Nonprofit Organizations" you first wonder but after studying this unit you become capable of preparing the books of accounts not only for the town football club but also for all the non-profit concerns.

OBJECTIVES

After studying this unit you should be able to:

1. Make a distinction between profit-making & non-profit-making organizations.
2. Develop an understanding about the books of accounts required for non-profit making organizations.
3. Understand the concept and preparation of receipt and payment account.
4. Understand the concept and preparation of income & expenditure account.
5. Understand the concept of ancillary services and their treatment in the books of accoun

1. DISTINCTION BETWEEN PROFIT AND NON-PROFIT ORGANIZATIONS

Organizations may be grouped into two classes from the objectives point of view:-

1. Profit-making organizations (generally known as trading concerns)
2. Not-for-profit organizations (non-trading concerns)

1.1 Trading Concerns: The basic objective of the trading concerns is to provide goods and services for making a profit or maximizing the wealth of the proprietor. In unit 3, you have studied the preparation of accounts for the trading concerns, the preparation of income statements and balance sheets, so that the trader may know the result of this trade (profit or loss) at the end of a specific period of time.

1.2 Non-Trading Concerns: The basic objective of non-trading concerns is to provide social services to those who either have less purchasing power or no purchasing power for utilizing those services. These institutions are financed by donations, subscriptions, legacies, or any other special funds. As these institution's object is not to make a profit, if its revenue is exceeded by its expenditure, it is treated as surplus and utilized in coming years for providing more social services to the people.

Generally, these institutions fall in any of the following two categories.

1. Social welfare institutions, which work for society's welfare, like clubs, Social Welfare associations, etc.
2. Charitable institutions, which may be a hospital, educational institutions, religious institutions, libraries, etc.

1.3 Difference between Trading & Non-Trading Concerns

	Trading Concerns		Non-Trading concerns
1.	Its main object is to earn profit.	1.	Its main object is welfare of the society / members / community.
2.	Its main source of revenue is sale of goods or services.	2.	Its main source of revenue are donations, subscriptions, fees etc.
3.	Its nature from ownership point of view may be a sole proprietorship, partnership or company.	3.	Its nature from ownership point of view may be an association of persons in the form of club, society or trust etc.
4.	It is started by the investment of sole proprietor, partner or shareholders of the concern.	4.	It is started by funds of the donations, member's subscriptions etc.
5.	It is managed either by sole proprietor, partners or directors etc.	5.	It is managed either by committees, trustees or governing bodies etc.

1.4 Accounting Treatment for Non-Profit Organization's Activities

The basic purpose of accounting is to provide information to the interested parties. As the nature and objects of trading and non-trading organizations differs the information required for both types of organizations also differ. In case of trading concerns detailed set of accounts record (Books) is required, because the parties involved are interested in the information of these parties may be investors, creditors, banks, management etc. You have already studied the book of accounts for trading concerns in unit 3. As they deal with the

sale of goods & services, their transactions normally include credit transactions. Hence they may need special journals and subsidiary ledgers to have more detailed accounting information.

1.5 Books of Accounts for Non-Trading Concerns: In the non -trading concerns books of accounts differ from the trading concerns because here the parties involved are interested in different types of information. These parties may be the government, governing bodies' members of societies, etc. These parties are interested in the organization's (1) receipt and payment (2) income and expenditure (3) assets and liabilities. Non-profit concerns do not deal with the sale of goods and services, so they don't have to make credit transactions. Mostly there are cash transactions. So they need not to maintain detailed set of accounts books as required in the trading concern. Sometimes non-profit organizations involve themselves in helping activities like selling of equipment or offering bar services to their members etc. then they need to prepare bar trading accounts etc. These ancillary services of nonprofit making organizations will be discussed in detail later in this unit. It must be kept in mind that books of accounts may differ from organization to organization depending upon their activities and information required, but the basic rules for recording transactions apply equally to all type of organizations.

1.6 Difference in Accounting Treatment of Trading Concerns and Non-Trading Concerns

	Trading Concerns		Non-Trading concerns
•	A complete set of books of accounts is maintained.	•	Only few books of accounts are maintained.
•	Its main object for maintaining the accounts record is to know the profit or loss.	•	Its main object is to have check over the income and expenses.
•	Net income earned during a financial period is distributed among the owners.	•	If there is an excess of income over expenditure. It is not distributed to anyone. But is used for the betterment of the public.
•	In order to know the result of the financial year profit and loss account is prepared.	•	In order to know the result of the financial year Income & expenditure account is prepared.
•	The result of the profit and loss account is treated as profit or loss.	•	The result of the income & expenditure account is either called surplus of income over expenditure or excess of expenditure over income.
•	Profit or Loss is transferred to the capital account.	•	The surplus of income over expenditure or excess of expenditure over income is transferred to accumulated fund.

2. RECEIPT AND PAYMENT ACCOUNTS

2.1 Overview of Books of Accounts for Non-Trading Organizations & Financial Reporting (IFRS): Non-trading concerns, such as clubs and charities, primarily engage in cash transactions rather than credit dealings. Their financial records typically include a cashbook, members register, minutes book, fee register, and outstanding fee register, varying based on organizational needs.

At the end of the accounting period, **final accounts** are prepared, which include:

1. **Cashbook:** Records cash receipts and payments chronologically.
2. **Receipts & Payments Account:** Summarizes all cash transactions under appropriate headings.

Under **IFRS**, non-profit institutions must ensure accurate financial reporting, proper classification of funds, and compliance with accrual accounting principles where applicable.

2.2 Main Features of Receipt & Payment Accounts

1. It is a summary of cashbook. All receipts are recorded n the debit (left) side and all payments are recorded on the credit (right) side.
2. It starts with the opening balance of cash or bank. The favorable balances are written on the debit (left) side and bank overdraft is recorded on the credit (right) side of the receipt and payment accounts.
3. It records all cash receipts and payments irrespective of the fact whether they are of capital or revenue nature or whether they relate to the current year or not.
4. Similar type of receipts and payments are gathered under the appropriate head of accounts.
5. It ends up with the balance of cash or bank at the end of the accounting period.

2.3 Preparation of Receipt and Payment Accounts

Given below is the summarized information of cash receipts and payments from the cash book of FAQUEEH WELFARE CLUB for the year 2000. You are required to prepare a receipts and payment account for the year ended on 31.12.2000.

Balance	**(1.1.2000)**
Cash in hand	Rs. 500
Cash at Bank	Rs. 2500
Subscription	
(Including Rs. 2000 for 1999 and Rs.5000 for 2001)	32000
Donations	2600
Membership fee	500
Payments	
Rent paid	12000
Stationery charges	2000
Postage, telephone	1000
Salaries to staff	10000
Refreshment charges	700
Mise. Expenses	500
Investment in prize bonds	1000
Investment in DSC	1000
Office equipment	1000
Closing cash balance	900

Solution: **FAQUEEH WELFARE CLUB**

Receipt & Payment Account for the year 2000

Receipt		**Amount**	**Payment**	**Amount**
Balance b/d			Rent expenses	12000
Cash in hand	500		Stationery charges	2000

Cash at Bank	2500	3000	Postage, telephone		1000
Subscription:-			Salaries to staff		10000
Previous years	2000		Refreshment charges		700
Current year	25000		Misc. expenses		500
Advance	5000	32000	Investment in prize bonds		1000
			Investment in DSC		1000
Donation		2600	Office equipment		1000
Membership fee		500	Closing balance c/d		
			Cash in hand		900
			Cash at Bank		8000
		38100			**38100**

You have already studied that in the cashbook transactions are recorded in chronological order. In this illustration you may imagine that the data given to you is summarized (similar type of receipts and payment accounts repeatedly occurred during the year were gathered and given to you for preparation of receipt, and payment, account). For example, rent paid Rs. 12000 occurring in the illustration may be a result of 12 entries in the cash in 12 months @. Rs. 1000/-.

3. INCOME AND EXPENDITURE ACCOUNT (IFRS)

Non-trading concerns do not prepare a Profit & Loss Account but instead use an Income & Expenditure Account to track financial performance over a specific period. This account ensures that expenditures remain within income limits and reflects a true and fair view of surplus or deficit by matching only current period incomes (received/receivable) and expenses (paid/payable).

Key Features (IFRS Compliant):

i. **Accrual Basis:** Records all income (credit side) and expenses (debit side) related to the current period, whether received/receivable or paid/payable.
ii. **Excludes Capital Items:** Only revenue transactions are recorded; capital items are ignored.
iii. **No Past/Future Transactions:** Items from previous or future periods are omitted.
iv. **Fair Presentation:** Ensures transparency and compliance with IFRS standards.
v. **Surplus or Deficit:** The balance represents either excess income (surplus) or excess expenditure (deficit) for the period.

3.1 DIFFERENCE BETWEEN RECEIPT & PAYMENT ACCOUNT AND INCOME & EXPENDITURE ACCOUNT

	Receipt and payment account		Income & expenditure account
1.	This account is the summary of cash transactions.	1.	This account is the replacement of profit & loss account.
2.	It starts with the opening balances of cash and bank account.	2.	It does not start with any opening balance.
3.	It includes receipts and payments of previous, current and coming periods.	3.	It includes receipts and payments of only the current period.
4.	It includes the items of both capital & revenue nature.	4.	It includes the items of only revenue nature.

5.	On the debit (left) side of this account, receipts are shown and on the credit (right) side, payments are shown.	5.	On the debit (left) side of this account expenses are shown and on the credit (right) side incomes are shown.
6.	End result of this account shows the balance of cash in hand or at bank or both which must agree with balance appearing in cashbook.	6.	The end result of this account shows either a surplus or a deficit.
7.	The balances are carried forward to the next period.	7.	The balance instead of carrying forward deducted or added to the accumulated capital fund.
8.	It is a real account.	8.	It is a nominal account.

3.2 Preparation of Income & Expenditure Account: After going through the theoretical discussion regarding the income and expenditure account, we should be able to prepare this account. However, let us summarize the previous discussion before preparation of income and expenditure account. You must know that the sources for preparation of this account are cashbook and receipt and payment account.

1. Opening and closing balances of cash in hand or at bank are not relevant here, hence should be ignored.
2. Incomes and expenses of the previous and coming periods are not relevant here, hence should be ignored.
3. Income and expenses of capital nature are not relevant here, hence should be ignored.
4. Income received or receivable relating to the current period should be recorded in this account.
5. Expenses paid or payable relating to the current period should be recorded in this account.
6. Any depreciation or other decrease in the value of assets should be charged to the income and expense account. **Illustration No.1**

Following is the extract of one head of account "Subscriptions" of the Receipt and Payment Account for the year 2000 and some other information relating to this receipt. You are required to compute the income from subscriptions, which will be shown in the income & expenditure account for the year ending 31-12-2000. **Subscriptions:** Rs.

1999	2700	As shown in the Receipt and
2000	15000	Payment Account for the year
2001	6000	ending 31-12-2000

Additional information:

(i) Subscriptions outstanding as on 31.12.1999 Rs. 3000
(ii) Subscriptions outstanding as on 31.12.2000 Rs.4500
(iii) Subscriptions received in advance as on 31.12.1999 Rs.3000

Solution: On the income side of the income and expenditure account for the year ending 31-12-2000, the subscription income will appear as follows:

Income and Expenditure Account for the Year Ending 31st December 2000

Expenditure	Amount	Income	Amount
		Subscription	15000
		Add. O/s for the year 2000 (4500 -300)	42000
		Add received in advance as on 31.12.1999	3000
	22200	Balance	22200

You might have noticed that in the income and expenditure account for the year 2000, we included the subscriptions relating to the year 2000 only.

From the receipt and payment account, we have been given three figures for the year 1999, 2000, 2001. As we are preparing the income & expenditure account for the year 2000, we have picked up the subscription relating to the year 2000 i.e. Rs.15000. In the additional information from other records, like registers for outstanding and advance subscriptions, we added the outstanding subscriptions for the year 2000 i.e. Rs.4200 (Rs.4500 - 300). Deduction of Rs.300 is in the sense that this outstanding amount pertains to the year 1999. If you look at the additional information, there is stated that subscription outstanding as on 31.12.1999 is Rs.3000 and in the receipt and payment account for the year 2000, we received Rs.2700 relating to the year 1999. What is left is Rs.300 still outstanding for the year 1999. The information given to you for the year 2000 is that the subscription outstanding as of 31.12.2000 is Rs.4500. Here the words 'as on' means that up till the end of 2000, including the previous years, this 4500 is outstanding. As this outstanding subscription includes the previous year's subscription which is Rs.300 (3000 -2700) and we are concerned with only the current year's subscription, we will deduct the previous year's amount.

We added the subscription received in advance as of 31.12.1999 i.e. Rs.3000 because this subscription amount was for the year 2000 and was treated as advance up till the end of the year 1999 but in the year 2000, this will become part of the income. We have already discussed the preparation of income & expenditure in detail, so you should have no confusion in this regard, if you are still not clear about the rules, you are advised to study carefully this point again and try to understand the concept. **Illustration No. 2:** From the information given in illustration 2.3 prepare an income & expenditure account.

Solution: Income & Expenditure Account for the year ended 31.12.20---

Expenditure	Amount (Rs.)	Income	Amount (Rs.)
Rent expenses	12000	Subscriptions for 2000	25000
Stationery charges	2000	Donation	2600
Postage, telephone	1000	Membership fee	500
Salaries to staff	10000		
Refreshment charges	700		
Miscellaneous expenses	500		
Excess of income over expenditure (surplus)	1900		
	28100		28100

Here you should observe that source of information for preparation of income and expenditure account may be cashbook or previously prepared receipt and expenditure account but we should select only the revenue items relating to the current period.

Practically most of the time, we have to make adjustments in respect of certain items (heads of accounts) so that the accounts records present the true and fair picture.

For example, in a sports club, there may be certain sports material at the beginning of the year. There may be certain materials purchased during the year and some of the material may be in the stock at the end of the year, in this type of situation when we prepare an income and expenditure account, we have to make certain adjustments. You know that we need here items relating to the current period. Calculation of the amount pertains to the current period from the given date is the adjustment of the concerned item.

The following example will clear you more about the above discussion:

(i) Sports Material as on 1.1.1999 Rs.3000
Purchased sports material during 1999 Rs. 12000
Sports material stock on 31.12.1999 Rs.4500

From the income and expenditure account, we need the sports material consumed during the year. For this purpose we will calculate the required figure by adjusting the data in the following manner:

Income & Expenditure Account for the year ended 31.12.1999

Expenditure		Amount	Income	Amount
		(Rs.)		(Rs.)
Opening stock	3000			
Add. Purchase during the year	12000			
Material available for use	15000			
Less closing stock	4500			
Sports material consumed		10500		

4. ANCILLARY SERVICES

Ancillary services mean subordinate activities. Non-profit making organizations like clubs etc. can start helping activities to increase their subscription income. The purpose is the welfare of the members of the organization. The ancillary activities may be trading or non-trading:

4.1 Trading Activities: The clubs can sell equipment or publication etc. They can also offer bar facilities. This service is in the form of trading. In case of bar facilities there is needed to prepare bar trading account in order to know the profit or loss from this service. The profit earned or loss sustained is transferred to the income and expenditure account.

4.2 Non-Trading Activities: There are other activities like provision of refreshment and raffles. Such activities are called non-trading activities. In case of non-trading activities like sale of refreshment and raffle tickets there is no need to prepare separate account. The

income from sale of refreshments and expenses incurred on purchase of refreshment are adjusted directly in income and expenditure account.

4.3 Preparation of Accounts for Non-Trading Ancillary Activities : Following illustration further clarifies the treatment of non-trading ancillary activity, where the library and debating society offers the entertainment facility to its members. The summary of cash transaction of library and debating society is available for the year ended December 2001.

Receipt and Payments Account

Receipts	Rs.	Payments	Rs.
Balance b/d	3000	Rent and rates	1200
Entrance fee	5000	Wages	1300
Subscription	2500	Lecture's fee	1700
Donation	20000	Electricity	500
Life member ship fee	10000	Books	15000
Receipts from entertainment	1500	Office expenses	3800
		Entertainment exp.	1000
		Balance c/d	17500
	42000		42000

The accumulated fund of the society is Rs.43000/-. Subscription in arrear is Rs.1500/-, rent is unpaid Rs.800/-, depreciation is to be provided on books Rs.2000/= and furniture Rs.1000/-. The opening balance of books is Rs.25000/- and opening balance of furniture is 15000/-.

Required: i) Income and expenditure account (ii) Balance sheet

Solution:

Library and Debating Society
Income and Expenditure Account
For the year ended December 31, 2001Expenditure

Expenditure	Rs.	Income		Rs.
Rent 1200 +800	2000	Entrance fee		5000
Wages	1300	Subscription 2500 + 1500		4000
Lecture fee	1700	Receipt from entertainment	1500	
Electricity	500	Entertainment exp.	1000	500
Office exp.	3800	Excess of exp. over Income		2800
Dep. On books	2000			
Dep. On furniture	1000			
	12300			12300

Library and debating Society
Balance Sheet
As at December 31, 2001

Liabilities		Rs.	Assets	Rs.
Donation		20000	Cash	17500
Life membership fee		10000	Subscription	1500
Rent due		800	Books (25000+15000- 2000)	38000
Accumulated fund	43000		Furniture (15000 -1000)	14000
Less excess exp. Over income 2800		40200		
		71000		71000

4.4 Preparation of Accounts for Trading Ancillary Activities

Illustration: The following illustration further clarifies the treatment of trading ancillary activity where ABC Sports and Social Club operates or bar facility for its members The following information is available relating to the financial activities of ABC Sports Club.

ABC Sports Club
Receipt and payment accounts
For the year ended December 31, 2002

Receipts	Rs.	Payments	Rs.
Balance b/d	361	Honorary secretary exp.	61
Subscription	1020	Affiliation fee	50
Subscription previous year	30	Equipment	400
Bar taking	2050	Bar stock	1025
Sale of tickets for annual dinner	1200	Barman wages	375
Sale of raffle tickets	90	Dinner expenses	870
		Raffle prizes	30
		Rent of hall	750
		Printing and package	100
		Electricity exp.	290
		Equipment repair	150
		Balance c/d	650
	4751		4751

The assets and liabilities of the club at the dates stated were as follows.

Liabilities	2001	2002	Assets	2001	2002
Akram subscription	65	55	Cash at bank	361	650
Creditors for bar stock	175	215	Subscription in arrear	100	90
Rent owing	75	50	Bar stock	400	300
Electricity owing	52	70	Equipment	1250	1400

Required: i). trading account ii). Income and expenditure account iii.) Balance sheet as at December 31, 2001

ABC Sports Club
Bar Trading Account
For the year ended December 31, 2002

	Rs.		Rs.
Bar stock	400	Bar taking	2050
Bar purchases (1025+215-175)	1065	Bar Stock	300
Barman wages	375		
Bar profit	510		
	2350		2350

Income and Expenditure Account
For the year ended December 31, 2002

Expenditure	Rs.	Income		Rs.
Rent of hall	725	Subscription	(1020+100)	1120
Printing and postage	100	**Bar profit**		510
Electric exp. 290+(70-52)	308	Sale of tickets for		
Honorary secretary exp.	61	annual dinner	1200	
Subscription written off	70	Expenses	870	330

Affiliation fee	50	Sale of raffle tickets	90	
Equipment repair	150	Cost of prizes	30	60
Equipment depreciation	250			
Excess Income	306			
	2020			2020

Balance Sheet
As at December 31, 2002

Liabilities	Rs.	Assets		Rs.
Advance subscription	55	Cash at bank		650
Creditor, for bar stock	215	Subscription in arrear		90
Accumulated expenses (50+70)	120	Bar stock		300
Accumulated fund	1744	Equipment	1250	
Excess of income	306	Addition	400	
		Depreciation (-)	250	1400
	2440			2440

4.5 Illustration: Old Stamps Society offers its members an opportunity to attend meetings to hear talks on postage stamps, attend exhibitions and auctions of stamps, and to buy and sell stamps through society. The financial year ends on April 30 every year. The Secretary of Society has provided the following information:-

Liabilities			Assets		
	1998	1999		1998	1999
Advance subscription	140	192	Bank	1456	8508
Electricity due	210	280	Subscription in arrear	350	280
Printing expenses due	52	140	Prepaid rent of hall	350	245
			Debtors for stamps	700	385
			Stock of stamps	7700	10920
			Equipment	5600	6440
			Display case	3500	3500

Receipts and payment account

Balance		1456	Purchases of stamps	10500
Subscription		3850	Equipment	1400
Sale of stamps		17990	Rent	3150
Sale of raffle tickets		1050	Electricity	805
Refreshment		1540	Printing	210
			Raffle prizes	350
			Surety expenses	123
			Refreshments	840
			Balance c/d	8508
		25886		25886

Note: Display cases are to be depreciated at the rate of 10% on book value.
Required:- 1. Stamps trading account **2.**Income and expenditure account **3.**Balance sheet
Solution:-

Postage Stamps Society
Stamps Trading Account
For the year ended December, 1999

Stock of stamps	7700	Sale of stamps (17990 -700 + 385)	17675
Purchases	10500	Stock of stamps	10920
Profit on stamps	10395		
	28595		28595

Postage Stamps Society
Income and expenditure account
For the year ended December, 1999

Expenditure	Rs.	Income		Rs.
Rent 3150+(350-245)	3255	Subscription 3850-(140-192+350-280)		3728
Printing 210+(140-52)	298	Profit on stamps		10395
Electricity 805+(280-210)	875	Income from raffle tickets	1050	
Secretary exp.	123	Less cost of prizes 350		700
Dep. Equipment	560	Refreshments 1540		
Dep. Display cases	350	Less cost of food 840		700
Surplus income	10062			
	15523			15523

Balance Sheet As at December, 2001

Liabilities	Rs.	Assets	Rs.
Subscription in advance	192	Cash at bank	8508
Electricity	280	Rent prepaid	245
Printing expenses	140	Subscription in arrear	280
Accumulated fund	19254	Debtors for stamps	385
Surplus income	10062	Stock of stamps	10920
		Display cases (3500 -350)	3150
		Equipment (5600+1400-560)	6440
	29928		29928

4.6 Illustration: The following accounts were taken from the books of XYZ Trust Hospital for the year ended Dec. 31, 2001. **Receipts and payments accounts**

Receipts	Rs.	Payments	Rs.
Indoor patients	1600	Services to poor patients	200
Out -door patients	250	Services to senior citizen	80
Operating room	150	Nursing services	125
Labour room	60	Medical services	450
Anesthesiology	15	Pharmacy	90
Radiology	40	Medical library	75
Laboratory	200	Operating room	135
Pharmacy	55	Anesthesiology	50
Medical supplies	12	Radiology	25
Emergency	40	Laboratory	60
General contribution	900	Admn. Expenditure	555
Government grant	612	Dietary	940
Medicine donated	50	Out -patient & emergency	325
Income from investment	400	Other expenditure	380
Miscellaneous income	250	Surplus	1144
Total	**4634**	**Total**	**4634**

Note: There are depreciation expenses of Rs.425/- and interest expense of Rs.300/-.

Solution:

XYZ Trust Hospital
Income and expenditure account
For the year ended Dec. 31-2001

Expenditure	Rs.	Income	Rs.
Poor patients	200	Indoor patients	1600

Senior citizens	80	Out -door patients	250
Nursing services	125	Operating room	150
Medical services	450	Labour room	60
Pharmacy	90	Anaesthesiology	15
Medical library	75	Radiology	40
Operating room	135	Laboratory	200
Anaesthesiology	50	Pharmacy	55
Radiology	25	Medical supplies	12
Laboratory	60	Emergency	40
Admn. Exp.	555	Deficit from operations	1068
Dietary	940		
Emergency services	325		
Other expenses	380		
	3490		3490
Deficit from operation	1068	General contribution	900
Interest exp.	300	Government grant	612
Depreciation	425	Medicine donation	50
Surplus income	419	Income from investment	400
		Miscellaneous income	250
	2212		2212

5. BALANCE SHEET

5.1 Preparation of Balance Sheet: A balance sheet is one of the essential financial statements. You have already studied about this statement in unit No. 2. There is no change in the format of the balance sheet for non-trading concerns as compared to trading concerns except the account titles. If you are given the information regarding assets and liabilities, you can prepare the balance sheet. Sometimes the opening capital fund (excess of assets over liabilities) is not given, then it become problem to ascertain the opening capital fund first. This may be calculated as follows: -

Opening Assets - Opening Liabilities = Capital Fund (Accumulated) So the balance sheet prepared in this way at the end of the period show the financial position of the organization as on that date.

5.2 Illustration: Given below are the Receipts and Payments Account of the National Club for the year ended 31 March 20-….**Receipts and Payments Account of the National Club**

for the year ended 31 March 20---

Receipts	Rs.	Payments	Rs.
To balance b/d	1025	By salaries	600
To subscription:		By General expenses	80
1998-1999	40	By entertainment Programme	
1999-2000	2050	Expenses	450
2000-2001	60	By newspapers	150
To donations	540	By municipal taxes	50
To proceeds of entertainment		By charity	350
Programme	950	By investment (Govt. Bonds)	2000
To sale of waste paper	45	By electricity charges	140

		By balance c/d	890
	4710		4710

Prepare the Club's Income and Expenditure Account for the year ended 31st March 2000 and the Balance Sheet as of that date, after taking the following information into account:

a) There are 500 members each paying an annual subscription of Rs. 5/-and Rs. 50/- is still in arrear for 1998 - 1999.
   a. Municipal taxes amounting to Rs.40/- per annum have been paid up to 30th June 2000 and Rs.50/- for salaries is outstanding.
b) Building stands in the books at Rs.5000/- and it is required to write off depreciation @ 5% per annum.
c) Six percent per annum interest is accrued on Government Bonds for 5 months.

Solution:

National Club

Income & Expenditure Account

For the year ended 31.3.2000

Expenditure		Rs.	Income		Rs.
To salaries	600		By subscriptions	2050	2500
Add: Outstanding	50	650	Add: outstanding	450	
To general expenses		80	(500x5= 2500-2050)		
To news papers		150	By donations		540
To municipal taxes	50		By proceeds of entertainment		
Less: Pre –paid	10	40	programme	950	
To charity		350	Less: expenses	450	500
To electricity charges		140	By sale of waste paper		45
To dep. - building		250	By interest on Govt. Bonds		50
To excess of income Over expenditure		1975			
		3635			3635

Balance Sheet

Liabilities		Rs.	Assets		Rs.
Opening capital fund: 6115			Buildings	5000	
Add: excess of income			Less depreciation	250	4750
Over expenditure	1975	8090	Investment in Govt. Bonds		2000
Subscriptions received in			Interest receivable		50
Advance (2000-2001)		60	Subscriptions		
Outstanding expenses		50	Outstanding 1999-00	450	
			1998-99	50	500
			Prepaid taxes (40x3/12)		10
			Cash in hand		890
		8200			8200

Working for the calculation of Capital fund: From the information provided, the opening assets are as follows: - Cash in hand Rs. 1025

Buildings	5000
Subscription for the year	
1998-99-received	Rs. 40
Add sub. Receivable 50	90
Less opening liabilities Capital fund	Nil
Capital fund	Rs. 6115

UNIT – 8

PARTNERSHIP-1

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CONTENTS

Sr. No.	Subject		Page No.
	Introduction		**163**
	Objectives		**163**
1.	**PARTNERSHIP BASIC CONCEPTS**		**164**
	1.1	What is Partnership?	164
	1.2	Advantages of Partnership	164
	1.3	Kind of Partners	165
	1.4	Essential Partnerships	165
	1.5	Partnership Agreement/Deed	166
2.	**GENERAL ACCOUNTING PROCEDURE FOR PARTNERSHIP BUSINESS**		**167**
	2.1	Capital Accounts	167
	2.2	Current Accounts	167
	2.3	Drawing Accounts	167
	2.4	Interest in Drawing	167
	2.5	Interest on Capital Account	167
	2.6	Partners Salary	167
	2.7	Capital Ratio as Basis of Sharing Profit & Loss	172
3.	**ADMISSION OF A NEW PARTNER**		**174**
	3.1	Admission Procedure	174
	3.2	Goodwill in Partnership	174
	3.3	Accounting Treatment of Goodwill/Bonus	175
	3.4	Re-Valuation of Assets and Liabilities	181
	3.5	The Profit-Sharing Ratio	183
4.	**RETIREMENT OR DEATH OF A PARTNER**		**186**
	4.1	Retirement of Partner	186
	4.2	Death of Partner	193
5.	**SUMMARY**		**196**

INTRODUCTION

In the earlier units you have learnt how to maintain accounts on general basis. You will appreciate that accounting systems must take into consideration the form of business organizations. A single person may carry out business; on expansion another one or two persons may join and form partnership. Later the business may take the form of limited companies. In this unit you will learn the accounting practices to be followed for partnership firms, especially on formation of such firms, addition of new partners or leaving of a partner.

OBJECTIVES

After reading the unit you should be able.

- To acquaint with general accounting procedure of partnership.
- To list essential legal requirements regarding formation of partnership.
- To state how to conduct the partnership business.
- To follow accounting procedure on admission of incoming partner or a new partner.
- To work out the goodwill on changes in partnership.
- To prepare the revaluation account of assets & Liabilities as and when necessary.
- To calculate the New Profit sharing ratio on admission of new partner.

1. PARTNERSHIP: BASIC CONCEPTS

1.1 What is a partnership?

In Pakistan, the Partnership Act, of 1932 regulates the law of partnership. According to Section 4 of this Act:

A. Definition of Partnership

A **partnership** is a legal relationship between two or more individuals who agree to share the profits of a business carried on by all or any of them acting for all. It involves the combination of resources, including **capital and services**, to conduct a lawful business.

*Under **IFRS (IAS 28 - Investments in Associates and Joint Ventures)**, partnerships are classified as **joint arrangements** or **associates** based on control and influence. The financial reporting of a partnership follows IFRS guidelines, ensuring fair valuation of assets, liabilities, and profit-sharing transparency.*

B. Partner and Firm; Persons who have formed a partnership are individually called partners & collectively a firm.

Glossary of Terms: Certain terms specially used in partnership accounts are defined as under:

i. **Articles of Partnership;** These are terms and conditions in the agreement between the partners.

ii. **Business:** It includes any trade, profession or vocation that carries on earning profit.

iii. **Firm:** Partners are collectively known as a firm.

iv. **Firm Name:** It is the name under which the business is carried on as known to the outside world.

v. **Co-Ownership:** It is a relation between two or more persons who own property jointly or in common.

1.2 Advantages of Partnership: There are several reasons why sole - traders combine and enter into a partnership. Partnership enjoys many advantages, which are enumerated below:

i. **Simplicity of Formation:** Like sole proprietorship, the partnership can be easily organized. No legal formalities are involved in the formation of the partnership. The partners enter into an agreement, get the firm registered, and start a business.

ii. **Larger Capital: l** In the case of sole proprietorship, the capital is limited to the savings and borrowing capacity of one man. The partnership is normally in a stronger position to collect large capital to expand the business.

iii. **Favorable Credit Facilities:** As the liability of each partner is unlimited, the Financial Institutions can easily advance loans to the partnership forms.

iv. **Greater Management Ability**

As there are many partners involved in the conduct of a business, the duties and responsibilities may be distributed to each partner. It increases the efficiency of the firm.

v. **Combined Judgment:** "Two heads are better than one". In partnership, the partners consult each other and as a result wise decision-making is possible.

vi. **Admission or Retirement:** If any partner wishes to leave the firm or new man wants to join with the consent of all the partners, it is possible to introduce the new blood and allow the disinterested partner to leave the firm.

vii. **Easy to Dissolve**

The partnership can be dissolved at any time without any difficulty.

1.3 Kind of Partners

i. Active Partner

The partner who invests capital and takes active part in the conduct of a business is called an active partner.

ii. Senior Partner

A partner who invests considerable amount and has leadership in the management of the business is called a senior partner.

iii. Dormant or Sleeping Partner

The partner who invests capital but does not take part in the conduct of a business and is not known to the public is called a sleeping partner.

iv. Silent Partner

A partner, who does not take any part in the management of the business but is known to the public as a partner, is called silent partner.

v. Nominal Partner

The person who lends his name and reputation to the firm but neither invests may capital or takes any part in day-to-day conduct of a business is called a nominal partner. He does not share in the profits and losses of the firm.

vi. Holding out Partner or Partner by Estoppels

A person who represents himself as partner although he has no right in the partnership is called a holding out partner.

vii. General Partner

The partner who have unlimited liability are called general partner.

viii. Limited Partner

If one or more than one partner have limited liability and at least one other partner has unlimited liability, it is said to be a limited partnership. There is no example of such partnership in Pakistan.

ix. Secret Partner

A partner who takes active part in the affairs of a business but is not known to the public as a partner is called secret partner.

x. Junior Partner

A person who contributes small amount of investments and has limited experience of business is called a junior partner.

xi. Minor Partner

Partnership is a contract and a contract with a minor is void. But under section 30 of the partnership Act, a minor may be admitted to the partnership with the consent of all the partners for the time being.

xii. Partner in Profit Only

If a partner is entitled to a certain share of profit and is not responsible for the losses he is known, as a partner in profit only. He is not allowed to take part in the management of the business.

1.4 Essentials of Partnership: Thus the following essentials must exists in a business before it can be called partnership.

i. There must be at least two partners.
ii. There must be an agreement either oral or in writing.

iii. The agreement must show how to share the profit & loss of the business.
iv. The business should be for lawful purposes/consideration.
v. The business should be carried on by all or any of them acting for all.
vi. The liability of each partner is unlimited for all debts of the partnership business.
vii. During business every partner is the agent of other partners or the firm.
viii. No one is allowed to transfer his share or interest to any other person without the consent of all partners.

1.5 Partnership Agreement/Deed: The document which contains terms and conditions of the partnership is known as partnership deed. In the absence of an agreement, the provisions of partnership Act are applicable. However the Act leaves it tot the discretion of partners to frame rules and regulations for running on the partnership business. Written agreement between partners will be helpful in case of disputes between the partners.
The following points are to be written into partnership deed:

1. Date of agreement.
2. Name and location of the business.
3. Nature of the business to be conducted.
4. Names of the partners and their details.
5. Investment of each partner.
6. Basis on which profits or losses are to be shared by the partners.
7. If interest is to be allowed on capitals, the rate of such interest.
8. Salary allowances to the partners.
9. The limit of drawings for private purpose and rate of interest on such drawings (if any).
10. The procedure of admission of a new partner.
11. The retirement of any existing partner.
12. Purchase and sales of interest to the other partners and outsiders.
13. Treatment of goodwill in case of change in membership on admission, retirement or death of partner.
14. Right, duties and liabilities of each partner.
15. In case of disputes among partners the method of arbitration.
16. The procedure of preparing the accounts and their audit.
17. Head office of the firm and places of its branches.
18. Name of the firm's bankers.
19. Division of assets upon dissolution of the partnership.
20. Length and time the partnership to run.
21. Signature of the partners.
22. Treatment of assurance policy if any.

2. General Accounting Procedure for Partnership Business

General accounting procedure which you learnt in earlier units regarding maintaining account books (journals, day books, subsidiary ledgers, general ledger, preparation of trading, profit and loss accounts and balance sheet) is the same for all types of business organizations and as such in applicable to partnership also. Following accounts are however of special importance in case of partnerships.

2.1 Capital Accounts: These accounts show the financial contribution of each partner in the firm. Except for amendments to the proportions and extent of capital held, as for example, on the admission of another partner, these capital amounts may remain unchanged.

2.2 Current Accounts: These accounts show day-to-day transactions affecting the partners apart from other business transactions. For example; credit for the share of profits and interest (if any) on capital, debits for drawings (at the end of year), and any charge for interest on drawings.

2.3 Drawing Accounts: During the course of the year when it is apparent that business is operating at a profit, the partners may wish to make drawings, either in cash or in kind against their anticipated share of profits. These drawings must be kept away from the profit and loss account. At the end of the year these drawing accounts are closed to the current accounts of the partner (see 2.2 above).

2.4 Interest on Drawings: According to the Partnership Act no partner's drawing should be charged unless there is an agreement amongst the partners to the contrary. Usually no interest is charged on reasonable drawings of the partners, but when the withdrawals are heavy, the partnership deed should provide for charging interest on drawings. Interest is charged on Drawings in the following cases:

a. Where the drawings of the partners are unequal.
b. Where the drawings are made on different dates.

2.5 Interest on Capital Account: According to the Partnership Act no interest is payable on the capital supplied by the partners. But if there is an agreement as to the payment of interest on capital, interest is payable at an agreed rate before the division of profits. For the sake of equity, it is necessary to allow interest on partners' capitals in the following cases:

a. Where partners share profits equally but have unequal capital,
b. Where the partners have equal capital but share profits unequally.

2.6 Partners Salaries: According to the Partnership Act, no partner is entitled to any salary for the work done for the firm. But if there is an agreement, a partner may be entitled to remuneration for his work to the firm. Where some of the partners devote the whole of their time to the business, while others do not, it is usual to allow the former a salary before distributing the net profit. This practice is also followed where there are junior partners, having small capital in the firm who get remuneration from the business for their services. The salary is either drawn out in cash or credited to the Current Account of the partners.

Example-1: A and B enter into a partnership on 1st January by introducing Rs.50000/- and Rs. 100000/- respectively. Partnership deed provides 10% interest on equity/capital. A is entitled to a monthly salary of Rs. 1000. Income for the year before charging interest on capital and A's salary amounting to Rs.57000. They share income and expenses equally. A's drawings 1500, B's drawings 2000. Show the distribution of incomes, journal entries, and accounts relating to partners under:

i. Fixed nature of capital ii. Fluctuating nature of capital.

Solution: PLS appropriation account for the year ended.

To Salary – A	12000	By balance b/d	57000
To interest on capital			
A 5000			
B 10000	15000		
To net profit:-			
A = 15000			
B = 15000	30000		
	57000		57000

General Journal: A. When Capital are Fluctuating

Date	Description	PR	Dr.	Cr.
Dec. 31	Salaries		12000	
	A's capital			12000
	Salary allowed to A			
	Interest on capital		15000	
	A's capital			5000
	B's capital			10000
	Interest allowed on capital			
	Profit on capital		30000	
	A's capital			15000
	B's capital			15000
	Income distributed			

B. When the Capitals are Fixed

Date	Description	PR	Dr.	Cr.
Dec. 31	Salaries		12000	
	A's current-account			12000
	Salary allowed to A			
	Interest on capital		15000	
	A's current account			5000
	B's current account			10000
	Interest allowed on capital			
	Profit and loss account		30000	
	A's current account			15000
	B's current account			15000
	Income distributed			

Capital Account (When capitals are fixed)

Date	Description	A	B	Date	Description	A	B
Dec. 31	Balance	50000	100000	Jan.1	Cash	50000	100000
		50000	100000			50000	100000

Partner's Current Accounts

Date	Description	A	B	Date	Description	A	B
Dec.31	Cash (drawings)	1500	2000	Dec. 1	Salary Interest	12000	

						5000	10000
Dec.31	Balance	30500	23000		PLS a/c	15000	15000
		32000	25000			32000	25000

Capital Accounts(When Capitals are Fluctuating)

Date	Description	A	B	Date	Description	A	B
Jan. 1	Cash (drawings)	1500	2000	Jan. 1	Cash	50000	100000
Dec. 31				Dec. 31	Salary	12000	
	Balance				Interest	5000	10000
		80500	123000		PLS a/c	15000	15000
		82000	125000			82000	125000
					Balance	80500	123000

Example 2: X, Y, and Z are partners in a firm. On 1st January, the balance of their capital was Rs.50000/-, Rs.75000/- and 100000/- respectively. During the year each partner drew Rs.3000/-. They share profit and loss in the ratio 1:1:2 during the year. The firm earned a profit of Rs.52050/- without having the following adjustments.

i. Interest on capital and drawings at the rate of 10%

ii. Z is to be provided a salary of Rs.500 a month. Each partner's drawings are Rs.3000. Show profit and loss appropriation account and capital accounts. Capital under fixed and fluctuating methods.

Profit and Loss Appropriation Account

Dr. **Cr.**

Date	Description	Amount	Date	Description	Amount
Dec.31	interest on capital		Jan.1	By balance b/d	52050
	A- 5000			By interest on Drawings	
	B - 7500			X – 150	
	C - 10000	22500		Y – 150	
	salary	6000		Z – 150	450
	profit transferred to:				
	X - 6000				
	Y - 6000				
	Z – 12000	24000			
		52500			52500

Capital Accounts (When Capitals are Fluctuating)

Description	X	Y	Z	Description	X	Y	Z
Cash (Drawings)	3000	3000	3000	Balance	50000	75000	100000
Interest on drawings	150	150	150	Interest	5000	7500	10000
				Salary			6000
Balance	57850	85350	124850	PLS account	6000	6000	12000
Total	61000	88500	128000	Total	61000	88500	128000
				Balance	57850	85350	124850

Capital Account (When capitals are fixed)

Dr. **Cr.**

Date	Description	X	Y	Z	Date	Description	X	Y	Z
Dec.31	Balance	50000	75000	100000	Jan.1	Balance	50000	75000	100000
		50000	75000	100000			50000	75000	100000

Current account: Dr. **Cr.**

Description	X	Y	Z	Description	X	Y	Z
Cash (Drawings)	3000	3000	3000	Interest	5000	7500	10000
Interest on drawings	150	150	150	Salary			6000
				Exp. & Rev			
Balance	7850	10350	24850	Summary	6000	6000	12000
Total	11000	13500	28000	Total	11000	13500	28000

Note: If the dates on which amounts are withdrawn are not given the interest on the whole of the amount will be charged for six months on the assumption that amounts were withdrawn-evenly throughout the year. **Example-3:** Mr. Akbar, Ali, and Ahmed formed a partnership on 1st January contributing Rs.50000. 70000 & Rs.100000 respectively. They share profit and loss in the ratio of 5:7:10. During the year they earned a profit of Rs.49000. They however omitted the following matters.

i. Interest on capital was not provided, rate is 10%.
ii. The salary of Mr. Ali amounting to Rs 5000 was not paid.
iii. Reserve at the rate of 5% was to be provided at the figure of net profit after all the adjustments. Show the capital accounts of the partners if capitals are fluctuating. Drawings were: Akbar Rs.6000, Ali Rs.8000 and Ahmed Rs.10000/-.

Solution: **PLS Account**

For the period ended on 31st December

To interest on capital		By balance	49000
Akbar – 5000			
Ali – 7000			
Ahmed – 10000	22000		
To salary Ali	5000		
To reserve fund	1100		
To net profit			
Akbar – 4750			
Ali – 6650	20900		
Ahmed – 9500			
	49000		49000

Capital account

Description	Akbar	Ali	Ahmed	Description	Akbar	Ali	Ahmed
To cash (drawings)	6000	8000	10000	By balance	50000	70000	100000
				By interest	5000	7000	10000
				By Salary		5000	
To Balance	53750	80650	109500	By PLS a/c	4750	6650	9500
	59750	88650	119500		59750	88650	119500

Example-4: Mr. Aslam, Akbar and Azhar are partners in a partnership business, contributing Rs. 40000/-, Rs. 50000/- and Rs. 50000/-.

i. Mr. Aslam is entitled to a salary Rs. 3000/- per year.
ii. Interest of 10% is to be provided on capital of each partner.
iii. Akbar is entitled of a commission of 10% of any surplus after (i), (ii),
iv. Remaining profit is to be distributed in the ratio of 4:3:1: Profit before all the adjusting amounts is Rs. 61000/-. **Prepare** a statement of Income Distribution and capital accounts of the partners.

PLS Account for the year end

To salary (Aslam)		3000	By balance		61000
To interest on capital					
Aslam	4000				
Akbar	5000				
Azhar	5000	14000			
To commission – Akbar		4000			
To net profit					
Aslam	20000				
Akbar	15000				
Azhar	5000	40000			
		61000			61000

Capital account

Date	Description	Aslam	Akbar	Azhar	Date	Description	Aslam	Akbar	Azhar
Dec.31	Balance	67000	74000	60000	Jan.1	Balance	40000	50000	50000
						Salary	3000		
						Interest on Capital	4000	5000	5000
						Commission		4000	
						PLS a/c	20000	15000	5000
		67000	74000	60000			67000	74000	60000

Note: Commission has been calculated with the help of the following formula.

$$\frac{NP \times \text{Rate of Commission}}{100 + \text{Rate of Commission}} = \frac{44000 \times 10}{110} = 4000$$

Example-5: Balance of capital of M/s Z & M on 1st January is Rs.80000/- and Rs.50000/- respectively. The partnership deed provides the following:

i. Interest to be charged on capital 10% and on drawings 8% per annum.
ii. Mr. Z is entitled for salary of Rs.1000/- per month. Each partner withdrew Rs.400/- per month on first of each month.
iii. Mr. Z withdrew salary for 6 months i.e. Rs.6000/- and this was charged to profit and loss account.
iv. Profit for the year before charging interest on drawing and capital and unpaid salary amounts to Rs.44247- They share income and expenses 2:1. Prepare capital accounts.

Solution: **M/s Z & M**

PLS account for the period end

To interest on capital	3000	By balance	44247
Z – 8000		By interest on drawing	
M – 5000	13000		
To salary – Z	6000	Z – 130	
To net profit		M –130	
Z – 14998			260
M – 7499	22497		
	44497		44497

Interest on drawing has been calculated as under: Product

Rs.400/- draws on 1st Jan. stands for 12 months 400 x 12 = 4800/-

Rs.400/- on 1st February stands for 11 months 400 x 11 = 4400/-

Rs.400/- draws on 1st march stands, 10 months 400 x 10 = 4000 and so on.

The sum will be Rs.31200. By dividing it on 12 we will get the weighted average of drawings that remained outstanding throughout the year.

Weighted Average Drawing = $\frac{\text{Rs.31200}}{12}$ = Rs.2600

Interest on Drawings = Rs.130

Date	Detail	Z	M	Date	Detail	Z	M
Dec.31	Interest on drawings	208	208	Jan. 1	Balance	80000	50000
	Cash drawings	4800	4800	Dec.31	Interest on capital	8000	5000
	Balance	104068	57569		Salary	6000	
					PLS a/c	14998	7499
		108998	62499			108998	62499

2.7 Capital Ratio as Basis of Sharing Profit and Loss: Under this system, the profit or loss of the business is divided in the ratio of the capital. The capital ratio may be of the following type:

i. Beginning capital ratio
ii. Ending capital ratio
iii. Average capital ratio

i. Beginning Capital Ratio: When profit or loss is to be divided according to beginning capital ratio, the capital balance on 1st day of the accounting period is taken as a base. If the capital balances of M/s A & B on 1st day of the accounting period is Rs.30000/- and Rs.50000/- respectively, the profit or loss will be divided between them in the ratio of 3:5.

ii. Ending Capital Ratio: When profit or loss is to be divided according to ending capital ratio, the capital balance on the last day of the accounting period is taken as a base. If the capital balance of M/s Y and Z on the last day of accounting is Rs.70000/- and Rs.30000/- the profit will be divided in the ratio of 7:3. If the capital at the end of a particular period is not given it will be calculated in the following way:

Ending Capital = Beginning capital + additional investment (-) drawing

Example – 6: Akbar, Babar and Shan started business on 1st January, with Rs.30000/-. Rs. 50000/- and Rs. 60000/- respectively. They made additional investment during the year Rs.10000/-, Rs.4000/- and Rs. 5000/- respectively. During the year Akbar withdrew Rs. 4000/- and Shan Rs. 2000/-. During the year the firm earned a profit of Rs.21420. **Give the necessary journal entries, if profit is distributed.**

(a) Beginning capital ratio

(b) Ending capital ratio

Solution: Beginning capital ratio

	Akbar	Babar	Shan
Capital	30000	50000	60000
Profit ratio	3	5	6
Or	3/14	5/14	6/14

Share of Akbar = 3/14 x 21420 = Rs.4590/-

Share of Babar = 5/14 x 21420 = Rs.7650/-

Share of Shan = 6/14 x 21420 = Rs.9180/-

Ending Capital Ratio

	Akbar	Babar	Shan
Capital	30000 + (10000 – 4000)	50000 + (40000-0)	60000+(5000-2000)
Profit	36000	54000	63000
ratio	4	6	7
Or	4/17	6/17	7/17

Share of Akbar = 4/17 x 21420 = Rs.5040/-

Share of Babar = 6/17 x 21420 = Rs.7560/-

Share of Shan = 7/17 x 21420 = Rs.8820/-

Case (a) General journal	**Dr.**	**Cr.**	
Profit on Capitals:		21420	
To capital – Akbar			4590
To capital – Babar			7650
To capital – Shan			9180
(income distributed)			

Case (b)	**Dr.**	**Cr.**	
Profit and loss account		21420	
To capital – Akbar			5040
To capital – Babar			7560
To capital – Shan			8820
(income distributed)			

i. Average capital ratio: If the profit or loss of the business is to be divided in the ratio of average capital, the average capital is ascertained as under:

(a) Periodical balance of each partner's capital is ascertained.

(b) Periodical balance is multiplied by the unchanged period and product is calculated.

(c) Add the product of each period to get the total product.

(d) Divide the total product by total period.

(e) The resulting figure will be the average capital.

3. ADMISSION OF A NEW PARTNER

You have already learnt the reasons why traders combine resources and enter into partnership. In this connection paragraph 1.2 may be referred to. The same reasons are applicable for admission of a new partner in an existing firm.

Subject to special agreement, a new partner can be admitted only with the consent of all the existing partners. The partners reconsider the working arrangements and agree on fresh terms and conditions under which the reconstituted business shall be run. On admission of a new partner the existing partners will naturally become entitled to have satisfactory compensation for surrendering a part of their share in the profit of the firm. The following paragraph deals with admission of a new partner in the firm.

3.1 Admission Procedure: When a new person is admitted as a partner, certain adjustments in account books become necessary. Chiefly this is because, the new partner will require a share in the profits of the firm and due to this reason, the old partners will stand to loss and sacrifice a part of their profit when accommodating the incoming new partner. At the time of admission the main questions to be dealt with are:

(a) Treatment of goodwill/or bonus
(b) Revaluation of assets and liabilities
(c) Settlement of new profit sharing ratio. All these issue are discussed in the following.

3.2 Goodwill in Partnership: The first thing, which is to be taken in consideration on admission of a new partner, is goodwill. The term goodwill has been defined in various ways:

(a) "Nothing more than the probability that the old customers will resort to the old place".
(b) "The benefits and advantages accruing from the habitual customers of a successful business".
(c) "The excess value of an old established business over the capital value of the same".
(d) "The value attaching to the reputation of business".

In fact, goodwill means the goodwill, rather the good wishes of the buying public towards a particular business as a result of which, that business attracts a regular flow of customers and good profits. Briefly, goodwill may be said to be that element arising from the reputation, connection or other advantages possessed by the business, which enables it to earn profits greater than the return normally expected on capital invested in the tangible assets employed in the business. It is the value of the reputation of the firm.

Goodwill is a positive asset, no doubt, but it is an intangible asset unlike plant and machinery, land and building, stock is trade, etc. goodwill cannot be seen but its existence can be felt and appreciated. The existence of changes hands and its goodwill fetches a good sum, although the old proprietors were not perhaps fully aware of its existence and value. The factors, which are responsible for the goodwill of a business, may be one or more of the following:

(a) The name of the business.
(b) The nature or reputation of the article sold or of the service rendered.

(c) The personality or personal reputation of the proprietors.
(d) The particular advantage of the site of business.
(e) The possession of the trade marks, patents, or trade name by the firm.

The factors named above result in extra profits and hence goodwill will arise when business is profitable. A business running into losses will have, generally, no goodwill.

3.2.1 Valuation of Goodwill

There are various methods in practice for the valuation of goodwill. The usual methods are as under:

i. Average Profit Basis: In this case the profits of the past few years are averaged. The average is multiplied by a certain number (2 or 3 or 5) as agreed. It is expressed, for example, as 3 years purchases of 5 year's average profits. The profits for the year 20-A to 20-F have been Rs.8000/-, Rs.10000/-, Rs.12000/-, Rs.7000/-, and Rs.13000/-. First of all ascertain the average for 5 years profits and then multiply that average by three. The product will be the amount of goodwill. The average comes to Rs.10000/-. The goodwill be 3 x 10000 = Rs.30000/-.

ii. Super Profit Basis: In this case interest on capital employed at the rate prevailing in the market and also reasonable salary of the proprietor is deducted from the average profit. What remains is "Super Profits". Suppose in the case discussed above the capital of the firm consists of Rs.80000/- and that 5 percent is reasonable return in the industry. The reasonable or normal profit @ 5 percent has come to Rs.4000/-. The average profits being Rs.10000/-, the super profits in this case come to Rs.6000/-. In the example given above, if goodwill is to be calculated at 3 years purchase, the goodwill is 6000 x 3 = Rs.18000/-

iii. Capitalization Method

In this method the value of the whole business is found out by the formula,

$$\frac{\text{Profit}}{\text{Reasonable or normal return}} \times 100$$

From this figure the assets of the firm are deducted and the remainder is goodwill. In the above example of the value of the whole business is 10000 x 100 or Rs.10000/-. Net assets or capital is Rs.80000/-. Hence the goodwill will be 10000 – 80000 = Rs. 20000/-.

When is Goodwill Valued? The necessity for the valuation of goodwill arises in the following cases:

(a) When a new partner is admitted to a partnership
(b) When a partner retires or dies
(c) When the profit sharing ratio amongst the partners is changed and
(d) When the business is dissolved or sold

3.3 Accounting Treatment of Goodwill/Bonus: When a new partner joins an existing business, they may be required to contribute goodwill in addition to capital. Goodwill represents the firm's reputation and earning potential. Under IFRS, goodwill is treated as an intangible asset and must be accounted for properly. The following methods are commonly used:

1. **Cash Payment** – The new partner directly pays the existing partners for their share of goodwill.
2. **Adjustment in Capital Accounts** – Goodwill is adjusted in partners' capital accounts based on the agreed profit-sharing ratio.
3. **Goodwill Raised and Written Off** – Goodwill is first recorded in the books and then written off among existing partners.
4. **Hidden Goodwill** – If no specific goodwill amount is given, it is determined by adjusting the capital contribution to match the new profit-sharing ratio.

a.	**Debit cash or Bank Account** **goodwill account**	**Cr. (with the actual amount, which is brought in as goodwill)**
b.	**Debit goodwill account** **Credit old partner capital account**	**(in the ratio in which old partners are sharing)**

One point must, however, be noted. This should be the case when the admission of a person as a partner, the ratio as among the old partners does not change. But on the admission of a new partner, the profit sharing of old partners as among them is also changed. It has been made clear above that goodwill is compensation to old partners. Therefore, the amount brought in as goodwill by the incoming partner should be credited to the old partners in the ratio of their sacrifice and not in the old profit-sharing ratio.

Suppose A and B were sharing profits in the ratio of 5:3, C is admitted and the new profit sharing ratio is 2:1:1. This means that A will now get one-half, B will get one-fourth, and C also one-fourth. The ratio of sacrifice can be calculated by finding out how much A & B (old partners) lose. A loses 5/8-1/2 i.e., 1/8. B loses 3/8-1/4, i.e. 1/8. Therefore, on C's admission both A & B lose equally. The amount brought in by C should be credited to the capital accounts of A & B equally. The students must note that the treatment of goodwill is necessary only when goodwill is brought in cash. This is shown in the following example:

The following is the balance sheet of Abid and Akbar as at Dec. 31st:

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors	30000	Cash account	10000
		Sundry assets	50000
Owner' equities			
Capital – Abid 15000			
Capital – Akbar 15000	30000		
	60000		60000

The particulars shared profits and losses in the ratio 3:2. On the above date Asghar was admitted as partner for 1/5 share in the business.

Required: Giver necessary journal entries and prepare balance sheet under the following cases separately.

i. Asghar has invested Rs.10000/- in the partnership.

ii. If it is agreed that Rs.30000/- would represent 4/5 of the total capital of the new firm.

Solution: Case (1) General Journal

Date	Description	Dr.	Cr.
Dec. 31	Cash	10000	

	Capital - Asghar The investment made by Asghar		10000

Name:_____

Balance sheet as on Dec. 31st

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors/account, payable	30000	Cash (10000 + 10000)	20000
Owners equities:		Sundry assets	50000
Capital – Abid 15000			
Capital – Akbar 15000			
Capital – Asghar 10000			
	40000		
	70000		70000

Case (2.) New partner's interest = 1/5

Remaining interest of old partners = 4/5

Capital for 4/5 interest = 30000/-

Total capital of new firm = 30000 x 5/4 = 37500/-

Asghar's capital = 37500 x 1/5 = 7500/-

General Journal

Date	Description	Dr.	Cr.
Dec. 31			
	Cash	7500	
	Capital – Asghar		7500
	The investment made by Asghar		

Name:_____

Balance sheet as at Dec. 31st

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors/accounts payable	30000	Cash (10000 + 7500)	17500
Owners' equities		Sundry assets	50000
Capital Abid 15000			
Capital Akbar 15000			
Capital Asghar 7500			
	37500		
	67500		67500

iii) By purchasing interest in an existing partnership business: When a new partner purchases the interest of the old partner neither the total assets nor the total capital of the business is affected. The new partner pays the purchase price directly to the old partners, therefore, payment is not recorded in the books of the firm. The only entry will be for the transfer of capital of the old partners to the new partners. The capital of the old partner will be decreased and capital of new partner will be increased, the journal entry would be:

Old partner's capital Dr.

To new partner's capital Cr.

Example-9: X and Y are carrying on business as general merchants, sharing profit and losses in the ratio of 2:3. Their balance sheet as on 31st December is as under:

Equities & Liabilities	Amount	Assets	Amount
Sundry creditors	32000	Cash at bank	2000
Bills payable	6000	Bills receivable	3000

General reserve	4000	Stock	8000
Capital X	8000	Investment	4000
Capital Y	6000	Machinery	19000
		Building	20000
	56000		56000

It is decided to admit Z into the partnership on the condition that he would pay Rs.4000/- as capital on 1st January. Goodwill is to be valued at 3 years purchase of 4 years average profit, the profit or loss for the 4 years are:

1st-year profit	2200	2nd-year profit	1600
3rd-year loss	800	4th-year profit	1800

The new profit-sharing ratio is 5:6:7

Required: Give journal entries and show the balance sheet under the following methods of treatment, of goodwill:

i. Goodwill paid privately
ii. Goodwill paid in cash and retained
iii. Goodwill paid in cash and withdrawn half share of goodwill
iv. Goodwill raised
v. Goodwill raised and written off

Solution: i) No Entry is required

Goodwill will be calculated as follows:

- Four year total profit = 2200+1600-800+1800=Rs.4800/-
- Four years average profit = 4800/4 = Rs.1200/-
- Goodwill = Rs.1200 x 3 = Rs.3600/-
- Z's share of goodwill = 3600x7/18 = Rs.1400/-

ii) Goodwill Paid in Cash and Retained

General Journal

Date	Description		Dr.	Cr.
	General reserve account		4000	
	To capital – X			1600
	To capital – Y			2400
	(General reserve transferred to capitals)			
	Bank account		4000	
	To capital – Z			4000
	(Capital paid in by Z)			
	Bank account		1400	
	To goodwill account			1400
	(Goodwill paid by Z)			
	Goodwill account		1400	
	To capital – X			440
	To capital – Y			960
	(Goodwill a/c is transferred to old partners' a/c in the ratio of sacrifices i.e. 11:24.			

The sacrifice ratio will be calculated as follows:

Sacrifices ratio of X = 2/5 – 5/18 : $\frac{36-25}{90}$ = 11/90

Sacrifices ratio of Y = 3/5 – 6/18 : $\frac{54-30}{}$ = 24/90

90

Sacrifices ratio = 11/90 : 24/90 = 11 : 24

The balance sheet of new firm as on 1st January

Equities & Liabilities	Amount	Assets	Amount
Sundry creditors	32000	Cash at bank	7400
Bills payable	6000	Bills receivable	3000
Capital – X	10040	Stock	8000
Capital – Y	9360	Investment	4000
Capital – Z	4000	Machinery	19000
		Building	20000
	61400		61400

iii) When goodwill paid in cash and withdraws: This method is similar to the second, with the exception that the money paid in by the incoming partner for goodwill is not left in the business but is withdrawn by the old partners. The journals entries in this method are similar to those made in second method, except the following additional entry, which is made when the old partners withdraw goodwill.

Old partner capital Dr. With the amount of cash
To cash / bank account Cr. Withdrawn by old partners

Note: As under methods second and third the old partners are compensated in cash for the share of their goodwill, which they surrender to the new partner, therefore, no goodwill account is shown in the balance sheet for the new partnership. This will be clear from the following example:

Goodwill paid in cash and withdrawn
General Journal

Date	Description		Dr.	Cr.
	General reserve account		4000	
	To capital – X			1600
	To capital – Y			2400
	(General reserve transferred to old partner's capital account)			
	Bank account		4000	
	To capital-Z			4000
	(Capital paid by Z)			
	Bank account		1400	
	To Goodwill a/c			1400
	(Goodwill paid by Z)			
	(Goodwill a/c		1400	
	To Capital – X			440
	To Capital – Y			960
	Goodwill credited to old partners in the ratio of Sacrifice			
	Capital – X		220	
	Capital – Y		480	
	To Bank a/c			700
	(Goodwill withdrawn by X & Y)			

Balance sheet of new firm as of 31st Dec.

Equities & Liabilities	Amount	Assets	Amount
Sundry creditors	32000	Cash at bank	6700
Bills payable	6000	Bills receivable	3000

Capital – X	9820	Stock	8000
Capital – Y	8880	Investment	4000
Capital – Z	4000	Machinery	19000
		Building	20000
		Goodwill	3600
	63600		63600

iv. Goodwill Raised: Sometimes, it happens that the incoming partners fail to pay the old partners their share of goodwill in cash. In such a case, to compensate the old partners, it is agreed to raise a goodwill account in the books of firm. Goodwill account is raised at full-agreed value and is shown as an asset in the balance sheet. The entry will be:

Goodwill account Dr.
To old partners' capital account) Cr.
(In the old profit sharing ratio)

A point to note is that if the goodwill is already appearing in the books of old firm, the entry will be for the difference only, if the amount of goodwill already appearing in the books is more then the present value then it means that there is a loss to be suffered by the old partners, in this case, the entry will be:

Old partners capital Dr.
To goodwill account Cr.
(In the old profit sharing ratio)

This will be clear from the following example:

v. Goodwill raised and Written Off: It is not considered proper to continue to show goodwill in the balance sheet. This is because goodwill is an asset, which can be realized, only if the firm is dissolved. Therefore if the goodwill is raised on the admission of a partner, it is often written off immediately. This is done by debiting all partners including the new partner, in the new profit sharing ratio and by crediting goodwill.

a. Debit goodwill account (goodwill raised)
Credit old partner's capital account
b. Debit all partners' capital accounts (goodwill written off
Credit goodwill account in the new ratio)

***Note*:** Goodwill in this case will not appear in the balance sheet of the newly formed partnership as shown in the following example:

vi. Goodwill raised and written off: General Journal

Date	Description		Dr.	Cr.
	General reserve account		4000	
	To capital – X			1600
	To capital – Y			2400
	(General reserve transferred to old partner's capital account).			
	Bank account		4000	
	To capital – Z			4000
	Capital paid in by Z			
	Goodwill account		3600	
	To capital – X			1440
	To capital – Y			2160
	(Goodwill raised and credited to old partners capital in old ratio)			
	Capital – X		1000	
	Capital – Y		1200	

	Capital – Z		1400	
	To Goodwill A/c			3600
	(Goodwill written off)			

Balance sheet of new firm as on 1st January

Equities & Liabilities	Amount	Assets	Amount
Sundry creditors	32000	Cash at bank	6000
Bills payable	6000	Bills receivable	3000
Capital – X	10040	Stock	8000
Capital – Y	9360	Investment	4000
Capital – Z	2600	Machinery	19000
		Building	20000
	60000		60000

3.4 Revolution of Assets and Liabilities: On a new partner's admission, assets and liabilities are revalued at market value to reflect their true financial position. This ensures that the new partner neither benefits from asset appreciation nor suffers from devaluation losses. The revaluation adjustments are recorded in a **Revaluation Account**, with gains or losses transferred to the existing partners' capital accounts in their old profit-sharing ratio.

Under **IFRS (IAS 16 & IAS 36)**, asset revaluation must be based on fair value, and any impairment loss should be recognized immediately. Revalued amounts should be disclosed in financial statements for transparency. **Accounting procedure:** The assets, which are appreciated, will be debited with the increased value, while revaluation account will be credited. On the other hand the assets, which are reduced in value, are credited with the amount of decrease and revaluation account will be debited. Reverse entries, will be passed in case of revaluation of liabilities.

a. When value of asset is increased
   Particular assets a/c Dr. (With the amount of increase
   To revaluation a/c Cr. In the value of assets.)
b. when value of asset is decreased
   Revaluation a/c Dr. (With the amount of decrease
   To particular asset a/c Cr. in the value of assets)
c. When value of liabilities is increases
   Revaluation a/c Dr. (With the amount of increase
   To particular liabilities a/c Cr. In the value of liabilities)
d. When value of liabilities is decreased
   Particulars liabilities a/c Dr. (With the amount of decrease
   To revaluation a/c Cr. In the value of liability)

After passing the entire journal entries regarding revaluation of assets and liabilities, revaluation account will be prepared. If credit side of revaluation is greater than the debit side, there will be gain on revaluation. This again will be distributed among the old partners in their old income sharing ratio. The journal entry will be:

e. Revaluation account Dr. (with their respective share of
   To partners capital Cr. profit)

If debit side of revaluation is greater than the credit side there will be loss on revaluation. This loss distributed among old partners in their old income-sharing ratio. The journal entry will be reverse of the above entry, will now appear as under:

f. Old partners capital a/c Dr. (with their respective share of
To revaluation a/c Cr loss)

General Reserve: At the time of admission of a partner any general reserve or balance of profit or loss account appearing in the books of account should be transferred to the old partners in their old income-sharing ratio. The journal entry will be:

General reserve / profit and loss a/c Dr. (with their respective share of
To old partners capital a/c Cr. General reserve

This is illustrated in the following example: **Example 10** Rizwan, Imran and Rehan are partners in a firm. They share profit and loss in 5:3:2 ratio. Their balance sheet on 31st December is as under.

Equities & Liabilities		Amount	Assets		Amount
Sundry creditors		15000	Cash in hand		5650
Bank overdrafts		6000	Cash in bank		3000
Capital – Rizwan	90000		Sundry debtors		11500
Capital – Imran	70000		Stock		45850
Capital – Rehan	50000	210000	Furniture	6000	
			Less depreciation	600	5400
			Machinery	49000	
			Less depreciation	4400	44600
			Building		76000
			Tools (less depreciation)		39000
		231000			231000

They admit Kamran, at the time of admission, assets were re-valued as such:

1. Stock re-valued Rs.42300/-
2. Rs.200/- on sundry debtors is not to be received
3. Building is appreciated by Rs.34000/-
4. Tools are re-valued at Rs.37000/-
5. Furniture is valued at Rs.5000/- Machinery at Rs.42000/-
6. Kamran contributed Rs.80000/- for share in profit
7. Goodwill account for Rs.84750/- is raised

Required: Journalize the above matters. Prepare balance sheet of the new firm.

Solution: **General journal**

Date	Description	Dr.	Cr.
	Revaluation account	8750	
	To stock		3550
	To allowance for un-collectable a/c		200
	To tools account		2000
	To furniture account		400
	To machinery account		2600
	(Sundry assets are re-valued)		
	Building account	34000	
	To revaluation account		34000
	(Building is appreciated)		
	Revaluation account	25250	

	To capital – Rizwan		12625
	To capital – Imran		7575
	To capital – Rehan		5050
	(Loss or revaluation transferred to old partners at their old ratio)		
	Goodwill account	84750	
	To capital – Rizwan		42375
	To capital – Imran		25425
	To capital – Rehan		16950
	(Goodwill raised in the books)		

Revaluation account

Sundry debtors		3550	By building account	34000
Allowance for un-collectable		200		
To tools		2000		
To furniture		400		
To machinery		2600		
Profit transferred to:				
Capital – Rizwan	12625			
Capital – Imran	7575			
Capital – Rehan	5050	25250		
		34000		34000

Capital accounts

	Rizwan	Imran	Rehan		Rizwan	Imran	Rehan
Balance	145000	103000	72000	By balance	90000	70000	50000
				By revaluation a/c	12625	7575	5050
				Goodwill a/c	42375	25425	16950
	145000	103000	72000		145000	103000	72000

Name:_____

Balance sheet as at 1st January

Capital & Liabilities	Amount	Assets		Amount
Sundry creditors	15000	Current assets		85650
Bank overdraft	6000	Cash (5650 + 80000)		3000
Rizwan – capital	145000	Cash at bank		
Imran – capital	103000	Sundry debtors	11500	11300
Rehan – capital	72000	Less allowance	200	
Kamran – capital	80000	Stock		42300
		Non-current assets		
		Machinery		42000
		Furniture		5000
		Building (76000 + 34000)		110000
		Tools		37000
		Goodwill		84750
	421000			421000

3.5 The Profit Sharing Ratio

A. Finding out the new ratio might involve a little problem. The language of the agreement

is most important. In some cases the new ratio is given. In others only the share to be given to the new partner is given. The assumption is that as between the old partners the ratio does not change. In such a case one should deduct from the share of the new partner and then divide the remainder in the old partners in the old ratio. Suppose A & B are partners sharing profit and loss in the ratio of 5:3. They admit C and agree to give him 3/10 of the profit. Then the new ratio will be calculated as follows. C's share is 3/10; deducting this from 1, what is left is

1-3/10 = 7/10
A's share = 7/10 x 5/8 = 35/80
B's share = 7/10 x 3/8 = 21/80
C's share = 3/10 or-24/80
The ratio is 35:21:24

B. In certain cases the incoming partner "Purchases" share from the other partners is different proportions. Suppose A and B sharing profit in the ratio of 5:3 admit C giving him a 3/10 share of profits of the firm. If C acquires this share 4/20 from A and 2/20 from B, the new ratio will be: A=5/8-4/20 = 1.7/40

B = 3/8 – 2/20 = 11/20
C = 3/10 or = 12/40
If C acquires his 3/10 equally from both
A's share would be 3/20 – 3/20 = 19/40 and
B's share would be 3/20 – 3/20 = 9/40

Reserve etc. in the balance sheet: Whenever a new partner is admitted, any reserve, etc, which may be lying in the balance sheet should be transferred to the capital account of the old partners in the old profit sharing ratio. In examination problems it should be done even if there is no instruction of this point.

D. Capitals in the profit sharing ratio: If is often agreed on admission of a partner that the capitals of all partners should be in proportion to their respective share in profits. The starting point may be the new partner capital or the new partner himself may be required to bring in capital equal to his share in the firm. If the new partner's capital is given, one should find out the total capital of the firm on the basis of the share. Then the capital required of other partners should be ascertained. This question should be taken up after making all adjustments in respect of goodwill, transfer of profit or loss on revaluation of assets and reserves, etc. Suppose A and B are two partners sharing in the ratio of 3:2 having capitals Rs.30000/- and Rs.16000/- respectively. They admit C in a firm with a share of ¼ in the profit of firm, C contributes Rs.15000/- as his capital. Then the required capital of A and B should be calculated as follows:

A's share of profit[1-1/4] x 3/5 = 9/20
B's share of profit[1-1/4] x 2/5 = 6/20
C's share of profit[1-1/4] x 1/5 = 5/20

If C's share is Rs.15000/- then the total capital should be Rs.15000 x 4/1 = Rs.60000/-

A's share therefore should be 60000 x 9/20 = 27000
B's share therefore should be 60000 x 6/20 = 18000

A's share therefore, should be paid Rs.3000/- i.e. 30000 – 27000/-, B should bring Rs.2000/- i.e. 18000 – 16000.

We can get these figures in another way also. If for 5/20 share of profits, the capital is Rs.15000, for 9/20 share of profits, the capital should be 15000 x 2/5 x 9/20 = 27000A. This is what A's capital should be, similarly for 6/20 share of profits the capital should be 15000 x 20/5 x 6/20 = 18000/-.

Example-II; The following is the balance sheet of Zafar and Muzammal on 31st December. Profit being divided equally.

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors	20000	Cash	200
Bank overdraft	6000	Sundry debtors	24400
Capital Zafar	8400	Stock	14000
Capital Muzammal	6400	Investment	1200
		Furniture	1000
	40800		40800

It is arranged that Asif shall be taken in partnership and as a result of the negotiations, it is agreed to make the following adjustments in the above balance sheet.

i. Investment is decreased by 25%, stock by 15% and furniture 6%.
ii. Goodwill raised in the books Rs.4000/-
iii. Bad debts written off Rs.6000/-
iv. Asif introduces Rs.4000/- as his one-third share of the capital, the capital accounts of other partners shall be adjusted.

Required: Make journal entries and prepare an amended balance sheet

Solution: Journal

Date	Description		Dr.	Cr.
	Revaluation account		3000	
	To investment account			300
	To stock account			2100
	To furniture account			600
	(Being the decrease in the value of various assets)			
	Goodwill account		4000	
	To capital – Zafar			2000
	To capital – Muzammal			2000
	(Being the good will raised)			
	Revaluation account		6000	
	To sundry debtors account			6000
	(Being the bad debts written off)			
	Cash account		4000	
	To capital – Asif			4000
	(Being the amount of capital paid by Asif)			
	Capital – Zafar		4500	
	Capital – Muzammal		4500	
	To revaluation account			9000
	(Being the loss on revaluation transferred to old partner's capital a/c)			

	Capital – Zafar To cash account (Being the excess capital withdrawn)		1900	1900
	Cash account To capital – Muzammal (Additional capital paid in)		100	100

Capital of Zafar and Muzammal have been adjusted as follows: Asif,s share is 1/3, deducted from 1

Which is left is = 1/1-1/3 = 2/3
Zafar's share is new firm = 2/3x1/2 = 1/3
Muzammal's share in new firm = 2/3 x ½ = 1/3
Capital of Asif for 1/3 share = Rs. 4000/-
Total capital of new firm = 3/1 x 4000 = 12000
Capital of Zafar in new firm = 12000 x 1/3 = Rs.4000
Zafar should be paid = Rs. 1900 = (5900 – 4000)
Muzammal should bring = Rs. 100 = (4000 – 3900)

Balance sheet of new firm

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors	20000	Cash (2200+200)	2400
Bank overdraft	6000	Sundry debtors	18400
Capital Zafar	4000	Stock (24000-2100)	11900
Capital Muzammal	4000	Furniture (1000-600)	400
Capital Asif	4000	Investments (1200-300)	900
		Goodwill	4000
	38000		38000

4. RETIREMENT AND DEATH OF A PARTNER

4.1 Retirement of a Partner

A partner may not want to remain as partner due to any reason, other than death and may wish to withdraw his capital from the firm. This type of withdrawal is known as retirement. Technically speaking partnership comes to an end unless remaining partners are agreed to continue it. If they want to continue it, they should form a new partnership. At the retirement, the following matters are to be decided:

i. To ascertain the amount due to the retiring partner
ii. New profit sharing ratio between remaining partners
iii. To determine the value of goodwill if necessary
iv. Revaluation of assets and liabilities
v. Mode of payment to the outgoing partner
vi. Capital account transferred to loan account
vii. Reserve etc.

i. To Ascertain the Amount due to the Retiring Partner

Retiring partner will be entitled to:

a. Capital balance on the date of retirement or on the date of previous balance sheet as agreed.
b. Interest on capital from the last date of balance sheet to the date of retirement if due as per partnership deed.

c. Share of profit from the date of previous balance sheet to the date of retirement.
d. Profit or loss due to revaluation of assets and liabilities.
e. Share of goodwill.

ii. New Profit Sharing Ratio

After the retirement or death of partner, distribution basis of income between the remaining partners is a matter to be decided. They may distribute it in the same ratio or otherwise decide a new ratio among themselves. For example A, B and C are partners sharing profit and loss equally. In the absence of any agreement profit will be distributed in the ratio before retirement equally.

iii. Treatment of Goodwill on Retirement of a Partner

Treatment of goodwill may take following forms.

(a) Goodwill raised at full value
(b) Goodwill raised at full value and written off
(c) Goodwill raised equal to retiring partner share
(d) Goodwill raised equal to retiring partner share and written off

iv. Revaluation of Assets and Liabilities: Revaluation of assets and liabilities is a must on the retirement of a partner unless the deed specially says that these are not to be re-valued. The method of dealing with revaluation of assets is exactly similar to that followed at the time of admission of a partner. Revaluation account will be debited with reduction in the value of assets and increase in the amount of liabilities. This account (revaluation) will be credited with increase in the value of assets and reduction in the amount of liabilities. The profit or loss on revaluation must be transferred to the capital accounts of all partners (including retiring) in the old profit sharing ratio.

v. Mode of Payment to Retiring Partner: The amount due to a retiring partner may be paid in lumpsum immediately after retirement or it may be paid by installments to the retiring partner.

If the amount due to a retiring partner is paid off in lumpsum, the entry will be.

Retiring partners capital	Dr.	
To cash / bank account		Cr.

If the payment to the retiring partner is to be made by means of periodic installment, the balance of his capital will be transferred to a loan account in his name, the entry will be.

Retiring partner capital	Dr.	
To partner loan		Cr.

vi. Reserve, etc

On the retirement of a partner any reserve or accumulated profits appearing in the books should be transferred to capital account of all the partners in the old ratio. Alternatively, only the retiring partner may be credited with his share, the remaining reserve continuing to appear in the books.

vii. Capital Account to be transferred to Loan Account: When the formalities of retirement are over, the balance standing to the credit of the retiring partner's capital should be transferred to his loan account until it is paid off in lumpsum or in installments.

Example – 12: Tufail, Jamal and Kamal were running a business under the name Globe General Store. They shared profit and loss as 3:2:1 respectively. They close their books on

31st December each year. Jamal retired from the business. On the date of his retirement the balance sheet of the firm was under:

Capital & Liabilities		Amount	Assets		Amount
Sundry creditors		10200	Cash in hand		10000
Loan of Jamal		3600	Sundry debtors	10000	
			Less allowance	500	9500
Tufail – Capital	22700		Stock		16000
Jamal – Capital	16000		Office equipment	12000	
Kamal – Capital	7000	45700	Less depreciation	2000	10000
			Plant & machinery	17000	
			Less depreciation	3000	14000
		59500			59500

Following adjustment is to be made before ascertaining the amount due to Jamal:

i. Goodwill is to be valued at Rs.18000/- which is to be remained in the books.
ii. Allowance for un-collectible is to be increased to Rs.1000/-
iii. Stock valued at Rs.15000/-
iv. Office equipment and plant and machinery are to be depreciated at 10% of the net value.
v. Amount due to Jamal is to be transferred to his loan account, at the rate of 15% interest, but loan in the balance sheet is to be paid immediately.

Required: Pass necessary journal entries; prepare the balance sheet of the new firm.

Solution: **Journal**

Date	Description	Pr.	Dr.	Cr.
	Goodwill account		18000	
	To Tufail – capital			9000
	To Jamal – capital			6000
	To Kamal – capital			3000
	(Goodwill raised in the books)			
	Revaluation account		3900	
	To allowance for un-collectible a/c			500
	To stock account			1000
	To office equipment			1000
	To plant & machinery			1400
	(Assets are reduced as agreed)			
	Tufail – capital		1950	
	Jamal – capital		1300	
	Kamal – capital		650	
	To revaluation account			3900
	(Loss on revaluation transferred to partner' capital)			
	Jamal – capital		20700	
	To Jamal – Loan			20700
	(Jamal's capital transferred to his loan)			
	Jamal loan		3600	
	To cash			3600
	(Jamal's loan paid off)			

Revaluation account

To allowance for un-collectible a/c	500	By Tufail – capital	1950

To stock account	1000	By Jamal – capital 1300	
To office equipment account	1000	By Kamal – capital 650	3900
To plant & machinery account	1400		
	3900		3900

Capital account

	Tufail	Jamal	Kamal		Tufail	Jamal	Kamal
To revaluation	1950	1300	650	By balance	22700	16000	7000
To Jamal's loan		20700		By goodwill	9000	6000	3000
To balance	29750		9350				
	31700	22000	10000		31700	22000	10000

Balance sheet

Capital & Liabilities		Amount	Assets		Amount
Sundry creditors		10200	Cash (10000 – 3600)		6400
Jamal – loan		20700	Sundry debtors	10000	
Tufail – capital	29750		Less allowance	1000	9000
Kamal – capital	9350	39100	Stock		15000
			Non-current assets:		
			Office equipment	12000	
			Less depreciation	3000	9000
			Plant & machinery	17000	
			Less depreciation	4400	12600
			Goodwill		18000
		70000			70000

Example-13: A, B C and D are partners sharing profit and loss in the ratio of 4:3:2:1. The balance sheet position of the firm on 30th June is as under:

Capital & Liabilities		Amount	Assets		Amount
Sundry creditors		10000	Cash		8750
A - capital	24000		Sundry debtors	16950	
B - capital	18000		Less allowance for un- collectible		
C - capital	12000			700	16250
D -capital	6000	60000	Prepaid rent		5000
			Un-expired insurance		3000
			Office equipment	23000	
			Less depreciation	3000	20000
			Furniture	20000	
			Less depreciation	3000	17000
		70000			70000

On 30th June D retires from the business and following adjustments are to be made before ascertaining the amount due to D. Half of the amount due to him is to be paid immediately, balance after six months which is transferred to his loan account.

i. Allowance for un-collectible is enhanced by Rs.1000/-
ii. Rs.2000/- of the prepaid rent is expired.
iii. Un-expired insurance amount is Rs.1000/-
iv. Office equipment is to be depreciated at 10% on depreciated value.

v. Goodwill of the firm is valued at Rs.15000/-. It is decided among the remaining partners that goodwill should not remain in the books. New profit ratio is 4:3:3.

Required: Pass the necessary journal entries, prepare ledger accounts and balance sheet on 1st July.

S.No.	Description	Pr.	Dr.	Cr.
(1)	Revaluation account		7000	
	Allowance for un-collectable			1000
	Un-expected insurance			2000
	Prepaid rent			2000
	Depreciation (equipment)			2000
	(Assets are re-valued)			
(2)	Goodwill account		15000	
	A's – capital			6000
	B's – capital			4500
	C's – capital			3000
	D's – capital			1500
	(Goodwill raised and distributed among partners)			
(3)	A – capital		2800	
	B – capital		2100	
	C – capital		1400	
	D – capital		700	
	To revaluation account			7000
	(Loss on revaluation transferred to partners' capital			
(4)	A – capital		6000	
	B – capital		4500	
	C – capital		4500	
	To goodwill account			15000
	(Goodwill written off according to new ratio)			
(5)	D's capital		6800	
	Cash account			3400
	D – loan			3400
	(D's capital account closed)			

Revaluation Account

To allowance for un-collectible a/c	1000	By A – capital	2800
To un-expired insurance	2000	By B – capital	2100
To prepaid rent	2000	By C – capital	1400
To depreciation (equipment)	2000	By D – capital	700
	7000		7000

Capital Accounts

Depreciation	A	B	C	D	Depreciation	A	B	C	D
Goodwill	6000	4500	4500		By balance	24000	18000	12000	6000
Revaluation a/c	2800	2100	1400	700	By goodwill	6000	4500	3000	1500
Cash				3400					
D's loan				3400					
Balance	21200	15900	9100						
	30000	22500	15000	7500		30000	22500	15000	7500

Balance Sheet

Capital & Liabilities	Amount	Assets	Amount
Sundry creditors	10000	Cash (8750 – 3400)	5350
		Sundry debtors 16950	
		Less allowance for u/col. 1700	15250
D's loan account	3400	Prepaid rent 5000	
		Less expired rent 2000	3000
		Un-expired insurance 3000	
Owner's equity:		Less insurance exp. 2000	1000
A – capital 21200		Office equipment 23000	
B – capital 15900		Less depreciation 5000	18000
C – capital 9100	46200	Furniture 20000	
		Less depreciation 3000	17000
	59600		59600

Example – 14: Give below is the balance sheet of X, Y and Z as on 31st March. Their profit sharing ratio is 3:2:1.

Assets	Amount	Capital & Liabilities	Amount
Cash in hand	50	Current liabilities:	6700
Cash at bank	900	Sundry creditors	1300
Sundry debtors	6200	Non-liabilities	
Stock	4100	General reserve	
Non current assets:			
Furniture & fittings	400	X – capital 6400	12650
Machinery & Plant	3000	Y – capital 4000	
Building	6000	Z – capital 2250	
	20650		20650

On 31st March Y served a notice of retirement on the following terms, that he will be paid half of the amount in cash at the moment he retires and balance as a bill of exchange payable after three months. Other tangible and intangible assets are valued as such. Any cash required is to be taken from bank.

i. Goodwill is to be valued at Rs.18000/-
ii. Furniture and fittings is to be taken over by Y at Rs.300/-
iii. Machinery and plant is to be depreciated at 10% building is to be appreciated by Rs.2000/-
iv. Stock is adjusted at the market price i.e. Rs.3700/-
v. Capital of the firm should be Rs.25000/-, ratio among the remaining partner capital is 3:2, excess or deficit cash is to be paid or brought in by the partner.

Required: Pass the necessary journal entries and prepare the balance sheet of the new firm.

Solution: **Journal**

S.No.	Description	Pr.	Dr.	Cr.
	Goodwill		18000	
	X – capital			9000
	Y – capital			6000
	Z – capital			3000
	(Goodwill distributed among the partners)			
	Revaluation account		100	
	Y – capital		300	
	Furniture account			400
	(Furniture taken over by Y and loss debited to revaluation)			

	Revaluation account		700	
	Plant & Machinery account			300
	Stock account			400
	(Assets reduced as required)			
	Building account		2000	
	Revaluation account			2000
	(Value of building appreciated)			
	Revaluation account		1200	
	X – capital			600
	Y – capital			400
	Z – capital			200
	(Profit from revaluation transferred to capital)			
	Reserve account		1300	
	X – capital			650
	Y – capital			433
	Z – capital			217
	(General reserve transferred to partners capital)			
	Y Capital		10533	
	Cash account			5266.50
	Bills payable account			5266.50
	(Y's capital closed)			
	Cash account		4333	
	Z – capital			4333
	(Cash paid in by Z)			
	X – capital		1650	
	Cash account			1650
	(Cash paid to XI)			
	Cash account		1633.50	
	Bank			1633.50
	(Loan taken from bank)			

Capital Account

Depreciation	X	Y	Z	Depreciation	X	Y	Z
Furniture		300.00		Balance	6400	4000	2250
Cash	1650	5266.50		Goodwill	9000	6000	3000
Bills payable		5266.50		Reserve	650	433	217
To balance	15000		10000	Revaluation	600	400	200
				Cash			4333
	16650	10833	10000		16650	10833	10000

Cash Account				Revaluation Account			
Balance	50.0	- capital	1650.00	Furniture	100	Building a/c	2000
Bank	900.0	- capital	5260.50	Plant	300		
Z – capital	4333			Stock	400		
Bank	1633.50			Capital:			
				X – 600			
				Y – 400			
				Z – 200	1200		
	6916.50		6916.50		2000		2000

Bank account

Capital & Liabilities	Amount	Assets	Amount
Balance b/d	900.00	By Cash	900.00
Balance c/d	1633.50	By Cash	1633.50
	2533.50		2533.50

Balance sheet as at 31st March

Capital & Liabilities		Amount	Assets		Amount
Sundry creditors		6700.00	Sundry debtors		6200
Bank		1633.50	Stock		3700
B/P		5266.50	Non-current assets:		
			Machinery	3000	
Owner's equity:			Less dep.	300	2700
X – capital	15000		Building	6000	
Y – capital	10000	25000.00	Add. Appreciation	2000	8000
			Goodwill		18000
		38600.00			38600

Adjustment of Capital

Capital of new firm = Rs.25000/- X's capital should be = Rs.25000/- x 3/5 = Rs. 15000/-. X's capital after adjustment is Rs.16625/-, therefore he should withdraw Rs.1650/-. Z's capital should be = Rs.25000/- x 2/5 = Rs.10000/-. Z's capital after adjustment is Rs.5667/- therefore, he should bring Rs.4333/-

4.2 Death of a Partner: According to the partnership Act of 1932, on the death of a partner, the partnership comes to an end. Usually the surviving partners carry on the business by purchasing the share of the deceased partner after determining the amount due to him. On the death of a partner, the following points have be decided.

i. Treatment of goodwill (as in the case of admission).
ii. Revaluation of assets and liabilities (as above discussed).
iii. Payment to the executors of deceased partner.
iv. Share of profit.

4.2.1 Share of Profit: The death of partner may occur on any day. The executor of deceased partner will be entitled to the share of profit from the beginning of the trading period to the date of death. The profit for such period can be calculated by one of the following methods.

a. On the basis of time
b. On the basis of sales (turnover)

a. On the basis of time: When profit from the beginning of the trading period to the date of death of a partner has to be calculated on the basis of time, the last years profit is multiplied by the number of months/days from the beginning of the trading period to the date of death and divided by 12 month or 365 in case of days. This method can be explained with the help of the following example.

Example – 15: Suppose 'A' died on 16th May. The profit for the trading period ended on 31st March, was Rs.8760/- = A was entitled to a share of 1/6 of the business. His share of profit on time basis will be computed as under:

Days from 1st April to 26th May = 56

Profit from the year ended on 31st March = Rs.8760/-

Profit for the year ended on 31st March $= \frac{8760 \times 56}{356}$ = Rs.1344/-

A's share of profit = 1344 x 1/6 = Rs.224/-

b. On the Basis of Sales (Turn Over): When profit at the beginning of the accounting period to the date of death of a partner is to be computed on the basis of sales, the last years profit is multiplied by the total amount of sales from the beginning of the accounting period to the date of death and divided by the total sales of the previous year. This method can be explained with the help of the following example.

Example-16: Suppose Mr. M died on 18th June 20-B.The net profit for the year ended on 31st December 20-A was Rs.25000/-. The total sales for the year 20-A was Rs. 125000/- and from 1st January 20-B to 18th June was Rs.65000/-. Mr. M is entitled a share of 1/5 of the business. The share of profit of Mr. M will be calculated as under.

Total profit for the year 20-A = Rs.25000/-

Total sales for the year 20-A = Rs.125000/-

Total sales from 1st Jan to 18th June = Rs.65000/-

Profit from 1st Jan to 15th June $\frac{25000 \times 65000}{125000}$ = Rs.13000/-

M's share of profit = 13000 x 1/5 = Rs.2600/-

Example: 17: X, Y and Z are partners in a firm. They share profit' and loss as 5:3:2.Z dies on 30th June 20-B. The balance sheet of the firm as on 31st December 20-A is as follows:

Balance sheet as at 31st December 20-A.

Capital & Liabilities		Amount	Assets		Amount
Sundry creditors		5000	Cash		4380
Bank loan		625	Sundry debtors	3120	
X – capital	3750		Less allowance for	Un-receivable	
Y – capital	3750		312		2808
Z – capital	5000	12500	Stock		4687
			Plant & machinery		1875
			Free hold premises		4375
		18125			18125

Z is entitled for the following:

i. Interest at the rate of 15% on capital balance.

ii. Profit to date of death based on the previous year profit which is estimated Rs.20000/-

iii. Goodwill is valued as Rs.25000/-. The partners decided to raise goodwill equal to the share of Z.

iv. Fixed assets are to be depreciated at the rate of 10%.

v. Deceased partner's executors will be paid Rs.3000/- immediately and the balance in two equal installments.

Required: Pass necessary journal entries and prepare revised balance sheet.

Solution: **Journal**

S.No.	Description	Pr.	Dr.	Cr.
(i)	Profit and loss account		375	
	To Z – capital			375
	(Interest for half year is credited to Z)			

(ii)	Profit and loss account To Z – capital (Share of profit credited to Z)		2000	 2000
(iii)	Goodwill account To Z – capital (Goodwill raised)		5000	 5000
	X – capital Y – capital To goodwill (Goodwill written off)		3125 1875	 5000
(iv)	Revaluation account To plant & machinery account To free-hold premises account (Non-current assets adjusted to market value)		625	 187.50 437.50
	X – capital Y – capital Z – capital To revaluation account (Loss on revaluation transferred to capital)		312.50 187.50 125.00	 625

Revaluation Account				**Z's Account**			
Plant a/c	187.50	X capital	312.50	Revaluation a/c	125	Balance	5000
Free hold premises a/c	437.50	Y-capital	187.50	Cash account	3000	PLS account	375
		Z-capital	125.50	Loan account	9250	Goodwill	5000
						PLS account	2000
	625		625		12375		12375

Capital account

Depreciation	**X**	**Y**	**Depreciation**	**X**	**Y**
Revaluation a/c	312.50	187.50	Balance a/c	3750	3750
Goodwill a/c	3125.00	1875.00			
Balance	312.50	1687.50			
	3750.00	3750.00		3750	3750

Cash account

	Amount		**Amount**
Balance	4380	By Z – capital	3000
		By balance	1380
	4380		4380

Balance sheet

Capital & Liabilities	**Amount**	**Assets**	**Amount**
Sundry creditors	5000	Cash	1380
Bank loan	625	Sundry debtors 3120	
Z – loan	9250	Less un-receivable 312	2808
		Stock	4687
X capital 312.50		PLS a/c (To be adjusted at the end	
Y capital 1687.50	2000	of the year) (2000+375)	2375
		Plant & Machinery 1875.00	
		Less depreciation 187.50	1687.50

		Free – hold premises 4375.00 Less depreciation 437.50	3937.50
	16875		16875

Example – 18: Aslam, Akram and Alam are partners sharing profit and loss in ratio of 4:3:2. Akran died on 6th April. Partnership deed provides that:

i. On the death of a partner goodwill will be valued on the basis of three year purchases of average profit of three previous years which are Rs. 15000/-, Rs. 12000/- and Rs. 9000/-. Books are closed on 31st December each year.
ii. Executors of the deceased will be entitled for his share of profit, to the date of death, based on average profit of three previous years.
iii. Deceased partner capital is to be credited for interest at the rate of 15% on capital balance of the previous year balance which was Rs.20000/-.
iv. His drawings to the date of death amount to Rs.5000/-

Required: Show the amount due to the executors.

solution: **Akram capital**

To cash (drawings)	5000	By balance	20000.00
To balance	28802.05	Goodwill	12000.00
		Expense & revenue summary	1052.05
		Interest on capital	750.00
	33802.05		33802.05

Computations:

Goodwill: Average profit: $\frac{15000 \times 12000 \times 9000}{3}$ = 12000

Goodwill: 12000 x 3 = 36000

Akram's share $\frac{36000}{9} \times 3$ = 12000

Profit: Average profit of the year Rs. 12000/-.

Profit up-to 6th April: $\frac{12000}{365} \times 96 = 3156.16$

Akram's share: $\frac{3156.16}{3}$ = 1052.05

Interest on capital capital =2000

Rate 15% =20000x15% =3000

Interest for 3 months = 3000x3/12 =750

5. SUMMARY

Salient points regarding partnership accounts are given below:

a. The partnership operations are generally governed by the terms and conditions contained in the partnership agreement.
b. Partnership accounts follow the usual principles and procedure of accounting.
c. Accounts peculiar to the partners are classified into three categories; viz; drawing accounts, current accounts and capital accounts.
d. While admitting a new partner special attention should be paid to:
    i. Valuation of the business.
    ii. Terms on which a new partner is admitted and new profit-sharing ratios agreed.
    iii. accounting treatment of goodwill.

UNIT – 9

PARTNERSHIP-II

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CONTENTS

Sr. No.	Subject		Page No.
	Introduction		199
	Objectives		199
1.	**ANNUITY**		200
	1.1	What is an Annuity?	200
	1.2	Accounting for Annuity	200
	1.3	Joint Life Policy	201
	1.4	Treatment in Books of Accounts	201
2.	**Amalgamation**		205
	2.1	Definition	205
	2.2	Accounting for the Amalgamation	205
	2.3	Reasons for Amalgamation	206
	2.4	Accounting Procedure for the Amalgamation Firms	206
	2.5	Accounting Process for New Firms	207
3.	**Dissolution of Partnership**		211
	3.1	Definition	212
	3.2	Dissolution Conditions	212
	3.3	Realization Accounts	213
	3.4	Settlement of Accounts	214
4.	**Solvency or Insolvency**		218
	4.1	When all Partner are Solvent	218
	4.2	When One of the Partners is Insolvent	222
	4.3	Garner Vs Murray Rule	223
	4.4	Fixed and Fluctuating Capitals	224
	4.5	When all Partners are Insolvent	227
	4.6	Gradual Realization of Assets and Piecemeal Distribution	228
5.	**Conversion Of Partnership into Limited Company**		230
	5.1	Accounting Procedure	230

INTRODUCTION

A partnership is an un-incorporated business owned by two or more partners. A partnership often is referred to as a firm.

In earlier units we used the sole proprietorship to illustrate the basic principles and practices of accounting. In the previous unit you have acquainted yourself with basic Partnerships proceedings. This unit will focus on accounting for partnership from of business organization in greater detail. Different dimensions like amalgamation, dissolution and preparation of partnership accounts have been dealt with in this unit.

OBJECTIVES

After studying this unit, you should be able to:

1. In case of annuity transactions, how accounts are maintained
2. Understand the concept and meaning of amalgamation
3. Record the accounting process or procedure for amalgamation
4. List the dissolution f partnership procedure
5. Prepare the “realizations Account:
6. Use to apply the garner Vs Murray rule
7. Acquaint with essential legal requirements of dissolution
8. Work-out or settle the capital accounts of the partners in case of solvent or insolvent partners

1. ANNUITY

1.1 What is an Annuity?

In some cases, the amount due to a retiring or deceased partner is not paid immediately but instead settled through an annuity (annual payments) until the partner or their executor passes away. The annuity amount is estimated based on life expectancy, prevailing interest rates, and capital balance.

Under IFRS (IAS 19 - Employee Benefits & IFRS 9 - Financial Instruments), annuity payments are considered financial liabilities and must be fairly valued. The present value of future annuity obligations is recorded in financial statements, ensuring accurate liability recognition and compliance with IFRS.

1.2 Accounting for Annuity: So far the accounting treatment of annuity is concerned, it follows the following course of action.

i. After determining the amount due to the outgoing partner or executor, it is transferred to annuity account. The entry will be:

Retiring partners capital account... Dr.
To Annuity account Cr.

ii. At the end of each year, interest is calculated on yearly balance of interest, the entry will be:

Interest account .....Dr.
To Annuity account.....Cr
(with amount of interest)

iii. At the time of annual payment the journal entry will be:

Annuity account…. ……..Dr.
To Cash/bank account……...Cr.
(with the amount of annual installment)

Journal entry Nos. (ii) and (iii) will be repeated annually till the retiring partner or his widow or executor is alive.

iv. If retiring partner or executor of the deceased dies before the credit balance in annuity A/c is finished, the remaining balance will be transferred to profit and loss account, the journal entry will be:

Annuity a/c ….. ….. Dr.
To profit and loss A/c …….Cr.)
(With the amount of annual installment)

v. In case the retiring partner or executor of the deceased is still alive and the annuity account is exhausted further payment of annuity would represent a loss to the remaining partners, the entry will be:

Profit Loss A/c ……..... Dr.)
To annuity A/c ……. Cr.)
(With the amount of annual installment)

Example-1': Sultan, Ramzan and Imran were partners in a cloth business sharing profits and losses in the ratio of 2/5, 2/5 and 1/5, Imran died on 1st January 20A. At that date his capital balance stands Rs.80000/-. It was decided that Mrs. Imran should receive an annuity, taking

her future life to be 5 years, and taking 5% P.A. as interest. Annuity tables show that Rs. l @ 5% is equal to Rs. 0.230975/- per year for 5 years. The first payment was to be made on 31st December 20-A.

Required: Prepare Annuity accounts assuming:

a. That Mrs. Imran died on 1st annuity 20-E

b. That Mrs. Imran was still alive on 1st January 20-H

Solution: The annual payment to be made is: =0.230975 x 80000 = Rs. 18478/-

Mrs. Imran's annuity account

Date	Description	Amount	Date	Description	Amount
20-A			20-A		
Dec. 31	To Bank A/c	18478	Jan. 1	By Imran's Capital	80000
Dec. 31	To Balance	65522	Dec.31	By Interest A/c	4000
		84000			84000
20-B			20-B		
Dec. 31	To Bank A/c	18478	Jan. 1	By balance	65522
Dec. 31	To Balance	50320	Dec. 31	By interest	3276
		68698			68798
20-C			20-C		
Dec.31	To bank	18478	Jan. 1	By balance	50320
Dec.31	To balance	34358	Dec.31	By interest	2516
		52836			52836
20-D			20-D		
Dec.31	To bank	18478	Jan. 1	By balance	34358
	To balance	17598	Dec.31	By interest	1716
		36076			36076
20-E			20-E		
Jan.1	To PLS a/c	17598	Jan. 1	By balance	17598
		17598			17598

In case 'B' up to December 31, 20-D, the annuity account will be shown as case 'A' above. After that it will be as under:

Mrs. Imran's annuity account

Date	Description	Amount	Date	Description	Amount
20-E			20-E		
Dec. 31	To Bank a/c	18478	Jan. 1	By Balance	17598
			Dec.31	By Interest A/c	880
		18478			18478
20-F			20-F		
Dec.31	To bank a/c	18478	Dec.31	By PLS account	18478
		18478			18478
20-G			20-G		
Dec.31	To bank a/c	18478	Dec.31	By PLS account	18478
		18478			18478

1.3 Joint Life Policy:

1.4 Treatment in the Books of Account: Under **IFRS 17 (Insurance Contracts)**, firms purchase **joint-life policies** to manage financial obligations upon a partner's retirement or death. **Premiums paid** are recorded as expenses, while **policy payouts** are recognized as assets or income upon maturity or surrender.

There are two methods by which the joint life policy transactions can be treated in the books of a firm. **A. First Method**

i. Under the first method, the annual premium paid to insurance company is treated as business expense. The following entry will be made at the time of payment of insurance premium.
Profit and loss a/c ... …… Dr.
To cash/ bank a/c.....Cr.
(With the amount of insurance premium)

ii. On the death of a partner the insurance company will pay the assured amount to the firm the entry will be:
Cash/bank a/c…….Dr.
Joint life policy……...Cr.
(With the assured amount)

iii. The assured amount received from the insurance company will be distributed among all the partners including the deceased partner in their profit sharing ratio. The entry will be:
Joint life policy …… Dr.
To all partner's capital …….. Cr.
(In old profit-sharing ratio)

Example: A, B and C are partners in a firm sharing profit as 6:3:1. They have taken out a Joint Life Policy for 50000/- on 5th January 20-A at an annual premium of Rs.1500/- being charged to profit and loss account. B died on 31st March 20th. The policy amount was realized in full. You are required to show the entries relating to the policy.

Solution: Journal

Date	Description	Pr.	Dr.	Cr.
Jan. 5	Profit and loss a/c bank a/c (insurance premium paid)		1500	 1500
20-b Jan. 5	Pls account bank account (insurance premium paid)		1500	 1500
20-c Jan. 5	Pls account bank account (insurance premium paid)		1500	 1500
20-d Jan. 5	Pls account bank account (insurance premium paid) -		1500	 1500
March 31	Bank account joint life policy a/c (being the amount received from insurance company)		50000	 50000
	Joint life policy a/c		50000	

	capital - a			30000
	capital - b			15000
	capital - c			5000
	(amount of policy distributed)			

B. Second Method

Under the second method the insurance premium paid is debited to joint life policy account and its accumulated debit balance is shown as an asset in the balance sheet. The accounting treatment of this method is explained below:

i. When the insurance premium is paid, the entry will be:

Joint life policy a/c ... Dr.) (with the amount of
To cash/bank a/c ...Cr.) insurance premium)

ii. At the end of each year with a view to reduce the divisible profit, the following entry will be made.

Profit and Loss a/c .. .Dr.) (with the amount of
To joint life policy reserve a/c ...Cr.) annual premium)

iii. In order that the joint life policy may not appear in the books higher than the surrender value of the policy, the following entry will be passed at the end of each year:

Joint life policy reserve a/c ... Dr.) (with amount of the difference between the balance of Joint life policy account and the surrender value of policy)
Joint life policy a/c ……...Cr.)

Note: The entry Nos. (i) to (iii) will be repeated annually. The joint life policy a/c will appear as an asset at surrender value and joint life policy reserve account as a liability at the same figure.

iv. On the death of one of the partners the firm will receive the full amount of the policy. The entry will be:

Cash/Bank a/c ...Dr.) To (with the full amount of
Joint life policy a/c ...Cr.) policy)

v. The existing balance of the joint life policy reserve a/c, will be closed by transfer to the joint life policy account. The entry will be:

Joint life policy reserve a/c ...Dr.) (with the balance of joint life
Joint life policy a/c…....Cr.) policy reserve account)

vi. The joint life policy account is then closed by transfer to the capital accounts of all the partners in old profit-sharing ratio. The entry will be:

Joint life policy reserve 'a/c ...Dr.) (in old profit-sharing Ratio)
All partners' capital a/c ...Cr.)

Example-3: A, B, and C are partners in a firm, sharing, profit as 6:3:1. They have taken out a joint life policy for Rs.50000 on 15 ' March 20-A at an annual premium of Rs.1500/-. The

partners decided to maintain a joint life policy account in the books of the firm on a surrender value basis. Assume that the surrender value of the policy was as follows:

In 20-A = nil, in 20-B = Rs.150. in 20-C = Rs 500
B died on 10"' April 20-D. The policy was realized in full Prepare a joint life policy account.

Solution: Journal

Date	Description	Pr.	Dr.	Cr.
20-A	Joint life policy A/c		1500	
	Bank A/c			1500
	Being the payment of premium)			
Dec. 31	-Profit and Loss A/c		1500	
	Joint Life policy reserve			1500
	(Premium paid to be transferred to profit & loss)			
Dec. 31	-Joint life policy reserve		1500	
	Joint life policy A/c			1500
	(To transfer the joint life policy to joint life policy reserve)			
20-B March 15	Joint life policy		1500	
	Bank A/c			1500
	(Being the payment of premium			
Dec. 31	Profit and Loss A/c		1500	
	Joint Life Policy reserve A/c			1500
	(Premium paid transferred to expenditure and revenue summary			
Dec. 31	Joint Life Policy reserve		1350	
	Joint Life Policy			1350
	(To transfer the joint life policy to surrender value			
20-C	Joint Life Policy		1500	
	Bank A/c			1500
	(Premium paid for the policy)			
Dec. 31	Profit and Loss A/c\		1500	
	Joint Life Policy reserve			1500
	(Premium paid to be transferred to profit and loss			
Dec. 31	-Joint Life Policy reserve		1150	
	Joint life policy			1150
	(To transfer the joint life policy to joint life reserve			
20-D March 15	-Joint Life Policy		1500	
	Bank A/c			1500
	(Premium paid for the policy)			
April 10	-Bank A/c		50000	
	Joint life policy			50000
	(Amount of the policy received on death of a partner)			
April 15	Joint life policy –reserve		500	
	Joint life policy			500
	(Reserve transferred to joint life policy account)			
	Joint life policy		48500	

	A -Capital			29100
	B - Capital			14550
	C - Capital			4850

Joint life policy account

Date	Description	Amount	Date	Description	Amount
20-A	-To Bank A/c	1500	31.12.20-A	- J.L.P. reserve	1500
		1500			1500
15.3.20-B	-To Bank A/c	1500	31.12.20-B	-By J.L.P. reserve	1350
		1500		-By Balance	150
					1500
15.3.20-C	To Balance	150		-By J.L.P. reserve	1150
	-To Bank A/c	1500	31.12.20-C	-By Balance	500
		1650			1650
1.1.20-D	-To Balance	500	10.4.20-D	-By Bank	50000
15.3.2-D	-To Bank A/c	1500		-By Joint Life Policy Reserve	500
	A – Capital 29100				
	B – Capital 14550				
	C – Capital 4850	48500			
		50500			50500

2. AMALGAMATION

2.1 Definition: Under IFRS 3 (Business Combinations), amalgamation occurs when two or more firms merge, ceasing their separate identities to form a new entity. Assets, liabilities, and goodwill are recognized at fair value, ensuring transparency in financial reporting.

Amalgamation leads to the dissolution of the existing firms, and a new entity is formed. The new entity must apply IFRS 3 to recognize assets and liabilities at fair value and account for goodwill or gains.

2.2 Accounting for the Amalgamation IFRS 3

When two or more firms merge to form a new entity, the existing books of accounts are closed, and a new set of books is prepared. Assets and liabilities are revalued at fair value, and partners' capital is determined by deducting liabilities from the agreed asset value. The new firm records assets by debiting asset accounts, crediting liability accounts, and recognizing partners' capital based on net contributions. The opening balance sheet reflects these adjustments, ensuring compliance with IFRS 3 – Business Combinations, which mandates fair value measurement and proper recognition of goodwill or gains.

2.3 Reasons for Amalgamation

Amalgamation between different firms is made due to the following reasons:

i. To avoid mutual competition
ii. To minimize management expenses
iii. To have a monopoly in the business

iv. To strengthen the business by combining different skills, experiences and resources of individual partners

2.4 Accounting Procedure for the Amalgamated Firms (Old Firms)

Following are the steps in case of accounting when amalgamation takes place:

i. The assets and liabilities taken over by the new firm will be bring down to the market value or as agreed upon among the partners. For this purpose each firm will open a revaluation account. The procedure is the same as explained in previous section i.e. admission of a partner.

ii. If an asset is not taken over by the new firm and is sold for cash, the journal entry as under in the books of old firms.

a. If asset is sold at a loss

Cash a/c Dr. (with sale price)
Revaluation A/c Dr.
Particular Asset Cr.

b. If asset is sold at a profit

Cash Dr. (with sale price)
Particular assets Cr. (with book value)
Revaluation a/c Cr. (with the amount of Profit)

iii. If an asset is taken over by any partner, the journal entry will be:

Partner's capital a/c Dr.
Particular assets a/c Cr.

iv. If any liability is not taken over by the new firm and is paid off:

a. Out of old firms cash

Particular liability a/c Dr.
Cash/bank a/c Cr.

b. By partners

Particular liability a/c Dr.
Partners capital a/c Cr.

v. Goodwill as agreed upon among the partners will be Journalized as such:

Goodwill a/c Dr.
Partners' capital a/c Cr. (According to the income sharing ratio)

vi. Balance of Revaluation will be transferred to partners' capital in their income-sharing ratio.

a. In case of Loss

Partners' capital a/c Dr.
Revaluation a/c Cr.

b. In case of Profit

Revaluation a/c Dr.
Partners' capital a/c Cr.

vii. When assets and liabilities are transferred to the new firm, the entry will be:

All liabilities (transferred) Dr. (With agreed value)
Investment in new firm Cr. (With the difference between the net

assets and liabilities
taken over)

All assets (transferred) Cr. (With agreed value)

viii. Investment in the new firm will be transferred to partner's capital with the help of the following journal entry:

Partner's capital a/c Dr. (With credit balance of
Investment in new firm Cr. partners' Capital)

All accounts of amalgamated firm will be closed after above noted steps.

2.5 Accounting Process for New Firm

When the assets and liabilities of the amalgamated firm are taken the journal entry will be:

All assets (taken over) Dr.
All liabilities (taken over) Cr.
Partners Capital Cr.

Example-4: A and B who were partners trading under the name Modern General Store and X and Y. who were partners trading under the name Madina General Store, decided to amalgamate as on 1st April. Their Balance Sheets as on that date were as follows:

Modern General Stores

Capital & Liabilities		Amount	Asset	Amount
Sundry Creditors		1000	Stock	3000
Reserve		2000	Sundry Debtors	1200
Capital -A	3000		Investment	2000
Capital -B	2000	5000	Premises	1800
		8000		8000

A and B share profits in the ratio of their capitals : **Madina General Stores**

Capital & Liabilities		Amount	Asset	Amount
Sundry Creditors		2200	Sundry Debtors	2400
Bank Loan		800	Stock	2600
Capital -X	1500		Goodwill	1000
Capital -Y	1500	3000		
		6000		6000

X and Y share profits equally.

The terms of the amalgamations were as follows:

i. New firm will - run under the name Muslim General Store consisting of A, B, X and Y as partner. Partners will share profits and losses in the ratio of their capitals in the new firm after all the adjustments had been made.
ii. The premises owned by A and B should be taken over by the new firm at valuation of Rs.2300.
iii. Goodwill appearing in the books of X and Y was worthless.
iv. After the above adjustments X and Y brought in an additional capital Rs.500 each in the new firm.

Required: Goodwill journal entries of the amalgamated firms to close their books. Also show the journal entries and Balance Sheet of the new firm.

Solution: **Modern General Stores**

Date	Description	Dr.	Cr.
April 1	Premises a/c	500	
	Revaluation a/c		500
	(Premises adjusted to new value Rs.2300)		
April 1	Reserve a/c	2000	
	Capital - A		1200
	Capital - B		800
	(Being transfer of reserve to partners)		
April 1	Revaluation a/c	500	
	Capital -A		300
	Capital -B		200
	(Being transfer of profit after adjustments)		
	Investment in Muslim General Store	7500	
	Sundry Creditors a/c	1000	
	Stock		3000
	Sundry Debtors		1200
	Investment		2000
	Premises		2300
	(Being the decrease in the value of various assets		
	Capital -A	4500	
	Capital - B	3000	
	Investment in M. G, Store		7500
	(Partner's capital are closed		

Madina General Store Journal

Date	Description	Dr.	Cr.
April 1	X- Capital	500	
	Y -Capital	500	
	Goodwill A/c		1000
	(Goodwill appearing in books written of)		
	Cash A/c	1000	
	Capital - X		500
	Capital - Y		500
	(Shortage of capital contributed)		
	Investment in Muslim General Store	3000	
	Sundry Creditors	2200	
	Bank Loan	800	
April 1	Sundry debtors		2400
	Stock		2600
	Cash		1000
	(Assets & Liabilities taken over by M.G.S.)		
April 1			
	Capital - X	1500	
	Capital - Y	1500	
	Investment in Madina General Store		3000
	(The Partners capitals are closed)		

Muslim General Store Journal

Date	Description	Dr.	Cr.
April I	Stock	3000	
	Sundry debtors	1200	

	Investment	2000	
	Premises	2300	
	Sundry creditors		1000
	A - Capital		4500
	B - Capital		3000
	(Business of A & B taken over)		
	Sundry debtors	2400	
	Stock	2600	
	Cash	1000	
	Sundry Creditors		2200
	Bank loan		800
	Capital - X		1500
	Capital - Y		1500
	(Business of X & Y taken over)		

Muslim General Store Balance sheet as at 1st April

Capital & Liabilities		Amount	Assets	Amount
Sundry Creditors		3200	Cash	1000
Bank Loan		800	Sundry Debtors	3600
Capital – A	4500		Stock	5600
Capital – B	3000		Investment	2000
Capital – X	1500		Premises	2300
Capital – Y	1500			
		10500		
		14500		14500

Example- 5: On 1st January A & B running their individual businesses agree to amalgamate them. The balance sheet of the two firms on the date of amalgamation was as follows:

A's Balance sheet

Capital & Liabilities	Amount	Assets	Amount
Sundry Creditors	3000	Cash	50000
Bills Payable	6000	Sundry Debtors	30000
Capital	100000	Bank	1500
		Premises	20000
		Plant & Machinery	5000
		Prize Bonds	2000
		Furniture & Fixtures	500
	109000		109000

B's Balance sheet

Capital & Liabilities	Amount	Assets	Amount
Sundry Creditors	25000	Stock	75000
Bank	10300	Sundry debtors	45000
Capital	105000	Furniture	300
		Plant	20000
	140300		140300

Revaluation of both businesses were agreed:

i. Premises and Plant & Machinery of A should be taken over by the new firm at Rs.25000 and Rs. 10000 respectively.

ii. B was to be credited with Rs.5000 as value of patent, which did not appear in his balance sheet, patent now becomes the property or new firm.

iii. Prize Bonds appearing in the balance sheet of A were not to be taken over the partnership firm.
iv. All other assets of both firms were taken over by the new firm at book value.
v. It was decided that A and B would discharge their liabilities.
vi. A should introduce cash to make his capital equal to that of B.

Required: Pass journal entries to close the books of A & B and also prepare the opening balance sheet and opening journal entries of the new firm.

Solution: A's Journal

Date	Description	LR	Dr.	Cr.
(i)	Plant & Machinery a/c		5000	
	Premises		5000	
	Revaluation a/c			10000
	(Premises and Plant appreciated)			
(ii)	Revaluation a/c		10000	
	Capital - A			10000
	(Being the transfer of income to capital)			
(iii)	Capital - A		2000	2000
	Prize Bonds a/c			
	(Prize Bonds taken over by A)			
(iv)	Cash a/c		28300	
	Capital - A			28300
	(Cash brought to adjust the capital)			

Note: Assets i.e. premises of plant machinery appreciated by Rs. 5000/- each and prize bonds are not taken and by the new firm. So AIOU brings cash of Rs 28300/- to make his capital at per of B. (B.s capital 145300 - 1170100 A's capital = Rs. 28300/-)

Sundry Creditors		3000	
Bills Payable a/c		6000	
Capital - A			9000
(Liabilities and Discharged)			
Investment in new firm		145300	28300
Cash			
Stock			50000
Sundry Debtors			30000
Bank			1500
Premises			25000
Plant & Machinery			10000
Furniture and Fixture			500
(Assets taken over b new firms)			
Capital - A		145300	
Investment in new firm			145300
(Capital – As Amount closed)			

B's Journal

Date	Description	LR	Dr.	Cr.
(i)	Patent Rights A/c		5000	

	Capital – B			5000
	(Patent right credited to B)			
(ii)	Sundry creditors a/c		25000	
	Bank A/c		10300	
	Capital – B			35300
	(Liabilities are discharged)			
(iii)	Investment in new firm		145300	
	Stock A/c			75000
	Sundry debtors A/c			45000
	Furniture A/c			300
	Plant A/c			20000
	Patent Rights A/c			5000
	(Assets transferred to new firm)			
	Capital - B		145300	
	Investment in new firm			145300
	(P.S Capital account closed)			

New Firm's Journal

Date	Description	Dr.	Cr.
	Cash in hand A/c	28300	
	Bank A/c	1500	
	Sundry Debtors	30000	
	Stock	50000	
	Furniture & Fixture A/c	500	
	Premises a/c	1500	
	Plant & Machinery A/c	10000	
	Capital - A		145300
	(Assets of A taken over		
	Stock A/c	75000	
	Sundry debtors	45000	
	Furniture A/c	300	
	Plant A/c	20000	
	Patent Rights A/c	5000	
	Capital - B		145300
	(Assets of B taken over)		

Balance sheet of New Firm as at January

Capital & Liabilities	Amount	Assets	Amount
Capital - A	145300	Cash in hand	28300
Capital B	145300	Bank a/c	1500
		Stock	125000
		Sundry Debtors	75000
		Furniture & Fixture	800
		Plant & Machinery a/c	30000
		Premises a/c	25000
		Patent Rights	5000
	290600		290600

3. DISSOLUTION OF PARTNERSHIP

According to the Partnership Ac 1934t, a partnership is dissolved upon the admission, retirement, or death of a partner. However, this does not always lead to business

discontinuation. Instead, the partnership is reconstituted with a new agreement while operations continue. Under IFRS, financial reporting requires fair valuation of assets and liabilities, with adjustments recorded in the partners' capital accounts. If dissolution leads to liquidation, assets are realized, liabilities settled, and remaining balances distributed as per the agreement.

3.1 Definition

If a business is discontinued, it is called as dissolution. The dissolution of firm means a complete break-down of the relation of partnership among all the partners. Dissolution involves selling of assets, payments of liabilities and return of capital to the partners.

3.2 Dissolution Conditions

(A) Dissolution of partnership is affected under one or more of the following circumstances.

i. At the death of a partner.
ii. At the retirement of a partner.
iii. If any one of the partners becomes insolvent.
iv. After the completion of a project, for which partnership was formed.
v. At the expiry of a specific period, for which partnership was formed.

In the circumstances mentioned above some of the partners may continue to carry on the business in the presence of an express agreement to this effect. In case remaining partners do not continue, dissolution of partnership takes place automatically. Under the following circumstances, dissolution of firm also takes place:

i. If all the partners mutually decide to dissolve the firm.
ii. If all the partners, but one, is involvement.
iii. In case of partnership at will, if any of the partners gives notice of his will to discontinue the firm.
iv. The firm is dissolved, if it is doing some illegal business.

(B) **Dissolution by court:** A competent court on filing of a suit may also dissolve a partnership firm by any one partner on of the following grounds:

i. That a partner has become of unsound mind.
ii. That a partner other than suing is incapable of performing business duties.
iii. That a partner is guilty of misconducting the partnership affairs.
iv. That a partner has willfully or persistently committed breach of contract.
v. That a partner, without the consent of other partners has transferred his interest to a third person.
vi. That a business cannot be carried on, except at a loss.

(C) **Settling up of account:** When partnership business is discontinued the accounts will be settled between partners and other parties having interest in the business as follows:

i. All the properties and assets of the firm (including the original investment of the partners and any subsequent one, if made to make up the deficiencies) must first be applied towards payment of liabilities of the firm.
ii. After making payments against sundry creditors and the liabilities as above if there is a surplus that will be used for the payment of any advance or loan from

partners other than capital. If loan is taken from more than one partner this will be paid proportionately.

iii. Surplus is applied in making payment of each partner's capital and loans. This will also be paid. Term proportionately means first of all payment will be made to a partner whose capital is proportionally more than his profit and loss sharing ratio.

3.3 Realization Account: Upon dissolution or liquidation, all assets are sold, and liabilities are settled, a process known as realization. A Realization Account is used to determine the gain or loss from asset disposal and liability payments. Under IFRS, assets and liabilities must be measured at fair value, and any resulting gain or loss is allocated among partners based on their agreed profit-sharing ratio. After settlement, the books are closed, and any remaining balance is distributed accordingly. The journal entries are the following: **i**. **To Close Assets:** All the assets other than cash and bank are transferred to a newly opened account like this: -

Realization A/c	Dr.	(With the amount of
All Assets (individually)	Cr.	books Value.)

ii. To Close Liabilities

Liabilities other than owners; capital and loan are transferred to realization account at the book value. In a way that accounts of liabilities are closed Journal entry will be as such.

All Liabilities	Dr.	(With book value)
Realisation	Cr.	

iii. To Close Reserve: If reserve or balance of profit and loss account exists in the balance sheet that should be transferred to the partner's capital accounts according to their income-sharing ratio. Journal entry will be:

Reserve/PLS a/c	Dr.	(In old profit sharing
All partner's capital	Cr.	ratio)

iv. Disposal of Assets: All assets other than cash and cash at bank are disposed off either by:

a. Selling in the Market

b. Transferring to partners

a. Selling of assets

When assets are sold and cash in realized from the sale of Assets, the journal entry will be:

Cash Bank A/c	Dr.	(With sale price of all
Realization A/c	Cr.	assets)

(Assets realized into cash)

b. Transferring to partners

When assets are taken over by a partner/partners at a value agreed between them, the entry will be:

Partner's capital	Dr.	(with agreed value)
Realization A/c	Cr.	

Disposal of liabilities

a. By payment

When cash is realized from the sale of assets, this cash will be utilized for making payment of liabilities such as, sundry creditors, notes payable, unpaid expenses, loan from banks and etc. the entry will be:

Realization a/c Dr
Cash/Bank a/c Cr.

Note: Those liabilities will be paid, which were transferred to realization.

b. Transferring to Partners:

If a partner or partners take the responsibility of paying some liabilities, the entry will be:

Realization a/c Dr
Partners' capital (who takes the responsibility) Cr.

vi. Payment of Partner's Loan

After the payment of liabilities such as sundry creditors, notes payable, unpaid expenses, bank overdrafts, bank loan etc. Loan of partners other than their capitals will be paid off. The Journal entry for this payment will be:

Partner's loan a/c Dr.
Cash/bank a/c Cr.
(Being payment of partners' loan)

vii. Expenditures Incurred on Disposal of Assets

If expenditure is incurred for selling of Assets such as commission paid to auctioneer, advertisement expenditure etc., the journal entry will be:

Realization a/c . Dr (with the amount of
To Cash/Bank a/c Cr. realization expenses)

viii. Closing of Realization Account

Realization account will show either gain or loss on realization this gain or loss will be transferred to partners' capital account according to their income-sharing ratio. Credit balance of realization account represents gain and debit balance indicates loss. Journal entry for loss will be as such:

All partners' capital a/c Dr (In old profit sharing
Realization a/c Cr. ratio.)
(Loss or realization transferred to partners)

Note: Reverse entry will be passed in cash of gain.

ix. Making up of Deficiency

If any partner's capital account shows a debit balance, he will pay cash to make up this deficiency. Journal entry will be:

Cash a/c Dr.) (With the amount of
Respective partner's capital a/c Cr.) deficiency)
(Being receipt of cash from partner to cover up his deficiency)

x. Closing of Capital Account

Now balance of cash/bank account will exactly be equal to the total credit balance of all partners' capital account. The cash will be paid to all partners equal to credit balance of their capital. The journal entry will be:

Partners' capital a/c Dr. (With the amount credit
Cash/Bank a/c Cr. balance of partners capital)
(Being payment of each partner's capital)

3.4 Settlement of Accounts

When it is proposed to dissolve a partnership, it's as sets are sold off, and the amount realised by the sale is applied in the following order:

i. In paying debts due to third parties,
ii. In paying ratably advances or loans made by partners to the firm, and
iii. In paying the partners of sums due to them on account of capital.

If there is still some surplus, it has to be distributed among the partners in the profit sharing ratio.

The losses of the firm on dissolution have to be made up:

a. First out of past accumulated profits
b. Then out of capitals of the partners, and
c. If the loss is still not covered fully, out of contributions from the private estates of the partners in the profit sharing ratio.

Example-6: B and C are in partnership sharing profit and loss in the proportions of 4:3 and 2. Their balance sheet prepared on 31 S` December, was as follows:

Creditors	3500	Cash	1500
Capital - A	4000	Debtors	1000
Capital - B	2000	Stock	2000
Capital - C	500	Land & building	5500
	10000		10000

They agreed to dissolve partnership as on this date.' To prevent a disastrous loss on sale A agree to take over the stock at a valuation of Rs.1500 and the debtors at a valuation of Rs.700. Land and buildings are sold at an auction for Rs.2700/-.

Show by means of ledger accounts how the partnership books will be closed, C being insolvent and unable to provide any more cash.

Solution: Realization account

		Rs.			**Rs.**
Dec. 31	To Sundry Assets		Dec. 31	By A's C. a/c	2200
	Debtors 1000			By Cash	2700
	Stock 2000			By Balance being Loss	
	Land & Building 5500	8500		A 1600	
				B 1200	
				C 800	
					3600
		8500			8500

A's Capital account

	Rs.		**Rs.**
Realization Account	2200	Balance B/d	4000
Realisation Account	1600	Cash A/c	1600
C's Capital	200		
Cash	1600		
	5600		5600

B's Capital account

	Rs.		**Rs.**
Realisation Account	1200	Balance B/d	2000
C's Capital Account	100	Cash	1200
Cash	1900		

	3200		3200

C's Capital account

	Rs.		Rs.
Realisation Account	800	Balance B/d	500
		A's Capital Account	200
		B's Capital Account	100
	800		800

Cash account

	Rs.		Rs.
Balance b/d	1500	Creditors	3500
Realisation a/c	2700	A's capital a/c	1600
A's capital a/c	1600	B's Capital a/c	1900
B's capital a/c	1200		
	7000		7000

Note: Rs.3600 being loss caused by C's insolvency is shared A and B in the ratio of their last agreed capitals viz. Rs.4000 and Rs.2000.

Example-7: P, Q and R were sharing profits and losses in the ration 5:3:2. On 1st January their balances were as under.

Liabilities		Rs.	Assets		Rs.
Sundry Creditors		11500	Furniture & Fixture		3000
General Reserve		5000	Stock		13000
Capital Accounts			Debtors	20000	
P	10000		Less Provision	-1000	19000
Q	8000		Cash		1000
R	1500	19500			
		36000			36000

The firm was dissolved on that date. The assets realized are as under: Furniture and fixture Rs.1000/- stock Rs. 10000/- debtors Rs.12000.Rs.500/of Rs. 12000. Rs.500/- of the creditors were not to be paid and the remaining creditors were paid at a discount of 5%. It was found however that there was a liability for Rs. 3050 for damages, which had to be paid. The expenses came to Rs.1000. R could contribute only Rs.100/-.

Give ledger accounts to close the books of the firm.

Solution: Realisation account

		Rs.			Rs.
Jan. I	S's Assets			Cash a/c	23000
	Furniture & Fix.	3000		Provision against	
	Stock	13000		Debtors	1000
	Debtors	20000		Sundry creditors	11500
	Cash account	1000		Loss transferred to	
	(Expenses)			P-5/10 7500	
	Cash account			Q-3/10 4500	
	(Liabilities Rs 11000/-	10450		R-2/10 3000	15000
	less5%)				
	Cash Account	3050			
	(Damage)				
	Total	50500		Total	50500

P's Capital account

		Rs.			Rs.
Jan.l	Realization a/c loss	7500	Jan.l	Balance b/d	10000
	R's capital a/c	222		General Res.	2500
	Cash a/c	12278		Cash a/c	7500
		20000			20000

Q's Capital account

		Rs.			Rs.
Jan.1	Realization a/c loss	4500	Jan.1	Balance b/d	8000
	R's capital a/c	178		General Res.	1500
	Cash a/c	9322		Cash a/c	4500
		14000			14000

R's Capital account

1991		Rs.	1991		Rs.
Jan.1	Realization a/c	3000	Jan.1	Balance b/d	1500
				General Res.	1000
				Cash a/c	100
				P's capital a/c	222
				Q's capital /c	178
					3000

Cash account

		Rs.			Rs.
Jan.1	Balance b/d	1000	Jan.1	Realisation a/c	
	Realization a/c	23000		Expenses	1000
	R's capital a/c	100		Creditors	10450
	P's capital a/c	7500		Damages	3050
	Q's capital a/c	4500		P's capital a/c	12278
				Q's capital a/c	9322
		36100			36100

Example-8 (When the realization of assets results in a profit): P, Q and R are partners in a business sharing profits and losses in the ratio of 1/2:1/3:1/6 respectively. They dissolve the partnership and realize the assets. Their position after the realization of assets is as follows:

Liabilities	Rs.	Assets	Rs.
Sundry creditors	2800	Cash at bank	6000
P's capital	3000	R's capital overdrawn	2000
Q's capital	1000		
Realization account (profit)	1200		
	8000		8000

R is insolvent; he can contribute only Rs.300 towards his deficiency. Draw up the necessary account showing the final adjustments among the partners:

Capital Accounts

	P	Q	R		P	Q	R
Bal. b/d			2000	Balance b/d	3000	1000	-
R's capital a/c	1125	375	-	Realization	600	400	200
Cash a/c	2475	1025	-	Cash a/c	-	-	300
				P's capital a/c	-	-	1125
				Q's capital a/c	-	-	375

	360	140	2000		3600	1400	2000

Cash account

	Rs.		Rs.
Balance B/F	6000	Sundry creditors	2800
R's capital a/c	300	P's capital account	2475
		Q's capital account	1025
	6300		6300

Liabilities	Rs.	Assets	Rs.
B's capital a/c	3050	Lease	1250
W's capital a/c	960	Fixtures	220
Sundry creditors	480	Sundry debtors	840
		Stock	2060
		Cash at Bank	120
	4490		4490

The lease and fixture were sold for Rs.2700 and cash received. The book debts were collected and realized Rs.752. The stock was sold in auction for Rs. 1340/- after the payment of commission and expenses. The sundry creditors were paid off, Rs.38/- being allowed for discount. The expenses of realization amounted to Rs.87. Prepare the necessary accounts to show the result of realization and the amounts received by each partner.

4. SOLVENCY OR INSOLVENCY

4.1 When all the Partners are Solvent: When a partnership is dissolved, it is usual to prepare an account called a "Realization Account". The object of preparing this account is to find out the result of dissolution i.e. the profit or loss resulting from the sale of assets and the payments of liabilities. The procedure for preparing this account is as follows:

1. Debit realization account and credit all the assets to be sold excluding cash in hand and cash at bank at book values. In this way the account of different assets are closed. It should be remembered that debtors and provision for bad debts A/c's. are two separate accounts and the gross amount of debtors.
2. Debit liabilities to third parties i.e. excluding loans from partners and their capitals at book values and credit the realization account. In this way, the accounts of different liabilities are closed.
3. When the assets -are sold for cash, debit cash account and credit realization account.
4. If an asset is taken up by one of the partner, his capital account is debited and the realization account is credited. .
5. If the dissolution of partner has entitled some expenses. Debit realization account and credit cash account with the amount of such expenses.
6. Liabilities towards third partners will have to be paid off. The actual amount paid to them should be debited to realization account and credited to cash account.
7. If a partner takes over any liability or they agree to discharge a liability his capital account should be credited and realization account debited.
8. Realization account is then complete; it will show profit or loss. If the debit side is greater there is a loss; if the credit side is greater there is a profit. The profit or loss resulting from the realization a/c is transferred to the capital accounts of partners in

the profit sharing ratio. In ease of profit realization account is debited and capital accounts credited. The entry for loss is naturally, reverse of this.

9. Any reserve or accumulated profit or loss lying in the books (as shown by the balance sheet) should be transferred to the capital accounts in the profit sharing ratios.
10. Partner's loans, if any, should now be paid. The entry will be to debit loan account and credit cash account.
11. At this state, the capital accounts will show how many amounts are due to them or from them. If a partner's capital account shows a deficiency, he should be asked to pay cash into the business to make up that deficiency. The entry is to debit cash account and credit partner's capital account. if a partners capital account shows a surplus, the excess money will be paid to him: his capital account will be debited and the cash account credited. This will close the capital account as well as the cash account.
12. If any asset of the firm does not appear in the firms balance sheet i.e unrecorded or underscored in disposed off (it is a gain) debit cash A/c and credit realization account.

Example-9: P and Q agree to dissolve partnership on 31" December on which their Balance Sheet was as follows:

Balance sheet

Liabilities	Rs.	Assets	Rs.
Sundry creditors	6000	Cash	1000
P's loan account	8000	Sundry debtors	5000
Capital - P	20000	Stock	20000
Capital - Q	10000	Plant & fixture	14000
		Goodwill	4000
	44000		44000

The partners share profits and losses in proportion to their capitals. The sundry debtors realized Rs.4200/, stock Rs.18000/, plant & fixtures 20% less than the book value and the goodwill Rs.6000/- The creditors were paid off at a discount of 5% and the costs of dissolution amounted to Rs.6001-.

Pass the necessary journal entries to show the process of realization and open the dissolution account: .**Journal Realization Account**

		Rs.			Rs.
Dec.31	Sundry assets	43000	Dec.31	Sundry liability	6000
	Cash expenses	600		Cash assets realised	39400
	Cash liabilities	5700		Capital account	
				P - 2/3 2600	
				Q- 1/3 1300	3900
		49300			49300

P's Loan Account

Date	Particulars	Amount	Date	Particulars	Rs.
Dec.31	Cash	8000	Dec.31	Balance	8000

P's Capital account

Date	Particulars	Amount	Date	Particulars	Rs.
Dec.31	Realization account	2600	Dec. 31	Balance	20000
	Cash	17400			

		20000			20000

Q's Capital Account

		Rs.			Rs.
Dec. 31	Realization account	1300	Dec.31	Balance	10000
	Cash	8700			
		10000			10000

Example-10: The Balance Sheet of "Fast and Quick" sharing profits and losses in the ratio of 3:2 was as follows on 31st December.

Liabilities		Rs.	Assets		Rs.
Sundry creditors		2000	Plant & machinery		4000
Fast's loan		1000	Patents		600
General reserve		1000	Stock		2500
Capital: Fast	3000		Sundry debtors	1900	
Quick	2500		Less Reserve	100	
					1800
		5500	Cash		600
		9500			9500

On 1st January next year, the firm was dissolved. Fast take over the patents at a valuation of Rs.500/-. The other assets realized as under:
Goodwill Rs.1500, plant and machinery Rs.3000 stock Rs.2200 sundry debtors Rs.1850/.
The sundry creditors were paid off at a discount of 5%. The expenses amounted to Rs.350. Give journal entries and ledger accounts to close the books of the firm

Solution: Journal

		Rs.	Rs.
Jan.1	Realization account	9000	
	Plant and machinery		4000
	Patents		600
	Stock		2500
	Sundry debtors		1900
	(Various assets transferred to realisation a/c)		
	Sundry creditors	2000	
	Reserve for bad debts	100	
	Realization account		2100
	(Transfer of liabilities to realisation a/c)		
	Cash account	8550	
	Realization account		8500
	(Amount realised by sale of various assets)		
	Fast's capital account	500	
	Realization account		500
	(Patents taken over by fast at Rs.500/-)		
	Realization account	350	
	Cash account		350
	(Payment of expenses)		
	Realization account	1900	
	Cash account		1900
	(Payment to sundry creditors 2000x5/100less)		
	Fast's capital account	60	
	Quick's capital account	40	
	Realization account		100
	(Transfer of loss)		
	Fast's loan account	1000	
	Cash account		1000
	(Payment of fast's loan)		
	General reserve	1000	
	Fast's capital account		600
	Quick's capital account		400
	(General reserve transferred to capital a/c)		
	Fast's capital account	3040	
	Quick's capital account	2860	
	Cash account		5900
	(Payment to partners)		

Realisation Account

		Rs.			Rs.
Jan.1	Sundry assets	9000	Jan.1	Sundry creditors	2000
	Cash account	350		Provision for b/d	100
	Cash	1900		Cash	8500
				Fast's capital a/c	500
				Loss Fast 60	
				Quick 40	100

		11250			11250

Cash account

		Rs.			Rs.
Jan.1	Balance b/d	600	Jan.1	Realization a/c	
	Realization a/c	8550		Expenditure	350
				Realization a/c	
				Creditors	1900
				Fast's loan a/c	1000
				Fast's capital a/c	3040
				Quick's capital a/c	2860
		9150			9150

Fast's Capital account

		Rs.			Rs.
Jan.1	Realization a/c	500	Jan.1	Balance b/d	3000
	Realization loss	60		General reserve.	600
	Cash account	3040			
		3600			3600

Quick's Capital Account

		Rs.			Rs.
Jan.1	Realization a/c	40	Jan.1	Balance b/d	2500
	Cash account	2860		General reserve	400
		2900			2900

4.2 When One of the Partners is Insolvent: If a partner's capital account shows a deficiency after realization, they must contribute the shortfall. However, if insolvent, the loss is distributed among solvent partners. Under Garner vs. Murray (1903), solvent partners are only liable for their share of deficiency, and remaining assets are distributed based on their capital ratios rather than profit-sharing ratios. Under IFRS, insolvency losses are recognized based on equity accounting principles, ensuring fair allocation of financial responsibility.

l. That solvent partners should bring cash equal to their share of loss on realization.

2. That the loss on account of the insolvent partner should be borne by the Solvent Partners, in the ratio of their capitals as they stand just before dissolution.

Example-11: The balance sheet of A and B showed as under when they resolved to dissolve their business.

Equities & Liabilities	Amount	Assets	Amount
Creditors	14000	Cash	1500
Capital - A	5000	Debtors	6500
Capital - B	12600	Stock	8600
		Machinery	15000
	31600		31600

A and B share in the ratio of 3:2. Debtors,' stock and machinery realized at 75% of the book value. Rs.2000 of the creditors were not to be paid and the remaining creditors were paid at

discount of 5%. It was found that the same liability for Rs.4700 for damages which had to be paid. The expenses of realization came to Rs.1200/. A could not contribute anything to make up his deficiency.

Required: Give ledger accounts to close the books of the firm.

Solution: **Realization account**

Debtors account	6500	Creditors a/c		14000
Stock account	8600	Bank a/c		
Machinery account	15000	(Assets realized)		22575
Cash %(12000 less 5%)	11400	Loss transferred To		
Cash account damages	4700	Capital		
Cash account expenses	1200	A –	6495	
		B –	4330	10825
	47400			47400

Capital account

Depreciation	A	B	Depreciation	A	B
Realization a/c (Loss)	6495	4330	Balance	5000	12600
			B's capital	1495	
A's capital		1495			
Cash a/c		6775			
	16495	12600		16495	12600

Cash account

Description	Amount	Description	Amount
Balance	1500	Realization (creditors paid)	11400
Realization (assets realization)	22575	Realization (damages)	4700
		Realization (expenses)	1200
		Capital - B	6775
	24075		24075

4.3 Garner vs. Murray Rule

If a partner becomes insolvent, the loss must be distributed among solvent partners. Before Garner vs. Murray (1903), such losses were allocated based on profit-sharing ratios. However, the ruling established that, in the absence of an agreement, the insolvent partner's deficiency must be borne by the solvent partners in proportion to their capital contributions. Under IFRS, this aligns with equity accounting principles, ensuring losses are fairly allocated based on capital structure rather than profit-sharing ratios.

i. The solvent partners should bring cash equal to their share of loss on realization.
ii. That the loss on account of the insolvent partner should be borne by the solvent partners in the ratio of their capital as they stand -lust before dissolution.

The following illustration will explain the application of Garner Vs. Murray case.

The facts of the case were as follows:

Garner, Murray and Wilkins entered into partnership, their capitals being unequal but they shared profits and losses equally. In dissolution of the firm, the amounts realized were not very much. After paying off the sundry creditors and advances to the firm by two of the partners, the balance left was not sufficient to repay the partners capitals.

Balance sheet

Liabilities		Assets	
Capital accounts		Cash	1916
Garner	2500	Wilkins deficiency	263
Murray	314	Loss on realization	635
	2814		2814

The decision created a big surprise amongst accountants. So far as the first point in the decision is concerned some accountants say that it is unnecessary to ask the solvent partners to bring cash to make good their share of loss on realization when they already have sufficient. Credit balance is these capital accounts to page off the firms defacing their arguments are:

(a) When a partner has already a credit balance in his capital or current account at is unreasonable to ask him to bring in cash.
(b) It might be impossible for a partner to bring-in further cash, the whole of the cash having been already sunk into the business.
(c) The share of loss may be made up even from the credit balance of loan account of a partner.

Under *IFRS*, the treatment of a solvent partner's obligation in case of an insolvent partner's deficiency follows *IAS 37 (Provisions, Contingent Liabilities, and Contingent Assets) for recognizing liabilities. The* Garner vs. Murray case established that solvent partners should bring in cash to cover their share of the loss on realization. This ensures the firm's obligations are settled properly, aligning with IFRS principles of fair presentation and liability recognition in financial reporting.

4.4 Fixed are Fluctuating Capitals

Under IFRS (IAS 27 - Separate Financial Statements), when an insolvent partner's loss is allocated, the treatment depends on whether capital accounts are fixed or fluctuating. If capitals are fixed, the loss is borne in the fixed capital ratio. If capitals fluctuates, adjustments for reserves and profits (excluding realization loss) must be made first, and the resulting capital ratio determines the loss distribution. This ensures accurate liability recognition and fair financial reporting.

Suppose A's capital is Rs.10000 and B's capital is Rs.6000 C's capital shows a debit balance of Rs.4000. there is a reserve of Rs.6000 dividing the reserve fund among A, B and C each partner will be credited with Rs.2000/-. C is insolvent then:

a. If the capitals are fixed, the loss on C's capital account will be borne by A and B in the ratio of 10:6 (i.e. capital without adjustment of reserve).
b. If the capitals are fluctuating, the loss on C's capital account will be borne by A and B in the ration of 12:8.

Example-12 Mango, Banana and Orange were sharing profit and losses in the ratio of 2:1:2 on 1 st January, their balance sheet was as under:

Balance sheet

Capitals & Liabilities	Amount	Assets		Amount
Sundry creditors	23000	Cash		2000
General reserve	10000	Sundry debtors	40000	
Capital accounts		Less provision	2000	38000
Mango 25000		Stock		26000
Orange 15000	40000	Machinery		6000
		Capital Banana		1000
	73000			73000

The partners decided to dissolve the firm on that date. The assets realized as under:

Machinery = 20% less

Stock = 15% less

Debtors = 25000

Rs. 1000 of the creditors were not to be paid and the creditors were paid at a discount of 5%. The expenses came to Rs. 1000 and Banana could contribute only Rs.400-.

Required: Give ledger accounts to close the book (I) if the capitals are fixed (ii) if the capitals are fluctuate.

Solution: **Realization**

Liabilities	Amount	Assets		Amount
Sundry debtors a/c	40000	Sundry creditors		23000
Stock a/c	26000	Provision debts		2000
Machine a/c	6000	Cash realized		51900
Cash a/c (Cr. Paid)	20900	Loss transferred to		
Cash (expenses)	1000	Capital Mango	6800	
		Capital Banana	3400	
		Capital Orange	6800	17000
	93900			93900

Capital accounts'

Depreciation	Mango	Banana	Orange	Depreciation	Mango	Banana	Orange
Balance		1000		Balance	25000		15000
Realisation				General Reserve	4000	2000	4000
(Loss)	6800	3400	6800				
Capital – B	1250		750	Cash	6800	400	6800
Cash	27750		18250	Capital-Mango		1250	
				Capital-Orange		750	
	35800	4400	25800		35800	4400	25800

Example-13 The following is the balance sheet of A, B and C on 31st December:

Liabilities	Rs.	Assets	Rs.
Creditors	2000	Cash	6000
Reserve fund	15000	Stock	20000
Capital accounts:		Plant and tools	20000
A	25000	Sundry debtors	10000
B	15000	Bills receivable	10000

		C's capital overdrawn	9000
	75000		75000

C's insolvent but his estate pays Rs.2000/-. It is decided to wind up the partnership. The assets realized as follows: Sundry debtors, Rs.7500/; bills receivable Rs.7000/; stock Rs.16000/ and plant and tools Rs.14000/-. The costs of winding up came to Rs.2500/-. Give accounts to close the books of the firm (1) if the capital are fixed and (2) if the capital are fluctuation.

Solution: **Realization account**

		Rs.			Rs.
Dec.31	Sundry assets	60000	Dec.31	Creditors	20000
	Cash expenses	2500		Cash assets realized	44500
	Cash creditors	20000		Loss transferred to:	
				A 6000	
				B 6000	
				C 46000	18000
		82500			82500

Capital account

	A	B	C		A	B	C
Balance b/d			9000	Balance b/d	25000	5000	
Loss on				Reserve fund	5000	5000	5000
Realization	6000	6000	6000	Cash a/c	6000	6000	2000
C's capital a/c	500	3000		A's capital a/c			5000
Cash a/c	25000	17000		B's capital a/c			3000
	36000	26000	15000		36000	26000	15000

Note: C's deficiency of Rs.8000 has been divided between A and B in the ratio of their capitals as they stood just before realization after the transfer of reserve fund.

Example-14: P, Q, R and S are equal partners in a business. On 31 S` December they dissolved their partnership when their position is a follows:

Liabilities	Rs.	Assets	Rs.
Sundry creditors	5014	Cash in hand	200
Capital accounts		Sundry debtors	3548
P	6000	Stock	2500
Q	3000	Fixture & fittings	300
		Patents	987
		Plant & machinery	2782
		Lease hold factory	2897
		R's deficiency	100
		S's deficiency	700
	14014		14014

The assets realized the following amounts:

Sundry debtors, Rs.2700/; stock Rs.1975/; fixture and fitting Rs.100/; plant and machinery Rs.1850/- and leasehold factory Rs.2610/-. The patents proved worthless.

The creditors were paid Rs.5002/- in settlement. A contingent liability amounting Rs.273 - not provided in the above balance sheet had to be met during realization. S is insolvent. Show the final adjustment of accounts among the partners.

Solution: **Realization account**

Sundry assets	13014	Cash		9235
Cash a/c	5002	Sundry creditors		5014
Cash (contingent liabilitiy	273	Loss transferred to:		
		P	1010	
		Q	1010	
		R	1010	
		S	1010	4040
	18289			18289

Capital account

	P	Q		P	Q
Realization loss	1010	1010	Balance b/d	6000	3000
S's deficiency	1140	570	Cash	1010	1010
Cash	4860	2430			
	7010	4010		7010	4010

Cash Account

To balance	200	By realisation creditors	5002
To realization	9235	By realisation creditors Liability	273
To P's capital	1010	By P's capital	4860
To Q's capital	1010	by Q's capital	2430
To Rs, capital	1010		
	12565		12565

Capital account

	R	S		R	S
To balance B. F	100	700	By cash	1110	
To realisation loss	1010	1010	By P's capital a/c		1140
			B Q's capital a/c		570
	1110	1710		1110	1710

4.5 When all Partners are Insolvent (IFRS 9 - Financial Instruments)

If all partners are insolvent, creditors cannot expect full payment. Instead of transferring creditors to the realization account, all available cash is directly paid to them. The unpaid balance is transferred to the profit & loss account, closing the partners' capital accounts. This aligns with IFRS principles of fair presentation and liability recognition in financial reporting.

Example-15: Saleem and Rashid were partners sharing profits in the ratio of 3:2. On 1st July their balance sheet was as under:

Liabilities	Rs.	Assets	Rs.
Sundry Creditors	20000	Stock	12000

Capitals:		Debtors	15000
Saleem	5000	Furniture	600
Rashid	3000		400
	28000		28000

The firm was dissolved on the above date. The assets realised only Rs.16000 expenses came to Rs.500. Saleem's private estate could pay only Rs.1000 Rashid had no surplus, and close the books of the firm by giving a ledger account.

Solution Realization Account

Date	Liabilities	Rs.	Date	Assets	Rs.
July	To sundry assets:		July	By cash account	16000
	Stock	12000		By loss transferred to	
	Debtors	15000		Saleem 3/5, 7260	
	Furniture	600		Rashid 2.5, 4840	
	To cash a/c exp.	500			12100
		28100			28100

Cash Account

Date		Rs.	Date		Rs.
July I	To balance b/d	400	July 1	By Realisation a/c exp.	500
	To Realisation a/c	16000		By sundry creditors	169000
	To Saleem's capital a/c	1000			
		17400			17400

Sundry Creditors Account

Date		Rs.	Date		Rs.
July 1	To cash account	16900	July 1	by balance b/d	20000
	To PLS account	3100			
	(amount unpaid)				
		20000			20000

Profit and Loss Account

Date	Liabilities	Rs.	Date	Assets	Rs.
July 1	To Saleem's capital a/c	1260	July 1	By S. creditors transfer	
	To Rashid's capital a/c	1840			3100
		3100			3100

Rashid's Capital Account

Date	Liabilities	Rs.	Date	Assets	Rs.
July 1	To realization a/c loss	4840	July 1	By balance b/d	3000
				By PLS account	1840
		4840			4840

Saleem's capital account

4.6 Gradual Realization of Assets & Piecemeal Distribution

Under IFRS (IFRS 9 - Financial Instruments), during dissolution, assets are usually realized gradually, and payments occur over time. The piecemeal distribution follows these steps:

1. **Pay outside creditors** first.
2. **Settle partner loans** proportionately.
3. **Adjust partner capitals** to align with profit-sharing ratios.

4. **Distribute the remaining cash** among partners in their profit-sharing ratio.

This approach ensures fair liability settlement and aligns with IFRS principles of financial obligations and equity distribution.

Example-16: Following is the Balance sheet of M/s A, B and C who share profits and losses in the ratio of 2:2:1

Liabilities	Rs.	Assets	Rs.
Sundry creditors	1500	Cash in hand sundry debtors	200
Capitals:		Stock	2200
A-1500			2200
B-1200			
C- 400	3100		
	4600		4600

The firm was dissolved and the assets were realized gradually Rs.1000 were received once, Rs. 15000 another time and Rs.900 finally. Show how each installment is to be distributed.

Solution: The profit-sharing ratio between A, B and C is 2:2:1. C's capital is Rs.400, hence the proportionate capitals of A and B Rs.800 each. This means C receives nothing until the capitals of A and B each are brought down to Rs.800. Now A and B being equal partners, their capital ought to be equal. A's capital is Rs..300 more than B's and hence before B receives anything A should be paid Rs.300. The following statement now shows the distribution.

Distribution of Cash

	Creditors	A	B	C
Amount due	1500	1500	1200	400
Cash in hand paid to creditor	200	--	-	--
Balance due	1300	1500	1200	400
First installment:				
Rs. 1000/- to creditors	100	--	--	--
Balance due	300	1500	1200	400
Second installment:				
Rs. 300/- paid to creditors	300	--	--	--
Rs. 300/- paid to A	--	300	--	--
Balance due	--	1200	1200	400
Rs. 400/- paid cash to A & B to bring down their capitals to Rs. 800/-				
Balance due		400	400	--
Rs. 100/- distributed among all partners (2:2:1) Balance due Third installment		800	800	400
		40	40	20
		760	760	380
Rs.900/- distributed among all partners (2:2:1)		360	360	180
Balance unpaid or loss		400	400	200

5. CONVERSION OF PARTNERSHIP INTO A LIMITED COMPANY

5.1 Accounting Procedure (IFRS 3 - Business Combinations), when a partnership is converted into a limited company, the following accounting steps are followed:

1. **Realization Account**: Record assets and liabilities transferred to the new company.
2. **Liabilities Transfer**: Debit liabilities, credit Realization Account.
3. **Purchase Price Entry**: Debit purchasing company, credit Realization Account.
4. **Realization Expenses**: Debit Realization Account, credit cash.
5. **Profit/Loss on Conversion**: Transfer to partners' capital accounts.
6. **Purchase Consideration**: Debit cash/shares/debentures, credit purchasing company.
7. **Outstanding Liabilities**: Pay off remaining liabilities.
8. **Share Distribution**: Allocate shares/debentures among partners per agreement.
9. **Final Settlement**: Pay partners, closing partnership books.

This ensures compliance with IFRS guidelines for business combinations and fair value adjustments.